



PRESENTS

CASE BOOK

2025-26



Over 100 diverse cases with 47 new case additions and the introduction of 1 new case type!

ISSUE DETAILS AND COPYRIGHT



Edition 6

Case Book, Consult Club, IIM Calcutta

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Edition 4: September 2023

Edition 5: September 2024

Edition 6: September 2025

Greetings!

The Consult Club of IIM Calcutta is delighted to present the sixth edition of the IIM C Casebook. The purpose of this book is to better equip students, with a keen interest in pursuing a career in the field of management consulting, with the different types of cases asked during the recruitment process in both summer and final placements. In this edition, we have completely overhauled the existing cases and industry reports as well as introduced multiple new cases across the 7 case types

This casebook is a concise guide to developing the essential analytical approach to solving cases that is sought by most recruiting firms. It has been curated with utmost care with inputs from the 60th and earlier batches and includes a collection of cases in the final interviews and in the buddy programs of various firms.

We are sharing this casebook on public domains to assist students with their preparation. Please note that this is meant to supplement the excellent work done by our and other schools in earlier casebooks and interview experience compendia, so we strongly encourage you to not make this your sole reference.

We hope you enjoy reading this book and practicing cases with your peers. The process is just as fun as the destination!

Godspeed.

Regards,
Consult Club
IIM Calcutta

Dear Reader,

We would like to take this opportunity to express our gratitude to all the people who have supported us by sharing their cases which has encouraged us to prepare this comprehensive consulting preparation resource for all the past and present batches.

In particular – we are extremely grateful to the following students who have actively contributed to preparing this casebook:

- **61st Batch:** Shraddha Agarwal, Ishika Jain, Aarjav, Angoth Sai Vidhya, Ishi Jain, Abhishek Acharya, Abhisek Agarwal, Anjali Yadav, Suman Kumari Hansda, Shubhangi
- **62nd Batch:** Falak Kalra, Dhruv Jain, Kanav Bansal, Shreyshi Singh, Niyati Jain, Siddharth Dewangan, Siddharth Tripathi, Akash Deep, Kanishka Wadehra, Gajender Singh, Pantham Nikhil, Abhishek Mungekar, Harshvardhan Shewakramani, Shyam Gandhi, Manvendra Singh, Anchal Saini, Aswanth R, Adithya Srikanth

Without the proactive contribution of all of the above and the support of many other PGP2s in sharing their cases as well as giving valuable inputs in both casebook and industry report, none of this would have been possible.

Last but not the least, we would also like to thank 60th and all the previous batches who had created a wonderful base for us from where we could take this casebook forward.

Regards,
Consult Club
IIM Calcutta

HOW TO USE THIS BOOK

Dear Reader,

In lieu of the upcoming summer placements for the 61st Batch, we have put together this concise guide to different types of cases that are asked during the course of the selection process of various consulting firms. Apart from the different types of frameworks used, we have selected a bunch of cases that were asked to the previous batches during their buddy calls and final interviews with various firms.

Before you dive into the vast pool of literature available to you in the form of casebooks, we urge you to make a note of the following:

- **Do not memorize frameworks:** Frameworks used in specific types of cases are mere guidelines and tools to enable you to think. Keep in mind that they are not necessarily applicable in every situation as the interviewer might also test your ability to think on your feet.
- **Work in non-homogenous groups:** In order to maximize your learning when practicing cases, we urge you to work with groups of different people to consider different aspects and points of view of the problem statement. We suggest the reader should use the interview transcripts in this casebook to set up a case in groups of at least 2. An observer may keep note of hygiene factors.
- **Structure is key:** Always be **MECE** (Mutually Exclusive Collectively Exhaustive) when it comes to structuring your thoughts. Be exhaustive and list down all possible alternatives under any scenario before the interviewer leads you in a particular direction.

We wish you all the best for your placements and hope you land a job of your choice. Feel free to reach out to us in case you require any assistance.

Regards,
Consult Club
IIM Calcutta

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THE CASE INTERVIEW PROCESS



WHAT IS A CASE INTERVIEW?

A case interview is a simplified, condensed version of a complete consulting project. The candidate (interviewee) is in the driver's seat and is expected to explore the data and provide solutions to a problem statement that a client gave to the interviewing firm.

**IDEAL CANDIDATES
DEMONSTRATE**

PROBLEM SOLVING ABILITY



INTERPERSONAL SKILLS



CULTURAL FIT

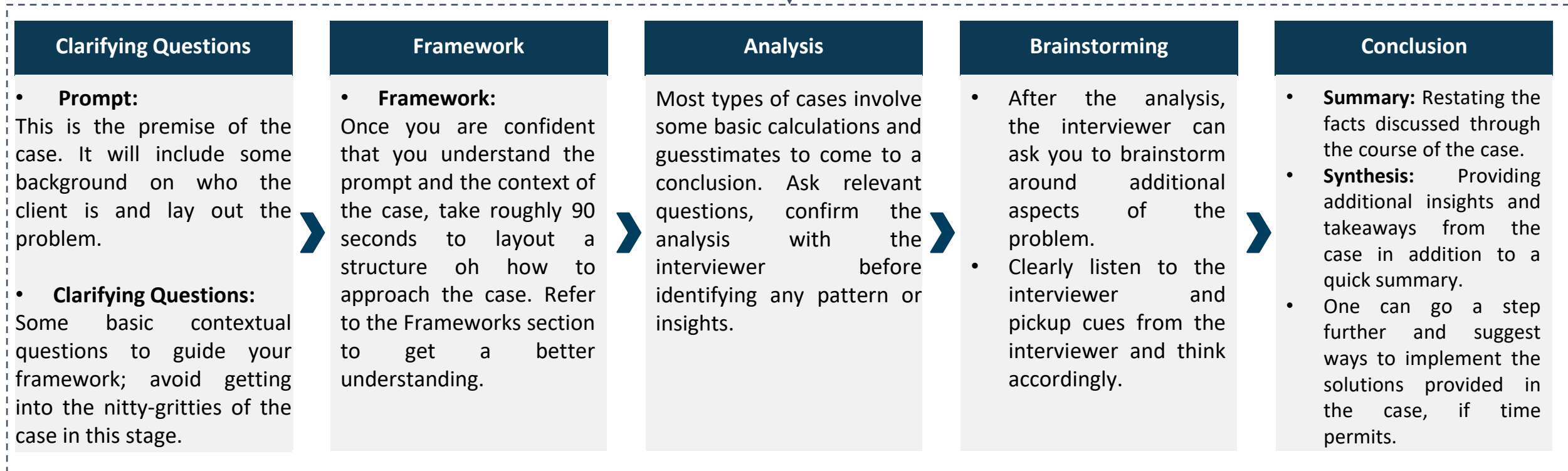
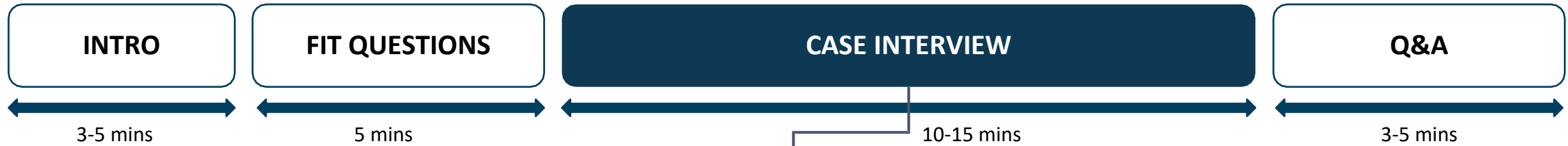
The case interview is an example of a real business problem based on your interviewers' past work experiences. The problems you will encounter are not designed to be brain teasers, or theoretical problems designed to stump you, but rather to reflect the challenges that our clients face. These real-life examples allow you to learn more about the type of work we do and the impact we have with our clients.

We believe the following is representative of all firms and are qualities expected in a potential candidate:

- The approach you take to solving a problem
- How analytical and creative your thinking is
- Your usage of data to quantify and make your recommendations
- Your communication skills in conveying your ideas
- How you would suggest implementing these proposals

CASE INTERVIEW FORMAT

A typical case interview lasts for 20-25 minutes and includes the following components*:



**Note: While this is usually followed, this format may differ by firm or by interviewer.*

*Also note, while it is called a Case Interview, often, it is a **Case Discussion**. Hence, frequent two-way communication is important while you are solving the case*

While case preparation is key to cracking the interview, consulting firms are also assessing your ability to successfully work with teams and judge how well you understand their firm and yourself. This is done through customary HR questions such as:

Tell me
about
yourself

- **Your pitch should include:** Your past, key positions held, achievements in your career; highlight work experience and/or internships focusing on results
- **All answers must include:** Relative skills & experiences, key transition points in your career, and a career objective
- **Strong answers have:** A powerful “hook” – your value proposition that highlights how you have the competencies they desire in a candidate

Why Firm X
or
Consulting

- **Firm & industry fit:** Interviewee should have a deep understanding of a firm’s culture, functional expertise, and working style
- **Industry interest:** Interviewee should highlight experiences they want to gain and skills they bring
- **Strong answers have:** Structured reasons, and answers tailored to your prior experiences and future aspirations

Give me an
instance
when...

- **Experience / Personal:** Interviewee should demonstrate leadership ability, “drive” – taking initiative, and professionalism
- **CAR: Context / Challenge** you faced, the **Action** that you demonstrated, and the **Result** of your actions
- **Strong answers have:** Concise response, a learning element if the situation helped you grow, utilizes structure, and engages the interviewer with energy, emotion, and authenticity

CASE INTERVIEW: CLARIFYING QUESTIONS

Clarifying Questions

Framework

Brainstorming

Analysis

Conclusion

THE PROMPT

All case prompts will introduce:

- Company Premise
- Industry
- Specific Company Problem

Most prompts don't talk about the client's objective and how the client is looking to deal with the problem

Thus, it is up to the candidate to find out the business objective of the client by asking necessary **clarifying questions**

CLARIFYING QUESTIONS

Clarifying questions should always be to the point (E.g.: context on products, core goal of the client, revenue generations)

Do not make any assumptions unless necessary. Confirm with the interviewer before making any assumption

Feel free to ask relevant clarifying questions during the case discussion

Guide to asking preliminary questions:

The following may be helpful in asking clarifying questions in a structured manner:

- **3CP:** (Customer, Company, Competitor, Product)
- **7Ps:** Start with the 4Ps (Product, Place, Price, Promotions) additional 3Ps (Physical evidence, People, Process required)
- **4As** (Awareness, Accessibility, Availability, Affordability)

Refer **Frameworks** section for detailed explanation.

CASE INTERVIEW: FRAMEWORK

Clarifying Questions

Framework

Brainstorming

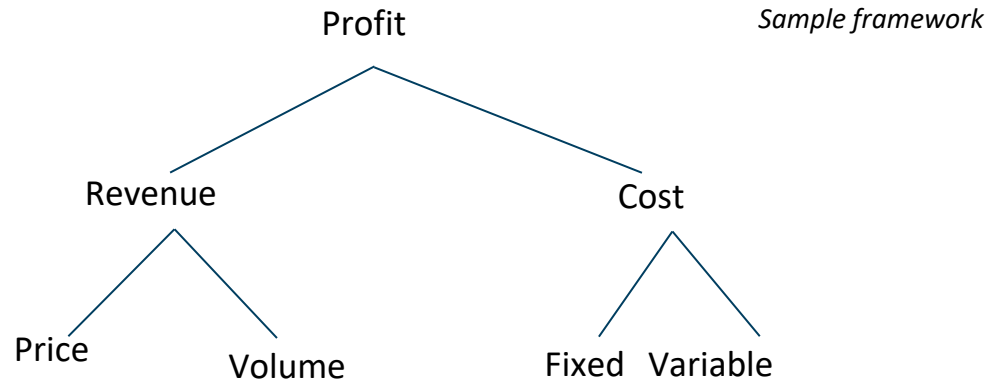
Analysis

Conclusion

SAMPLE INTERVIEW
SOLUTION A4 SHEET

Key question in prompt

Notes and
Clarifying
Answers



Market/External

- Competitors
- Government Regulations
- Industry Trends
- Natural Calamity

Customer/Company

- Internal
 - Acquisitions
 - Capacity
 - Value Chain
- Consumer Preferences

Your recommendations

(This is how you are expected to solve your case i.e. in a neat & clean manner)

Frameworks provide clarity of thought and helps you structure your arguments better*

MANTRA:

MECE: Mutually Exclusive, Collectively Exhaustive

- Ensure your framework is as MECE as possible
- Detailed but not lost in the weeds
- Thorough but not wasteful
- Insightful but not presumptive

MYTH:

- There is one perfect framework for every case
- Frameworks are not important
- There is a finite number of frameworks that will provide answers to every case

*Note: Different types of case frameworks have been explained in subsequent sections of this book.

**Structuring in this manner will help the interviewer understand and assess your thought process. Candidates can choose a format they are comfortable with.

CASE INTERVIEW: BRAINSTORMING

Clarifying Questions

Framework

Brainstorming

Analysis

Conclusion

The key to brainstorming is structure. The candidate should first devise two or more “buckets” or categories to organize one’s thoughts. Some of the most commonly used categories / buckets to organize your thoughts are given below.

Note: Use one of these categories, especially when you are stuck. It will help you structure your unstructured thoughts

Value Chain Analysis

- Analyze each step of the value chain to identify the root cause of the client’s issue
- Useful for exploring causes to cost related problems
- The entire value chain is described in [Profitability -> Cost Reduction – Value Chain Analysis](#) section

Customer Journey

When conventional frameworks do not help you get to the crux of the problem, understanding the customer journey can bring useful insights. One framework to describe Customer Journey is **AIDA** – Attention, Interest, Desire, Action (Useful in Sales / Revenue Improvement cases).
Refer [Profitability -> Customer Journey](#) section for one comprehensive framework

Supply vs Demand

- Useful in profitability cases to identify whether the root cause of the problem is due to supply push or demand pull
- Typically used in exploring revenue related problems

Internal vs External

- Internal factors represent any aspect internal to the client’s business (e.g.: products, process, brand, leadership, etc.)
- External factors represent those which are beyond the client’s control (e.g.: competition, government regulations, market trends, etc.)

CASE INTERVIEW: GUIDE TO DOING ANALYSIS

Clarifying Questions

Framework

Brainstorming

Analysis

Conclusion

Most cases involve simple arithmetic or guesstimates. Follow these tips to avoid making mistakes:

TIPS FOR SUCCESS



SANITY CHECK

Make sure your numbers make sense in the context of the case.



MISTAKES

Mistakes are okay. You can recover from them as long as you don't repeat them.



SHORTCUTS

Round-off when required and manage your zeroes correctly to avoid mistakes.



TALK

Talk it through and explain each step you are doing to your interviewer.



SO WHAT?

Draw necessary inferences from your numbers and tie it back to the case.



PRACTICE

Practice until you are comfortable doing math in front of the interviewer.

CASE INTERVIEW: CONCLUSION

Clarifying Questions

Framework

Brainstorming

Analysis

Conclusion

Conclude the case in usually one minute and the conclusion may include the following key elements:

Summary

Restate the key facts mentioned in the case and the inferences drawn during the case

Recommendation

State the actions that the client should take and cite the key insights in your analysis that have helped arrive at the conclusion

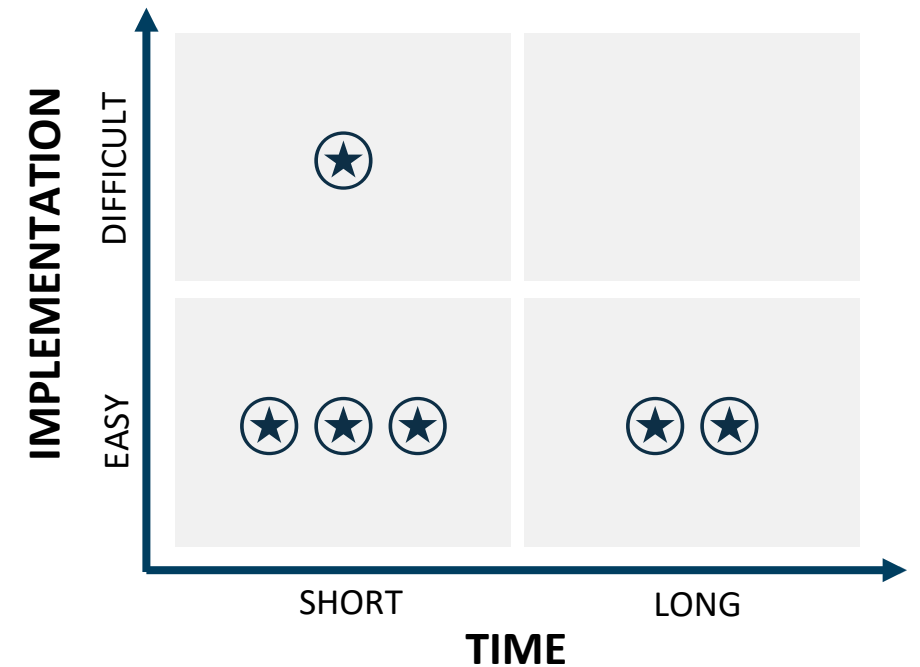
Implementation

Highlight the actions the client must take in order to implement the recommendation given in the case
E.g.: Establish a value chain in a market entry case that includes Production, Distribution and Marketing

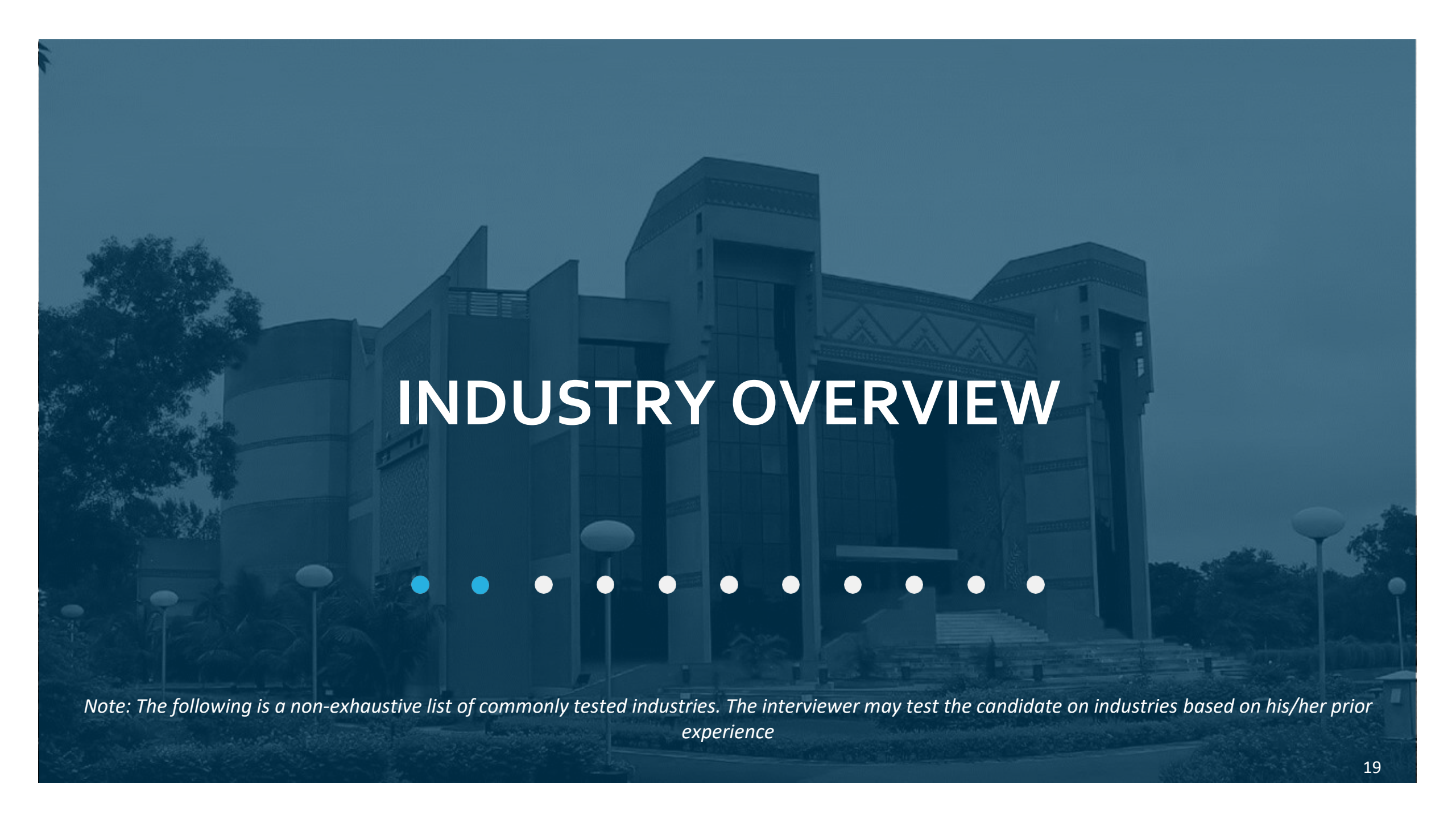
Risks & Concerns

Mention the factors in the case that the client should be aware of that may impact their business or implementation of a recommendation
Note: It should not contradict your overall recommendation

STRUCTURING RECOMMENDATIONS



Feasibility vs Impact is another way of structuring recommendations derived from the case.

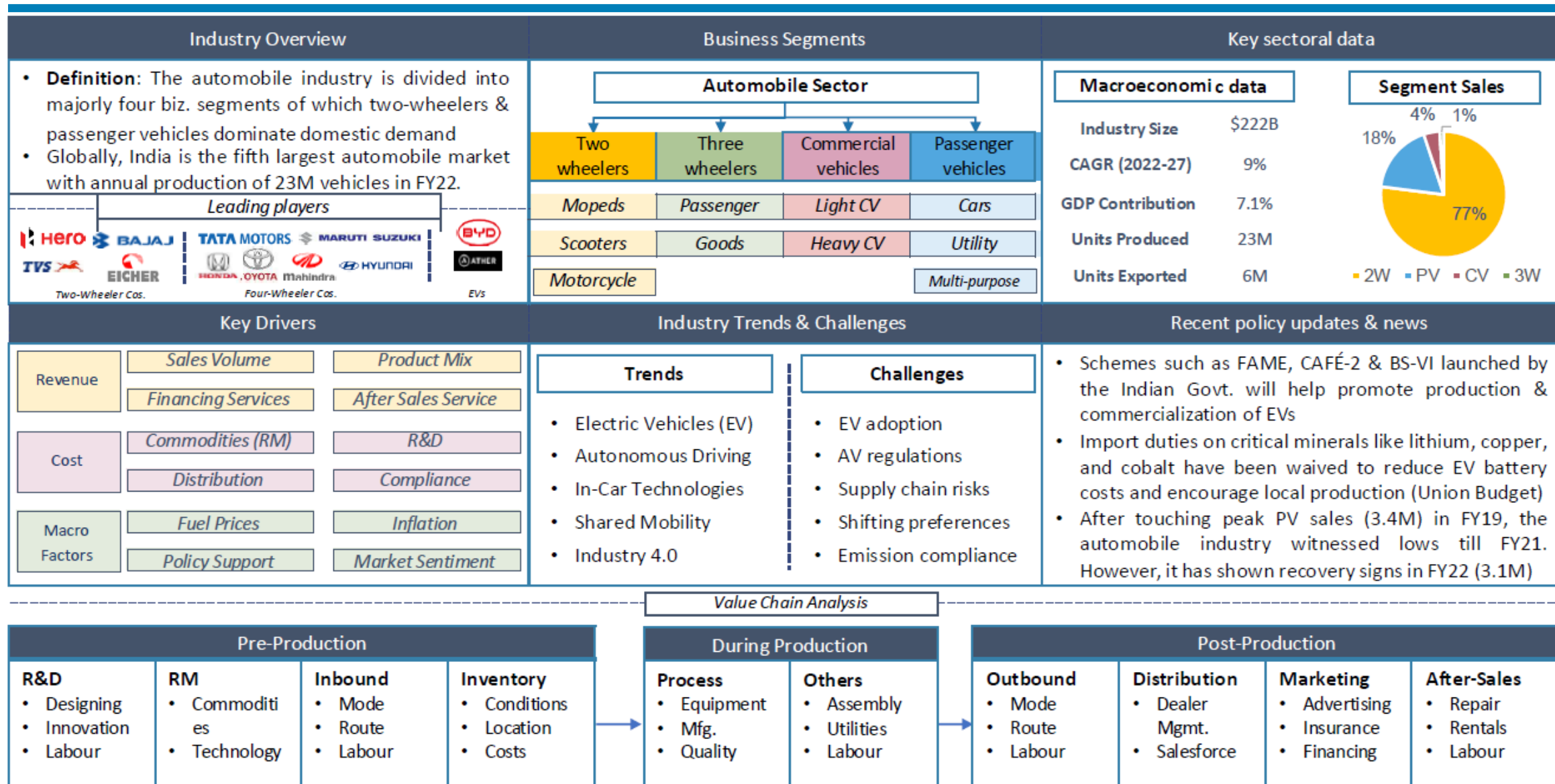


INDUSTRY OVERVIEW

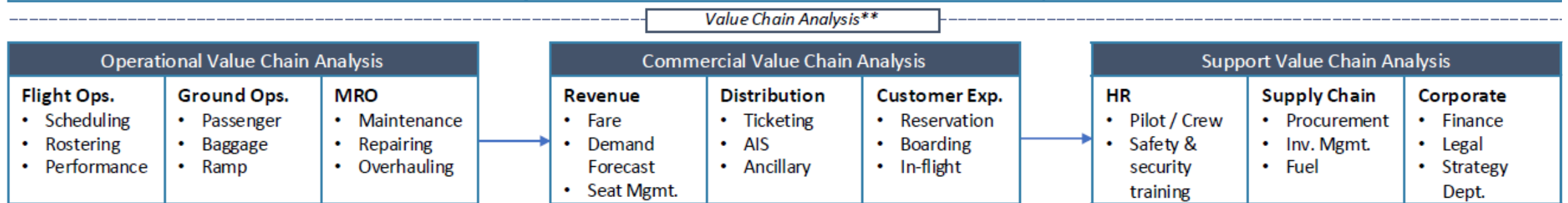
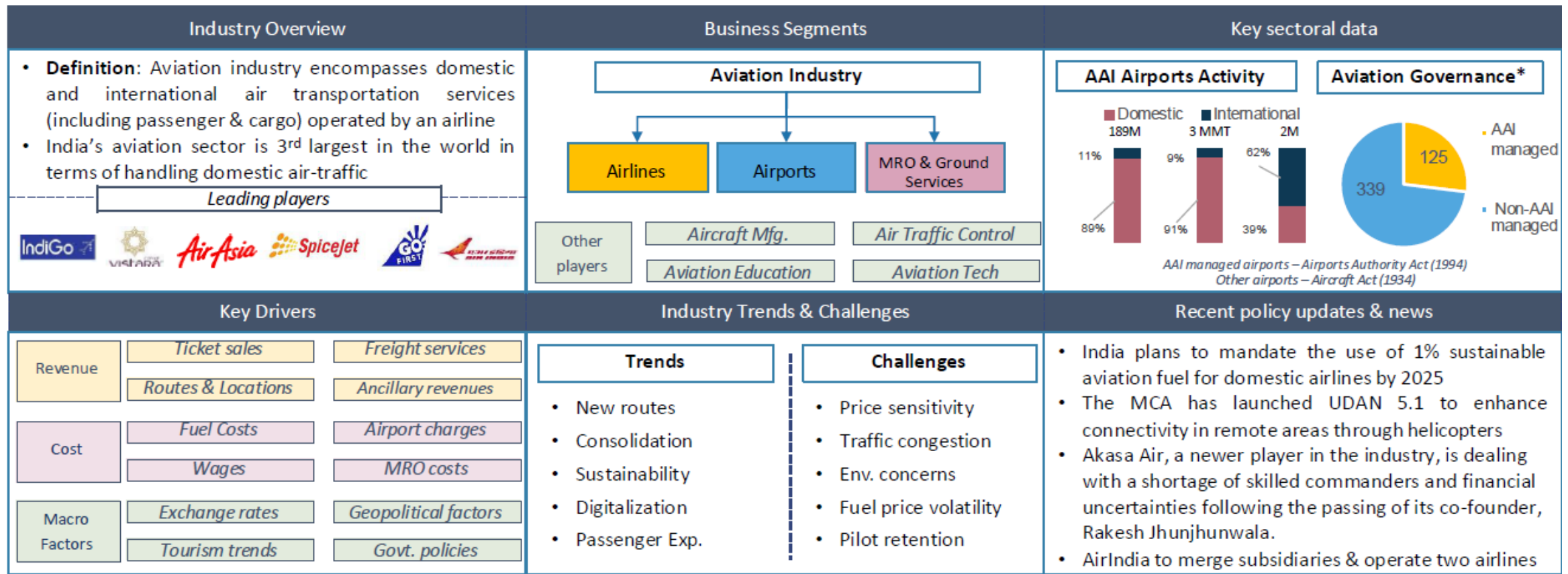


Note: The following is a non-exhaustive list of commonly tested industries. The interviewer may test the candidate on industries based on his/her prior experience

AUTOMOBILE INDUSTRY



AVIATION INDUSTRY



Source: IBEF. Note: MRO refers to Maintenance, Repair & Overhaul. AAI: Airports Authority of India, AIS refers to advanced information systems, MCA refers to Ministry of Civil Aviation

*The Aviation Governance pie-chart indicates the total number of airports & airstrips governed by different acts in India, **Other often used method to analyze Aviation Value Chain is to map customer journey

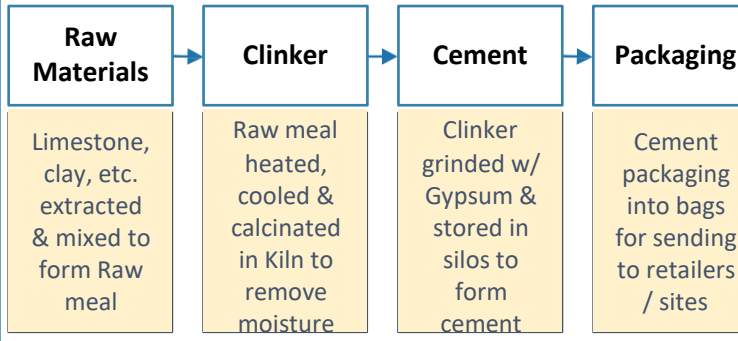
CEMENT INDUSTRY

Industry Overview

- **Definition:** This industry refers to players involved in the production, distribution & sale of cement
- India is the second largest cement producer worldwide with over 7% of the global installed capacity



Process Flow

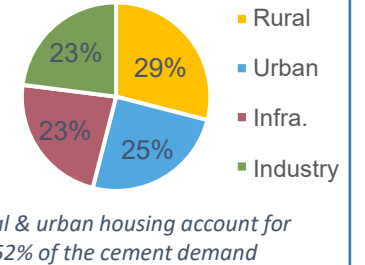


Key sectoral data

Macroeconomic data

Industry Size ('22)	\$143B
CAGR (2021-29)	5.5%
GDP Contribution	4.5%
Top 4 players	75%
Total Capacity*	360MT

Cement Demand



Key Drivers

Revenue	Prices	Market demand
	Real estate growth	Govt. spending
Cost	Raw materials	Energy costs
	Transportation	Labor costs
Macro Factors	GDP growth rate	Urbanization
	Exchange rates	Interest rates**

Industry Trends & Challenges

Trends	Challenges
• Cement blending • Affordable housing • Capacity expansion • M&As • Carbon neutrality	• Lack of support infra. • Land acquisition • Env. concerns • Financing constraints • Commodity prices

Recent policy updates & news

- Adani's \$6.5B acquisition of Ambuja and its subsidiary ACC was the largest M&A in Indian infra sector.
- **Synergies & M&As** – (Adani Group, Ambuja, Input utilities synergies); (Ultratech, NTPC, input utilities synergies)
- Governmental schemes to grow Indian economy help the cement sector – NIP, NMP, PMAY (Urban / Gramin) Smart Cities, AMRUT

Value Chain Analysis

Pre-Production

R&D	RM	Inbound	Inventory
• Alternate RMs • Mlxing	• Mining • Grinding • Quality	• Mode • Route • Vendor	• EOQ • Handling • JIT

During Production

Process	Others
• Kiln • Grinding • QC	• Utilities • Waste • Packaging

Post-Production

Outbound	Distribution	Marketing	After-Sales
• Fulfilment • Tracking • Route	• Margins • Efficiency • Channel	• Branding • Pricing • Feedbacks	• Support • Complaint Mgmt.

E-COMMERCE INDUSTRY

Industry Overview

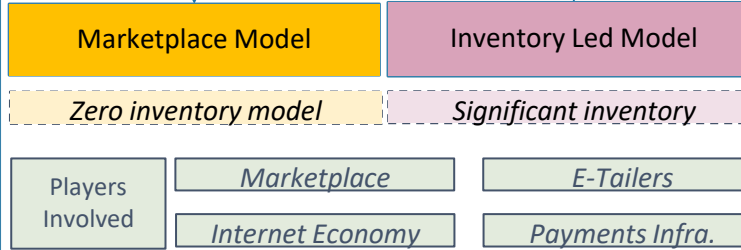
- Definition:** This sector encompasses companies involved in the buying & selling of goods and services through electronic platforms, primarily the internet
- India could outpace more mature markets to become the 3rd largest globally with \$350B size by 2030

Leading players



Business Segments

E-Commerce Industry Biz. Models

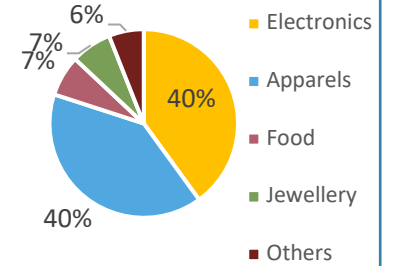


Key sectoral data

Macroeconomic data

Industry Size	\$75B
CAGR (2022-30)	21%
GDP Contribution	2.4%
E-Com Sales	10%
Internet Users	780M

Segment Sales



Key Drivers

Revenue	GMV	# transactions
	Average order value	Seller commissions
Cost	Fulfillment costs	Customer acq. costs
	Technology infra.	Advertising costs
Macro Factors	Internet penetration	Consumer spends
	Payment infra	Govt. policies

Industry Trends & Challenges

Trends

- Omnichannel sales
- Ancillary revenues
- Geo. expansion
- Social commerce
- Personalized exp.

Challenges

- Last mile delivery
- Payment challenges
- Counterfeit products
- Customer trust
- Reverse logistics

Recent policy updates & news

- Through its 'Digital India' campaign, GoI is aiming to create a trillion-dollar online economy by 2025
- Currently, 100% FDI via automatic route is permitted in the marketplace model of E-commerce.
- In Q1'22, PE/VC investments in this sector stood at \$2.7B with 47 total deals
- The total volume of wireless internet data usage has surged 7 times over since 2018
- E-com cos. are moving towards subscription model

Value Chain Analysis

Supply Chain & Operations

Procurement	Inventory	Others
- Suppliers - Contract - QC - Inv. forecast	- Warehouse - Stocking - Expiry mgmt. - Monitoring	- Order mgmt. - Packaging - Shipping - Reverse logi.

Technology & Platform

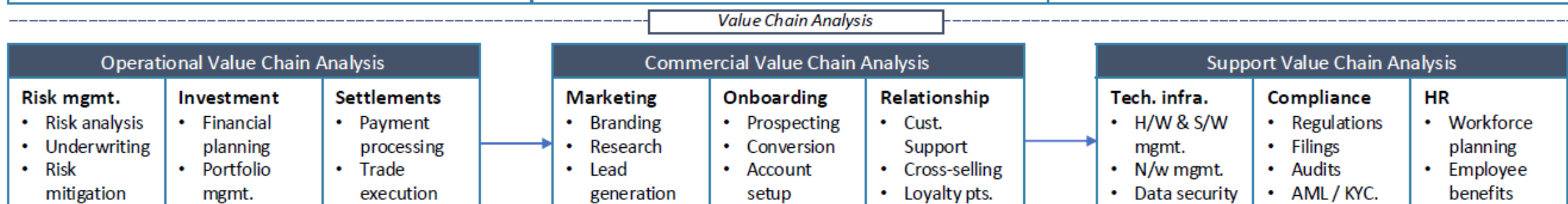
Development	Products	Others
- Website/App - Front-end - Back-end - Payments	- Catalog - Taxonomy - Discounts - Reviews	- Gateway - Cyber-risk - Subscription - Metrics

Marketing & Customer Engagement

Mkt. Research	Branding	Others
- Target mkt. - Mkt. trend - Competitors - Pricing	- Identity - Pricing - Positioning - Product USP	- SEO / PPC - Cust acq. - Loyalty pts. - Cust. service

FINANCIAL SERVICES INDUSTRY – ALL

Industry Overview	Business Segments	Key sectoral data
Definition: This sector encompasses various financial institutions & organizations that provide financial products & services to individuals & businesses - According to GS, India's stock market is likely to reach \$5T surpassing UK to become the 5th largest by 2024	Financial Services Industry Capital Markets Insurance NBFCs Banks MFs Life Asset fin. Commercial & Retail Banks Broking Non-Life Loan cos. IB	Macroeconomic data MF breakdown Gross Savings / GDP 29.3% 22% 1% 44% 33% Corporates HNIs Retail Others Insurance AUM ('25E) \$1T MF AUM \$478B MF Penetration 5-6% IPO Capital Raised \$7B
Leading players ICICI Bank LIC SHIRAM Piramal kotak SBI TATA CAPITAL		
Key Drivers	Industry Trends & Challenges	Recent policy updates & news
Revenue Client base AUM Cross-selling Ancillary fees Cost Employee benefits Tech infra. costs Rents & Leases Compliance Macro Factors Economic stability Interest rates Exchange rates Financial literacy	Trends - Digitalization - Rise of FinTech - Financial inclusion - Account aggregation - ESG Focus Challenges - Cybersecurity - NPA management - Debt market liquidity - Customer trust - Economic volatility	- Gol has approved 100% FDI for insurance intermediaries and increased limit to 74% in insurance from the previous 49% - A pilot programme for Central Bank Digital Currency (CBDC) was launched by RBI in November 2022 - In September 2021, 8 banks announced that they are expecting to roll out account aggregator framework Key Deals: (HDFC Bank, HDFC); (Piramal Group, DHFL); (LIC IPO); (Axis Bank, Citi Bank retail business)



FINANCIAL SERVICES INDUSTRY – BANKING SECTOR

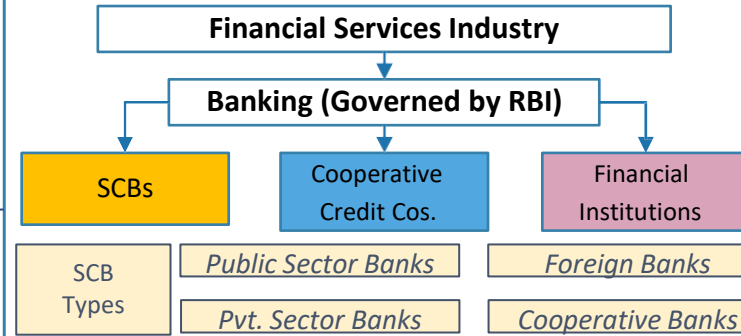
Industry Overview

- **Definition:** A part of the financial services industry that is specifically focused on traditional banking activities such as loans, deposits, fund transfers, etc.
- Compared to the world's developed nations, 40% of the world's total digital transactions happen in India

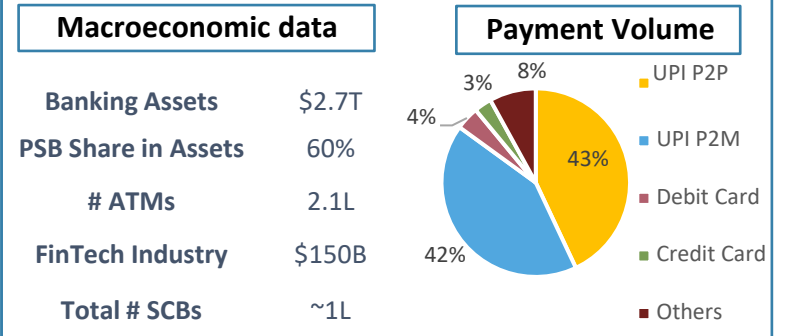
Leading players



Business Segments



Key sectoral data



Key Drivers

Revenue	Interest Income	Investment Gains
	Cross-selling	ForEx Income
Cost	Employee benefits	Marketing costs
	Rents & Leases	Compliance
Macro Factors	Monetary policy	Systemic risks
	Exchange rates	Consumer trust

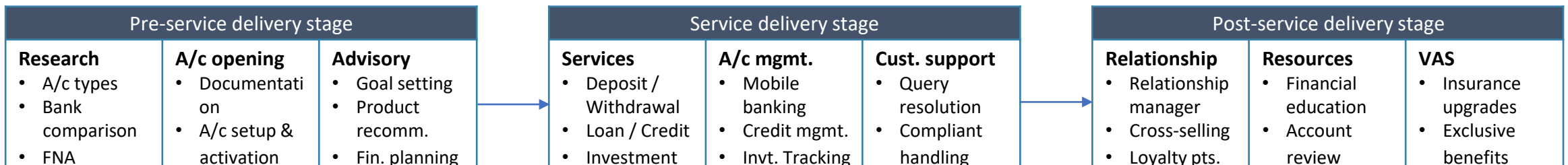
Industry Trends & Challenges

Trends	Challenges
• Mobile Banking & Payments • Rise of FinTech • Unbanked banking • AI & Automation	• Capital adequacy & other requirements • Loan recovery • Frauds & Financial Crimes

Recent policy updates & news

- Around 470M beneficiaries have been banked under PMJDY scheme amounting to \$21B
- RBI has launched the RBI Retail Direct Scheme through which retail investors can now directly invest in Government securities
- All 1.5 lakh post offices in India are now part of the **core** banking system, offering net banking, mobile banking, and ATM services
- NPCI has launched UPI lite (payments up to ₹200)

Banking Process Mapping



Since the value chain is very similar for banking sector & the entire financial services industry, we have done a banking process mapping which highlights the entire end to end banking process

FAST MOVING CONSUMER GOODS (FMCG) INDUSTRY

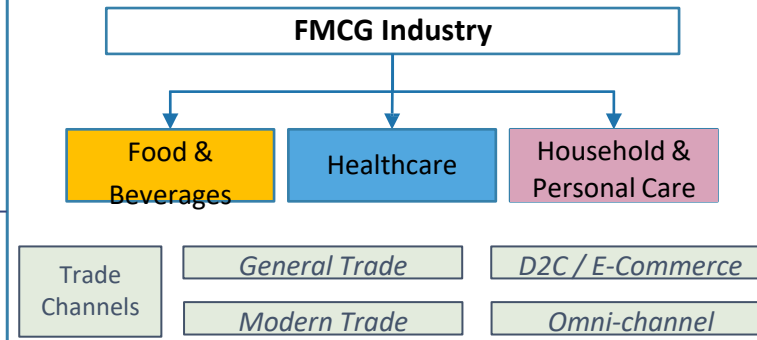
Industry Overview

- Definition:** The FMCG industry refers to the production, distribution, and sale of often purchased, non-durable goods such as household products.
- India's FMCG market grew at 16% in FY21, the fastest seen in the previous nine years

Leading players



Business Segments

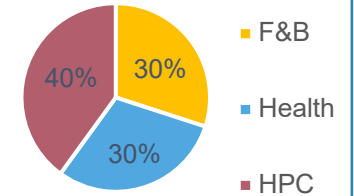


Key sectoral data

Macroeconomic data

Industry Size ('20)	\$110B
CAGR (2020-27)	28%
GDP Contribution	3.5%
Internet Users	780M
Urban Sales	65%

E-com segments



Key Drivers

Revenue	Consumer spends	Urbanization
	Rural Markets	E-Commerce sales
Cost	Raw Materials	Packaging
	Manufacturing	Distribution costs
Macro Factors	Consumer Behavior	SC Disruptions
	Festivals & Seasons	Population Growth

Industry Trends & Challenges

Trends

- Health & Wellness
- E-Commerce rise
- Sustainability
- Convenience culture
- ONDC

Challenges

- Price sensitivity
- Distribution mgmt.
- Rural penetration
- Illicit Trade
- Intense competition

Recent policy updates & news

- To promote FMCG sector, GoI has approved 100% FDI in single-brand retail & 51% FDI in multi-brand retail
- The industry is witnessing regulatory headwinds in the form of regulations in E-Com (deep discounting), quality standards (honey adulteration), etc.
- Key M&As** – (HUL, GSK CH); (Tata Digital, BigBasket); (Marico, Beardo); (Dabur, Badshah Masala)
- Reliance's entry into the FMCG poses a significant threat, due to its deep pockets and vast network

Value Chain Analysis

Pre-Production

R&D	RM	Inbound	Inventory
- Product - Packaging - Consumer insights	- Forecasting - Supplier - Pricing	- Mode - Route - Labour	- EOQ - Tracking - Warehouse

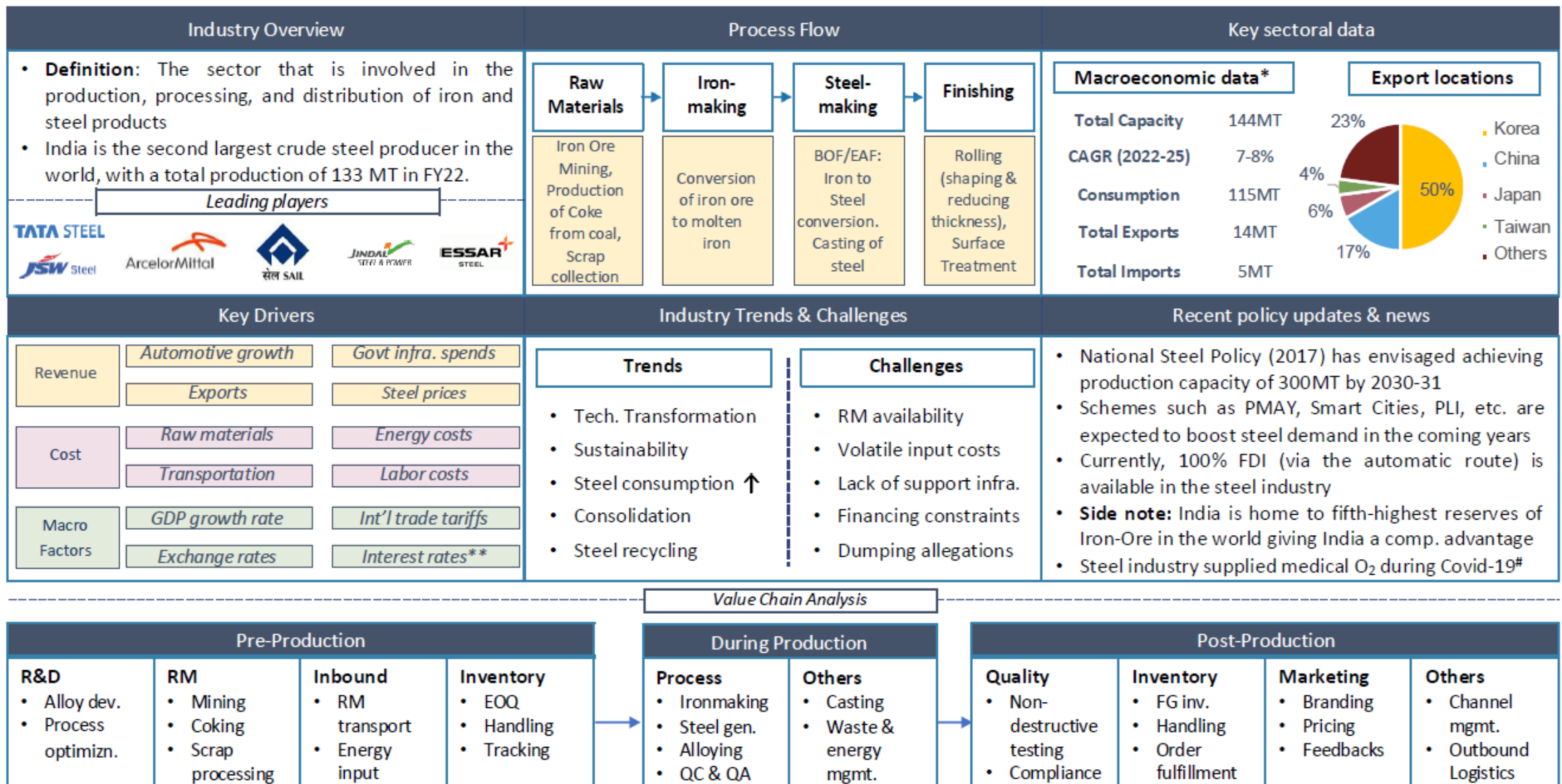
During Production

Process	Others
- Production - QC & QA - Packaging	- Utilities - Waste - Labelling

Post-Production

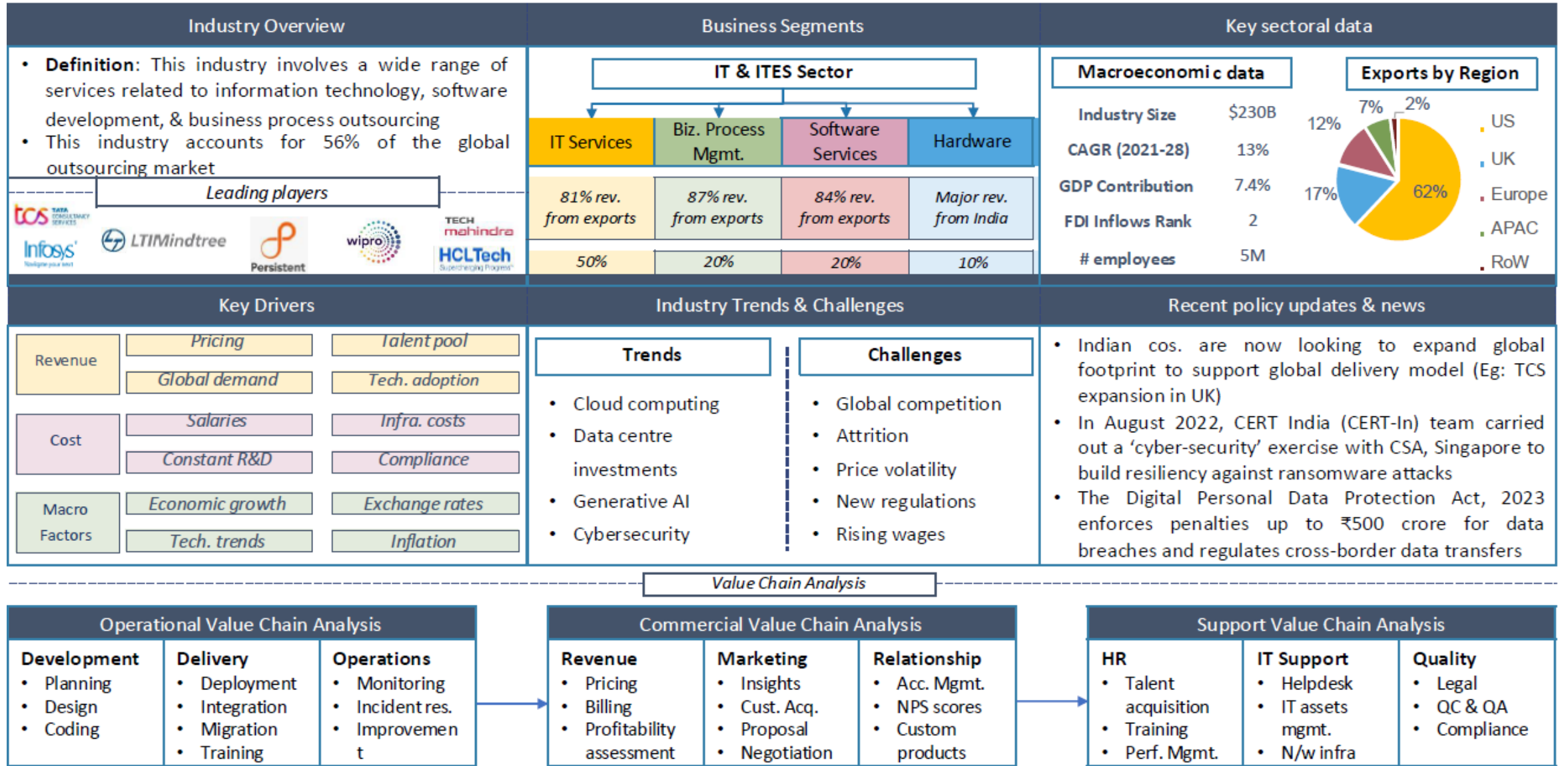
Outbound	Distribution	Marketing	Reverse Logi.
- Fulfilment - Tracking - Route	- Margins - Efficiency - Channel	- Branding - Pricing - Feedbacks	- Recalls - Returns - Recycling

IRON & STEEL INDUSTRY



Source: IBEF, Statista, Ministry of Steel, Gol; Note: *MT: Million Tonnes Note: *MT: Million Tonnes, **Interest rates are an important consideration for cement industry as they impact financing availability for construction projects. #: Steel mfr. were permitted to produce & sell industrial oxygen during Covid-19 pandemic. Curr. steel industry O₂ capacity = 1500MT per day. BOF/EAF: Google.

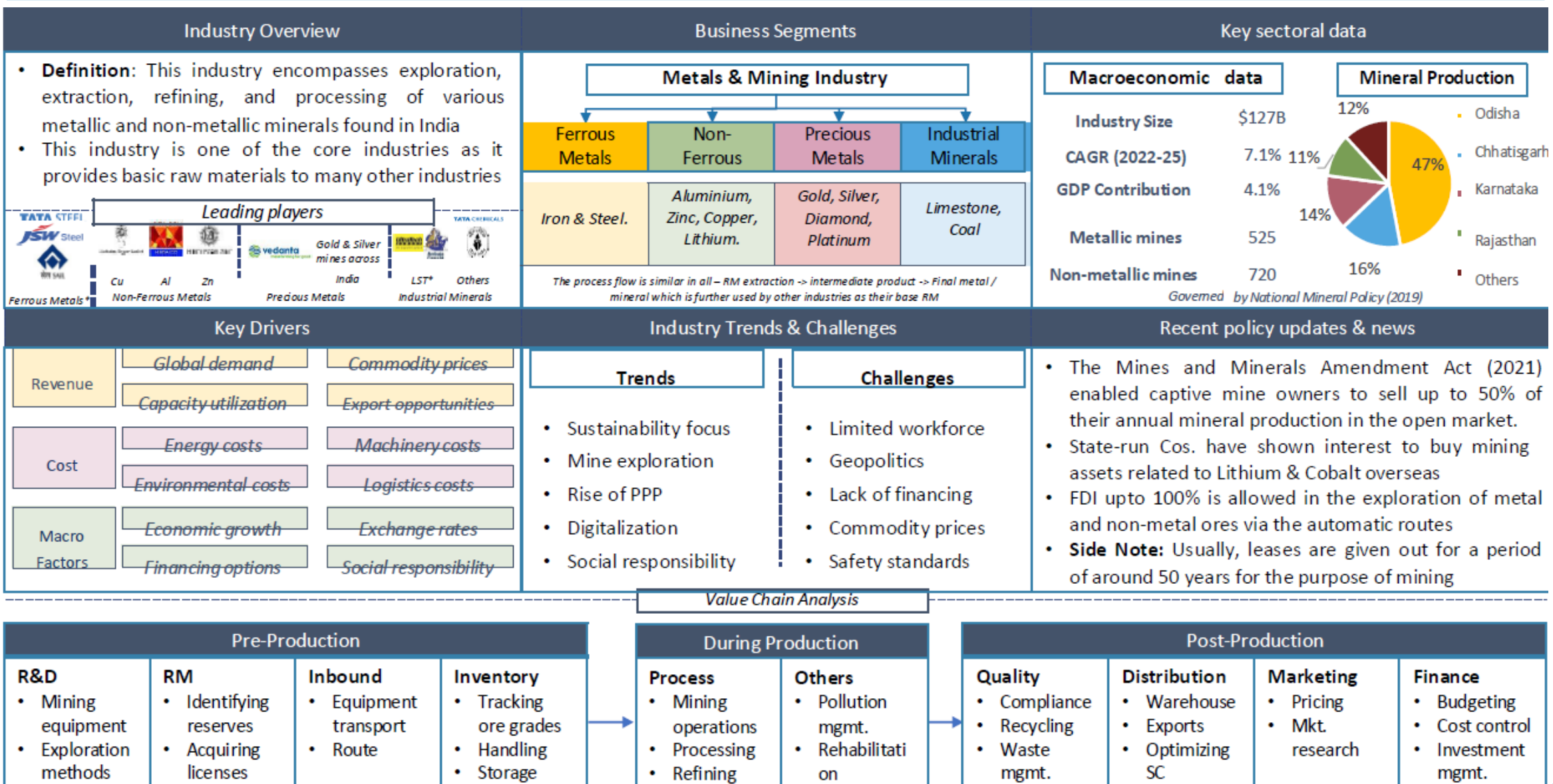
IT & ITES INDUSTRY



Source: IBEF, Statista, Times of India,

Note: FDI Inflows Rank is a rank which indicates that IT & ITES sector has witnessed 2nd highest FDI inflow in the country in the past few years.

METALS & MINING INDUSTRY



OIL & GAS INDUSTRY

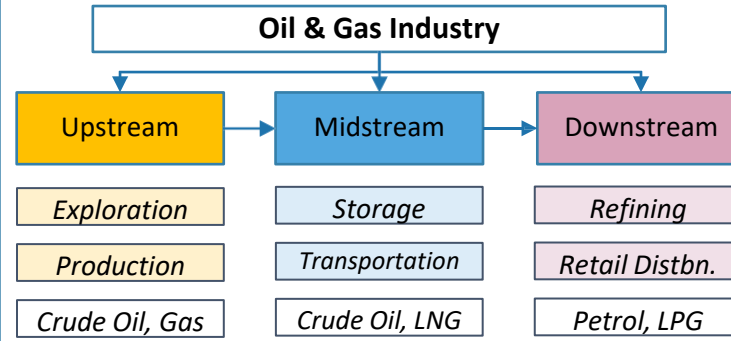
Industry Overview

- Definition:** This sector encompasses companies involved exploration, refining, transportation, & marketing of petroleum and natural gas products
- India is the third-largest consumer of energy in the world, as of 2022

Leading Players



Business Segments

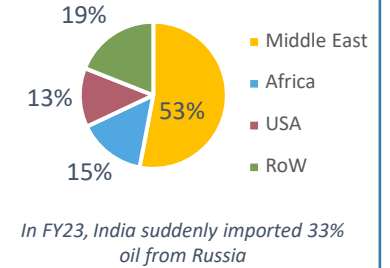


Key sectoral data

Macroeconomic data

#1 in Upstream	ONGC
#1 in Midstream	IOCL
#1 in Downstream	ONGC
Oil imports (% demand)	88%
Indian Oil Imports - \$120B	

Indian Oil Imports



Key Drivers

Revenue	Volumes & reserves	Oil and gas prices
	Refining margins	Petroleum demand
Cost	Oil acquisition costs	Exploration costs
	Refining costs	Distribution costs
Macro Factors	Geopolitics	Int'l crude oil prices
	Exchange rates	Energy trends

Industry Trends & Challenges

Trends

- Energy transition
- Biz. diversification
- Digitalization
- Infra. development
- Energy efficiency

Challenges

- Crude oil price volatility
- Env. regulations
- Financing constraints
- Energy security

Recent policy updates & news

- As per the Biofuel policy ('22), Govt plans to achieve 20% ethanol blending with petroleum by 2026
- Currently, 100% FDI (via the automatic route) for oil and gas PSUs is approved
- Only three states (Assam, Gujarat, and Rajasthan) account for more than 96% oil production in India
- India heavily relies on imported LNG. Globally, it is the fourth largest LNG importer
- India diversified crude oil sourcing from Guyana ('21)

Value Chain Analysis

Upstream

Exploration	Drilling	Field Dev.
- Geo. survey - Reserve estimation - Risk analysis	- Wells design - Drilling rigs - Reservoir management	- Feasibility studies - Infra design - Compliance

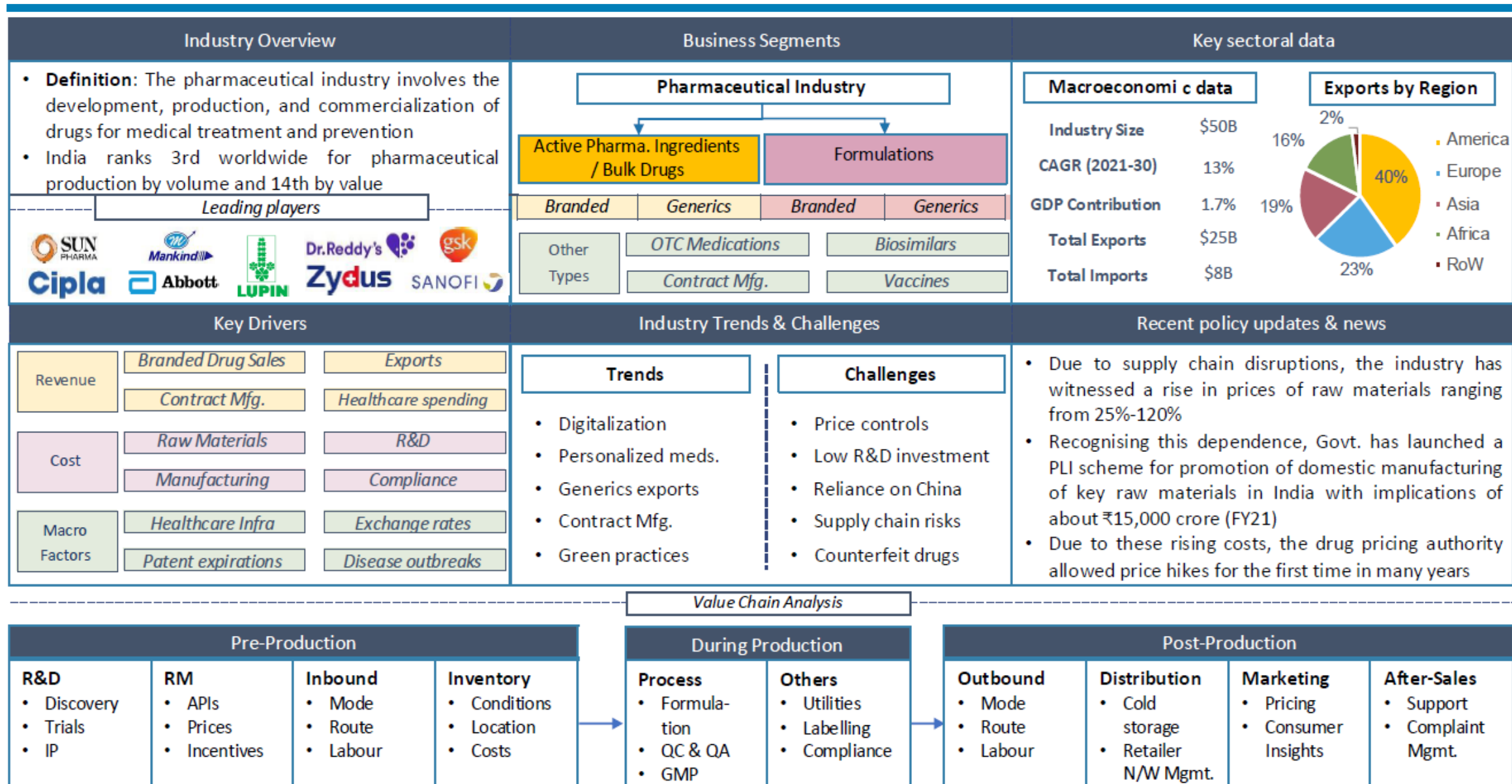
Midstream

Pipelines	Storage	LNG Ops.
- Design - Construction - Pumping - Monitoring	- Tank farms (Un) Loading - QC & QA - Safety	- Gas processing - Liquefaction - LNG storage

Downstream

Refining	Blending	Distribution
- Crude oil distillation - Petrochemical	- Refined products blending - QC	- Network mgmt. - Pricing - Branding

PHARMACEUTICAL INDUSTRY



Source: IBEF, CARE

Note: GMP: Good Manufacturing Practice Industry Standards; QC & QA refers to Quality Control & Quality Assurance

POWER INDUSTRY

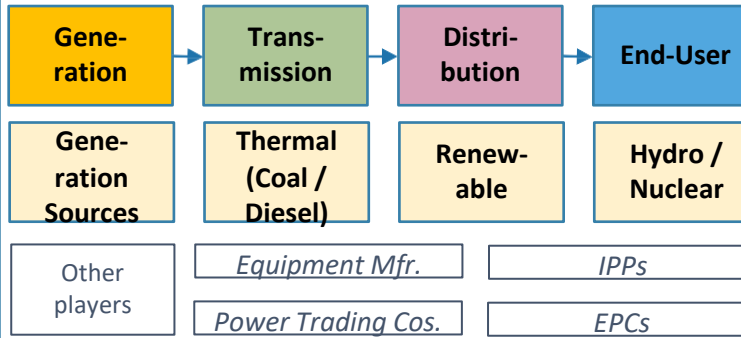
Industry Overview

- **Definition:** This sector encompasses companies involved in the generation, transmission, distribution, and consumption of electrical power
- India is the 3rd largest producer & consumer of electricity worldwide behind China & USA

Leading Players



Business Segments

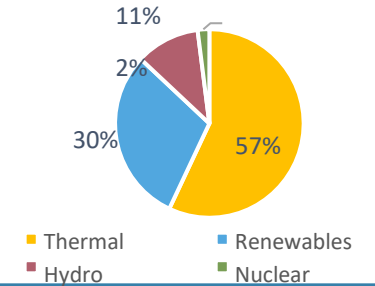


Key sectoral data

Macroeconomic data

Total Capacity	411GW
Peak Demand	205GW
Largest player	NTPC
NTPC Capacity	72GW

Power Sources



Power industry is governed by Electricity Act (2003)

Key Drivers

Revenue	Demand	PPAs
	Tariff / Price	Carbon Credits
Cost	Fuel Costs	Losses
	Transmission	Compliance
Macro Factors	Int'l prices	Financing options
	Weather / Climate	Govt. regulations

Industry Trends & Challenges

Trends	Challenges
• Renewable energy • Smart grids • Digitalization • Decentralized power generation	• Aging Infra. • Financial viability of Power DISCOMs • Energy theft • Input imports

Recent policy updates & news

- To meet India's 500 GW renewable energy target, GoI has identified 81 thermal plants to be replaced by renewable energy generation by 2026
- Currently, 100% FDI is available in the power industry
- GoI schemes such as UDAY, DDUGJY IPDS, etc. are pushing for increasing electrification in the country
- In 2021, the EXIM Bank of India extended \$100M line of credit to Sri Lankan government to ensure 70% renewable power generation in Sri Lanka by 2030

Value Chain Analysis

Power Generation

Fuel procuring	Power plant	Compliance
• Sourcing • Transport • Quality	• Steam Gen. • Turbine ops. • Control Sys. • Maintenance	• Pollution control • Waste management

Transmission & Distribution

Grid infra.	Grid mgmt.	Cust. service
• Substation • Transmission Lines • Transformer	• Load mgmt. • Voltage regulation • Grid stability	• Metering • Billing • Complaint resolution

Energy Market & Customer

Market ops.	Cust. analysis	Other services
• Trading • Mkt price forecasting • Settlement	• Tariff pricing • Consumption analysis	• Energy audits • Energy advisors

TELECOMMUNICATION INDUSTRY

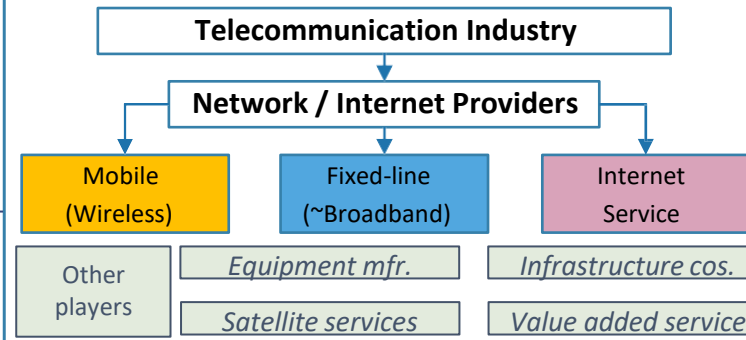
Industry Overview

- Definition:** This industry involves provision of various communication services, including voice, data, and multimedia transmission over long distances
- India's telecom sector is the second largest globally with regards to subscriber base & internet users also

Leading players



Business Segments

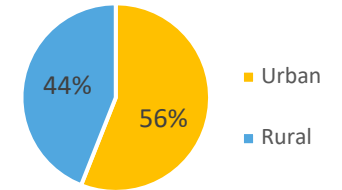


Key sectoral data

Macroeconomic data

Industry Size	\$37B
CAGR (2023-28)	9.40%
GDP Contribution	1.1%
Total Subscribers	1.1B
Internet Subs	830M

Indian Tele-density



Total Tele-density is at 85% of population

Key Drivers

Revenue	ARPU	Demand for data
	Value added service	Partnerships w/ OTT
Cost	Infra. maintenance	License fees
	Spectrum purchase	Energy costs
Macro Factors	Govt. policies	Economic growth
	Tech. advancement	Consumer behavior

Industry Trends & Challenges

Trends

- Bundled services
- OTT popularity
- Convergence with other sectors
- 5G race

Challenges

- Intense competition
- Debt burdens
- Data privacy laws
- Digital divide
- Network congestion

Recent policy updates & news

- FDI limit was increased to 100% from previous 49% via the automatic route in 2021
- PLI scheme worth \$1.6B for telecom & networking products was approved by the Union Cabinet
- As of August 2021, the DoT is working on a package to reduce the revenue sharing license fee to 6% of Adj. Gross Revenue from 8%
- Now, focus is on manufacturing equipment in India
- Other things to note:** BharatNet, USOF, RailTel, NDCP

Value Chain Analysis

Operational Value Chain Analysis

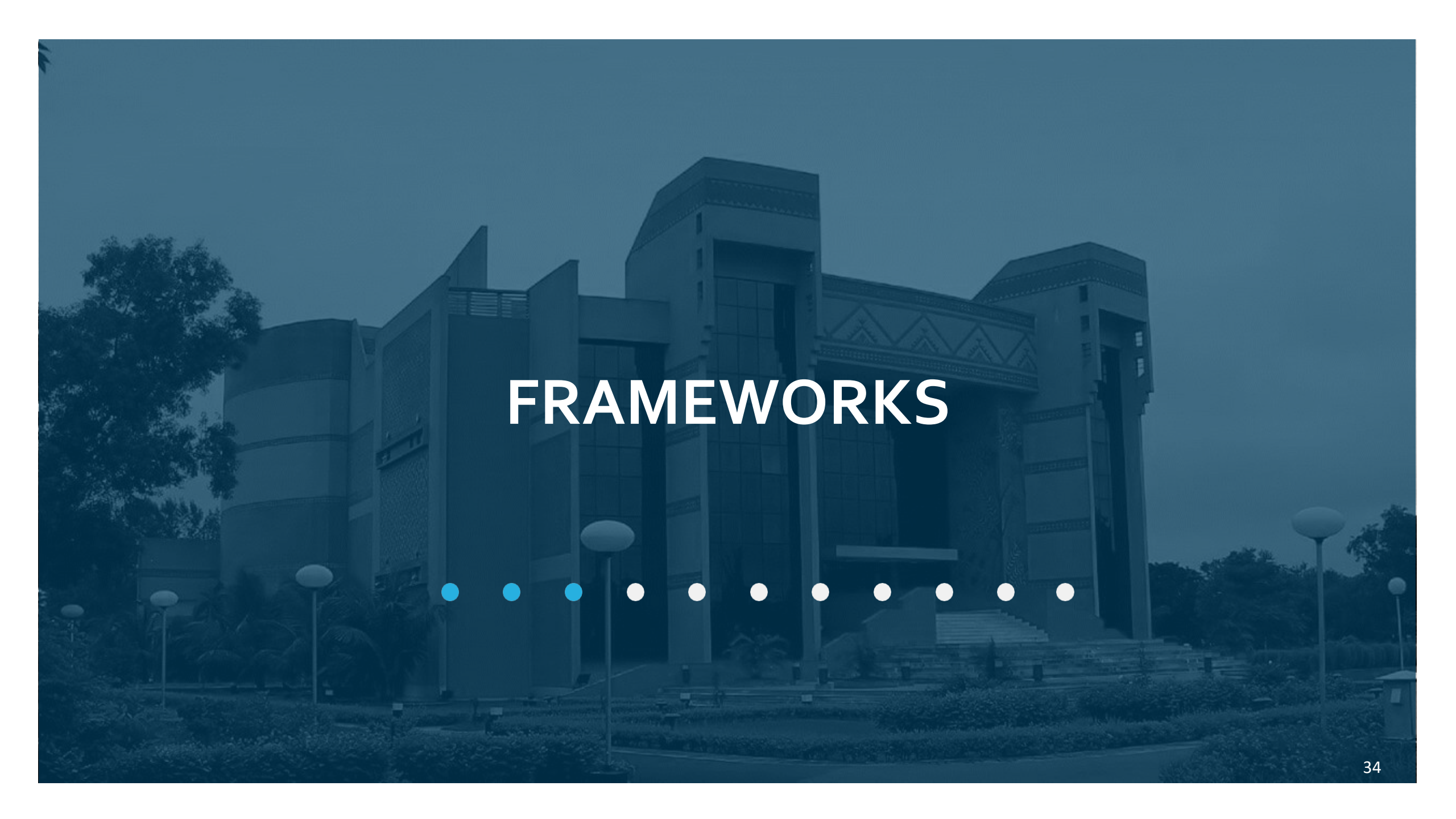
N/W planning	N/W maint.	Service
- Coverage - Infra. design - Spectrum mgmt.	- Monitoring - Trouble-shooting - Upgrades	- Activation - SLA mgmt. - QOS assurance

Commercial Value Chain Analysis

S&M	Customer	VAS
- Pricing - Mkt research - Promotions & advertising	- Acquisition - Account mgmt. - Loyalty pts.	- Partnerships - Content - Cross-selling - VAS pricing

Support Value Chain Analysis

Procurement	IT systems	Others
- N/W equipment - Spare parts	- Billing analytics - System Dev.	- Finance - Legal - HR - R&D



FRAMEWORKS

GENERAL FRAMEWORKS

BUSINESS SITUATION FRAMEWORK (3C'S OR 3C-P)

Used for understanding the firm's current position in the market and evaluating launch of new products, entry into a new market, growth etc.

Customers	Understanding market segments; consumer behavior; demographics; Used for identifying target customers
Competitors	Size of the market; Market share; Clients' performance vis-à-vis competition; Competitors' future aspirations
Company	Understanding the firms' goals and objectives; Strategy it in the short term and long term
Product	Nature of the firms' product/service vis-à-vis competitors; Customer requirements; Complements and substitutes

MARKETING MIX (4P'S AND 7P'S)

Used for identifying the differentiating factor between the firm and the industry and root cause analysis for any problem

Product	Various attributes of the product; Differentiating factors; Value Proposition
Place	Different distribution channels used by the firm (retail, wholesale, online etc.); Supply chain; Network optimization
Promotion	Marketing message of the client; Promotion channels; Recent Marketing Campaigns Run
Price	Price of client's product; Price Elasticity of the product; Willingness to Pay; Competitor Pricing
Physical Evidence	Sales of the product/Contacting Customers; Product Packaging; Online experience
People	Who are the people from the client's side delivering services? How trained are they?
Process	The systems and processes that deliver a product or a service to the customer; Quality Assurance; Value-Chain analysis

THE FOUR A's

Used for identifying the supply and demand constraints of a product/service

Awareness	Branding; Analyze whether sufficient people know about the product/service
Availability	Sufficient supply; Appropriate stock; Analyze availability across various distribution channels
Accessibility	Equitable distribution of product/service and accessible by all target consumers
Affordability	Appropriate pricing of products/services to ensure it is affordable by all target consumers

PORTER'S FIVE FORCES

Michael Porter's Five Forces is probably the most famous framework used in preparing for case interviews. It has endured as one of the frameworks most talked about by many in and out of the consulting field. Although the Five Forces is an excellent framework in helping you organize your thoughts, its analysis is not complete. It should be used in conjunction with other frameworks to enable you to fully understand the issues at hand.

Competitive advantage in an industry is dependent on five primary forces:

- The threat of new entrants
- The bargaining power of buyers
- The bargaining power of suppliers
- The threat of substitute products
- Rivalry with competitors

The degree of these threats determines the attractiveness of the market

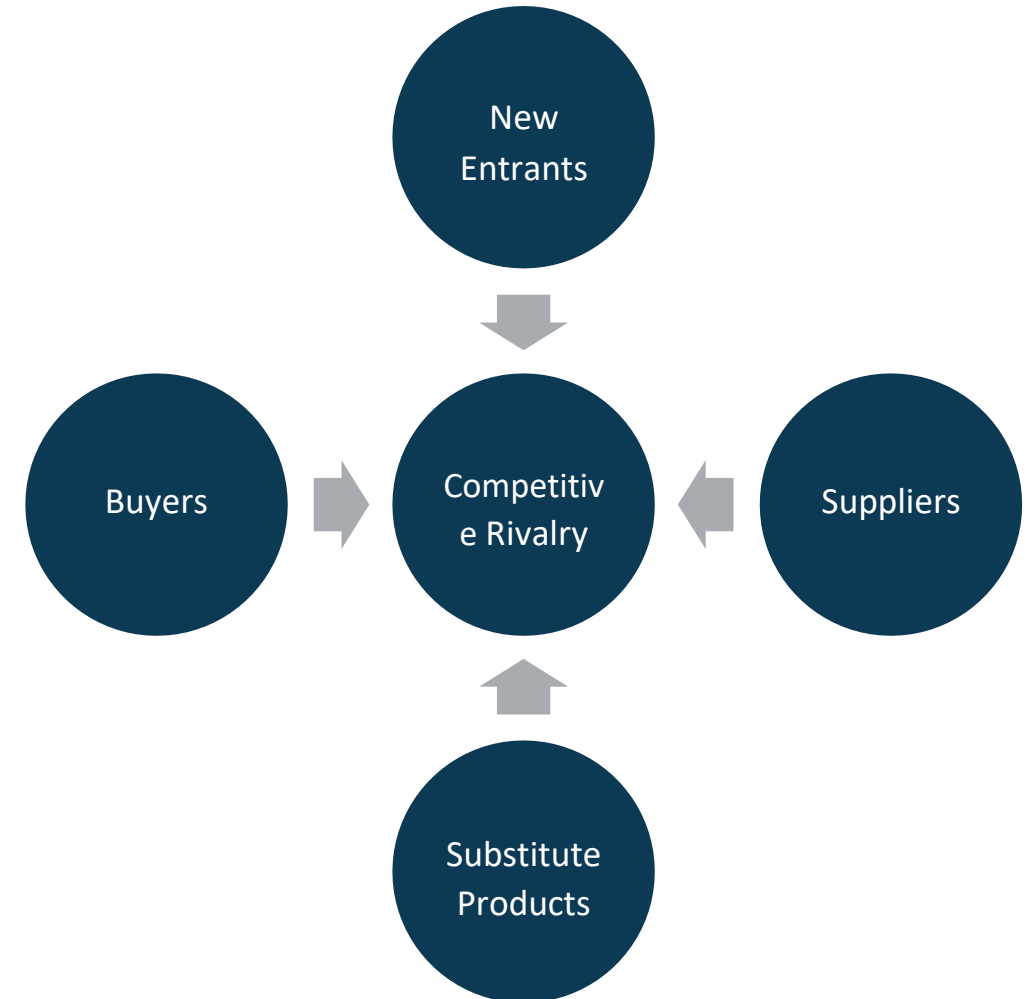
- Intense competition allows minimal profit margins
- Mild competition allows wider profit margins

The goal is to assess whether a company should enter/exit the industry or find a position in the industry where it can best defend itself against these forces or can influence them in its favour.



Note: Identification of buyers and suppliers is key. Here's an easy heuristic:

- The company pays money to a supplier
- The company gets money from a buyer



Barriers to Entry:

There are a number of factors that determine the degree of difficulty to enter an industry:

- Economies of Scale
- Product differentiation
- Capital requirements
- Access to distribution channels
- Cost advantages independent of scale
- Proprietary technologies
- Relationship with suppliers of raw materials
- Geographical presence
- Time compression diseconomies
- Government regulations

Relationship with Buyers:

A buyer group is powerful if:

- It is concentrated or purchase large volumes as a % of seller's sales
- Undifferentiated products
- Low switching costs
- Buyers pose a credible threat of backward integration
- The industry's product is unimportant to the quality of the buyer's products or services

Relationship with Suppliers:

A supplier group is powerful if:

- There are fewer substitutable products
- The industry is not an important customer of the supplier group
- The supplier group is an import input to the buyer's business
- The supplier's products are differentiated and have high associated switching costs
- The supplier group poses a credible threat of forward integration

Substitute Products:

Substitute products that deserve the most attention are those that:

- Compete in price with the industry's products
- Are produced by industries earning higher products

Rivalry:

Rivalry among existing competitors increases if:

- Numerous or equally balanced competitors exist
- Industry growth is slow
- Fixed costs are high
- Undifferentiated products and low switching costs

IMPORTANT MATRICES

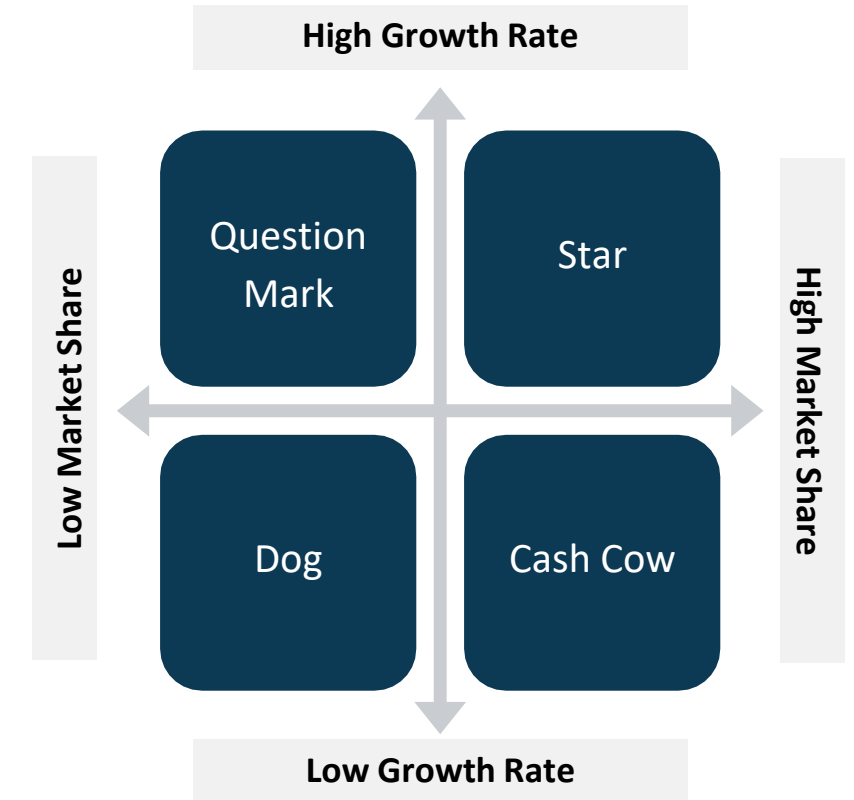
Matrices are an excellent way to illustrate a small number of potential scenarios or concepts. Some examples include:

- High Impact versus Low Impact
- High Market Share versus Low Market Share
- Broad Market Reach vs Limited Market Reach

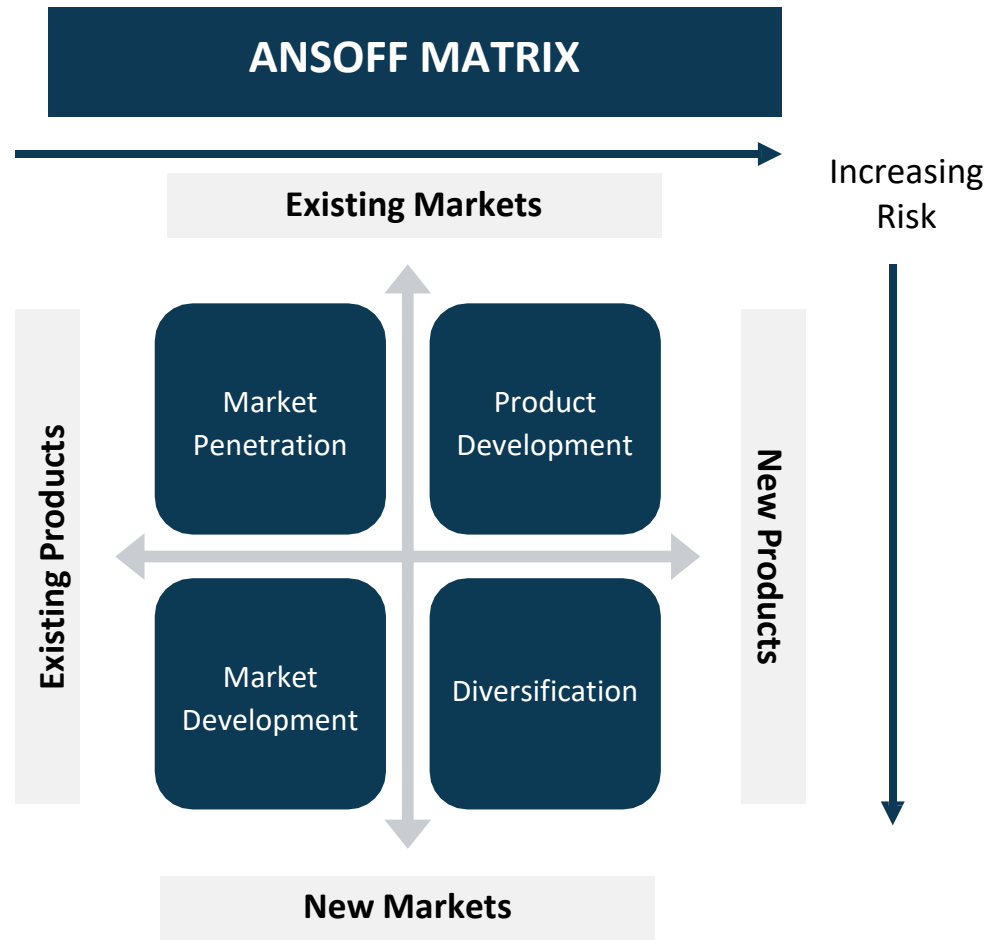
BCG – GROWTH SHARE MATRIX

The BCG Growth-Share Matrix is a portfolio planning model based on the observation that a company's business units can be classified into four categories based on combinations of market growth and market share relative to the largest competitor. Market growth serves as a proxy for industry attractiveness (cash usage) and relative market share as a proxy for competitive advantage (cash generation).

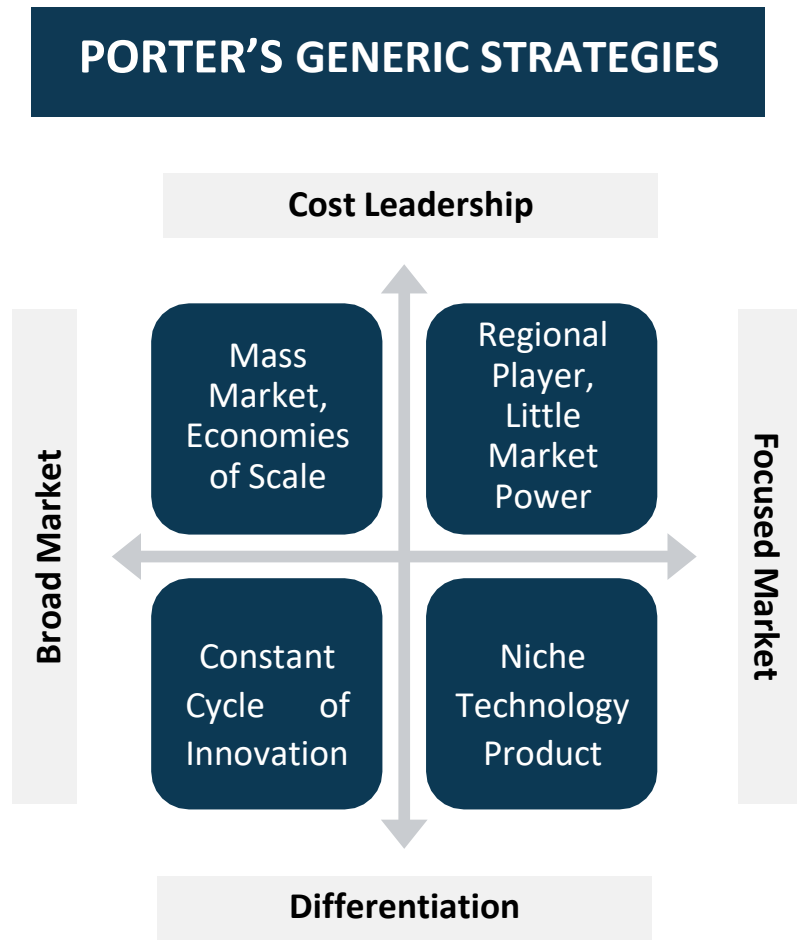
Dogs	Low Share, Low Growth. Companies should liquidate, divest, or reposition these “pets”
Question Marks	High Growth, Low Share. Companies should invest in or discard these “question marks,” depending on their chances of becoming stars
Stars	High Growth, High Share. Companies should significantly invest in these “stars” as they have high future potential
Cash Cows	Low Growth, High Share. Companies should <i>milk</i> these “cash cows” for cash to reinvest



IMPORTANT MATRICES



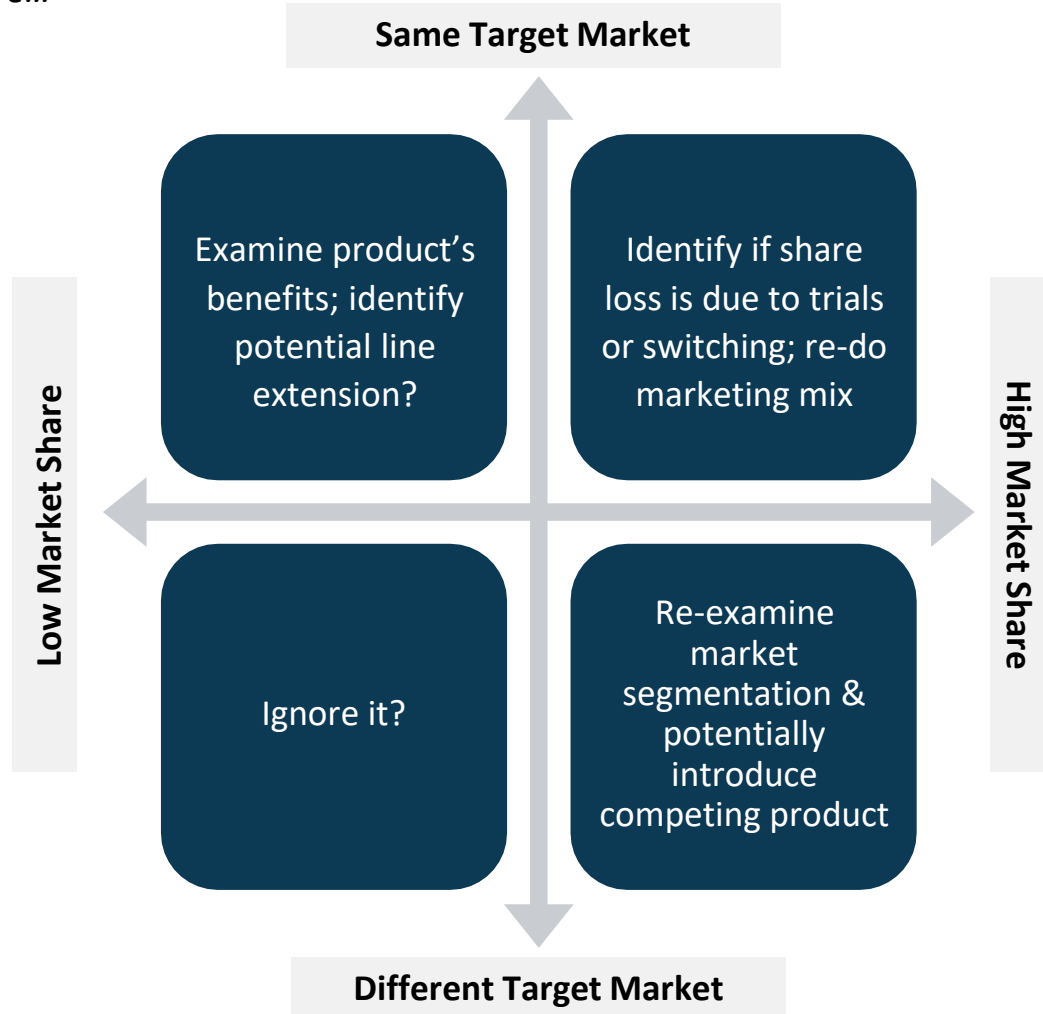
The Ansoff Matrix, also called the Product/Market Expansion Grid, is a tool used by firms to analyze and plan their strategies for growth. The matrix shows four strategies that can be used to help a firm grow and also analyzes the risk associated with each strategy. .



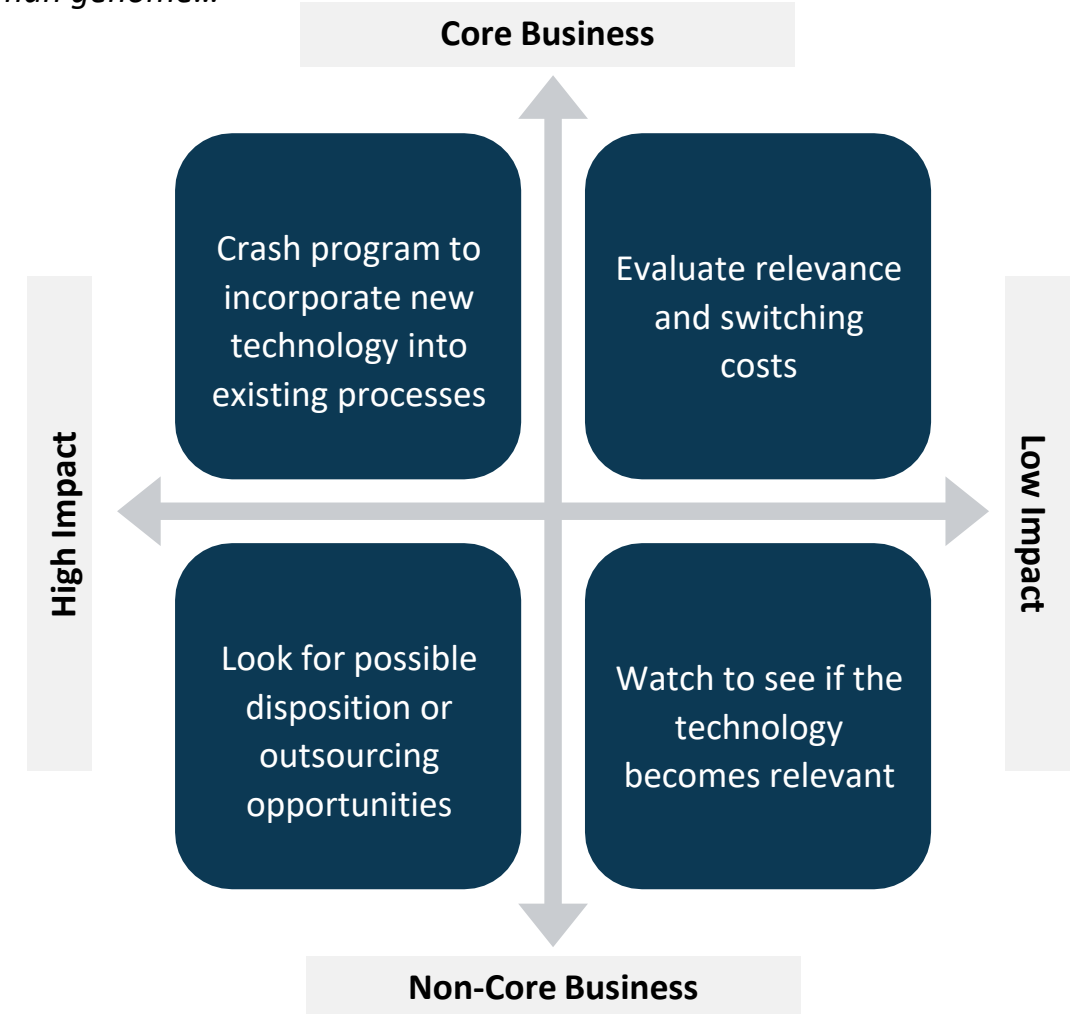
Porter's generic strategies describe how a company pursues competitive advantage across its chosen market scope. The generic strategy reflects the choices made regarding both the type of competitive advantage and the scope.

MATRICES – EXAMPLES

“You are a brand manager for P&G in the Health & Beauty Aids category, and a competitor just introduced a new toothpaste that is gaining market share...”



“You are the head of R&D for a large pharma company, and a new process has been created as a result of the work done to sequence the human genome...”



CASE THEMES

The following case themes are popularly tested in case interviews. Please note that this is not an exhaustive list of themes and a case interview can include a combination of multiple themes.



PROFITABILITY: Analyze potential reasons for decline in profits by studying sources of revenue and costs and identifying sustainable solutions to improve profitability



MARKET ENTRY: Analyze the client's opportunity to expand and quantify the viable market for launching new products and services or entry into a new geography



PRICING: Evaluate the product offering of the client and suggest appropriate pricing strategy through competitor, cost and value based pricing. Often combined with market entry cases



GROWTH: Identify opportunities for the client to optimally grow revenues or increase market share



MERGERS AND ACQUISITIONS + DUE DILIGENCE: Assess opportunities to acquire, merge, or divest by analyzing strategic fit, synergies, financials, and risks to recommend whether to proceed



UNCONVENTIONAL: These cases usually test the candidates' presence of mind and analytical skills. Structure is key to tackling such open-ended cases



PROFITABILITY

PRELIMINARY QUESTIONS

Step 1 Understand the Qs

Reiterate the problem statement, and ensure you understand it clearly – along with the objectives and timelines

Step 2 Clarifying Questions (3C P)

Company:

- Revenue streams
- Geography
- Value chain

Product:

- Type of products
- Product mix - B2B as well as B2C

Customer : Segmentation (B2B as well as B2C)

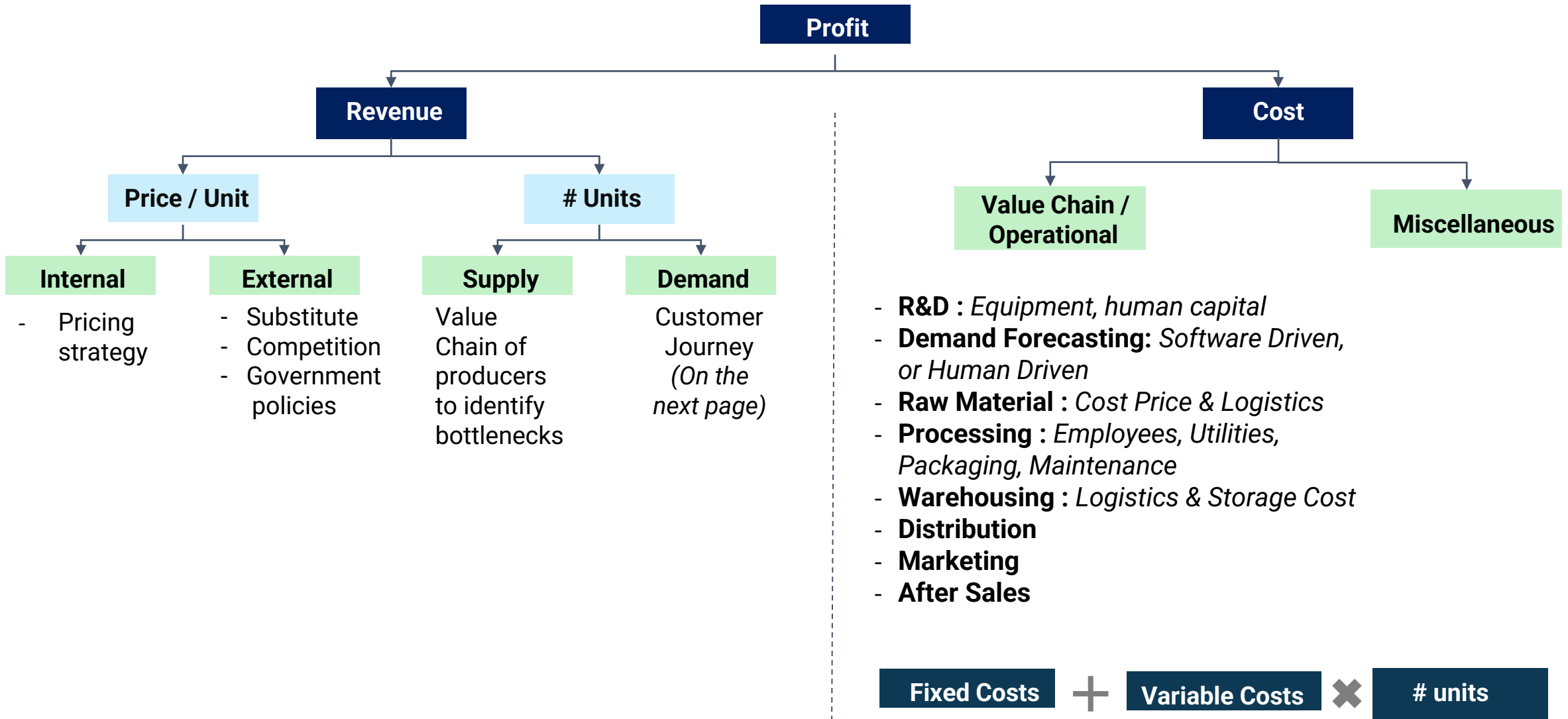
Competition :

- Type of competition (existing, upcoming)
- Market share
- Whether issue is industry wide or specific to us

Note: For each question which segments the company (Geography/Revenue Stream/Products), Also ask if the problem is specific to one of the segments or all. E.g. Is the drop in profits in any one particular Geography/Revenue Stream/Product or Is it homogeneous across all?

Step 3 Solve the Case

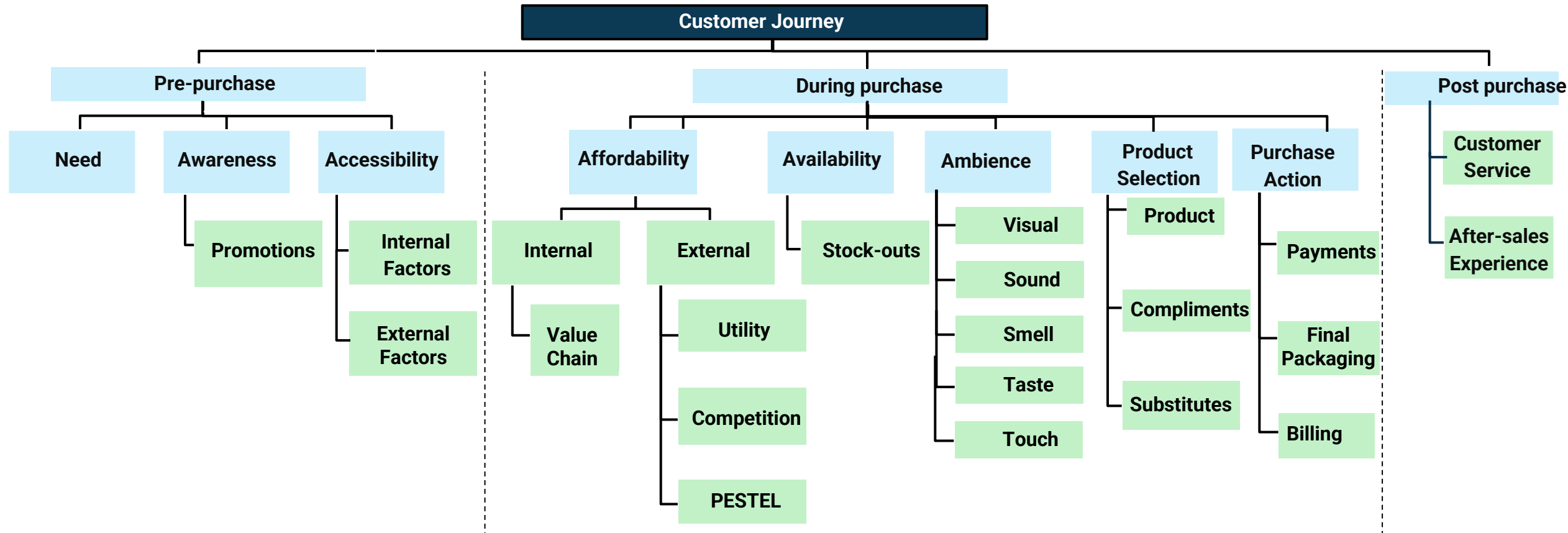
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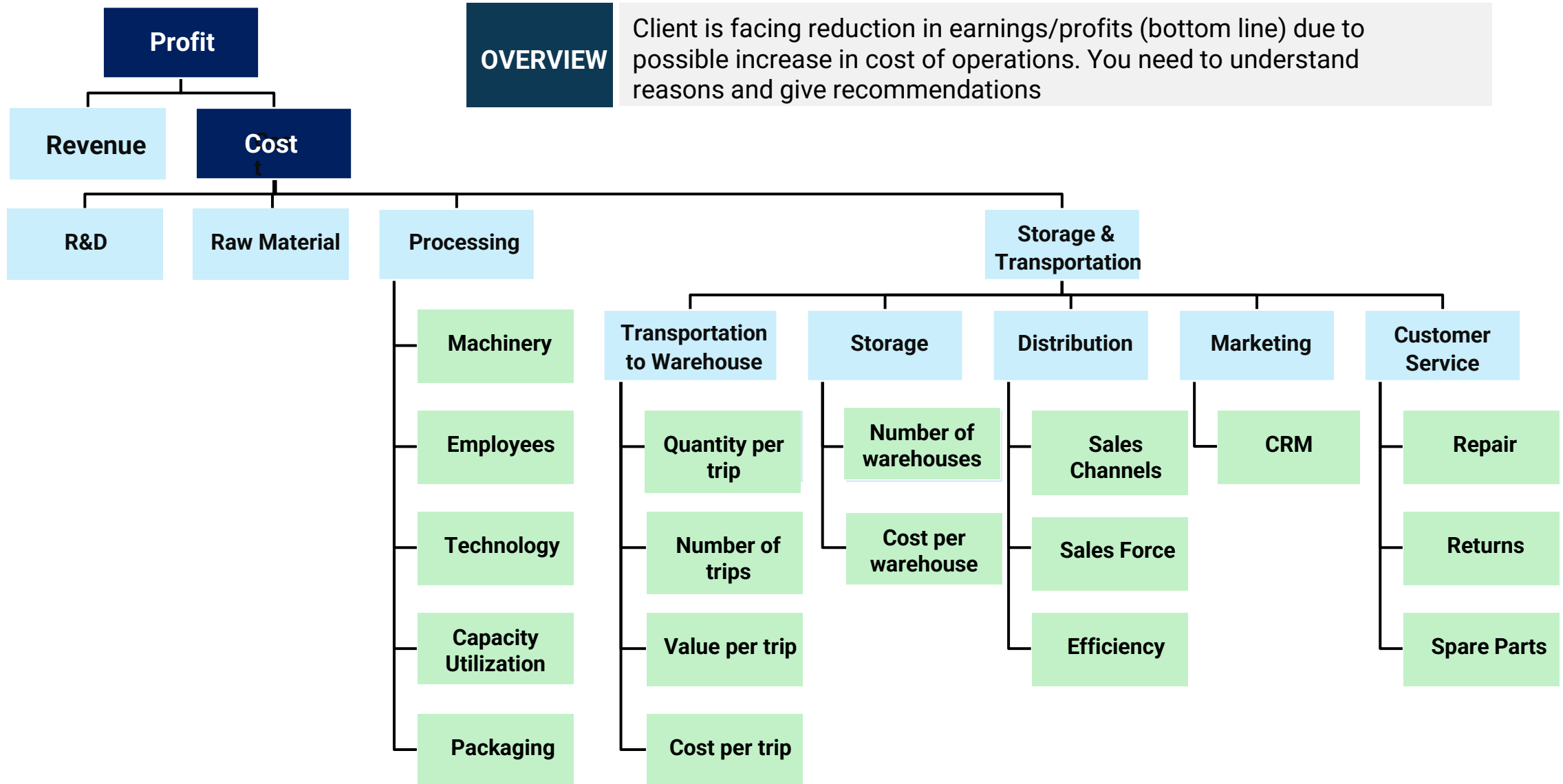
CUSTOMER JOURNEY

Customer journey can be applied to any situation (i.e. all types of cases) and this can be used at any stage during analysis to make sure that all viable possibilities are considered if you get stuck. This is the most typical framework when analyzing issues at customer's end.

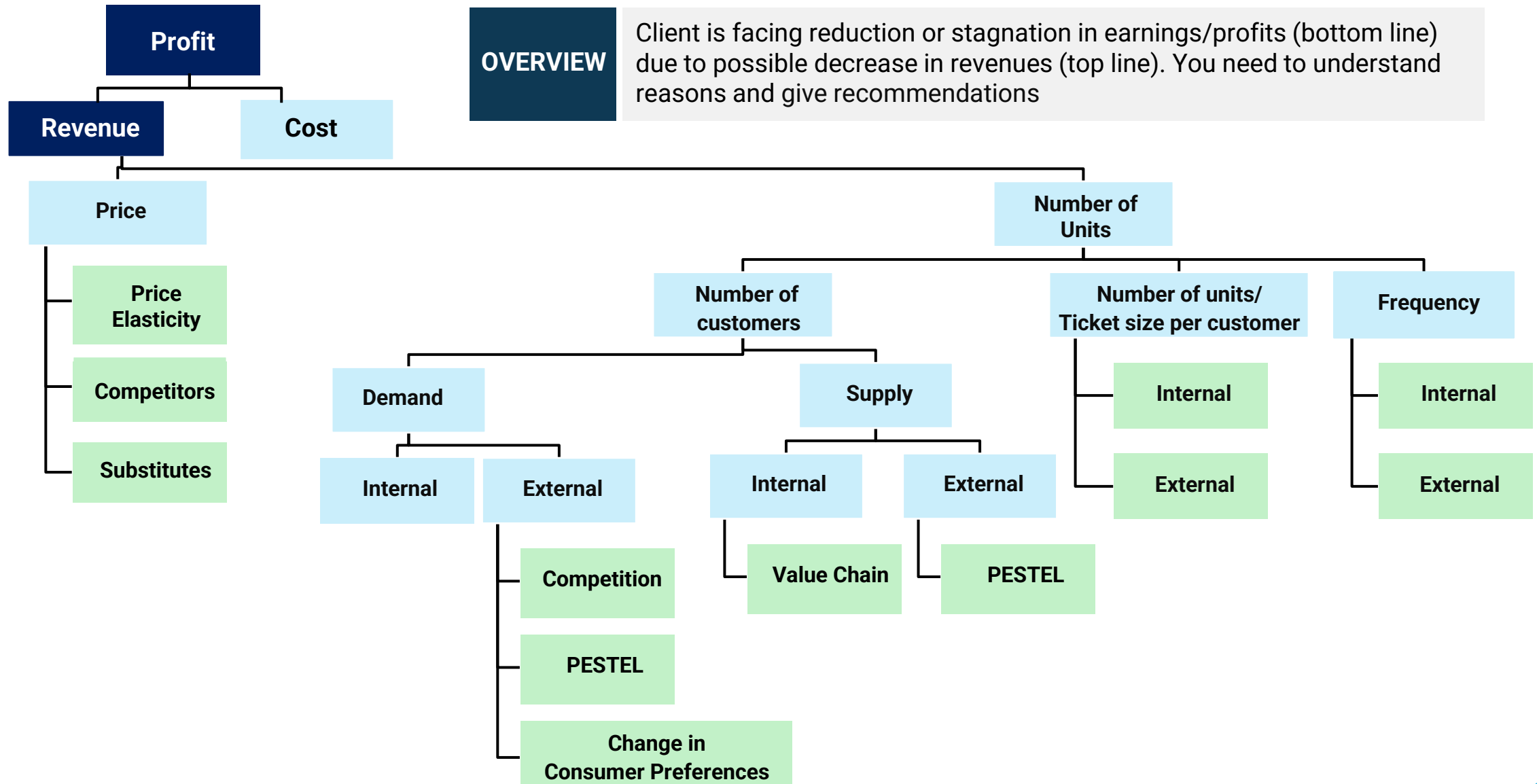
It refers to the path that customers take from the moment they realize they need something, and how many elements may affect that trip. This customer journey can also be categorized into – **Pre-Purchase, During Purchase & Post-Purchase Phases**



COST REDUCTION – VALUE CHAIN ANALYSIS



DECLINING REVENUES



DOUGH DILEMMA

A bakery shop is experiencing a decline in profits since the past 6 months. Figure out why.

CLARIFYING QUESTIONS

Understood. I wanted to ask some clarifying questions. Where is the bakery located?

They have only one branch in Delhi.

What are the channels through which they operate?

They have dine-in, takeaway and online sales.

Are there any other bakeries or similar food shops nearby? Are they also facing the same problem?

There are other bakeries nearby, but they are not facing a decline in profits.

DOUGH DILEMMA

A bakery shop is experiencing a decline in profits since the past 6 months. Figure out why.

SOLUTION

So, it's a company specific problem. I want to divide Profits into Revenue & Cost. Profits can decline due to:

1. Decline in revenue
2. Increase in cost
3. A mix of both

The bakery is facing both decline in revenue and increase in cost.

I'll start with Revenue. Is there a decline in revenue in both online sales and dine-in/takeaway?

The revenue decline problem is only in dine-in/takeaway segment.

Okay. Revenue can be divided into:

- Revenue per customer visit: This can be analyzed as:
 - Average Price
 - Number of items purchased per customer visit
- Number of customer visits: This can be analysed from:
 - Demand Side
 - Supply Side

It's a demand side issue; the number of customer visits has declined.

Since most bakery products are all-season, can I assume seasonality isn't an issue?

Sure.

I will start by analyzing the customer journey which is as follows:

Pre Purchase:

- Awareness about bakery
- Customer Interest
- Travel to bakery
- Parking of vehicle if needed
- Entry into bakery

During Purchase:

- Select items to buy (own or with help)
- Placing order
- Billing and payment
- Waiting for order
- Dining or packed for takeaway

DOUGH DILEMMA

A bakery shop is experiencing a decline in profits since the past 6 months. Figure out why.

SOLUTION

Post Purchase:

- Exit from bakery
- Customer satisfaction with food

We have problems with parking. There is a construction work going on in the parking lot, hence customers can't park their vehicles while visiting.

Got it. So, decline in customer visits and hence in revenue is due to the parking problems. I'll move on to cost now. Has cost increased for both online as well as dine-in/takeaway?

Cost has increased only for the online segment.

Okay. The major costs for online sales will be:

- Maintenance of own website/app (if any)
- Commissions paid to food delivery platforms
- Marketing/promotions on such platforms
- Personnel handling online orders and their training,
- Processing fees for online payments
- Packaging cost
- Delivery logistics (if provided by us).

The delivery cost has increased.

Delivery cost can be broken down into:

- Number of deliveries
- Cost per delivery is dependent on
 - Vehicle used
 - Vehicle utilisation
 - Fuel cost
 - Distance travelled
 - Mileage

Right. Due to the construction work, we have to take longer route to deliver. This has led to higher distance travelled and ineffective utilisation of vehicle leading to higher delivery costs. We can close the case here.

Okay, thank you!

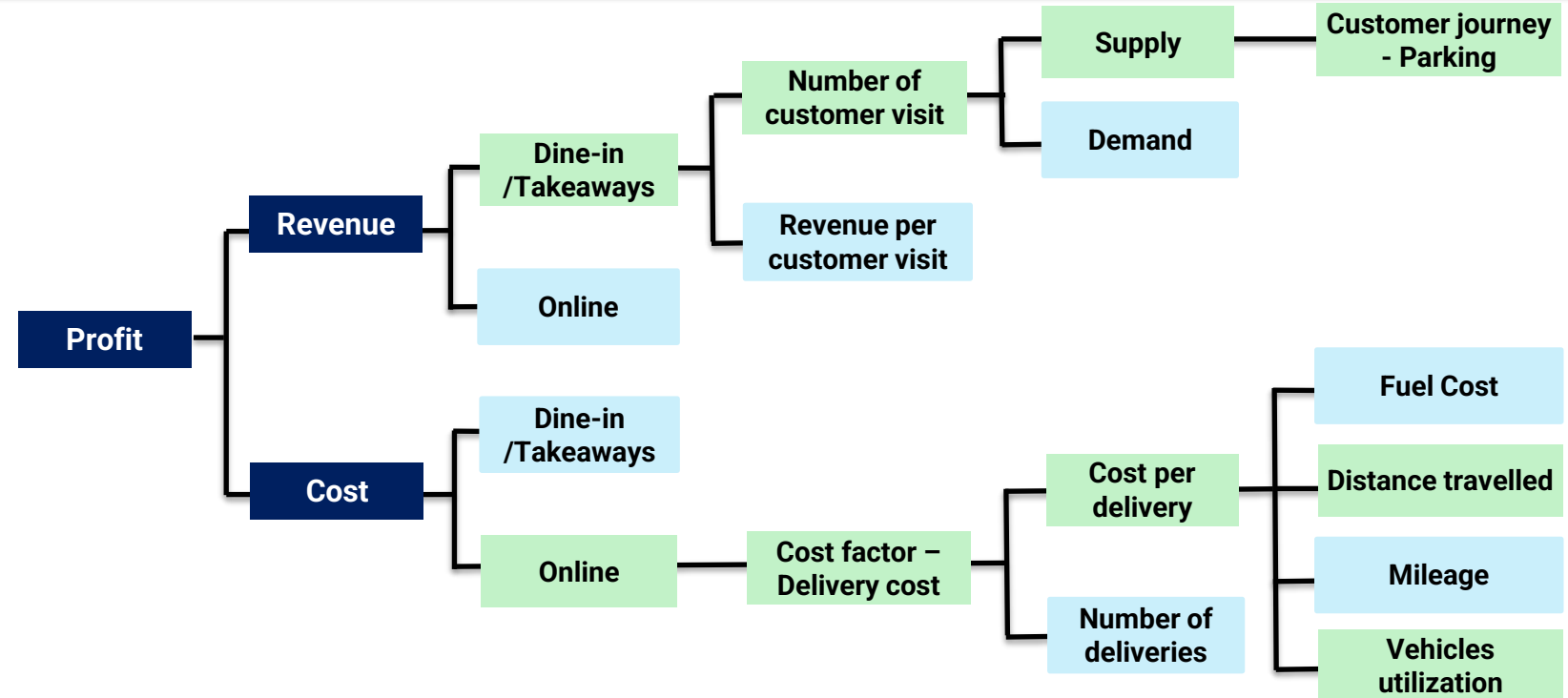
DOUGH DILEMMA

A bakery shop is experiencing a decline in profits since the past 6 months. Figure out why.

KEY LEARNINGS

- A detailed journey analysis is a highly effective tool for identifying specific operational bottlenecks like parking or delivery logistics.
- Even a single external factor (construction) can create separate problems on both the revenue and cost sides of the business.
- This case is a classic reminder that a business's performance can be impacted by external variables beyond its immediate control.

APPROACH



BROWNIE POINTS

- Ask for metrics to measure the decline and timeline for decline
- Analyse if the decline is uniform across all customers. Are loyal regulars still finding ways to visit, while new or occasional customers are being deterred?

GALLERY GAINS GAP

Your client is a museum in a city in France. Their profits have decreased, find the cause and provide solutions.

CLARIFYING QUESTIONS

Understood. I wanted to ask some clarifying questions. What kind of museum is it?

It is an art museum, and the only museum in the city.

Okay. How long have they been facing this issue?

They have been facing this issue for the past 1 year.

Lastly, what is the magnitude of the decrease?

Profits have declined by 15%

GALLERY GAINS GAP

Your client is a museum in a city in France. Their profits have decreased, find the cause and provide solutions.

SOLUTION

Alright. I would like to start the analysis now. Profits is basically Revenue - Costs. A decline in profits can be due to a decline in revenues, an increase in costs or a combination of both. Do we know what is happening?

The costs have remained the same. We have seen a decline in revenue.

Sure. The major revenue sources for a museum would be sale of:

- Tickets
- Auctions
- Donations
- Sales from any shops in the museum.

Is that correct?

We don't conduct auctions or receive donations. Our major revenue streams are ticketing (80%) and sales from an in-house restaurant (20%).

Okay, since the most significant driver of both the revenue streams is the number of people visiting, I would like to analyse ticket sales first.

Sure, go ahead. Just a heads up, the museum is visited by tourists majorly

Okay, The ticket sales would depend on:

- The number of people visiting the museum
- The average ticket price.

Have we changed the ticket price?

No, the number of people visiting the museum has declined.

The number of people visiting would depend on:

- The number of tourists visiting the city
- The preference of tourists for the museum

The number of tourists in the city have actually increased.

Interesting. This means that the preference for visiting the museum has decreased. I would like to divide it further into:

- Internal Issues
- External issues

There are no issues with the museum. It is an external issue.

GALLERY GAINS GAP

Your client is a museum in a city in France. Their profits have decreased, find the cause and provide solutions.

SOLUTION

Okay. Since it is an external issue, I would like to analyze the journey of a tourist in the city:

- They would arrive in the city
- Get an accommodation
- Research on the places they want to visit or hire a guide/tour planner
- Actually travel to and visit the places.

Let's focus on the part where they decide the places to visit or go to tour guides. We have a partnership with guides – they bring visitors to us.

Visitors research places to visit online these days:

- Are they able to easily find information about us online?
- For the tour guides, have we reduced their incentives
- Is some other tourist attraction paying additional incentives?

Correct, Disneyland has opened in the city last year, and guides are diverting all tourists there. They are also running ads online to attract more visitors.

Alright. I would give a few recommendations to potentially increase our revenues:

- 1) We can increase the incentives paid to the guides or give bulk discounts for tickets,
- 2) We can organize special talks with artists or events that attract the target audience basis a financial feasibility check

Sure. Let's close the case.

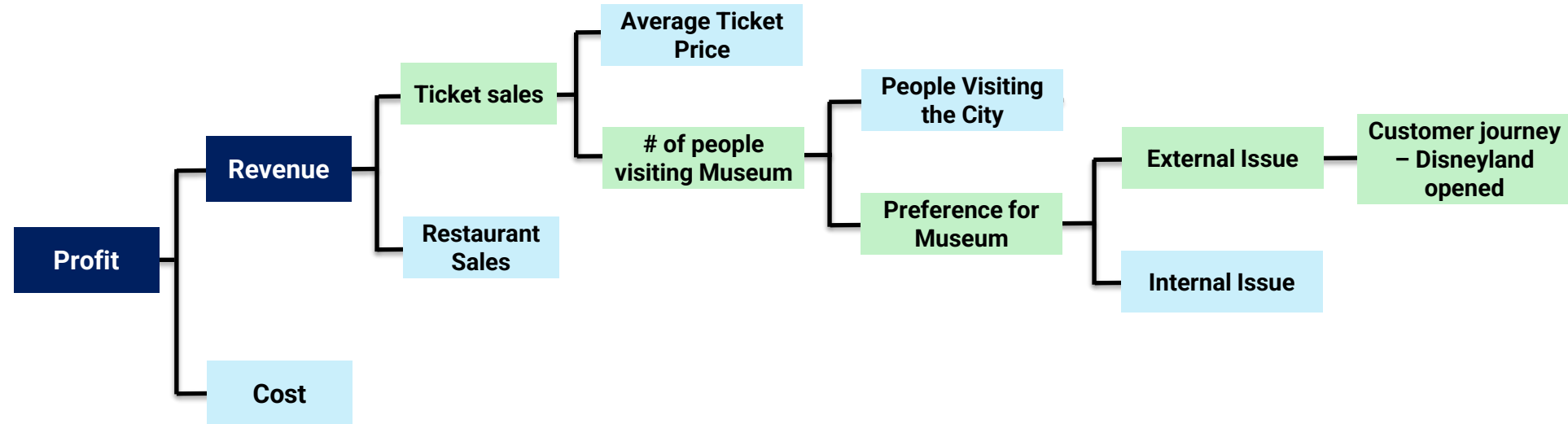
GALLERY GAINS GAP

Your client is a museum in a city in France. Their profits have decreased, find the cause and provide solutions.

KEY LEARNINGS

- The logic of "City Tourists → Museum Preference → Museum Visitors" is a great way to structure thinking and pinpoint exactly where the drop-off is occurring.
- The key insight came from analysing a third party in the value chain (the tour guides). Always map out and consider the motivations of all stakeholders.
- This case shows that your competition is anyone fighting for the same pool of customer resources—in this case, a tourist's limited time and money.

APPROACH



BROWNIE POINTS

- Instead of treating "tourists" as a single group, probe if the museum is losing a specific demographic.
- Ask for the sales mix (e.g., guides, online, walk-ins) to see if other channels are also underperforming.

TABLE TURN TANGLE

Your client is a high-end restaurant in Khan Market, Delhi. Their profits have been declining for the past 2 months. Identify the root cause.

CLARIFYING QUESTIONS

I would like to start with a few preliminary questions. What kind of cuisines does it serve?

The restaurant serves Italian cuisines.

Okay. Is it dine-in only?

We offer dine-ins, takeaway & delivery orders.

Should I consider the COVID scenario?

Consider a pre-COVID scenario.

Are there any competitors in the locality? Have they faced similar decline?

We do have several competitors in the locality, however, none of them has faced a similar decline.

TABLE TURN TANGLE

Your client is a high-end restaurant in Khan Market, Delhi. Their profits have been declining for the past 2 months. Identify the root cause.

SOLUTION

Okay. I would like to start the analysis now. Profits is basically Revenue minus costs. A decline in profits can be due to a decline in revenues, increase in costs or a combination of both. Do we know what is happening?

It is a combination of both.

Sure. I would like to start with the revenue side if that's fine.

Go ahead.

Revenues would be a sum of the three kind of orders:

- Delivery
- Dine-in
- Takeaway.

Have we faced a decline in all three or a particular segment?

Only dine-in revenues have declined.

Alright. Dine-in orders would depend on:

- The number of tables in the restaurant
- Average occupancy
- Average order value.

A decline can be due to a decline in either or all of these. Do we know what's the case?

The average order value (AOV) has increased.

Oh. Interesting. A higher AOV implies that either we are serving larger groups or premium clients. Do we have any information on this?

Yes, we have started serving larger groups now. In fact, to accommodate larger groups, we have clubbed some of our smaller tables to make room for more people on the same table.

This would have decreased the number of tables for couples/smaller groups. Have we seen a decline in these customers?

TABLE TURN TANGLE

Your client is a high-end restaurant in Khan Market, Delhi. Their profits have been declining for the past 2 months. Identify the root cause.

SOLUTION

That's right. The number of couples/smaller groups has declined sharply.

I think we have arrived at the root-cause for the revenue decline

Yes, Let's analyse costs next.

Costs can be divided into the following:

Variable costs:

- Raw material costs
- Cooking costs
- Servicing costs
- Billing costs

Fixed costs:

- Rent
- Utilities
- Salaries

Do we have any information on what has increased?

The raw material costs have increased.

Despite a lower raw material consumption, our costs have increased. Have we changed the supplier? What is our arrangement with the supplier?

No, we haven't changed the supplier. Our supplier provides all raw material every morning. He offers additional discount for larger orders.

Alright. Since our orders would have become smaller due to falling demand, the discounts would have reduced. Hence higher costs. Is it the reason?

Right. We can close the case here.

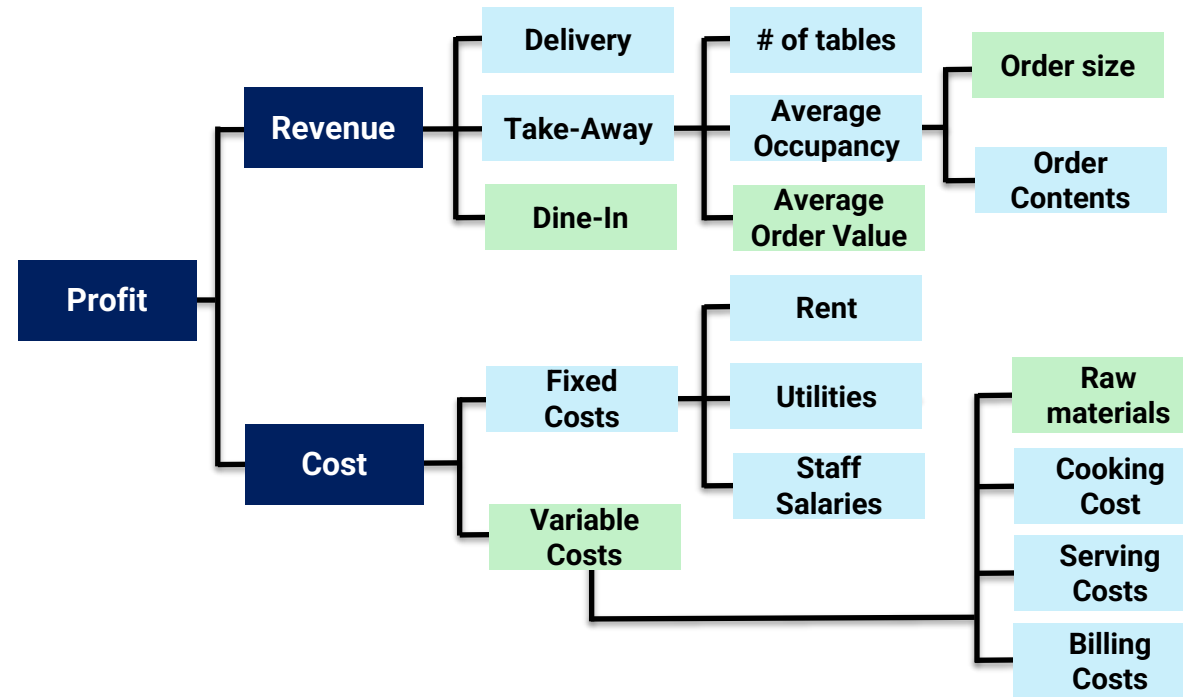
TABLE TURN TANGLE

Your client is a high-end restaurant in Khan Market, Delhi. Their profits have been declining for the past 2 months. Identify the root cause.

KEY LEARNINGS

- A single business decision (combining tables) can have unforeseen negative consequences in other areas (losing supplier discounts). Always think one step ahead.
- Optimizing the restaurant layout for one customer segment (large groups) directly harmed another (couples). Every strategic choice involves a trade-off.
- This case shows that the revenue problem and the cost problem were not independent; they were part of the same causal chain.

APPROACH



BROWNIE POINTS

- Proactively synthesize the findings by stating that the revenue-side decision (clubbing tables) directly caused the cost-side problem (losing volume discounts).
- Introduce a customer segmentation lens (e.g., couples vs. families) at the start of the revenue analysis to potentially find the root cause even faster.

POWER PLANT PUZZLE

Your client is a power plant based out of Chhattisgarh who has witnessed a decrease in profits in the past four months. Find out why.

CLARIFYING QUESTIONS

Okay, before I delve deeper in the case, I had a few preliminary questions.

What kind of a power plant exactly was it – say Thermal / Hydro / Renewable? Given the power industry has multiple players such as Generators / Transmission Cos. / Distribution Cos., in what part of the value chain does the client exactly operate?

The client is a thermal power plant. It works in the electricity generation which is then supplied to Transmission Cos.

Okay, last few question, is this an industry wide issue or an issue specific to the company? By how much quantum have the profits declined and how much of it can be attributed to revenue & costs given profit is a function of revenue & costs?

We don't have exact data on this but you can assume that it is an industry wide issue. As far as quantum of profits decline is concerned, most of it can be attributed to costs.

POWER PLANT PUZZLE

Your client is a power plant based out of Chhattisgarh who has witnessed a decrease in profits in the past four months. Find out why.

SOLUTION

Okay thank you, I believe I have all the contextual information now. Since, most of the profit decline can be attributed to increase in costs, I will look at the costs of the company by analyzing each part of its value chain

Okay. Please proceed

The value chain of a power generation plant will include:

- Raw material procurement
- Inbound logistics
- Power generation process
- Outbound logistics
- Distribution

So, first – is there a significant rise in RM costs?

Yes, there has been a significant increase in raw material costs.

Okay, total raw material costs is a function of:

- Total volume of RM required
- Price of RM for all the required raw materials

For a thermal power plant, coal is the most important raw material. So, should I focus on that first?

Yes, you are correct. You can analyse the volume aspect as the prices of coal have stayed constant or in fact even declined.

Okay then the increase in costs can possibly be attributed to increased requirement of coal. The causes of this can be looked at in two aspects:

1. Internal reasons which includes:
 - Improper handling of coal
 - Changes in the supplier
 - The type/quality of coal
2. External reasons which includes:

Correct, there seems to be some issue in the quality of coal.

Alright, this can again be looked upon in two aspects:

1. Internal aspects of coal mining done by supplier which affects quality
2. External reasons that are having an impact on the quality of coal

Absolutely, it is because of the external reasons.

POWER PLANT PUZZLE

Your client is a power plant based out of Chhattisgarh who has witnessed a decrease in profits in the past four months. Find out why.

SOLUTION

Given, you had mentioned that this seems to be an industry wide issue, the major external factor that can impact the quality of coal is the environment.

Correct, it is rainy season currently. Can you connect the dots now?

Alright, it seems that the moisture content in the coal has increased. This means more coal is required to produce the same amount of electricity. Hence, there has been an increase in costs. Is it correct?

Yes. We can close the case here.

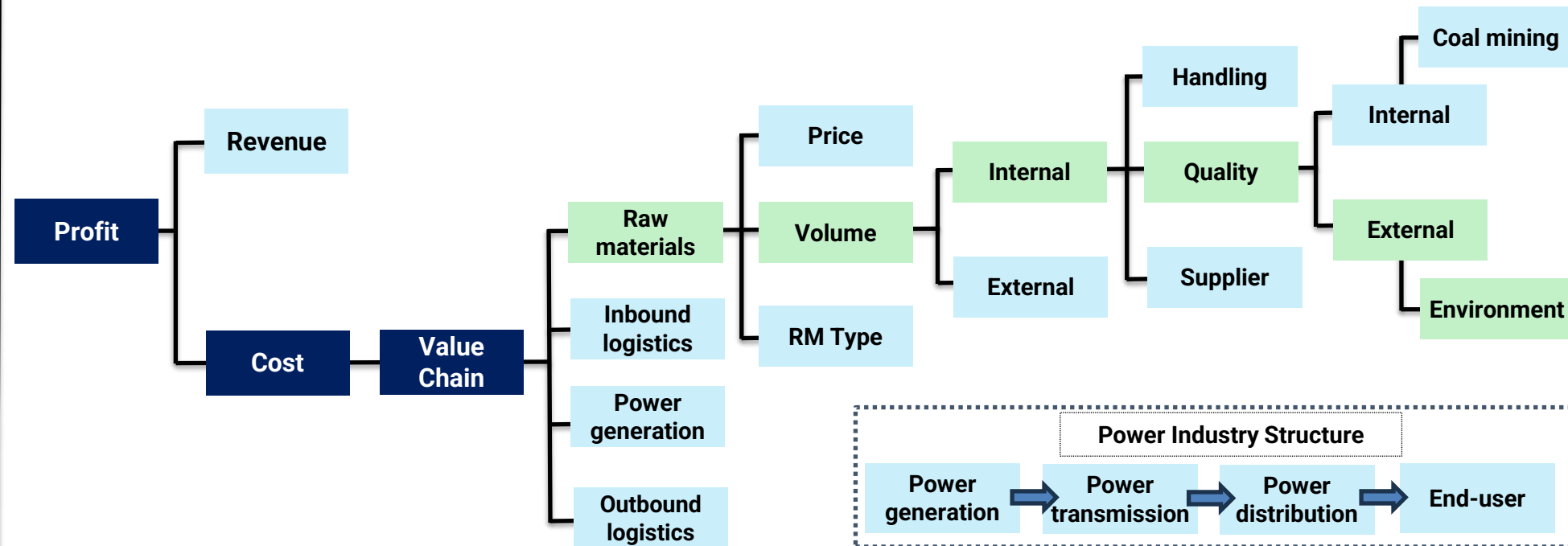
POWER PLANT PUZZLE

Your client is a power plant based out of Chhattisgarh who has witnessed a decrease in profits in the past four months. Find out why.

KEY LEARNINGS

- The key insight came from decomposing "raw material cost" into its components (price vs. volume/quality). Never assume a cost increase is a price increase.
- In this case the first internal/external split looks at company related issues whereas the second internal/external split looks at coal-specific issues.

APPROACH



BROWNIE POINTS

- Ask about the supplier contracts. Are there clauses related to coal quality or moisture content that could offer a commercial remedy or price adjustment?
- Briefly consider if using lower-quality, high-moisture coal has other downstream cost implications, such as increased equipment maintenance or lower overall plant efficiency.

MILL TO MARGIN

Your client is a paper manufacturing company. They have noticed a decline in profits recently. Diagnose and provide recommendations.

CLARIFYING QUESTIONS

Reiterates to confirm the problems statement. I would like to know a bit more about the company. Where does it operate? What are the main revenue streams? Is it B2B or B2C? What products does the client sell, along with percentage contribution to revenue?

Okay. So, the firm operates in India. It is a B2B firm that sells two products: Notebooks and Toilet Paper to wholesalers. Percentage contribution is not relevant.

Got it. What is the competition like, in the industry? What market share does the client command? How long has this decline been noticed and what's the magnitude?

Competition is not relevant. Profits have declined for the past 3 quarters. Magnitude is not known.

Lastly, what part of the value chain does the client operate in?

I would like you to tell me the value chain of the company first.

MILL TO MARGIN

Your client is a paper manufacturing company. They have noticed a decline in profits recently. Diagnose and provide recommendations.

SOLUTION

Sure. I'd like to divide decline in profits into decrease in revenue and increase in costs. We can further divide **revenue** into:

- Price
- No. of units sold
- Any changes in the product mix.

As for **cost** increase, we can have a look at the value chain:

- R&D
- Raw Material Procurement
- Production
- Storage & Transportation
- Distribution
- Marketing
- After sales service.

Does this sound comprehensive? Also, should I focus on revenue or cost?

Sounds good. Let's look at increase in costs. The client is present in the entire value chain that you mentioned. We have seen raw material costs go up.

We can look at either the price of raw materials itself or the cost of transporting them, hence, inbound logistics. What should I look at?

Let's focus on inbound logistics. How can you further divide it?

We can divide it by means of transport: road, sea, air, rail. How does the client transport their raw materials? And which mode has seen increase in costs? Do we have % contribution of these modes to total RM procurement costs?

Roadways and Sea. The increase has been noted for both. It's a 70-30 divide between road and sea. Let's look at roadways though.

The factors to be considered are:

- Cost of employee
- Price of fuel
- Vehicle rent
- Quantity transported.

Should I look at one of these or something else?

MILL TO MARGIN

Your client is a paper manufacturing company. They have noticed a decline in profits recently. Diagnose and provide recommendations.

SOLUTION

So, lately the quantity transported has decreased and we are receiving less raw material. Can you think of possible reasons?

The trucks used for transport might not be efficiently filled before transport. Or the number of trips itself could have decreased due to strike of drivers or change of routes.

So yeah, the client changed suppliers recently to get high quality material at a higher margin than before but due to this the routes have become longer, and fewer trips are made. Can you provide recommendations?

In the **short term**:

- Client should look for bulk discounts from suppliers.

In the **longer term**:

- The proportion of sea transport can be increased to see if it's better.
- Client can also focus on route optimization.

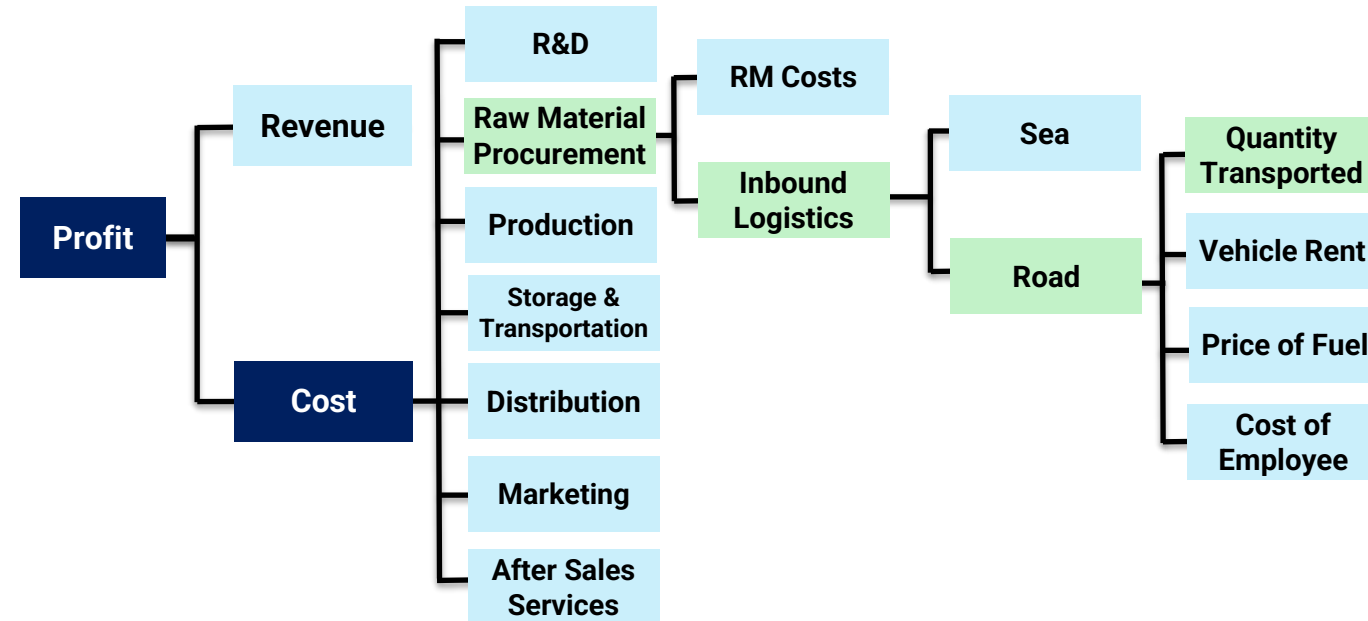
Sure. Let's close the case here.

MILL TO MARGIN

Your client is a paper manufacturing company. They have noticed a decline in profits recently. Diagnose and provide recommendations.

KEY LEARNINGS

APPROACH



BROWNIE POINTS

- After identifying the cause (new high-quality supplier), ask if this strategic shift has led to any revenue increase, or if the higher logistics cost has simply erased the profit margin.
- Probe the original business case for changing suppliers. Understanding the "why" leads to better recommendations.

HERBAL HEADWINDS

An Ayurvedic FMCG brand grew fast post-COVID but margins are shrinking due to volatile raw material costs, distribution expansion, and counterfeit products. Diagnose profitability drivers.

CLARIFYING QUESTIONS

Thank you. First, may I clarify: are margins declining at the gross margin level (raw materials) or at net margins levels (distribution, overheads)?

Both, but more pressure from raw materials and distribution costs.

Have customer preferences shifted post-COVID – for example, towards cheaper substitutes or alternative wellness products?

Yes, some urban customers are switching to cheaper herbal/home-grown substitutes, while premium consumers remain loyal.

How has the competitive landscape changed – are larger FMCG players entering the Ayurvedic space and squeezing margins?

Yes, big FMCG players have launched Ayurvedic sub-brands, offering aggressive pricing and higher distribution reach.

HERBAL HEADWINDS

An Ayurvedic FMCG brand grew fast post-COVID but margins are shrinking due to volatile raw material costs, distribution expansion, and counterfeit products. Diagnose profitability drivers.

SOLUTION

Got it. Starting with raw materials — are prices of key herbs and oils volatile because of seasonality or supply chain issues?

Yes, supply of some rare herbs is seasonal, and global demand also impacts prices.

Understood. Moving to distribution — the company is expanding into Tier-3 towns. Does this increase logistics cost and reduce efficiency?

Exactly, delivery costs are higher, and order sizes are smaller compared to Tier-1/2 cities.

Okay. Lastly, are counterfeit products impacting brand revenues or market share?

Yes, especially in rural markets. Customers often mistake counterfeit packaging for our brand.

That's a big issue. So, summarizing the problem:

- Raw material volatility raises input costs
 - Tier-3 expansion adds distribution/logistics costs
 - Counterfeit products reduce sales and damage brand.
- Is that fair?

Yes, correct

To solve this:

- 1) **Raw Materials:** Build long-term supplier contracts, diversify sourcing, and invest in backward integration (own farms/alliances)
 - 2) **Distribution:** Use hub-and-spoke logistics, partner with kirana stores, and push D2C channels (own app/website)
 - 3) **Counterfeits:** Introduce QR-code authentication, strengthen legal action, and run consumer awareness
- Would you like me to bucket these into short-term vs long-term actions?

HERBAL HEADWINDS

An Ayurvedic FMCG brand grew fast post-COVID but margins are shrinking due to volatile raw material costs, distribution expansion, and counterfeit products. Diagnose profitability drivers.

SOLUTION

Yes, please

Short-term:

- Focus on bulk procurement
- QR authentication
- Improving logistics efficiency

Long-term:

- Invest in backward integration
- D2C expansion,
- Brand trust campaigns

Perfect, that's helpful. Thanks

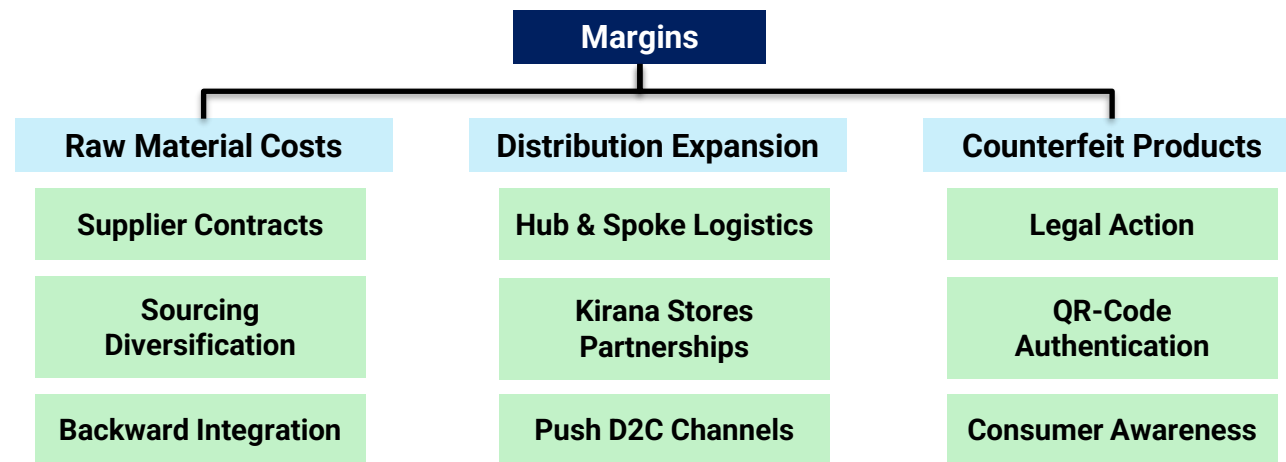
HERBAL HEADWINDS

An Ayurvedic FMCG brand grew fast post-COVID but margins are shrinking due to volatile raw material costs, distribution expansion, and counterfeit products. Diagnose profitability drivers.

KEY LEARNINGS

APPROACH

- Growth doesn't always translate into profitability when costs rise faster than sales.
- Distribution expansion adds fixed/logistics costs before revenues catch up.
- Counterfeit risk in FMCG is a brand + legal challenge.
- Profit levers: optimize sourcing, premium pricing, expand online/D2C, tighten anti-counterfeit measures
- FMCG profitability is about balancing volume, margins, and brand trust



BROWNIE POINTS

- Herbal/raw materials are exposed to seasonal volatility and supply chain risks- Distribution expansion to Tier-3 towns increases costs (last-mile logistics, smaller order sizes)-
- Counterfeit products erode brand trust and sales-
- Premium pricing potential via certifications (organic/ayurvedic) and direct-to-consumer (D2C) channels
- Highlight how scale in procurement and branding can improve margins

METRO PROFIT JAM



The Delhi Metro network is facing profitability issues. Figure out why and suggest recommendations.

CLARIFYING QUESTIONS

Thank you. Before I dive in, I'd like to ask a few clarifying questions. Since when has the station been facing this issue, and what's the magnitude of difference in profits?

Since the beginning and there is a considerable difference in profits.

As per my knowledge, Delhi Metro primarily earns revenue from metro operations. Is there any other major source of revenue?

Yes, they also provide consulting services to other metro projects globally. But this issue is only in metro operations.

Is this profitability issue across all stations or only specific ones?

This issue is being faced only at the Connaught Place (CP) Station.

METRO PROFIT JAM

The Delhi Metro network is facing profitability issues. Figure out why and suggest recommendations.

SOLUTION

Okay. Now, profits are a function of the revenues & costs. Do we know if the costs are higher as compared to other stations or there are less revenues?

The revenue is not as high as other stations. You can ignore costs for now.

Okay. I would break down the revenue streams into 3 broad categories:

1. Tickets
2. Advertisements
3. Outlets.

Should I consider consulting revenue also?

No, you can proceed with these three.

Is there an issue with one of these revenue streams as compared to other metro stations, or shall I look at all of them to find where the problem is?

The revenue from outlets is less as compared to other metro stations.

Got it. For outlets, revenue depends on:

- Number of units
- Occupancy rate
- Rent per unit

Is there any other factor I should consider?"

No, you can go ahead with these.

Are the number of outlet units the same as other metro stations?

Yes, all stations have the same number of outlet units

Coming to the outlet rent, is it uniform across stations ?

The rent is higher for stations with high traffic such as CP. However, the overall revenue of CP is lower among these similar stations

METRO PROFIT JAM

The Delhi Metro network is facing profitability issues. Figure out why and suggest recommendations.

SOLUTION

So this points to lower occupancy at CP despite high footfall. To break this down further, a franchisee would look at:-

- Branding/awareness of location
- Awareness of outlet tenders
- Administrative requirements for outlets
- Specific outlet locations within the station
- Other contract specifications (e.g., lock-in, deposit)

Are any of these the problem?

Yes, these factors are good. You can assume that there are no issues in awareness or expected revenue. Let's move to the other contract issues.

Sure. The various terms of a rent agreement include :

- Rent
- Security deposit amount
- Lock-in period.

Since the rent is the same, we should look at the other factors. Is the security deposit amount or lock-in period different which could be a higher risk for the shopkeeper?

Yes, that is correct. The lock-in period for outlets in other metro stations is 6 months while in CP it is 12 months, due to which they do not prefer to rent them. Can you suggest recommendations?

Sure. I'd recommend:

- 1) Understand why CP has a 12-month lock-in and align CP with other stations by reducing lock-in from 12 to 6 months, if possible.
- 2) Alternatively, explore differential pricing system wherein higher rent charged for shorter lock-ins (2–3 months) and discounted rent for 6–12 months.
- 3) Provide onboarding incentives for new tenants (e.g., rent-free trial period, lower deposits).

That's all. Thanks.

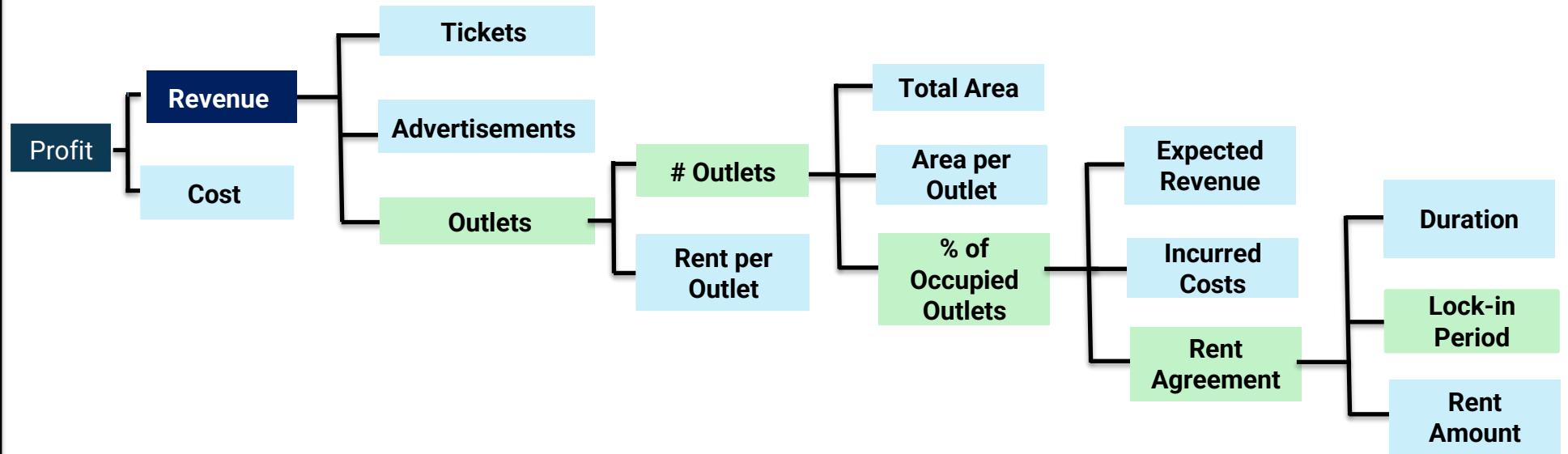
METRO PROFIT JAM

The Delhi Metro network is facing profitability issues. Figure out why and suggest recommendations.

KEY LEARNINGS

APPROACH

- Drill down revenues into buckets systematically (tickets, ads, outlets) to isolate the problem.
- Look beyond numbers, contract design & tenant incentives can explain why high-footfall locations underperform.



BROWNIE POINTS

- Number of outlets could also be divided into total area, area per outlet and % occupied
- Offering varied pricing options for different contract lengths can cater to diverse tenant needs and optimize space utilization.
- Suggest monetizing CP's heavy footfall via premium ad slots, kiosks, or short-term pop-up stores.

THE UNCOVERED RISK

Your client is a large insurance multinational who has been facing a decline in their profits since the last 2 years. Analyze.

CLARIFYING QUESTIONS

Understood. I wanted to ask some clarifying questions. Assuming, the large insurance multinational operates in a variety of insurance products, is there a specific domain where this effect has been observed?

Yes, the decline has primarily been in Home insurance.

Right. And how does the client make Home insurance sales?

It mainly operates through 2 channels - online through its app and offline through door-to-door sales as well as tie ups with banks during time of home loan purchase.

Got it. Any geography that has been affected or has this been happening pan-India?

No, this has been a pan-India phenomenon.

Also, is this an industry wide phenomenon or company specific?

This is happening only with our client.

THE UNCOVERED RISK

Your client is a large insurance multinational who has been facing a decline in their profits since the last 2 years. Analyze.

SOLUTION

So, I'll begin my analysis by breaking down profits into revenues and costs. Is there any information about any of them changing?

Costs have remained the same, but revenues have declined.

Okay, so this is a revenue issue. The major source of revenue for the client would be premiums. I'll split the total premiums as:

- Total no. of customers
- Average premiums collected per customer per installment
- Number of installments.

Has any of them changed?

We've witnessed the no of customers to have declined with time.

Right, so I'll further break it down as:

- No. of new customers
- No. of renewals with existing customers.

Is there any information about them?

No. of new customers which get added over time have seen a decline as opposed to historical numbers.

Understood, there seems to be an issue in the sales process of new customers. I'll trace the customer journey to zero-in on the exact cause. I would go through the journey of a customer, starting from the need till the post purchase experience. The process I will consider will include need, awareness, availability, accessibility, affordability, purchase experience, and post purchase experience

Let's look into the purchase experience.

Purchase experience can be analyzed by looking at:
(Using 3P framework)

- Salesperson (Person)
- Insurance buying process (Process)
- Insurance product (Product)

Let's look at the salesperson.

There can be a decline in:

- Number of salespeople
- Salesperson's performance

THE UNCOVERED RISK

Your client is a large insurance multinational who has been facing a decline in their profits since the last 2 years. Analyze.

SOLUTION

The performance of salespeople is not up to the mark.

Okay, Since the profits are declining over last two years, is the issue with:

- Older salespeople or,
- Salespeople hired over the last two years?

The issue is with the latter

The performance of salesperson depends on 2 factors:

- **Ability** is determined by the degree/ college as well as training undertaken.
- **Motivation** is driven by monetary and non-monetary factors.

The salespeople aren't capable enough and have been underperforming. We started hiring from previously untapped colleges recently and sales made by them have not been up to the mark. What are your recommendations?

Sure, I'll suggest:

In the **short term**,

- 1) Consider hiring majority of salespeople from our previous hiring colleges only
- 2) Assign experienced and successful salespeople as mentors to the under performing individuals. This can provide personalized guidance, share practical insights, and boost their confidence

In the **long term**,

- 1) Craft detailed training program for all new hires
- 2) To increase motivation, they can provide monetary and non-monetary incentives

Sure. Let's wrap it.

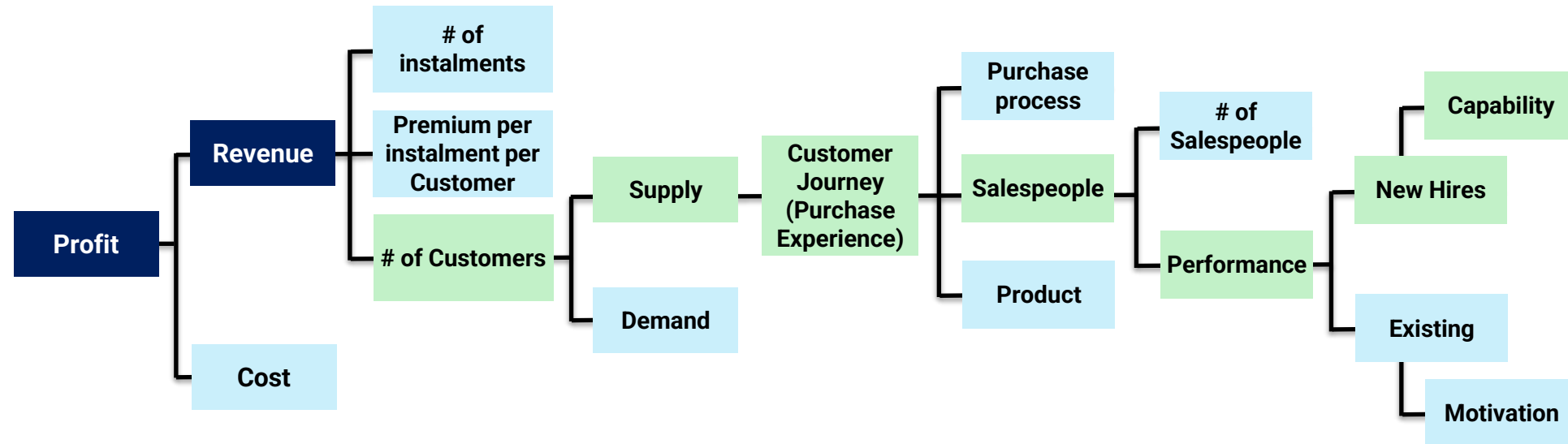
THE UNCOVERED RISK

Your client is a large insurance multinational who has been facing a decline in their profits since the last 2 years. Analyze.

KEY LEARNINGS

- Recognize that many business challenges are rooted in human elements like employee performance and motivation.
- Propose both immediate actions for damage control and a sustainable strategy for future growth.

APPROACH



BROWNIE POINTS

- Use metrics to validate the root cause and measure the performance difference between new and old hires.
- Challenge assumption that new hires lack capability; real issue could be poor training, onboarding, or incentives.
- Structure recommendations across the employee lifecycle (hiring, training, managing) for a more strategic fix.
- Ask if the decline is uniform across all channels (app vs. direct sales) to precisely locate the problem.

HOSPITAL MARGIN MAZE

Your client is a hospital chain located in suburban Mumbai which is experiencing decline in profits since last 6-8 months. Figure out why.

CLARIFYING QUESTIONS

Okay. I would like to ask few clarifying questions to understand the problem statement in detail. How many hospitals are there in this chain and are all of them facing a decline in profits?

There are 3 hospitals in the chain & the problem is specific to just 1 hospital

What kind of hospital is this – a general hospital or a specialty hospital catering to any specific disease? In terms of the ownership, is it a government or a private hospital? Also is there any specific customer segment we cater to?

It's a general hospital owned by a private player. The hospital majorly caters to the people living in nearby areas across all income segments.

Since, it's a general hospital I presume the client would be facing competition from the nearby hospitals. Do we know the number of competitors, trend in market share and whether it's a client specific issue?

There are two more hospitals in the nearby location. Client has been losing market share in the said period to them so it's a client specific issue.

HOSPITAL MARGIN MAZE

Your client is a hospital chain located in suburban Mumbai which is experiencing decline in profits since last 6-8 months. Figure out why.

SOLUTION

Got it. The decline in profits could be due to fall in revenue, increase in cost or a combination of both. Since the market share of client has fallen, I presume it would be majorly due to fall in revenues. Do we have any details around it?

You're right, the revenues have declined while the costs have remained the same. Can you figure out why?

A general hospital could have multiple revenue streams:

- Consultancy fees charged for check-ups
- Diagnostic fees for carrying out tests
- Sale of medicines by pharmacy, if any in the hospital.

Do we have details regarding decline in any?

The revenues from diagnostic services have declined here.

I can break-down the revenue as a function of:

- No. of patients
- No. of tests per patient per year
- Avg. price per test.

Which one of these have fallen?

The no. of patients have fallen.

Interesting. The no. of patients have fallen yet the consultancy fees hasn't declined.

- Is it a supply side issue wherein we aren't able to cater to customers or
- A demand side issue wherein the customers aren't visiting us in first place?

We don't have any constraints in terms of supply. The demand from customers have fallen.

I would like to analyse it across the entire customer journey which I would break down into 5 components:

- Need
- Awareness
- Affordability
- Accessibility
- Customer Experience.

Should I go through them one by one or do we know the issues lies in which component?

HOSPITAL MARGIN MAZE

Your client is a hospital chain located in suburban Mumbai which is experiencing decline in profits since last 6-8 months. Figure out why.

SOLUTION

We can look at the awareness component in detail.

There can be multiple channels through which patients could be aware about a hospital. It is majorly through:

- Word of mouth
- Doctor referrals
- Print media and digital media

The referrals coming from new doctors have declined with more doctors referring to our competitors.

Got it. I would want to structure the no. of referrals into a funnel:

- No. of doctors identified by our sales team
- No. of doctors to whom our hospital is pitched
- No. of doctors convinced about our offering
- No. of doctors onboarded
- No. of onboarded doctors who actually give referrals

The problem lies in the onboarding stage. Even though the doctors seem convinced about our offering, very few of them are onboarded successfully.

Onboarding would typically involve execution of a contract. It can have two aspects:

1. Terms & conditions of the contract
2. Convenience associated with executing the contract in terms of:
 - Time
 - Documentation
 - Mode of execution

Since, the doctors are convinced about our offering, I presume the problem would lie in convenience front as they would be well aware of terms & conditions.

Yes, the client takes 10 days to execute a contract whereas the competitors are able to execute them in a day itself. What can the possible reason for it?

Since, the time difference is drastic & it has been observed in the recent past, I think it can be related to mode of execution in terms of offline & online.

Correct. The competitors have started digital mode of contract execution but the client still uses the offline mode. That would be it. Thank you.

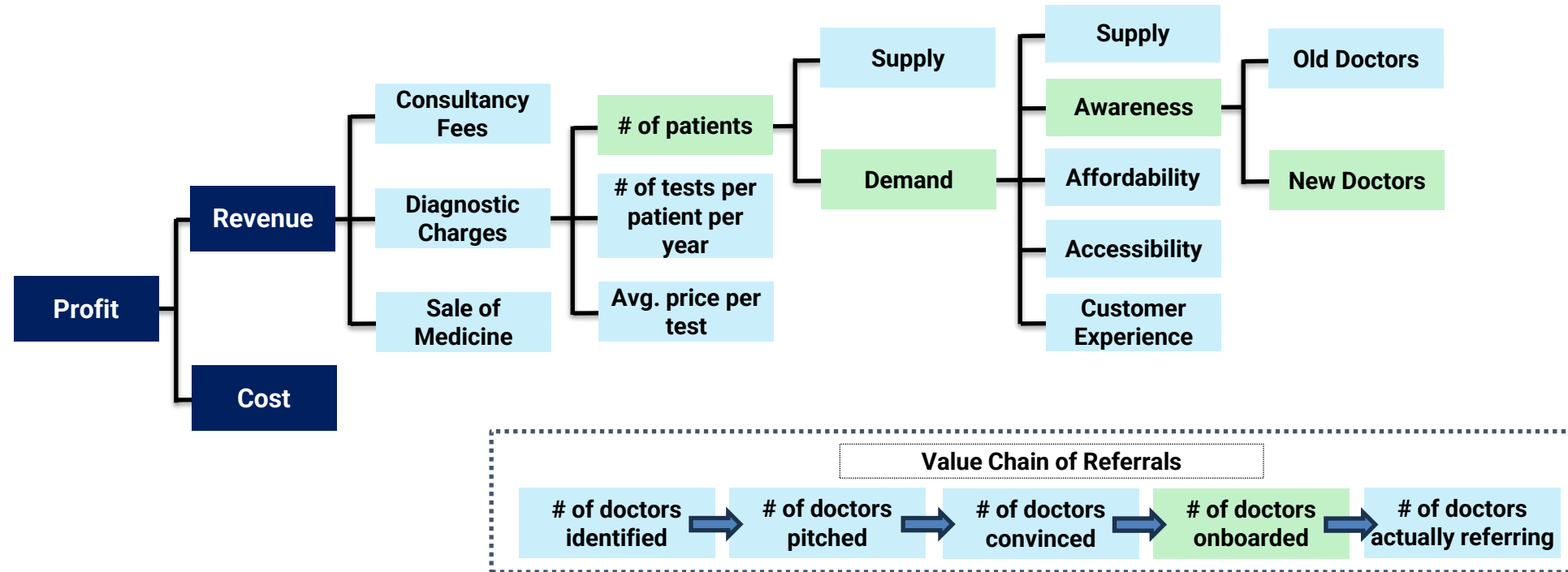
HOSPITAL MARGIN MAZE

Your client is a hospital chain located in suburban Mumbai which is experiencing decline in profits since last 6-8 months. Figure out why.

KEY LEARNINGS

- This case shows that competitive advantage doesn't always come from a better product, but often from a faster, more convenient, and more efficient process.
- You are not expected to know technical details like revenue streams of a hospital, ask for interviewer's help after listing the obvious ones

APPROACH



BROWNIE POINTS

- Go beyond identifying the slow offline process. Ask why the client uses it (are there regulatory hurdles, legacy IT issues, or internal resistance to change).
- Start by hypothesizing that a market share loss likely points to a drop in overall patient footfall, which would primarily impact diagnostic and consultancy revenues.

PERKS-TO-PROFITS

Your client is a hotel chain and has witnessed a decline in profits in the past few months. Find out why.

CLARIFYING QUESTIONS

Okay, before I delve deeper in the case, I had a few preliminary questions. How big is the hotel chain? Which geographies does the hotel chain operate in? In which geographies exactly are we witnessing this issue? Is this an industry wide issues? Who does the hotel chain think of as its competitors?

The hotel chain has 15 hotels across India. The issue persists in one hotel in Delhi. This is a hotel specific issue & competitor data is irrelevant for now.

Okay thank you. Just a few more questions, what type of a hotel change exactly is it – luxury, middle-income, low-priced hotel? Who are its target customers and finally what are the kind of services / amenities does it offer?

Good question. The client is a luxury hotel chain visited by majorly corporate guests & high-income families. Apart from hotel rooms, it has services such as room dining & multiple additional value-added services.

PERKS-TO-PROFITS



Your client is a hotel chain and has witnessed a decline in profits in the past few months. Find out why.

SOLUTION

Sure, thank you! I would like to take a structured approach to analyze the situation. I would analyze profits by dividing them into revenue & costs. Within, revenue – I will look at price, # of hotel rooms, # of times the rooms were booked across the year & revenues from other streams whereas in the costs, I will analyze the value chain to find out the source of the issue

That sounds like a good approach. You can focus on the revenue aspect.

Okay, so have we witnessed any significant change in the price of hotel rooms even though I believe that since the issue is specific to this hotel that might not be the case?

Correct, the prices of the rooms have stayed constant.

Okay, so have we witnessed a significant decline in the number of the rooms that were booked, or the number of times bookings were done?

No, the bookings & the no. of hotel rooms have more or less stayed constant

Alright, so it seems the source of the revenue & thus profits decline lines the in the additional value-added services that the hotel offers? So, should I proceed with analyzing these services?

Yes, please go ahead

Since it is a luxury hotel, I believe the hotel must be offering a wide range of services –

1. In room facilities: Room dining, TV, WiFi, extra beds
2. Out-room facilities: Laundry, cab services, concierge, recreational

Is there any particular segment that you want me to focus on?

Correct, you can focus on the recreational bit within out-room facilities

Alright, thank you! So recreational services such as spa, gym, tourist travel services, other corporate offsite event activities are usually offered in a luxury hotel. So, are we witnessing any significant change in any of the above activities?

Correct, the revenue has declined from the spa services.

PERKS-TO-PROFITS

Your client is a hotel chain and has witnessed a decline in profits in the past few months. Find out why.

SOLUTION

Alright, as per my current understanding – services such as spa are usually outsourced to third party contractors who pay a percentage of their total revenues or a fixed fee to the hotel chain. Is this how the spa operates in this hotel as well?

Absolutely, there is a third-party contractor who pays a fixed % of the revenue to the hotel and the spa services booking can only be done through reception which helps the company track the revenue of the spa

Alright, so the decline in the revenues could be either because:

- The % commission that is given by the spa contractor to the hotel has decreased
- The total revenues of the spa have decreased.

Correct, the total revenues of the spa have decreased. You can analyze that.

Alright the total revenues of the spa is a function of:

Price of the services * number of bookings done for all the kinds of services that are offered.

So, are we witnessing any particular change in any of the above?

Correct, the total revenues of the spa have decreased because the contractor has abruptly increased the prices of its services which have impacted the volumes of the services. Why do you think an increase in prices of spa services would have affected high-income guests who usually visit this hotel?

I agree, this could either be because of the following reasons:

- 1) Even high-income guests could be price sensitive
- 2) They may not be seeing enough value for money in the spa services as high-income guests could be looking for enhanced services with the additional price increase
- 3) They might be lured to other recreational activities such as gym & tourist activities

Perfect, we can close the case here.

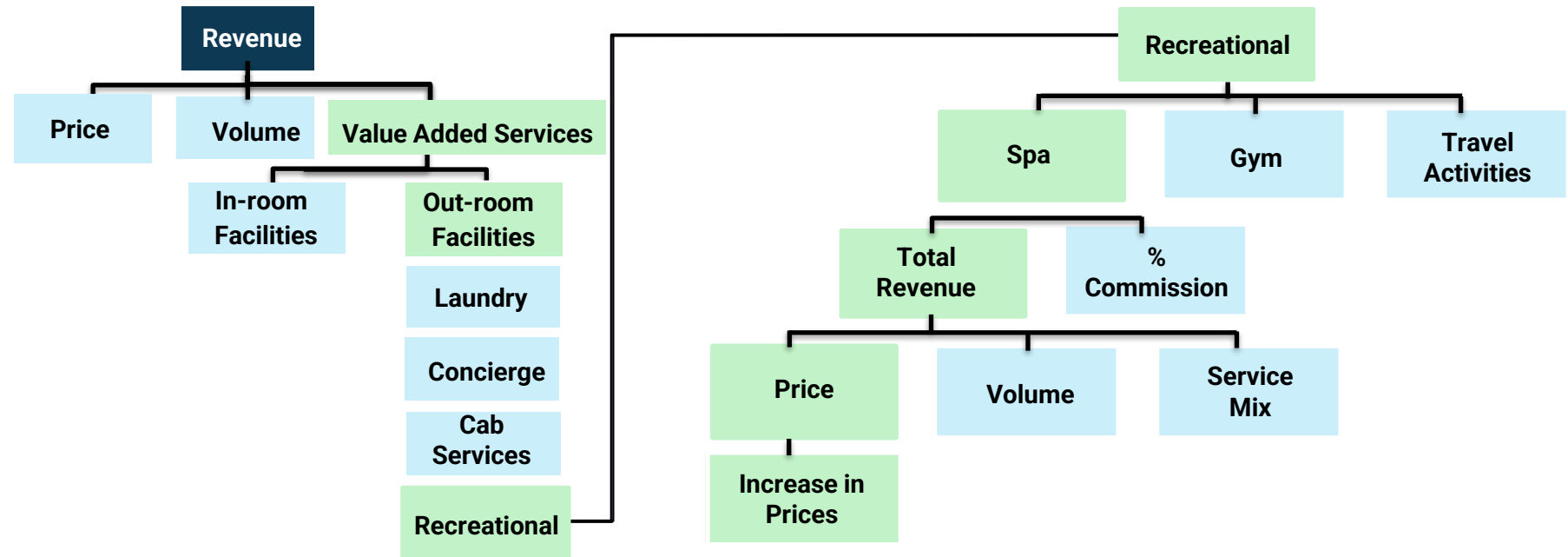
PERKS-TO-PROFITS

Your client is an insurance provider facing a decline in profits. Figure out why and suggest recommendations.

KEY LEARNINGS

- The case hinged on understanding the third-party contractor model. Always take a moment to clarify how the client makes money from each business unit.
- This is a classic lesson that even high-income customers are sensitive to price changes, especially when the perceived value does not increase concurrently.
- When asked for a reason, provide a structured set of potential answers (price sensitivity, poor value, better alternatives)

APPROACH



BROWNIE POINTS

- Go one level deeper by asking why the contractor raised prices.
- While the hotel's problem is unique, the spa competes with others. Ask how the new prices compare to similar luxury hotel spas in Delhi.

SCENT & CENTS

Your client is a Deodorant company and they've seen a 20% decline in profits over the last 4 months. You need to figure out the cause for the same.

CLARIFYING QUESTIONS

Okay, before I delve deeper in the case, I had a few preliminary questions. What part of the value chain does our client operate in?

The client operates end to end in the value chain. They sell deodorants to wholesalers & retailers.

Got it. What is the product mix, and who do they sell to?

They have 2 variants: Gasless & ordinary, and the decline has been uniform across the variants. This decline is unique to our client.

Lastly, is it an industry-wide issue or unique to us?

This decline is unique to our client.

SCENT & CENTS

Your client is a Deodorant company and they've seen a 20% decline in profits over the last 4 months. You need to figure out the cause for the same.

SOLUTION

Okay, I think I've got the hold of the issue. Profits being a function of revenue and cost, do we have any data on which of these has been an issue?

Yes, we have seen a decline in our revenue and interestingly, our cost has also reduced a bit. Focus on revenues for now.

Okay, that's interesting. Revenues can decline because of a drop in prices or number of deodorants sold, or a change in the mix of gasless & ordinary deodorants sold. Is it okay if I assume that we've no other revenue stream?

Sure, we know for a fact that product mix isn't an issue. We have seen a decline in unit sales across the mix. And yes, this is our only revenue stream.

Understood. A decline in number of units sold can either be because of a demand side issue, or a problem in our supply. Do we have any information on whether the issue related to demand or supply?

You are right, there has been a decrease in quantity demanded. Please look into that.

Alright, so I'll break down quantity demanded in a time frame as follows:

Qty demand = # Customers * Deodorants per Customer

Deodorants per customer in a time frame is proportional to:

Sprays * Qty. per spray / Volume of bottle in same units

Just to check, do you think this is a comprehensive break-down of items or should I add any other element to it?

Yes, you are correct. This is great. We know that there has been a decline in qty. per spray which is leading to the issue we're facing.

Okay, to look at this decline I'd like to go through the process map of a spray.

- There's deodorant kept in the bottle
- A straw pulls it towards the nozzle,
- Nozzle then sprays out the deodorant.

The problem can either be with the quality/thickness of the straw or the size of the pore of nozzle. Is that fair?

SCENT & CENTS

Your client is a Deodorant company and they've seen a 20% decline in profits over the last 4 months. You need to figure out the cause for the same.

SOLUTION

Correct, you've identified the problem. We recently changed the supplier of our nozzle and the new one has a smaller pore. We're done with the case! Do you have any recommendations?

Sure, before I proceed to the recommendations, I'd like to confirm if the decline in cost was due to change in nozzle type?

Yes, that's the reason.

I'd like to break-down my recommendations into 2 parts:

- For the **short-term**:

I'd suggest getting back the old nozzle because the purpose of cost reduction got defeated by revenue reduction.

- For the **long-term**:

We can either play on how the new nozzle enhances current product offering or we can reduce the quantity per bottle.

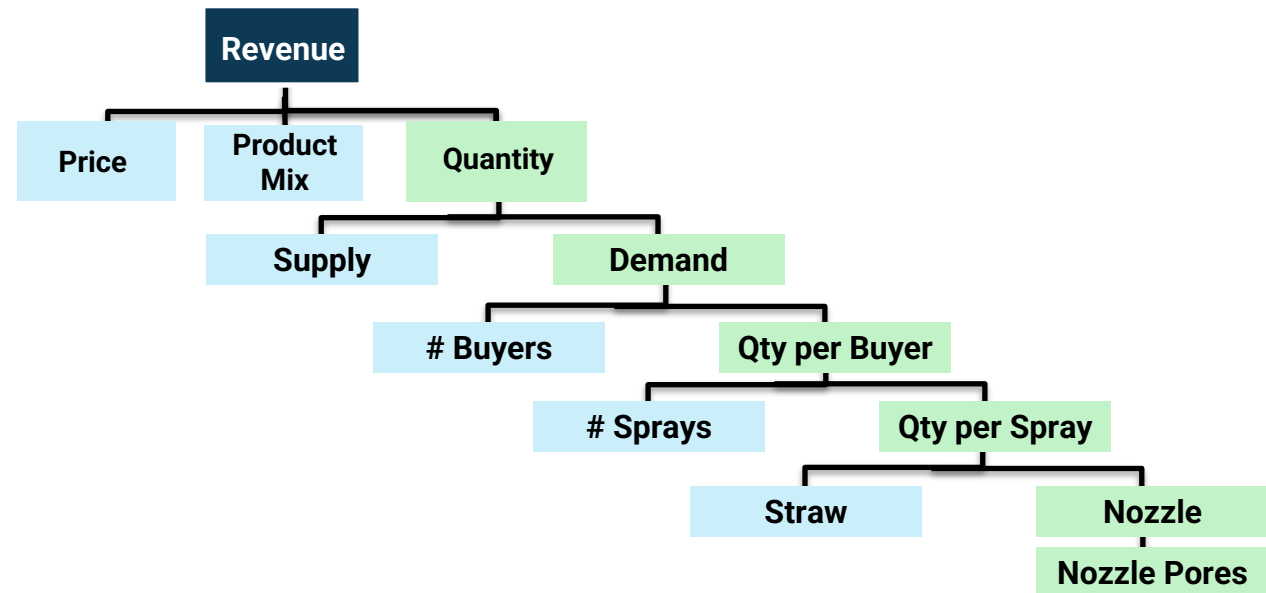
Sure. Thank you!

SCENT & CENTS

Your client is a Deodorant company and they've seen a 20% decline in profits over the last 4 months. You need to figure out the cause for the same.

KEY LEARNINGS

APPROACH



BROWNIE POINTS

- When told both revenue and costs declined, form a hypothesis that a component change (likely from a cheaper supplier) has hurt sales, showing a deep understanding of P&L connections.
- Analyze the original decision to change suppliers. Understanding the intent behind a failed decision is key to making better future recommendation

TWIN FLORISTS CASE

The client is a flower shop chain. They have two branches – one shop is profit making, while the other one is in loss. Your task is to figure out why is this the case.

CLARIFYING QUESTIONS

Sure, before I proceed to solve, can you tell me more about the location of these shops?

Both branches are present in different locations of the same city

Got it. Could you tell me more about the types of flower these branches have, and what about the suppliers?

So, both branches receives same flowers from the same suppliers, and those are sold only.

Understood, and since how long the client had been facing this issue?

The issue has been persistent for quite some time, but that's not relevant to the case here.

TWIN FLORISTS CASE

The client is a flower shop chain. They have two branches – one shop is profit making, while the other one is in loss. Your task is to figure out why is this the case.

SOLUTION

Sure, thank you! Here I would like to start my approach by analyzing the profit from cost and revenue individually.

Within revenue, I will look at;

- Price per unit
- Volume sold
- Product mix

While in cost I will analyze the value chain in steps to find the root cause for the issue.

Sounds fair. You can focus on the revenue aspect for the case.

Got it. As you have mentioned both the branches buys and offers same flowers, I will assume the difference lies on either the price and volume sold. Is this okay?

Yes, that's a fair assumption. Just to give you further context, both shops offers flowers at the same rate.

Looking into the volumes sold, the difference can arise either from supply or demand side. Since the supplier is same for both, I can assume issue lies in demand.

Correct. You can focus on demand side.

Okay, thank you. To check the demand side of the volume sold, I'll proceed by going through the customer journey which can be divided into three buckets such as:

Pre-purchase which includes:

- Need
- Awareness
- Shop Accessibility;

During purchase which includes:

- Affordability
- Availability
- Ambience
- Product Accessibility
- Product Selection
- Purchase Action;

Post purchase which includes:

- After sales support

Good. Let's focus on during purchase bucket.

TWIN FLORISTS CASE

The client is a flower shop chain. They have two branches – one shop is profit making, while the other one is in loss. Your task is to figure out why is this the case.

SOLUTION

Alright, given the two stores have the same prices and sell comparable flowers that are all purchased from the same supplier, I would presume that there is no problem with availability or affordability. Is that a fair assumption?

Yes, your assumption is correct.

So next we would be looking at Ambience, which is a crucial factor for a flower shop. Could you share if there is any difference among the shops in ambience?

Yes. The profitable branch has a visually pleasing ambience because it follows a First-In-First-Out (FIFO) approach, displaying the freshest flowers at the front. On the other hand, the loss-making branch uses a Last-In-First-Out (LIFO) approach, displaying newer flowers at the back till older ones are sold.

I think the difference in the ambience is resulting in one making profit while other loss, as customer prefers fresh flowers over the older ones.

Yes, you are correct. We can close the case here.

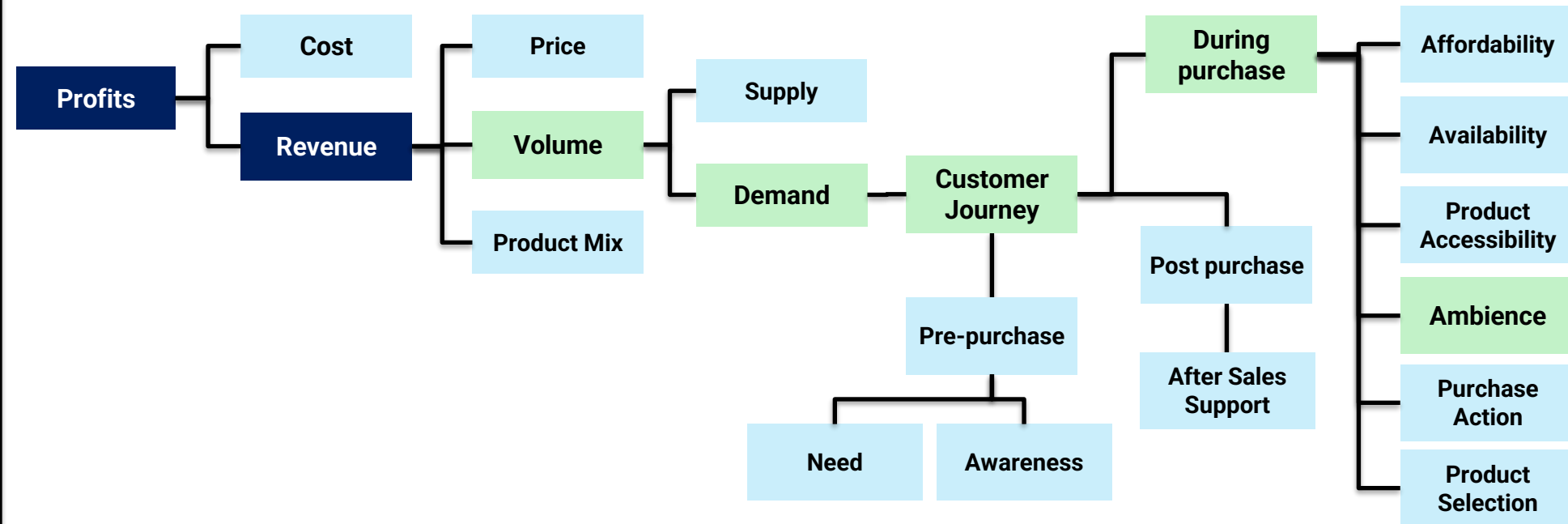
TWIN FLORISTS CASE

The client is a flower shop chain. They have two branches – one shop is profit making, while the other one is in loss. Your task is to figure out why is this the case.

KEY LEARNINGS

- When analyzing a profitable unit versus an unprofitable one, a systematic, side-by-side comparison is a highly effective way to isolate the key differentiating variable.
- This case illustrates how a seemingly minor operational choice (LIFO vs. FIFO) can have a massive and direct impact on customer demand and profitability.

APPROACH



BROWNIE POINTS

- Start by hypothesizing that since inputs (supplier, price) are identical, the difference must lie in a demand-driving factor at the point of sale, such as staff, location, or in-store experience.
- After identifying the LIFO issue, show a holistic view by noting that this approach likely increases costs due to higher spoilage, creating a double-impact on the branch's profit.

GEARSHIFT IN THE P&L

Your client is an automobile parts manufacturer, and they are experiencing decline in profits. Diagnose and find the possible issue and give recommendations.

CLARIFYING QUESTIONS

Understood. Before I start digging into, can you tell me the % of decline and since when is the client facing this?

There is a significant decline in the profits (15-20%), and client has been experiencing it for the past 1 year.

Okay. Could you tell me more about the different product offerings by our client?

The client has 3 different products:
Scooters (economical segment), Bikes,
Electric Scooter (new segment).

Could you share more about the client's operations, like in which regions do they operate? What are the client's role in the automobile value chain? What are the distribution channels and where do we sell our products?

Sure, client operates all over India. Client operates across all the steps of the value chain. We sell in our showrooms and also through retail aggregators.

Okay, and what does the market landscape looks like? Are our competitors facing a similar issue?

Our client is the market leader with 40-50% market share. Competitors are doing good.

GEARSHIFT IN THE P&L

Your client is an automobile parts manufacturer, and they are experiencing decline in profits. Diagnose and find the possible issue and give recommendations.

SOLUTION

Got it. Since profit can be divided into revenue and costs, do we have any information about changes in any of these?

Yes, the revenue has gone down

Okay. Revenue decrease can be a result of three things:

- Decrease in price per unit
- # units decreasing or
- Change in product mix.

Do we know which of these has decreased in past 1 year?

The number of units sold has declined significantly.

Has the number of units gone down in all the products or is it the case specific to any of the products? Also are there any specific areas where the #s have gone down?

Good question, the decline was observed only in the scooter segment and is concentrated in tier 2 and tier 3 cities, towns.

So # units can be attributed to either demand or supply side. Do we have information about which is it? Also is it fair to assume that the # of units sold by the competitors had gone up in this period, as there is no impact in their profitability?

There is a demand side issue, and yes, the # units sold by competitor has increased

Okay, the demand side can be split into the buckets:

- Need
- Affordability
- Accessibility
- Availability
- Awareness
- Purchase Experience
- Post Sales Experience. Do we know which one to focus on in this particular case? (also described what are the different things that are considered under each of the buckets)

GEARSHIFT IN THE P&L

Your client is an automobile parts manufacturer, and they are experiencing decline in profits. Diagnose and find the possible issue and give recommendations.

SOLUTION

There is an issue with the purchase process. You can look into the different aspects leading to a bad purchase experience?

A negative shopping experience can be separated into two parts:

- People-related problems are caused by the actions of store employees
- Process-related problems are caused by gaps in the procedure while the customers are being served.

Do we know if this is a process related issue or people related issue?

Yes, it is a process related issue. The competitor had struck a deal with an NBFC making the loan process easy for purchasing the scooters in Tier 2, 3 cities and towns, thus driving competitor's sales.

Can you provide any recommendations?

In short term:

we can offer a deferred payment services/schemes to the retain customers.

In a long term:

we can either look for a joint venture with a NBFC to offer loans at a cheaper price or strike a deal with NBFC to provide ease of taking loans to customers

Great. We can wrap the case here.

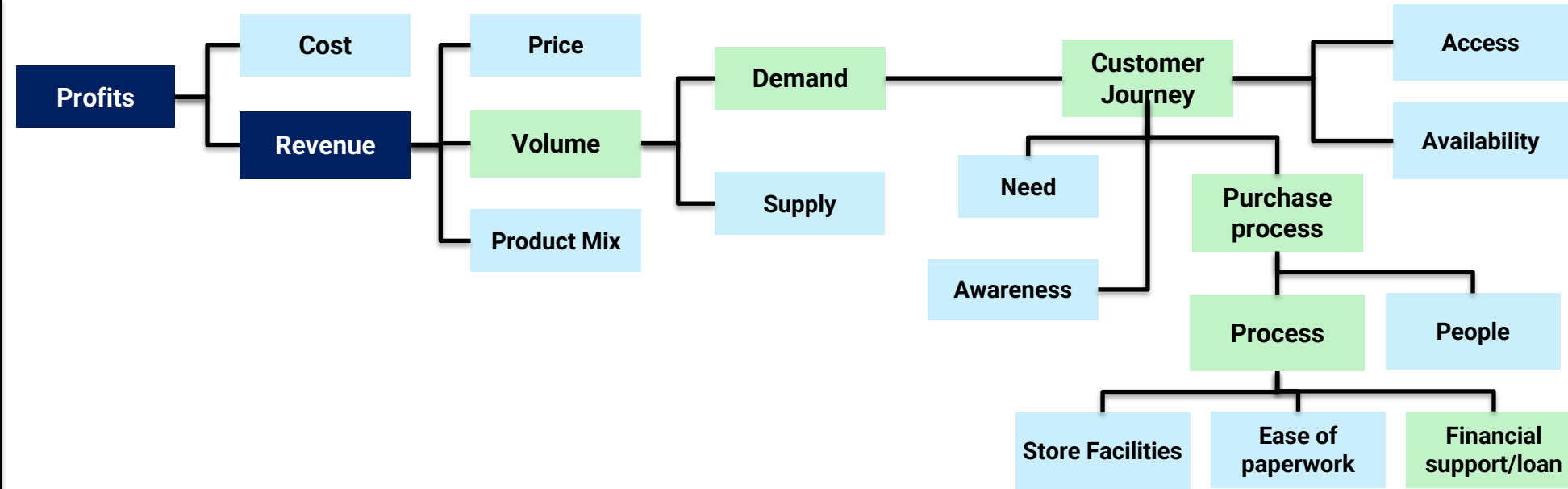
GEARSHIFT IN THE P&L

Your client is an automobile parts manufacturer, and they are experiencing decline in profits. Diagnose and find the possible issue and give recommendations.

KEY LEARNINGS

- Using a structured framework for the customer journey is a reliable method to ensure all potential drivers of a demand-side problem are considered.
- Have a comprehensive way for breaking the problem into different buckets. You can break things into people and process or internal and external, etc.

APPROACH



BROWNIE POINTS

- Probe why the competitor's NBFC partnership is so effective specifically in Tier 2/3 cities, linking it to the unique customer profile and credit accessibility in those markets.
- Use the context (Tier 2/3 towns) to form a strong initial hypothesis that issue likely is in Affordability/Accessibility
- Before recommending a new solution, ask about the client's current loan/financing process in those towns to understand its specific pain points.

UPI PARADOX

Your client owns an UPI payments app, in which they have seen a growth of 25% in transaction volumes but the profits are falling. Diagnose and recommend solutions.

CLARIFYING QUESTIONS

Thank you. Before I begin, I'd like to clarify since when has this decline has been observed, and how significant is the drop?

It has been consistent for the past year, and the decline is material despite rising transactions.

Understood. Is this profitability issue unique to our client, or is it being observed across the UPI industry?

It is a common trend across the industry, though our client wants to improve its own situation.

UPI PARADOX

Your client owns an UPI payments app, in which they have seen a growth of 25% in transaction volumes but the profits are falling. Diagnose and recommend solutions.

SOLUTION

Got it. Now, profitability can be broken down into revenues and costs. Should I analyse both, or focus on one side first?

Let's start with costs.

Sure. The largest cost for payments apps is often the customer acquisition like cashbacks, referral bonuses, discounts. Have these expenses risen in the past year?

Yes, acquisition spends have increased significantly because of intense competition.

Besides acquisition, are there notable increases in technology infrastructure or compliance costs?

Tech and compliance costs have gone up slightly, but acquisition is the major driver for the increase.

Got it. So, CAC is the major cost driver. We can now move to revenues — is the client primarily dependent on payments transactions for revenue, or do they earn from cross-sell products as well like lending, insurance, or merchant solutions?

Right now, revenues come mainly from payment services. Very little from lending, insurance, or merchant solutions.

Okay. That explains the mismatch — rising costs with a limited revenue base. Even though transaction volumes are rising, there's not much margin on each transaction, is this correct?

Yes, that's the case.

Okay. To diagnose further let us look into merchant revenues? Are there any charges, SaaS products, or premium services that are being provided to merchants?

UPI PARADOX

Your client owns an UPI payments app, in which they have seen a growth of 25% in transaction volumes but the profits are falling. Diagnose and recommend solutions.

SOLUTION

We can consider it to be minimal. Most merchants use the free services, and monetization efforts are weak.

That suggests revenues are not diversified. To summarize:

- Costs are increasing due to cashback-heavy acquisitions.
- Revenues are narrow, limited to transactions.
- No significant monetization from merchants or cross-sell.

Would you agree?

Yes, that's a fair summary. What steps would you recommend?

Of course. Recommendations include:

- 1) Cut reliance on cashbacks; use partnerships, loyalty programs, and embedded UPI Lite adoption
- 2) Build new revenue streams: credit (BNPL, SME loans), insurance, wealth distribution
- 3) Monetize merchant ecosystem via SaaS tools, targeted ads, and analytics
- 4) Leverage network effects to use transaction data for better credit underwriting
- 5) Explore premium offerings for merchants to diversify revenue

Good. That covers it. Thank you.

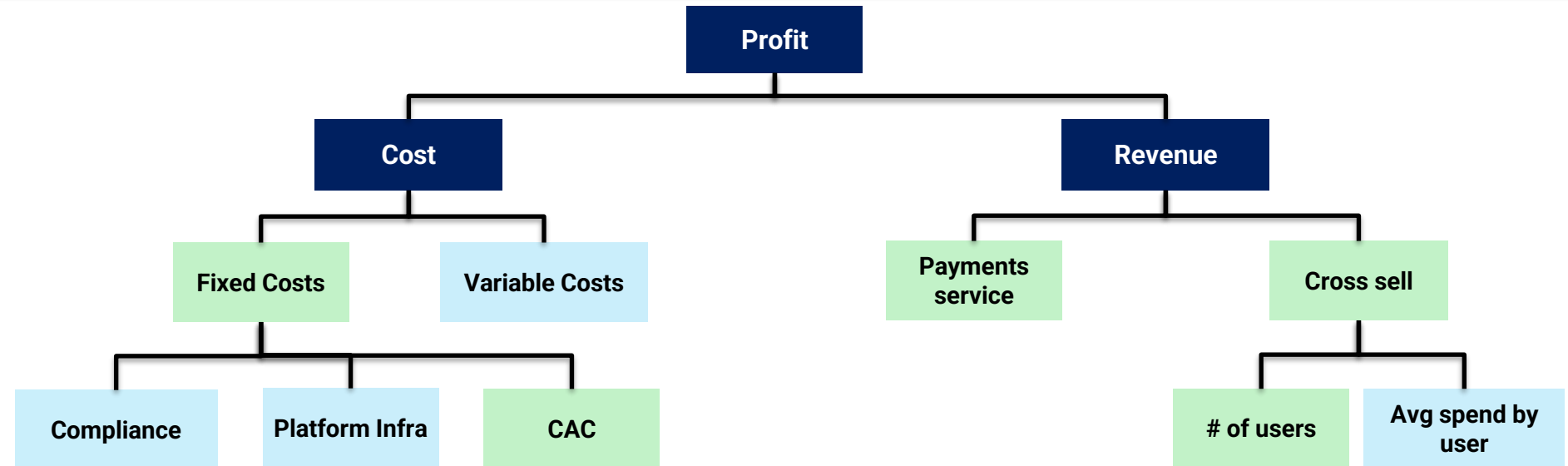
UPI PARADOX

Your client owns a UPI payments app, in which they have seen a growth of 25% in transaction volumes but the profits are falling. Diagnose and recommend solutions.

KEY LEARNINGS

- Transaction growth doesn't guarantee profitability
- Cross-sell into lending, insurance, and wealth is the long-term path
- Smarter acquisition (loyalty, partnerships) lowers costs
- Merchant-focused solutions provide scalable revenue streams
- UPI should be treated as a gateway product for the larger financial ecosystem

APPROACH



BROWNIE POINTS

- UPI is a high-volume but low-revenue product
- Network effects make user and merchant data valuable for cross-sell
- Merchant tools, ads, and credit services can diversify revenue
- Reducing cashback-led acquisition spend is critical for sustainability

QUICK FIX

A 15-minute grocery delivery startup is losing money per order despite order growth. Diagnose profitability drivers and suggest solutions.

CLARIFYING QUESTIONS

I'd like to start by clarifying unit economics. What's the average order value (AOV)?

₹300 per order

And gross margins? About 10–15% on grocery retail?

Yes, around 12%

So gross profit per order is ~₹36. But delivery, CAC, and wastage might exceed this. Let's check costs. What's the CAC currently?

Roughly ₹200 per new customers

That's very high. Is this spend primarily on discounts or digital ads?

Mostly discounts and first-order offers

Got it. Next, delivery cost — what's the average cost per trip?

₹50 per order, as most riders carry just 1 order per trip

So contribution is already negative. Do we also face high spoilage or wastage in dark stores?

Yes, around 8–10%

Okay, so clear drains: low AOV, high CAC, high fleet cost, and wastage. Before solving, is profitability worse in specific geographies (Tier 1 vs Tier 2)?

Yes, Tier 1 metros like Bangalore are worse despite higher demand

Interesting. That suggests congestion and high labor costs offset higher demand. Does the company operate its own dark stores?

Yes, it owns them. Rent and utilities add to fixed costs

QUICK FIX

A 15-minute grocery delivery startup is losing money per order despite order growth. Diagnose profitability drivers and suggest solutions.

SOLUTION

So we have both variable losses (per order) and heavy fixed costs. May I break this down into revenue levers and cost levers?

Please go ahead

Revenue levers:

- Increase AOV via bundling (milk+bread+eggs), upselling snacks, meal kits
- Launch private labels with 25–30% margins
- Monetize app ads from FMCG brands
- Introduce subscription models (₹199/month for free deliveries)

Cost levers:

- Reduce CAC via referrals & loyalty instead of discounts
- Improve batching/routing to increase orders per rider
- Use forecasting to cut spoilage
- Explore partnerships with mom-and-pop stores instead of fully owned dark stores

If we extend delivery from 15 mins to 30 mins, what impact do you expect?

It would improve fleet efficiency (2–3 orders per trip instead of 1), reduce accidents and attrition, and lower costs by ~30%. But it may hurt differentiation if rivals still offer 15-minutes

True. What about gross margins — are there ways to improve beyond private labels?

Yes, by negotiating better supplier terms through volume commitments, or partnering directly with farmers to reduce intermediaries

Assume subsidies on delivery riders vanish due to regulation. What happens?

Unit economics worsen further — pressure to either increase delivery fee, push subscriptions, or rework SLA. This tests resilience of the model

Customers may resist higher delivery fees. How to handle that?

- Introduce tiered delivery (free above ₹500 basket, paid for small baskets)
- Offer subscription passes
- Bundle delivery with value-added service (pharmacy, bill pay)

QUICK FIX

A 15-minute grocery delivery startup is losing money per order despite order growth. Diagnose profitability drivers and suggest solutions.

SOLUTION

What if competitors trigger a fresh discount war?

Then profitability is unsustainable unless the startup builds moats: brand trust, better product assortment, stickiness via subscriptions, and exclusive SKUs

Suppose investors demand break-even in 2 years. What's your roadmap?

Year 1:

- Reduce CAC (shift to loyalty)
- Improve routing
- Launch private labels
- Pilot 30-min model in non-core areas.

Year 2:

- Grow AOV via bundling
- Scale ads revenue
- Consolidate dark stores into profitable hubs
- Selectively exit unviable geographies

If forced to choose one lever only, which would you prioritize?

I'd pick increasing AOV through cross-sell and bundling — it directly boosts contribution margin without additional fixed cost. Efficiency levers help, but revenue side is key for survival

What risks remain even after these changes?

- High competition
- Regulatory changes (labor laws, FDI)
- Consumer price sensitivity
- Potential over-expansion into Tier 2/3 where density is low

That's comprehensive. Can you close with recommendations?

Sure, I'd recommend:

- 1) Focus on basket size expansion (bundling, private labels)
- 2) Shift from discounts to loyalty/subscription
- 3) Improve fleet efficiency by relaxing SLA where possible
- 4) Consolidate dark stores and reduce wastage with better forecasting
- 5) Build brand differentiation beyond just speed

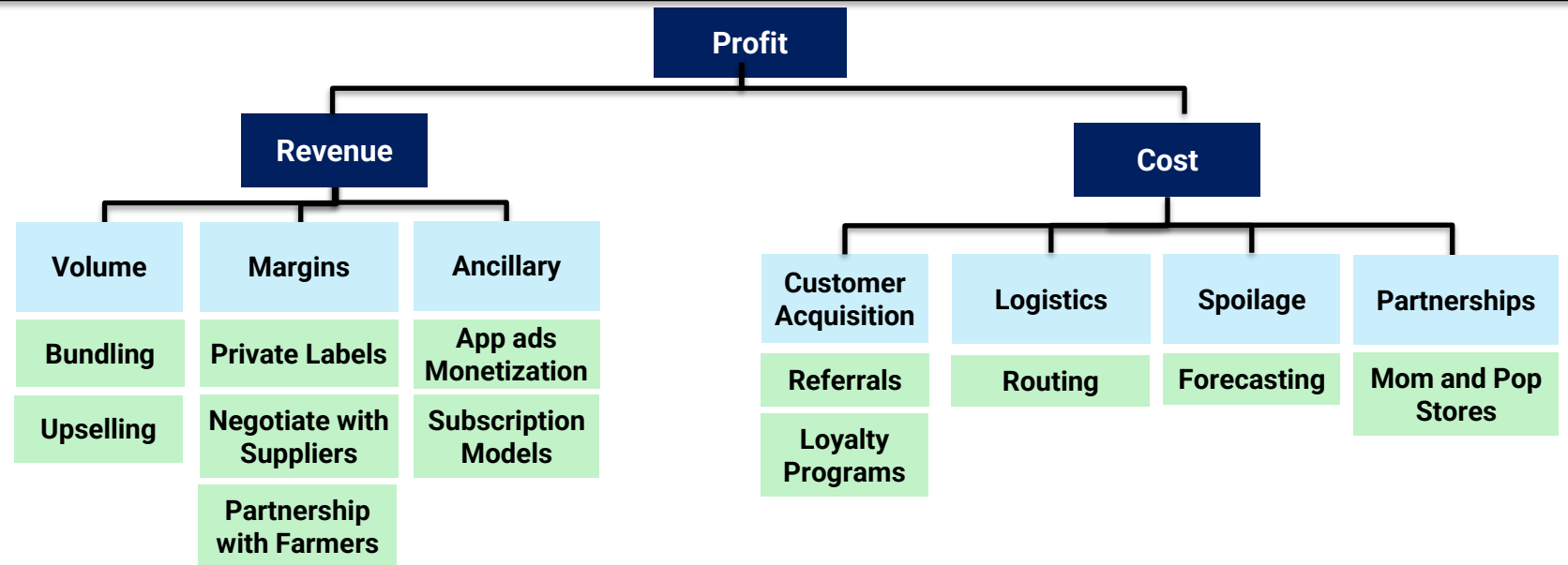
QUICK FIX

A 15-minute grocery delivery startup is losing money per order despite order growth. Diagnose profitability drivers and suggest solutions.

KEY LEARNINGS

- Quick commerce struggles because growth $\neq$ profitability; speed increases costs disproportionately- Success lies in balancing customer experience, efficiency, and monetization
- Profit levers: raise AOV (average order value), optimize last-minute monetization wastage through better demand forecasting, and reduce CAC via loyalty/subscription

APPROACH



BROWNIE POINTS

- Break down unit economics: CAC, order value, delivery cost, contribution margin
- Recognize trade-off between speed vs efficiency (15-minute promise)
- Highlight dark stores' role in costs and wastage and regulatory headwinds (labor laws, FDI norms)
- Explore basket size expansion (cross-selling, bundling) as a lever
- Suggest differentiation from price wars through subscriptions, private labels, and loyalty programs

FADING FRAGRANCE

Your client is a perfume brand and has seen a decline in profits for the last two years. Diagnose and recommend a solution.

CLARIFYING QUESTIONS

Sure. I'd like to clarify if this is a national brand or present only in certain regions?

It is a national brand

Okay. Is this decline industry-wide or specific to our client?

The issue is specific to our client.

Got it. Did the decline start suddenly or gradually?

It has started around two years ago.

Understood. Is this a luxury, premium, or mass-market brand?

It is mid-to-premium brand.

What types of perfumes are we talking about (EDT, EDP, body sprays)?

It sells mostly EDTs/EDPs

Lastly, are there any new entrants, pricing wars, or major product launches by rivals?

Let's assume competition is stable.

FADING FRAGRANCE

Your client is a perfume brand and has seen a decline in profits for the last two years. Diagnose and recommend a solution.

SOLUTION

I would now like to take a structured approach. Profits can decline either because of higher costs or lower revenues. Shall I explore both sides?

Please focus on revenues.

Sure. **Revenues = Price × Volume**. Let me split this into:

- Price: Changes in list price, discounts, promotions.
- Volume: Driven by number of customers and purchase frequency.

First, on pricing: have there been changes in prices, pack sizes, or discounting practices?

No, prices and discounts have been steady.

Then let's focus on volume.

Volume = Number of customers × Purchase frequency.

Have we lost customers due to distribution issues, poor availability, or brand switching?

Or is it that existing customers are buying less frequently?

Customer base and satisfaction are stable. The issue is slower repeat purchases.

Understood. Then within repeat frequency, I'd like to examine sub-drivers:

- Consumption per day (sprays/usage occasions).
- Bottle size / pack design.
- Formulation or performance changes.
- Messaging / positioning changes.

Have any of these changed in the last two years?

Yes. Two years ago, we added a line on the bottle: "Lasts for 12+ hours."

Interesting. That could have changed consumer behavior. If customers believe the perfume lasts longer, they may spray fewer times per day, which means bottles finish slower and refills happen less often. Is this reflected in sales cycle data?

FADING FRAGRANCE

Your client is a perfume brand and has seen a decline in profits for the last two years. Diagnose and recommend a solution.

SOLUTION

Correct. Time between purchases has increased, and consumer panels show reduced sprays/day.

Then the root cause is clear:

- Prices and costs are stable.
- Customers are happy and loyal.

But due to the longevity claim:

- Consumption frequency has dropped
- Lengthening bottle life
- Slowing repurchases
- Reducing sales volumes

Exactly. What recommendations would you suggest?

Sure, I'd recommend:

- 1) **Portfolio Strategy:** Introduce smaller packs (30/50ml) to increase purchase frequency.
- 2) **Premiumization:** Restrict "long-lasting" claims to a premium "Intense" line while core SKUs return to emotional/experiential messaging.
- 3) **Cross-sell & Usage Expansion:** Promote layering products (body sprays, deodorants, travel minis) to add occasions and encourage daily use.
- 4) **Messaging Tweak:** Shift from functional longevity ("12 hours") to benefit-based ("all-day confidence"), encouraging more liberal application.
- 5) **CRM Nudges:** Subscription/refill reminders based on expected cycle rather than stretched actual cycle.

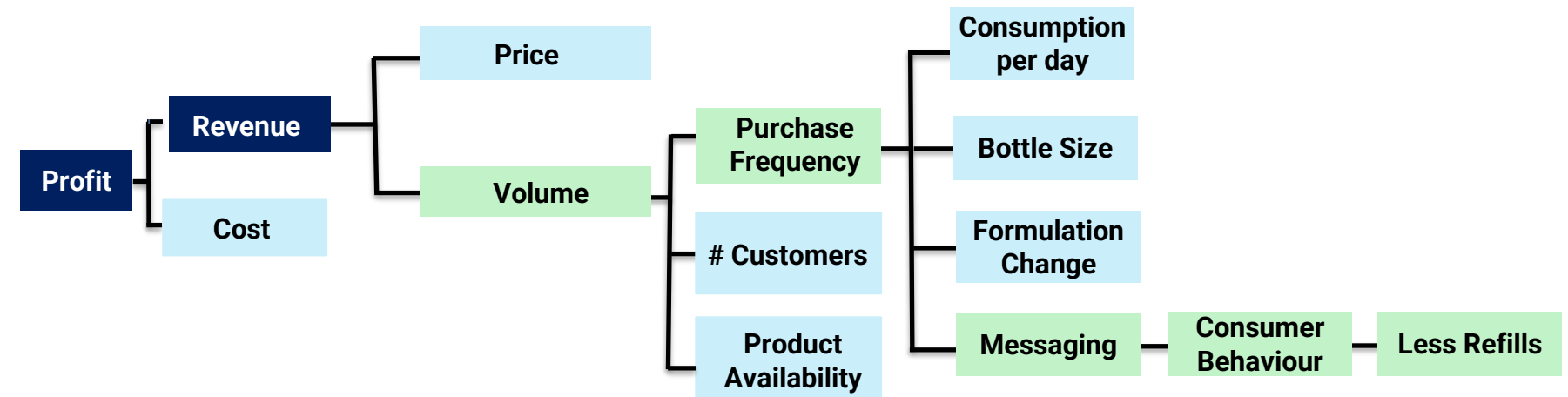
Nicely structured. Let's close the case here.

FADING FRAGRANCE

Your client is a perfume brand and has seen a decline in profits for the last two years. Diagnose and recommend a solution.

KEY LEARNINGS

APPROACH



BROWNIE POINTS

- Split Volume = # Customers × Purchase Frequency, then break frequency into usage rate × repurchase cycle.
- Spot the behavioral twist: longevity claim → fewer sprays/day → slower bottle depletion → delayed refills.
- Recognize that satisfaction is high but sales are falling (counter-intuitive).-Bring in portfolio strategy (smaller SKUs, intense editions) to recover turnover.
- Suggest adjacent categories (body mists, travel sprays, layering sets) to increase usage occasions.
- Propose a messaging shift: from hard functional claim (“12 hours”) → benefit-led (“all-day confidence”)

BITTER DOSE

Your client is a mid-sized pharmaceutical & nutraceutical company in India. Over the past two years, it has experienced a steady decline in profits. Industry demand is stable, competitors are unaffected, and costs/pricing have not changed materially. The client wants you to identify the root cause and suggest a roadmap to restore profitability.

CLARIFYING QUESTIONS

Sure. I'd like to ask few questions. Which product lines or geographies are most impacted?

Multiple SKUs in India are affected.

Okay. Did the decline begin suddenly or gradually?

It began about two years ago.

Any major internal changes (product, branding, regulatory, distribution) in this time?

A major internal change was a rebranding of product names.

Lastly, are both revenues and costs affected, or primarily one side?

Costs are stable — focus on revenues.

BITTER DOSE

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SOLUTION

Understood. I'll structure revenues as **Price × Volume**.

- Price: Are list prices, pack sizes, or discounts changed?
- Volume: Driven by **#customers × purchase frequency** and **product availability**.

Have there been changes on the pricing side?

No. Prices and discounts are steady.

Then this must be a volume issue. Let me break that down:

- Customer base: Are we losing patients/customers to competitors?
- Purchase frequency: Are repeat purchases lower?
- Availability: Are products reaching shelves consistently, or facing supply/regulatory issues?

Which of these is most relevant here?

The customer base is stable, but conversions at pharmacies have fallen, and some SKUs faced delays in reaching the market.

Let's probe both:

- On demand side: lower conversions could be due to weaker recall, confusing branding, or overlap with competitor products. Did the rebranding make product names more generic or similar to competitors.
- On supply side: delays in certification or import approval issues with regulators.

Correct. After rebranding, some product names became very similar to competitors. This confused both customers and chemists. Additionally, the new names caused regulatory approval delays at CDSCO/AYUSH, keeping products off shelves.

That explains it:

- **Demand-side impact:** Patients and pharmacists confused, often substituting competitor's products.
- **Supply-side impact:** Certification delays reduced availability in the market.

So, while demand and costs were steady, volumes fell, revenues dropped, and profits declined.

BITTER DOSE

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SOLUTION

Exactly. How would you fix this?

Short-term:

- 1) Fast-track certification backlog with a regulatory affairs taskforce.
- 2) Run pharmacist & doctor engagement campaigns to clarify product identity.
- 3) Use packaging/visual markers to reduce substitution.

Long-term:

- 1) Overhaul naming architecture — ensure distinctiveness, legal clearance, and IP checks.
- 2) Create a brand governance process: every name change vetted by regulatory + legal.
- 3) Strengthen regulator relationships (CDSCO/AYUSH) for faster approvals.
- 4) Diversify product portfolio to avoid dependency on few SKUs.

Great, let's close the case.

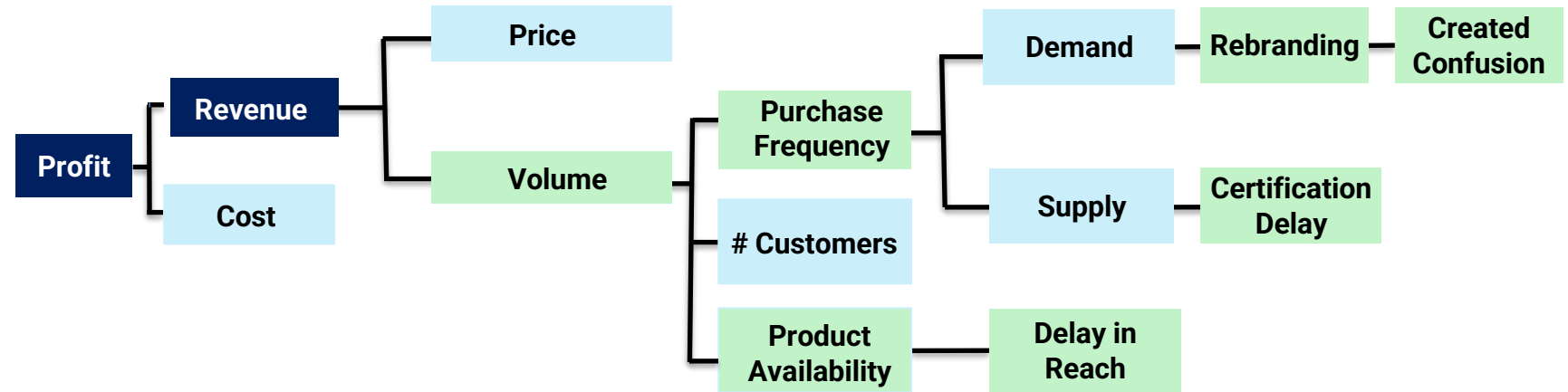
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KEY LEARNINGS

APPROACH

- Profits declined due to branding errors, not operations or competition.
- Naming confusion hurt both consumer demand and regulatory clearance.
- In pharma/nutraceuticals, branding must balance differentiation + compliance.
- Case illustrates that even “minor” marketing choices can have large financial impacts.



BROWNIE POINTS

- Candidate structured probing: Industry → Geography → Portfolio → Timeline → Costs vs Revenues → Price vs Volume → Customer/Frequency/Availability.
- Identified dual problem: demand leakage + regulatory blockage.
- Highlighted role of pharmacists as gatekeepers in conversion.
- Suggested IP/legal governance for branding decisions

THREADS OF TROUBLE

A D2C apparel startup has seen sales grow steadily online, but profitability is falling. Diagnose and suggest a path to improvement

CLARIFYING QUESTIONS

So, The startup's sales are growing online, but profits are dipping.
Since when has this been happening?

This has been happening for the last 2–3 quarters, across most categories

Okay. Is this industry-wide issue or client specific.

It is a client specific problem.

Lastly, is this a national brand or present only in certain regions?

It's a pan-India brand.

THREADS OF TROUBLE

A D2C apparel startup has seen sales grow steadily online, but profitability is falling. Diagnose and suggest a path to improvement

SOLUTION

Got it. Let me break profitability into two buckets: **Revenues** and **Costs**. Do we know if the issue is more:

- On the revenue side (pricing, discounts, customer mix)
- Cost side (fulfillment, returns, marketing)?

Revenues have been rising, so the issue is on the cost side.

Okay. For a D2C apparel brand, cost drivers include:

- Customer acquisition (digital ads, influencer spends)
- Fulfillment & delivery logistics
- Warehousing & overheads
- Returns & reverse logistics

Would you like me to focus on any particular cost bucket?

Focus on fulfillment & returns.

Great. Now, fulfillment costs per order are usually predictable. But returns, especially in fashion, can be a big drain. Do we know what the return rate is?

Yes, it's about 35% of orders, which is higher than industry peers

That's significant. In India, reverse logistics costs often exceed forward logistics costs. Plus, returned items may lose value if damaged or go out of season. Are these returns more from Cash-on-Delivery (COD) orders or prepaid orders?

Mostly Cash-on-Delivery (COD) orders.

That makes sense — COD inflates impulse purchases and frivolous returns. So the core issue seems to be high return rates, driven especially by COD behavior. To confirm: Are there also issues with sizing, quality mismatch, or delivery delays that trigger returns?

Yes, **sizing mismatch** is the top customer complaint.

THREADS OF TROUBLE

A D2C apparel startup has seen sales grow steadily online, but profitability is falling. Diagnose and suggest a path to improvement

SOLUTION

Got it. Reverse logistics in India is **very costly**, and a **35% return rate** directly eats into margins.

- **COD orders** encourage impulse and non-serious orders → higher return volumes.
- **Sizing mismatch** makes customers dissatisfied and adds repeated return costs.

Exactly. What recommendations would you suggest?

I'd suggest a 3-pronged approach:

1) **Reduce Return Rates**

- Introduce better size recommendation tools (AI-driven fit guides, AR try-on)
- Build customer trust through exchange credits rather than refunds
- Penalize frequent returners with stricter policies

2) **Tackle COD Problem**

- Incentivize prepaid orders (discounts, loyalty points, UPI cashback)
- Allow partial COD (small upfront payment, balance on delivery)

3) **Optimize Returned Inventory**

- Resell gently used returns via an "outlet/discount store" model
 - Shorten return cycle so items can be resold in-season
- This way, margins can recover without stalling growth

That's clear. Thank you

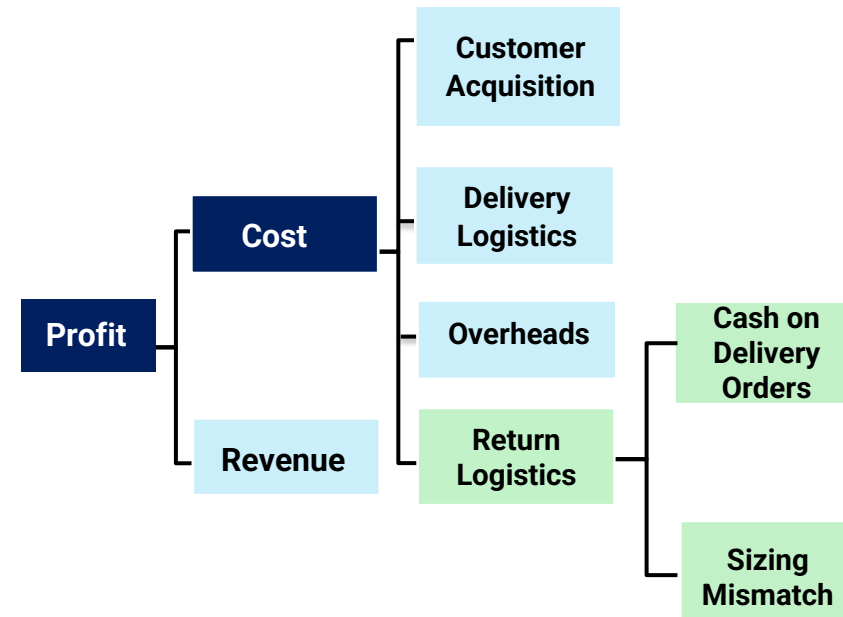
THREADS OF TROUBLE

A D2C apparel startup has seen sales grow steadily online, but profitability is falling. Diagnose and suggest a path to improvement

KEY LEARNINGS

- In apparel e-commerce, returns are the biggest profit killer.
- COD culture inflates return rates.
- Profitability lies in reducing reverse logistics + increasing customer stickiness

APPROACH



BROWNIE POINTS

- Mention reverse logistics and returns (biggest lever in Indian fashion D2C)
- Talk about customer behavior (COD returns vs prepaid)
- Discuss unit economics: contribution margin per order vs cost per return
- Suggest levers like sizing tech, exchange incentives, resale of returned items

CART TO CRISIS

Client is a multinational FMCG company. Despite recording its highest-ever consumer sales in Europe, net profits have fallen sharply in the last 12 months. Diagnose the issue and recommend solutions.

CLARIFYING QUESTIONS

Before I structure my analysis, I'd like to ask a few questions to clarify the situation. What exactly has fallen - margins, absolute profits, or both?

Both have fallen. Net margins have dropped by about 5 percentage points, which is significant for them.

Understood. And how are their sales distributed across different channels?

Currently, it's about 60% from General Trade via wholesalers, 25% from Modern Trade, and 15% from E-commerce.

Is this problem affecting all product categories, or is it concentrated?

It's primarily affecting their high-margin Personal Care products.

And what does the value chain look like?

Company → National Distributor → Regional Wholesalers → Retailers → Consumers.

What's the company's geographic footprint?

Europe as core, with exports to South Asia & Middle East.

And finally, are competitors facing similar issues?

No, their profits are stable. The problem seems to be specific to our client.

CART TO CRISIS

Client is a multinational FMCG company. Despite recording its highest-ever consumer sales in Europe, net profits have fallen sharply in the last 12 months. Diagnose the issue and recommend solutions.

SOLUTION

Thank you. That's a critical piece of information. Since competitors are unaffected, this points to an internal issue rather than a market-wide trend. Since sales are high but profits are down, this is a margin problem. To diagnose it, I'd like to investigate two main areas:

- Revenue-Side Distortions
- Cost-Side Leakages.

Does that sound like a good approach?"

Yes. Please start with the revenue side.

On the revenue side, possible drivers could be heavy discounting or promotions

- Channel conflicts reducing margins
- Cannibalization by parallel imports or counterfeits

Do we know if sales growth is uniform across channels?

Consumer sales are strong overall, but wholesaler sales are weak.

That's odd. Wholesalers are typically the backbone for FMCGs. If consumer demand is healthy, wholesalers should also be growing. Possible explanations could be:

- Wholesalers being bypassed by direct-to-retail or e-commerce
- Price competition in wholesale channel
- Grey market supply displacing official channel

Interesting. Explore that last one.

If grey market supply exists, it could mean parallel imports are flowing in genuine products brought in by distributors abroad, priced lower than official stock. This would:-

- Depress wholesale demand domestically
- Force official distributors to give deeper discounts
- Hurt margins despite rising consumer sales
- Potentially mix with counterfeit goods, damaging trust

Correct, this is indeed happening. Let's move on to cost side.

CART TO CRISIS

Client is a multinational FMCG company. Despite recording its highest-ever consumer sales in Europe, net profits have fallen sharply in the last 12 months. Diagnose the issue and recommend solutions.

SOLUTION

On the cost side, I'd check:

- Higher trade spend to support wholesalers
- Monitoring & enforcement overheads
- Inventory distortions from unsold wholesale stock

Right. Now that we have the diagnosis, how would you fix it?

I would propose a multi-pronged solution, bucketed into four areas:

1) **Regulatory:**

We need to lobby for stricter customs enforcement on these grey imports and stronger intellectual property protection.

2) **Commercial:**

- We should narrow the price gaps between Europe and our export markets to reduce the incentive for parallel imports.
- We can also launch wholesaler loyalty programs and create Euro-specific product bundles that are harder to replicate.

3) **Operational**

We need to implement a track-and-trace system. We can use unique QR codes or holograms on our European products. This allows us to track products through the supply chain and easily identify and clamp down on grey market stock.

4) **Strategic:**

In the long-term, we should reduce our reliance on the traditional wholesale channel by strengthening our direct-to-consumer platforms and building stronger relationships with modern trade retailers.

Excellent. Thank you.

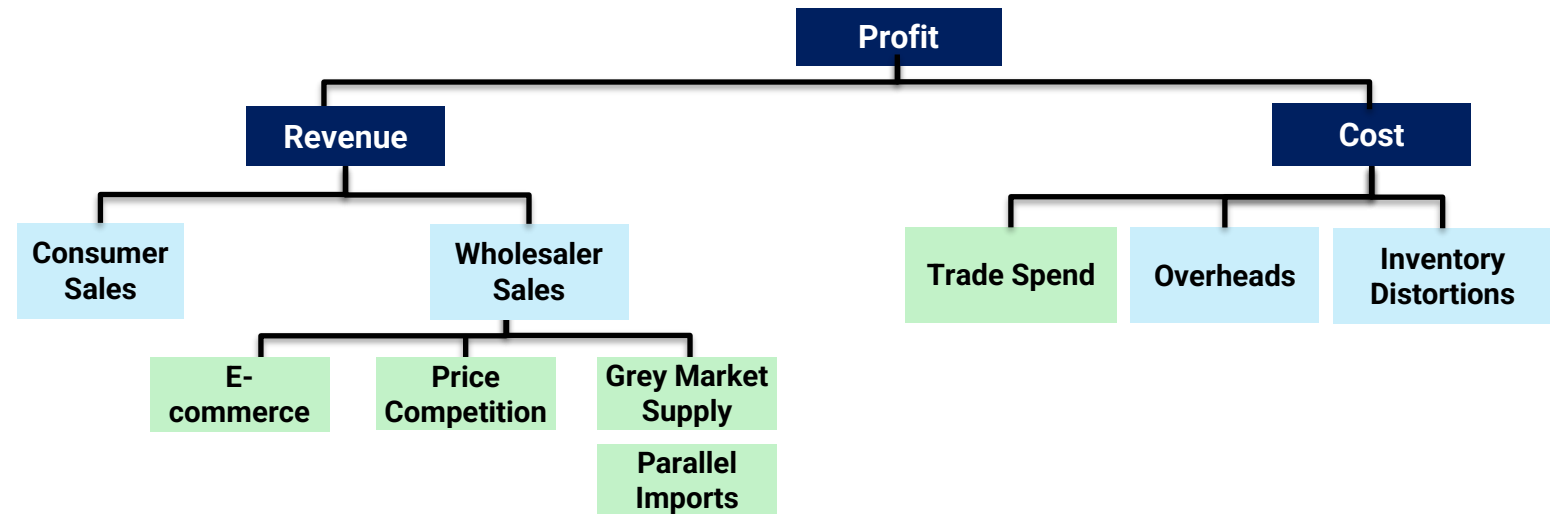
CART TO CRISIS

Client is a multinational FMCG company. Despite recording its highest-ever consumer sales in Europe, net profits have fallen sharply in the last 12 months. Diagnose the issue and recommend solutions.

KEY LEARNINGS

APPROACH

- When overall sales figures seem contradictory (e.g., high consumer sales but low channel sales), it's a strong indicator of a structural problem like a grey market or channel conflict.
- For problems like counterfeits or parallel imports, operational solutions like track-and-trace technology are often more effective.
- Complex problems rarely have a single silver-bullet solution. The best approach is to address the problem from all angles.



BROWNIE POINTS

- Consider the potential second-order effects of the solutions, such as how narrowing global price gaps might impact sales in the lower-priced export markets.
- Include a plan for communicating with and managing the official wholesalers, whose trust has likely been damaged.

CHECK-IN, CHECK-OUT

Your client is a 5-star hotel in Mumbai. They have been facing lower profitability. You are required to identify the reasons behind the same.

CLARIFYING QUESTIONS

First, can you please tell whether the client is a hotel chain or single hotel?

It is a single hotel which has been facing the issue

Since how long has the client been facing this issue?

The issue persists since the last 3 years but it has amplified in the last 1 year

Since the loss has been greater in the last 1 year, I think there might be multiple recent factors affecting the hotel. Next, I would like to know if other hotels have been facing this issue as well or is it just us?

It's just our hotel which has faced this issue

Alright! So, this is not a market wide problem. Next, I would like to know more about the hotel itself. What type of a hotel is this?

It is a luxury hotel with different rooms for different customer types

What are the types of customers that we normally receive at our hotel? And have we observed any change in their ratios?

Two types – tourists & business customers. The split between them is 30:70. Earlier, the split was 50:50

And what are the revenue streams which our hotel has?

There are 4 streams – rooms, restaurants, banquet hall & ancillary services

Alright! Is there any particular-revenue stream where the client has been facing this issue?

Let's start with the room revenues here first and slowly move on to others

CHECK-IN, CHECK-OUT

Your client is a 5-star hotel in Mumbai. They have been facing lower profitability. You are required to identify the reasons behind the same.

SOLUTION

Sure! Profits are a function of revenues or costs. So, do we know whether the revenues of the hotel have gone down or costs have gone up or both?

So, it's a situation of both. But let's start with the revenues first

Right! And starting off with the room revenues, we can bifurcate that into 2 parts:

- Room Rent
- Related Purchases such as room service.

The problem is being seen in the rental revenue

Perfect! Then I would like to divide my room revenues into the number of rooms offered by the hotel, the room rent charged and the occupancy rate. Has there been any change in any of these factors over the last 2-3 years?

There has been no change in the number of rooms & the occupancy rates have been high as well. Even, the rent charged per room hasn't reduced

Since none of these factors have changed but we have faced a decline in the revenues received, it could be a possibility that the hotel is not receiving the maximum possible revenue for its rooms.

Right, what could be the reasons according to you?

It could be happening due to 3 reasons:

1. As every hotel has different types of rooms, maybe we have reduced the high-rent rooms and replaced them with the lower-rent versions.
2. There could be a difference in the type of customers which the hotel is getting.
3. The payment facility which the customers are using has changed which has reduced our profits.

Since, we know that the type of customers which we receive has changed over time, I would like to start off with that aspect here.

Okay, how do you think the second factor would be affecting the hotel?

CHECK-IN, CHECK-OUT

Your client is a 5-star hotel in Mumbai. They have been facing lower profitability. You are required to identify the reasons behind the same.

SOLUTION

As there is a greater influx of business customers, the hotel can't charge any amount higher than what has been agreed with their respective company.

On the other hand, rents charged for general tourists can be higher, thus reducing the rent collected per person.

Correct! Due to a greater number of business customers, the hotel has to keep a fixed price & is not able to take advantages of higher revenues due to higher demand which other hotels can. Let's go to restaurant business now.

Sure! Could you tell me how many restaurants does the hotel have?

So, the hotel has 2 restaurants – an Asian and a Continental one. We have been facing lower profits in the Continental restaurant

And do we know whether the revenues have fallen, or costs have gone up? If it is revenue - we can analyze by looking into:

- In-dining revenues
- Delivery services

There has been a fall in the revenues – in particular in-dining revenues.

Dining revenue can be looked at through the following aspects:

- Number of tables
- Occupancy rates
- Average order quantity
- Average prices

There has been no change in any of these factors. Why don't you go through the customer journey from reaching the restaurant to leaving it?

Okay! So a customer's journey can be broken down into the following steps:

- Arriving at the restaurant
- Waiting time (both for being assigned a seat and for the food ordered)
- Consumption of the meal
- Paying for it

CHECK-IN, CHECK-OUT

Your client is a 5-star hotel in Mumbai. They have been facing lower profitability. You are required to identify the reasons behind the same.

SOLUTION

Let's look at the payment aspect. Can you think of the different ways through which a customer might pay for their meal?
Focus on non-cash payments

Yes, that would be via credit/debit card and UPI payments. The issues could be broken down into following areas:

- Customer side payment issues
- Restaurant side receipt issues
- Discounts and cash backs.

As we know that the order value had not changed; it seems that we are not receiving the money which customers are paying, which could be due to extra discounts offered

Correct! Most of our recent customers have Zomato Gold or Dine out installed which is reducing their final payment value & client bears some amount of this. What are your recommendations?

Short term:

Increase room service price for business customers.

Long term:

- 1) Renegotiate contracts with companies.
- 2) Renegotiate deal with Zomato/Dineout to address discount issues.
- 3) Limit number of rooms for business customers.

Sure, let's close the case.

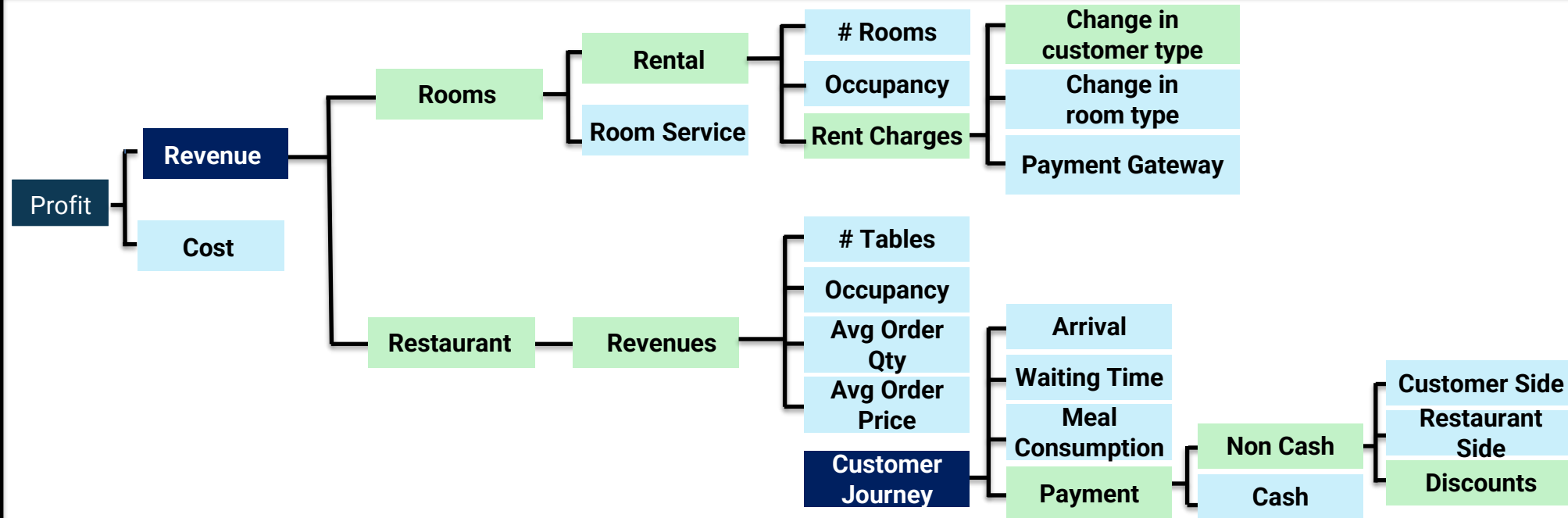
CHECK-IN, CHECK-OUT

Your client is a 5-star hotel in Mumbai. They have been facing lower profitability. You are required to identify the reasons behind the same.

KEY LEARNINGS

APPROACH

- Ask interviewer for suggestion or change in framework if the existing one doesn't provide the required solutions
- Pair quick wins (room-service/ancillary price tweaks, corporate-room caps) with structural fixes (renegotiate corporate & Zomato/Dineout terms).



BROWNIE POINTS

- Instead of using price/charges, revenue received is a better option as that would include both price and discounts.
- List credit/debit/UPI cashbacks, Zomato Gold/Dineout; propose no-stack rules, POS hard stops, and nightly reconciliation to fix receipt/discount issues
- Corporate fixed price controls: rate fences, blackout dates, cap corporate inventory on peak days.

PLOUGHING FOR PROFITS

Your client is an insurance provider facing a decline in profits. Figure out why and suggest recommendations.

CLARIFYING QUESTIONS

Just to ensure we are on the same page, our client is an insurance provider, who is facing a decline in profits. I need to find out the root cause and provide with recommendations

Yes, that's correct

Before beginning my analysis, I want to clarify a few things. What kind of insurance does the client provide and since when have they been facing this issue?

Client deals with tractor insurance and is facing this issue for the past 1 year.

In which geography does the client operate?

The client operates Pan India.

Okay. Since they only deal with tractor insurance, can I assume that their customers are only people living in rural areas and involved in farming?

Yes, you can assume that.

Can you tell me more about the competitors of the client?

There are 4 more players in the industry, and all have equal market share.

Is this an industry wide issue or is it a client specific problem?

It is an industry wide issue.

How does the client operate? How do they reach out to the customers? Do they have their own offices with agents, or is there any other tie up?

The client does not follow an agent driven process. We have tie ups with local banks, the customers can approach any bank to avail the insurance and other facilities are available are there.

PLOUGHING FOR PROFITS

Your client is an insurance provider facing a decline in profits. Figure out why and suggest recommendations.

SOLUTION

Okay. Now I would like to break down the profits as revenue minus costs. Have the costs increased, or revenues reduced or a combination of both?	Okay. To see why the demand has reduced, I would go through the journey of a customer, starting from the need till the post purchase experience. Does that sound suitable to you?
The revenues have declined.	Yes, you can go ahead with this.
Can I assume that major revenue comes from the insurance premium that we collect from customers?	The process that I will consider will include:
Yes, you can assume that.	• Need • Awareness • Availability • Accessibility • Affordability • Purchase experience • Post purchase experience.
The premium would be a function of:	Do we know if there is an issue with any of these factors?
• Total number of customers • Premium per customer per instalment • Frequency of paying instalments.	
Has there been a change recently in any of these?	Yes, the customer need has declined.
Yes, the number of customers has gone down.	
Okay. This means that less people are buying insurance for their tractors. This could be a supply issue or a demand issue? Do we lack capacity to sell the policies or has the demand reduced?	Okay, this means that the customer does not need insurance as they used to before, even though other factors have remained the same Further, the number of insurance policies required for tractor would depend on:
There is a reduction in demand.	

PLOUGHING FOR PROFITS

Your client is an insurance provider facing a decline in profits. Figure out why and suggest recommendations.

SOLUTION

- Total number of tractors purchased
 - Percentage of them buying an insurance policy.
- So, are less people preferring an insurance policy, or has the number of people purchasing tractors gone down?

You are correct. The number of tractors purchased has reduced.

Is it a supply side issue or a demand side issue?

No there are no issues on the supply of tractors. You can look into the demand related factors for tractors

Since the demand for tractors is declining, I will again consider the journey of a customer when the customer buys a tractor, starting from need till the post purchase behavior. Do we know if there is an issue with any of the factors?

The affordability of the customers in particular has declined. Can you analyze what could be the reasons?

Okay, I will look closely into the ways of buying a tractor:

- Using one's own finances
- Borrow money from:

- A local bank
- Local moneylenders.

In this case, I think they would be borrowing money. Do we know the source of their funds?

They generally borrow from a local bank.

The affordability can decline due to change in income or loan amount

The income is same whereas the loan has become costly.

The loan of a farmer would depend on:

- The price of the tractor
- The interest that the farmer must pay on the money borrowed.

Has there recently been any change in any of these?

Yes. Last year a lot of farmers defaulted on their loans, due to which the local banks have increased the interest rates.

Do we have any information on why the farmers defaulted on their loans?

PLOUGHING FOR PROFITS

Your client is an insurance provider facing a decline in profits. Figure out why and suggest recommendations.

SOLUTION

Yes, it was because of a bad monsoon during the year which affected the revenues of the farmers. Now that you have identified the root cause, can you suggest recommendations?

Sure, **Short-term strategies** include:

- 1) Collaborating with local agricultural cooperatives and farming communities to conduct workshops on risk management and insurance awareness.
- 2) Offer discounted premiums for group enrollments to boost insurance signups.

Long-term strategies includes:

- 1) Building partnerships with tractor manufacturers and dealers.
- 2) Offer bundled insurance package during tractor purchase.

That would be all, thank you.

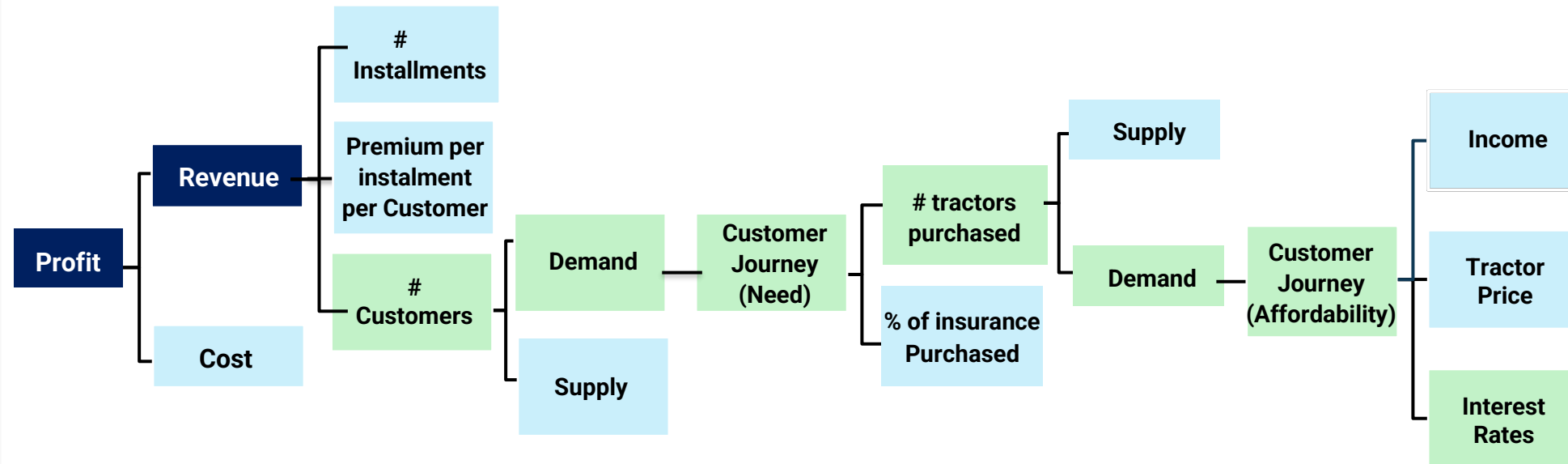
PLOUGHING FOR PROFITS

Your client is an insurance provider facing a decline in profits. Figure out why and suggest recommendations.

KEY LEARNINGS

APPROACH

- These type of cases are generally longer, and it is essential that they are started well, with appropriate preliminary questions to understand the context well.
- Sometimes, the problem doesn't lie within the industry in question, but an industry which is directly linked to it. Customer journey framework needs to be applied twice to deep dive into the problem.
- The recommendations also encourage the interviewee to think out of the box, since very less information is available.



BROWNIE POINTS

- Analyze competitor performance to identify industry-wide trends and best practices.
- Propose new offerings like flexible premiums to create a competitive advantage.
- Suggest new channels (e.g., FPOs, agri-tech) to reduce risk and expand reach.

STREAM & STRAIN

A leading OTT platform in India has invested heavily in regional-language content. Subscriptions are up, but profitability has sharply declined. As your client, they have approached you to diagnose the problem and recommend a sustainable path forward.

CLARIFYING QUESTIONS

Thank you. I'd like to clarify, how large is the profit decline and over what time period?

In the past 18 months, operating losses have doubled, even though subscribers grew 30%.

Got it. Is this unique to our client, or is it an industry-wide issue?

Most OTT players face similar pressure, but our client is one of the worst-hit due to aggressive regional investments.

STREAM & STRAIN

A leading OTT platform in India has invested heavily in regional-language content. Subscriptions are up, but profitability has sharply declined. As your client, they have approached you to diagnose the problem and recommend a sustainable path forward.

SOLUTION

Understood. Let me start broad: profitability = revenues – costs. Should I analyze costs first?

Yes, let's begin with content costs.

Regional content usually means high fixed costs:

- Production Budgets
- Dubbing
- Marketing

Do we know how much costs have increased per title?

Roughly 2x compared to Hindi-language productions.

And is that translating into higher engagement, more hours streamed, lower churn?

Engagement is up initially, but churn remains high after 2–3 months.

So, high acquisition but weak retention. Moving to revenues: is most revenue subscription-driven or do ads also matter?

75% subscriptions, 25% ads. But ad yields are much lower for regional content.

Let's double-click subscriptions. What's the current Avg Revenue Per User, and has it improved with regional content?

ARPU is flat at about ₹150/month. No improvement despite higher subscribers.

So, growing subscribers but flat ARPU indicates diluted profitability. On ads: are regional advertisers willing to pay premium CPMs (Price an advertiser pays per thousand ad impressions)?

Not really. Digital ad spend is growing, but YouTube and TV capture most local budgets.

To summarize, our client is stuck:

- Content costs rising 2x
- Subscribers up but ARPU flat
- Ad monetization weak

Is that correct?

STREAM & STRAIN

A leading OTT platform in India has invested heavily in regional-language content. Subscriptions are up, but profitability has sharply declined. As your client, they have approached you to diagnose the problem and recommend a sustainable path forward.

SOLUTION

Yes, that's correct.

Then let's explore solutions. On costs: can the client co-produce with regional studios to reduce upfront budgets?

Yes, but it hasn't been pursued aggressively.

On revenue: could tiered pricing capture high-value customers in metros while keeping low-cost access in Tier-2/3?

That's possible. Competitors like Netflix are already piloting it.

On ads: can we build hyperlocal ad targeting (e.g., state-level brands, regional SMEs) to raise yields?

Yes, but the ad-tech capabilities need investment.

Finally, strategically — partnerships with telecoms (Jio, Airtel) for bundling could raise ARPU and cut CAC. Is that on the table?

Yes, but hasn't been prioritized.

Great. So my recommendations are:

- 1) **Cost discipline:** co-productions, shorter-format content, data-driven greenlighting
- 2) **Revenue enhancement:** tiered pricing, bundling with telcos, cross-sell (music, gaming)
- 3) **Ad-tech investment:** hyperlocal targeting, SME ad platforms
- 4) **Strategic focus:** fewer but bigger regional hits instead of broad scattershot

Can you split this into short-term vs long-term fixes?

Short-term:

- Tighten budgets
- Co-produce
- Bundle with telcos
- Tiered pricing pilots

Long-term:

- Build strong ad-tech
- Diversify into cross-media bundles
- Focus on profitable regional genres only

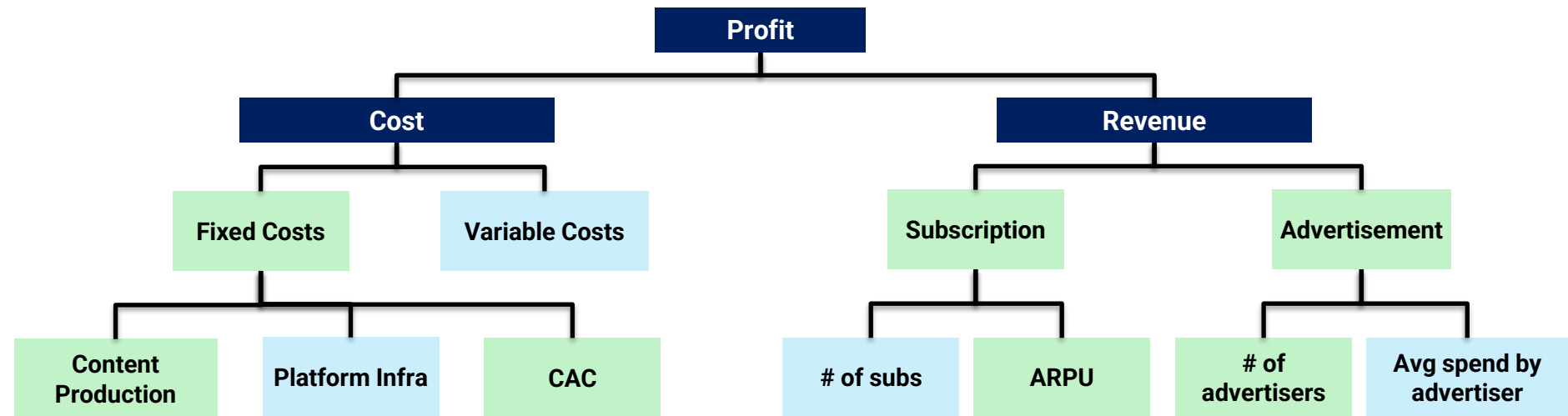
STREAM & STRAIN

A leading OTT platform in India has invested heavily in regional-language content. Subscriptions are up, but profitability has sharply declined. As your client, they have approached you to diagnose the problem and recommend a sustainable path forward.

KEY LEARNINGS

- Subscriber growth without ARPU growth is unsustainable.
- OTT profitability requires balancing volume (reach) with value (monetization).
- Regional bets must be selective, cost-optimized, and ROI-driven.
- Monetization needs ad-tech maturity, hyperlocal targeting, and tiered pricing.
- Long-term success will depend on ecosystem partnerships and bundling.

APPROACH



BROWNIE POINTS

- Mention India's ARPU problem (among the lowest globally → ~\$2–3/month).
- Point out that content greenlighting is upfront, but returns depend on retention and ad monetization.
- Note that regional users are harder to monetize with ads, given lower digital ad maturity in Tier-2/3 markets.
- Compare to competitors: Disney+ Hotstar lost IPL rights, Netflix pivoting to cheaper plans, Jio Cinema flooding free content.
- Suggest data-driven greenlighting of regional content (not “spray-and-pray” investments).

WHEELS OF WOES

The client is an Indian EV two-wheeler startup who has doubled sales in 18 months but still remains loss-making. Diagnose and suggest profitability levers.

CLARIFYING QUESTIONS

Thank you. First, may I clarify: since when has the firm been loss-making, and how large are the losses relative to sales?

The firm has been in losses since inception; the losses have widened last year despite sales growth.

Got it. Is this problem specific to our client or also faced by other EV players in India?

Most new entrants face similar profitability pressures, though established OEMs are slightly better off.

WHEELS OF WOES

The client is an Indian EV two-wheeler startup who has doubled sales in 18 months but still remains loss-making. Diagnose and suggest profitability levers.

SOLUTION

Understood. So, we can analyse profitability via breaking it into revenues and costs. Should I begin with costs?

Yes, please.

The largest cost driver in EVs is usually the battery, which can be 35–40% of the vehicle cost. Have the lithium prices risen significantly?

Yes, battery pack costs are up almost 25% in the last year.

And besides batteries, are there any other input costs: Motors, electronics, or supply chain, that are inflating margins?

Yes, imports of components and logistics costs are adding to the pressure.

That clarifies the cost side. For the revenues: are prices to consumers being raised in line with costs?

Not really, since price sensitivity is high and competitors are aggressive.

Understood. So, margins are being squeezed both by rising costs and inability to raise prices. What about government subsidies? Are they still significant?

Government subsidies have been cut recently, which reduced demand-side support

Got it. Let me summarize:

- Costs rising (batteries, imports, logistics)
- Prices not rising due to competition
- Subsidies tapering off

So unit economics are weak despite sales growth. Correct?

Yes, that's accurate

WHEELS OF WOES

The client is an Indian EV two-wheeler startup who has doubled sales in 18 months but still remains loss-making. Diagnose and suggest profitability levers.

SOLUTION

In that case, the path forward includes:

- 1) **Cost reduction:** localize battery packs, motors, and electronics; explore alternative chemistries
- 2) **Scale benefits:** increase volumes to spread fixed costs
- 3) **Revenue enhancement:** consider premium variants, battery leasing, and swapping solutions
- 4) **Partnerships:** tie-ups with fleet operators, charging infra providers, and battery suppliers
- 5) **R&D investment:** hedge against lithium risk with LFP or sodium-ion technology

Good. Can you split these into short-term vs long-term actions?

Short-term:

- Localize components
- Renegotiate supplier contracts
- Pilot battery leasing/swapping

Long-term:

- Diversify supply chain
- Develop in-house R&D
- Scale fleet partnerships

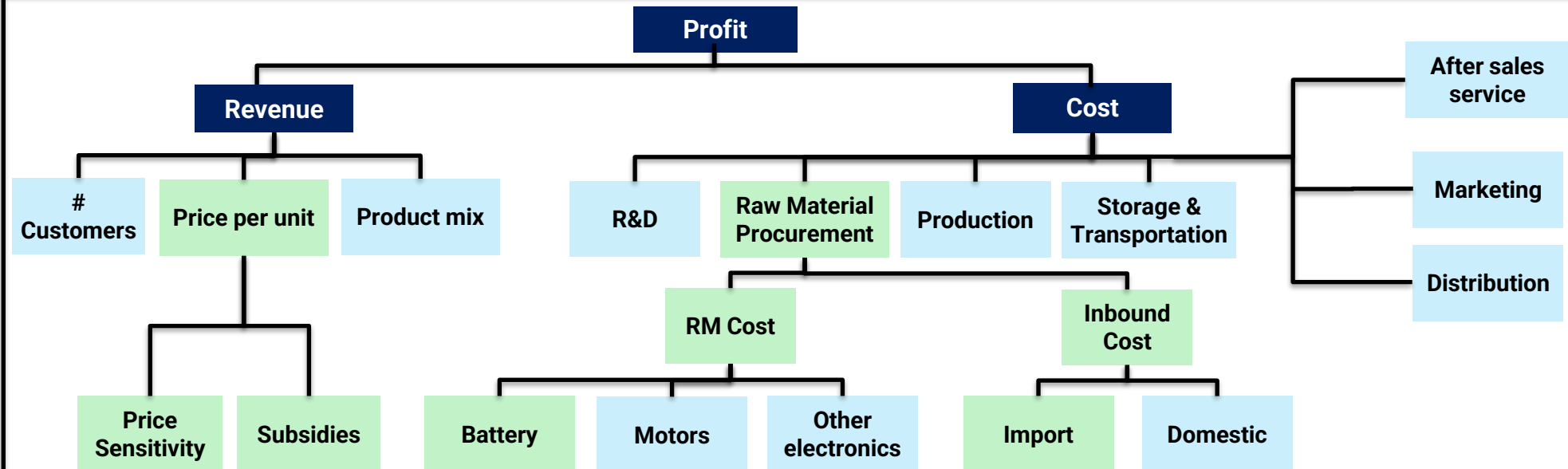
Great. That covers it. Thanks

WHEELS OF WOES

The client is an Indian EV two-wheeler startup who has doubled sales in 18 months but still remains loss-making. Diagnose and suggest profitability levers.

KEY LEARNINGS

APPROACH



BROWNIE POINTS

- Batteries account for ~35–40% of EV costs; lithium price volatility is critical.
- Subsidy tapering (FAME-II and state schemes) directly impacts affordability.
- Scale effects and localization (cells, motors, charging infra) can reduce costs.
- Ancillary revenue streams: battery swapping, after-sales, fleet tie-ups.
- Highlight unit economics: contribution margin per vehicle vs fixed costs.

TURBULENT MARGINS

An Indian low-cost airline is seeing record passenger numbers, but profits are negative. Diagnose the issue.

CLARIFYING QUESTIONS

Thank you. Before I start, can I clarify if this issue is recent or structural over multiple years?

This has persisted for the last 4–5 quarters

Understood. And could you tell me a bit about our client's competitors? Are other low-cost carriers in India also facing similar profitability issues?

Yes, the entire sector is under pressure, but our client's losses are deeper than their direct competitors.

Lastly, is this a national brand or present only in certain regions?

It's a pan-India brand.

TURBULENT MARGINS

An Indian low-cost airline is seeing record passenger numbers, but profits are negative. Diagnose the issue.

SOLUTION

Got it. Let me think in terms of **Profitability = Revenues – Costs**. Passenger volumes are rising, so revenues should be healthy. Do we know if yields (average ticket price per passenger) are stable?

Yields are under pressure because of competition — fares have been kept low.

Understood. So revenues aren't growing as much as passengers, but the bigger story might lie on the cost side. Let's break costs into major airline buckets:

1. Fuel
2. Lease & maintenance
3. Staff & operations
4. Airport charges

Can I start with fuel?

Yes, fuel is indeed a major component.

In India, **fuel** accounts for ~40–45% of costs. Have global oil prices or Indian ATF (Aviation Turbine Fuel) taxes increased recently?

Yes, ATF prices have risen sharply in the last year

That explains part of the margin hit. Now on **leases** — many Indian airlines lease aircraft in USD. Has the rupee depreciated against the dollar?

Yes, the rupee weakened significantly, and lease + maintenance costs are in USD

So that creates double pressure: higher dollar payments and higher fuel bills. Even with full planes, margins shrink. Do we know if the airline has hedging mechanisms in place?

Not very effective — they lag peers in fuel and currency hedging

That adds to the structural issue. On the revenue side, are there meaningful ancillary revenues (baggage fees, meals, seat selection, co-branded cards)?

Very limited compared to global low-cost carriers.

TURBULENT MARGINS

An Indian low-cost airline is seeing record passenger numbers, but profits are negative. Diagnose the issue.

SOLUTION

Got it. So summarizing, the profitability issue is due to:

- a) Fuel costs rising (external shock).
- b) Forex depreciation inflating USD-denominated leases.
- c) Fierce fare competition keeping yields low.
- d) Weak ancillary revenues to buffer margins.

That's right. What would you recommend?

I'd recommend a 3-pronged approach:

1) Cost Hedging & Efficiency

- Hedge fuel purchases and currency exposure more proactively
- Explore fuel-efficient fleet upgrades (new-gen aircraft, better load planning)

2) Revenue Diversification

- Build ancillary revenues: charge for baggage, meals, seat priority, loyalty tie-ups
- Launch co-branded credit cards, inflight ads, and holiday bundles

3) Pricing Strategy

- Use data-driven dynamic pricing to avoid underpricing on high-demand routes
 - Consider capacity discipline instead of fare wars
- This way, even with high passenger numbers, unit economics improve

Perfect. Thank you

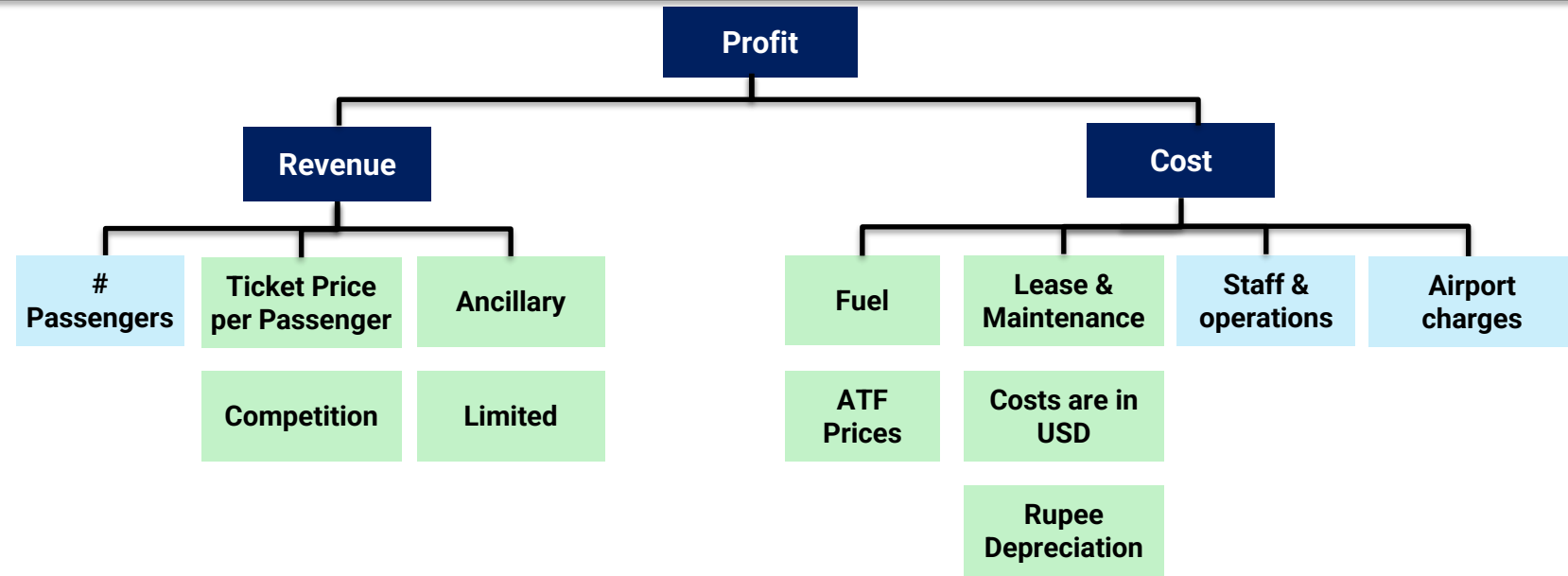
TURBULENT MARGINS

An Indian low-cost airline is seeing record passenger numbers, but profits are negative. Diagnose the issue.

KEY LEARNINGS

- High passenger load factor $\neq$ profitability in aviation.
- Costs (fuel, leases) are often external and volatile.
- Hedging + ancillary revenue are critical profitability levers for low-cost carriers.

APPROACH



BROWNIE POINTS

- Mention fuel costs (40%+ of airline expenses in India)
- Talk about USD exposure on aircraft leases and maintenance contracts
- Note pricing pressure from competition (fare wars)
- Suggest hedging strategies, ancillary revenue (baggage, meals, priority boarding)

PROFITS IN THE SHADE

An Indian solar panel manufacturer has rising sales but declining profits. What's going wrong?

CLARIFYING QUESTIONS

Thank you. To clarify, is this an India-only issue, or global as well?

Mostly India, but linked to global market trends

Understood. What is the client's position in the value chain? Are they just assembling panels, or are they backward-integrated into manufacturing components like polysilicon, wafers, or cells?

They import the key inputs, primarily from China, and assemble the panels in India.

Finally, who are their primary customers in India? Are they selling to large-scale solar farms, commercial clients, or residential installers?

Their main customers are large-scale solar project developers, many of whom are state-owned distribution companies, or DISCOMs.

PROFITS IN THE SHADE

An Indian solar panel manufacturer has rising sales but declining profits. What's going wrong?

SOLUTION

Got it. Profit = Revenue – Costs. Since sales are rising, let's check revenues first. Are average selling prices (ASP) stable, or are they falling due to competition?

ASPs are falling because cheaper Chinese imports are flooding the market

That's a red flag. It confirms that the revenue per unit is shrinking even while we are selling more units. This leads to "profitless growth" and puts immense pressure on our margins.

Exactly. Now let's analyze costs.

I'll break down the cost side into two main buckets: input costs and working capital costs.

1. **Input Costs:** Solar panels depend heavily on polysilicon, wafers, and cells. Given the global market trends you mentioned, are the prices for these raw materials volatile?

Yes, polysilicon prices spiked last year due to global supply shortages and are still high.

So the client is facing a severe margin squeeze: prices are falling due to an oversupply of finished panels from China, but their input costs are rising due to a global shortage of raw materials. And since they import these inputs from China, they are also exposed to foreign exchange and supply chain risks.

Yes, that's correct. Now let's look at second bucket.

2. **Working Capital Costs:** Now for the second bucket. You mentioned that many of the buyers in India are state-owned DISCOMs, which are known for delaying payments. Is this affecting the client's working capital?

Yes, their accounts receivables are stretched, which has increased their financing costs as they have to borrow more to manage their cash flow.

PROFITS IN THE SHADE

An Indian solar panel manufacturer has rising sales but declining profits. What's going wrong?

SOLUTION

So, to summarize, the client's profits are falling due to:

- a) **Price Pressure:** Cheaper Chinese imports are driving down the selling price of their solar panels.
- b) **Cost Pressure:** Rising global prices for key raw materials like polysilicon are increasing their production costs.
- c) **Capital Pressure:** Delayed payments from customers are stretching their working capital and adding financing costs.

Exactly. What would be your recommendations?

My recommendations are structured to tackle the three key pressure points:

Cost Levers:

- 1) Explore manufacturing cells and wafers in-house, leveraging India's PLI schemes to reduce import dependency.
- 2) Implement a hedging strategy for polysilicon and foreign exchange exposure to manage price volatility.

Revenue Levers:

- 1) Compete on higher efficiency, longer warranties, and superior after-sales service, not just price.
- 2) Expand into higher-margin services like EPC (Engineering, Procurement, Construction) or develop own solar parks.
- 3) Focus on Exports: Target US/EU markets where tariffs on Chinese panels create a competitive advantage for Indian manufacturers.

Working Capital Management:

- 1) Negotiate Better Terms: Secure more favorable payment cycles with government and PSU clients.
- 2) Diversify Customer Base: Actively pursue private Commercial & Industrial (C&I) clients who typically have faster payment cycles.

Great, thank you

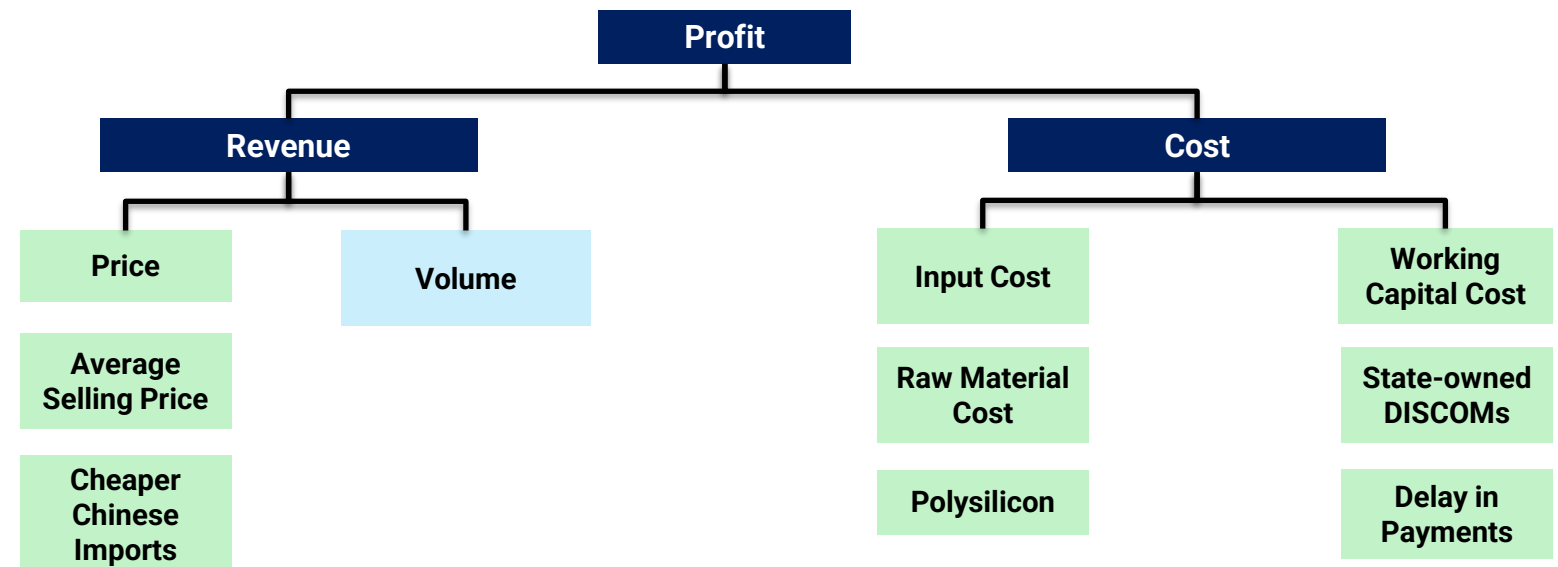
PROFITS IN THE SHADE

An Indian solar panel manufacturer has rising sales but declining profits. What's going wrong?

KEY LEARNINGS

APPROACH

- Profitability must be analyzed under capacity constraints, not just per-unit margins.
- The most profitable unit per product isn't always the most profitable per hour.
- Smart mix reallocation alone can deliver double-digit profit improvement.
- Align governance and incentives to throughput optimization.



BROWNIE POINTS

- Mention falling global panel prices (China oversupply)
- Point out volatile polysilicon prices and import dependencies
- Highlight working capital intensity (slow-paying government DISCOMs)
- Discuss PLI schemes / tariffs as possible levers
- Suggest moving up value chain into EPC or solar parks for margin capture

FACTORY FALLOUT

Your client, InduraTech, is a mid-sized manufacturer of industrial appliances. Despite stable industry demand, they've seen profits decline steadily for the past four quarters. Help diagnose the issue and recommend a way forward.

CLARIFYING QUESTIONS

Thank you. Before diving in, I'd like to clarify a few things: Is the decline industry-wide or specific to our client?

It's client-specific issue.

Understood. Is the decline sudden or gradual?

It's gradual over the year.

Does it affect all products or certain SKUs?

It affects all three SKUs.

Lastly, should I focus more on revenues or costs?

Costs are broadly stable — focus on revenues.

FACTORY FALLOUT

Your client, InduraTech, is a mid-sized manufacturer of industrial appliances. Despite stable industry demand, they've seen profits decline steadily for the past four quarters. Help diagnose the issue and recommend a way forward.

SOLUTION

Got it. **Revenues = Price × Volume**

On the price side: have there been changes in

- List Prices
- Discounts
- Pack Sizes?

Prices are unchanged.

Then I'll focus on volume. Volume can be impacted by:

- Demand (customer pull)
- Supply (our ability to deliver).

On the demand side: is industry demand steady, or have customer preferences shifted away from our products?

Demand is healthy, and competitors are not facing issues.

Then the issue is likely on the supply side. Let me split that into:

- Distribution (channels, logistics, stock-outs)
- Production (capacity, efficiency, quality).

Are there any distribution constraints?

Distribution has been smooth.

Then the problem likely lies in production capacity or efficiency. I'd like to check:

1. Does the plant run on multiple independent lines or a shared line?
2. Are there any steps that act as a bottleneck limiting throughput?
3. Has the product mix changed recently that could stress certain steps?

Yes, all SKUs share a heat treatment oven, which is the bottleneck. Last year, management began prioritizing Product A, which has the highest unit contribution margin.

That's helpful. Since capacity is constrained, the right way to think about profitability is contribution per bottleneck hour, not per unit. Could you share:

- Contribution margin per unit
- Oven time per unit
- Monthly oven capacity
- Demand ceilings or mandatory minima?

FACTORY FALLOUT

Your client, InduraTech, is a mid-sized manufacturer of industrial appliances. Despite stable industry demand, they've seen profits decline steadily for the past four quarters. Help diagnose the issue and recommend a way forward.

SOLUTION

Here is some data:

Contribution/unit = A: ₹1,000, B: ₹800, C: ₹500.

Oven time/unit = A: 5h, B: 3h, C: 1h.

Demand ceilings: $A \leq 2,000$, $B \leq 1,500$, $C \leq 4,000$.

Contractual requirement: at least 100 units of A each month.

Perfect. Let's calculate Contribution per Oven Hour (Throughput per Constraint Hour):

$A = 1000 \div 5 = ₹200/\text{hr}$

$B = 800 \div 3 \approx ₹267/\text{hr}$

$C = 500 \div 1 = ₹500/\text{hr}$

So, although A has the highest per-unit margin, it has the lowest per-hour return. C is actually the most profitable product in terms of bottleneck utilization.

Interesting. Can you compare the current vs optimal allocation? The current time allocation is A: 70%, B: 20% and C: 10% of 1,000 hrs.

Sure,

A: $700 \div 5 = 140$ units $\rightarrow ₹1,40,000$

B: $200 \div 3 \approx 66$ units $\rightarrow ₹52,800$

C: $100 \div 1 = 100$ units $\rightarrow ₹50,000$

Total = ₹2.43 lakhs

If instead we do A-minimum (100 units = 500 hrs) and allocate remaining 500 hrs to C:

A: 100 units $\rightarrow ₹1,00,000$

C: 500 units $\rightarrow ₹2,50,000$

Total = ₹3.50 lakhs. That's a 44% uplift in contribution without changing prices or costs.

Very clear. Any caveats?

Yes, there are some.

- 1) Ensure C demand is sufficient (ceiling 4,000, so safe).
- 2) Keep A minimum for strategic/contractual reasons.
- 3) Manage oven setup/changeover times.
- 4) Align incentives to throughput profit, not units produced.

FACTORY FALLOUT

Your client, InduraTech, is a mid-sized manufacturer of industrial appliances. Despite stable industry demand, they've seen profits decline steadily for the past four quarters. Help diagnose the issue and recommend a way forward.

SOLUTION

Excellent. What recommendations would you give?

- **Short-term:** Allocate capacity by throughput/hour ranking ($C > B > A$). Produce A minimum, maximize C, then B.
- **Medium-term:** Improve oven OEE (preventive maintenance, faster changeovers).
- **Long-term:** If demand sustains, invest in extra oven capacity or outsource. Update S&OP governance to track profit per constraint hour.

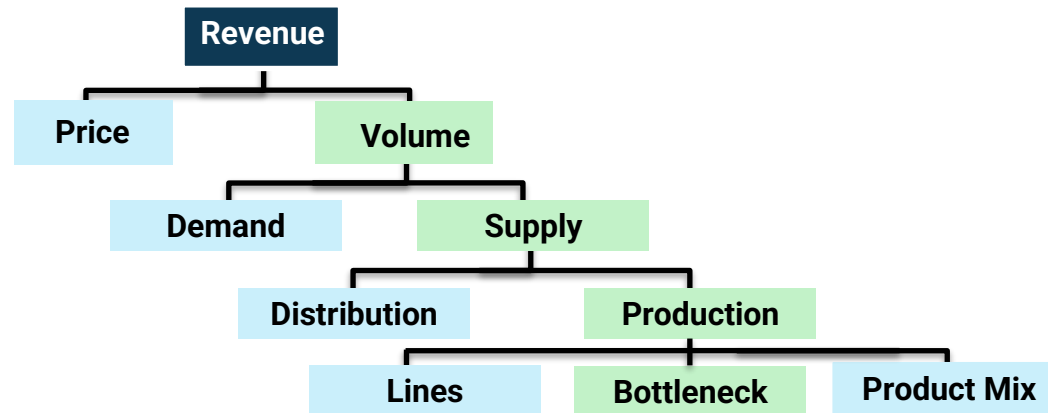
That's well-structured. Thank you — that concludes the case.

FACTORY FALLOUT

Your client, InduraTech, is a mid-sized manufacturer of industrial appliances. Despite stable industry demand, they've seen profits decline steadily for the past four quarters. Help diagnose the issue and recommend a way forward.

KEY LEARNINGS

APPROACH



Since C is most profitable product in terms of bottleneck utilization; we should maximize C's production by fulfilling min requirement of A.

- **A = 100 units**, Hrs required = $100 \times 5 = 500$ hrs
- Time left = 500 hrs, C = $500/1 = 500$ units

Total Optimal contribution = $100 \times 1000 + 500 \times 500 = \text{₹}3.50$ lakhs

	A	B	C
Contribution/unit (₹)	1000	800	500
Oven time/unit (hrs)	5	3	1
Demand ceilings	2,000	1,500	4,000
Min. requirement	100	0	0
Contri./Oven time (₹/hr)	$1000/5 = 200$	$800/3 = 267$	$500/1 = 500$
Time allocation (hrs)	700	200	100
Units produced	$700/5 = 140$	$200/3 = 66$	$100/1 = 100$
Contribution (₹)	$140 \times 1000 = 1,40,000$	$66 \times 800 = 52,800$	$100 \times 500 = 50,000$
Total Current Contribution = ₹2.43 lakhs			

BROWNIE POINTS

- Flag caveats: demand ceilings, contracts, setups, incentives.
- Balance short-term reallocation with long-term strategic fixes.
- Apply Throughput Accounting instead of just unit margins.
- Run current vs optimal mix numbers to prove impact.



MARKET ENTRY

OVERVIEW

Client is considering entering a new market. Your goal is to recommend whether or not they should enter it (through various means). For these types of cases, it is common that the client is looking to invest in the expansion and get returns. In addition to financial feasibility of the plan, one must also test: Likelihood of implementation success based on industry conditions and firm capabilities, Risk Assessment

Some key points of discussion are as below

Strategy

- **Why are they thinking of market entry?**
 - Growth
 - Mature current market
 - Response to competitors
- **Resources and Capabilities**
 - What does the firm have that makes them think they will be successful?
 - Brand
 - Patents
 - Local Expertise
- **Mode of Entry**
 - Self Launch
 - Acquisition
 - Joint Venture

Economics

- **New Market Conditions**
 - Market Size
 - Possible Revenue
 - Possible Growth
- **Competition in New Market**
 - Market Share
 - Pricing your product vis-à-vis competitors
- **Parameters to Consider**
 - Investment Required
 - Client Capacity to invest
 - Expected Revenue
 - Expected Profits
 - Payback Period for investment

Risks

- **Barrier to Entry**
 - Regulatory Barriers
 - Financial Capabilities
 - Existing Players and their market share
 - Porter's Five Forces
- **Risks**
 - Implementation
 - Political
 - Currency
 - Other macroeconomic factors

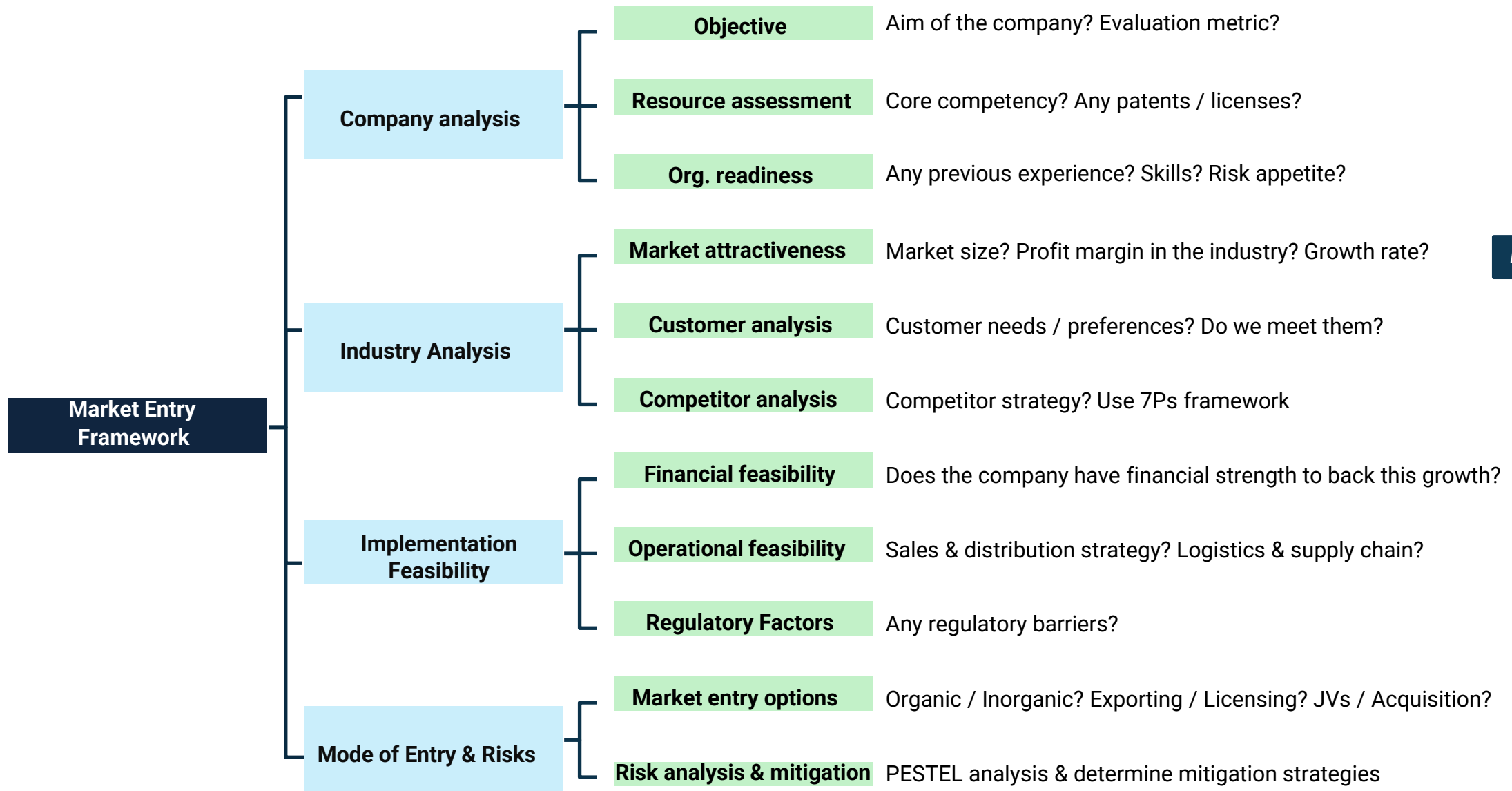
PRELIMINARY QUESTIONS TO CONSIDER*

- What business is the client operating?
- How the client performing currently?
- Does the client have any prior experience in the new market/geography?
- What is the aim of the client? (Revenue, Profit, Payback Period etc.)
- How is the competitive landscape in the new market?
- What are the client's capabilities and bottlenecks?

*3CP Framework can be used

For a comprehensive framework, refer to the next slide

FRAMEWORK (2/3)



Next slide

FRAMEWORK (3/3)

$$\text{Profits} = \text{Market Size} \times \text{Market Share} \times \frac{(\text{Price} - \text{Cost})}{\text{Unit}} - \text{Fixed Costs}$$

MARKET SIZING

Once the preliminary questions have been answered and the situation looks favourable, market sizing needs to be done to understand the financial viability of the market entry. This guesstimate can be done either through a top-down or bottom-up approach.

MARKET SHARE

Understand incumbents' market share and estimate the possible market share for the client. This is essential to understand serviceable obtainable market (SOM) for client.

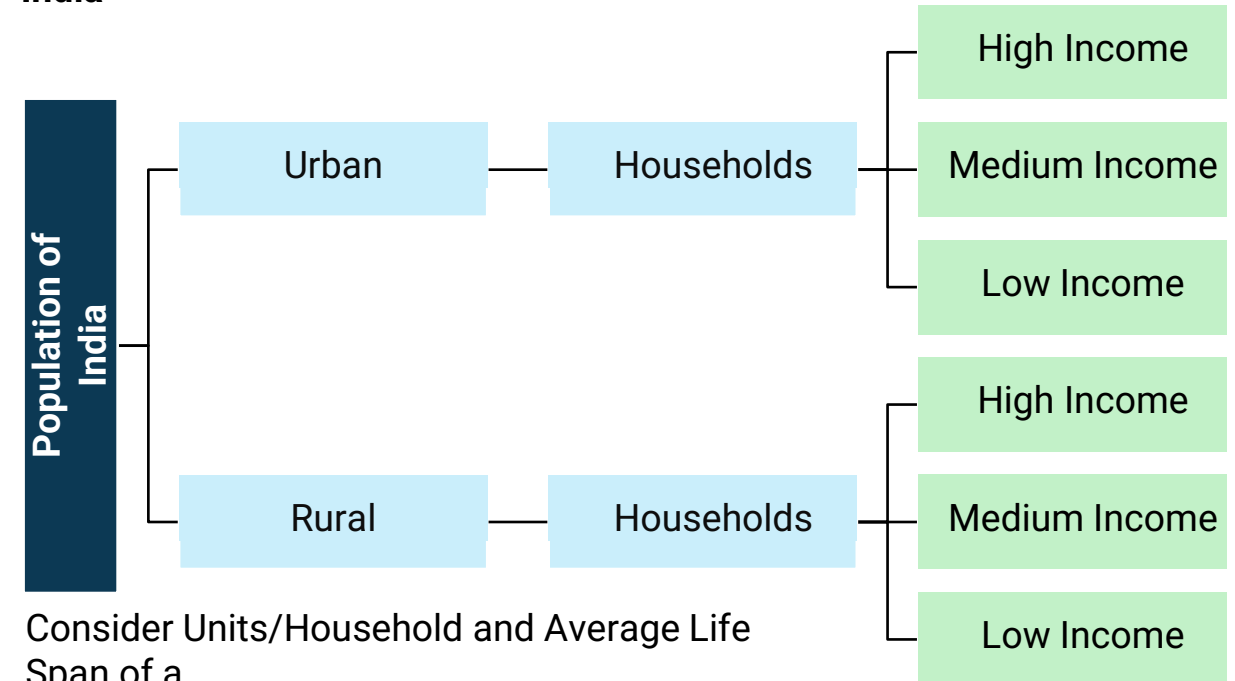
PRICE

If the client does not have a price point for the product/service in mind, you can use any of the approach covered under 'Pricing' frameworks to estimate the price.

FIXED COST

This is the initial capital invested by the client in building capacity and adding resources when entering the market

Example: Estimate the market size of refrigerators in India



Consider Units/Household and Average Life Span of a

Refrigerators to arrive at the final market size

Once the market size and other financial parameters have been estimated, conduct a feasibility study for implementation.



CABCRAFT: ONBOARD & ON-ROAD

Your client is a cab hailing app. They have developed a new product for the Delhi-NCR Market. Devise an end-to-end strategy for the launch.

CLARIFYING QUESTIONS

Understood. Before structuring my approach, I would like to ask a few preliminary questions. What exactly is the new product?

The product is a bike-taxi, you can consider it like Rapido.

Got it. And what is the primary objective of the client for this launch?

The objective here is to analyze three aspects: market selection, pricing, and implementation.

Lastly, is there a similar product in the market?

You can assume there are no similar products in the NCR market.

CABCRAFT: ONBOARD & ON-ROAD

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SOLUTION

Okay, thank you. To devise the launch strategy, I will structure my analysis in the three parts you mentioned:-

- Market Selection: Where in the Delhi-NCR should we launch first?
- Pricing Strategy: How should we price the service to be competitive and profitable?
- Implementation Plan: What are the key steps to launch and scale the service?

I'd like to start with Market Selection. The key factors here would be state regulations and local demand.

That's a great insight. Can you elaborate on regulations and demand?

Due to restrictions on commercial 2-wheelers in Delhi, it would be prudent to launch in either Noida or Gurgaon. Focusing on Gurgaon initially makes sense given its better metro coverage and numerous corporate offices, creating a strong demand for end-to-end last-mile connectivity for office commuters.

Great. Let's say we start with Gurgaon. How would you price the product?

I would use a two-pronged approach:-

- A cost-based calculation to set the minimum price
- A value-based approach using competitor proxies to set the market price.

Sure, let's calculate the cost.

The major costs would be

- a) R&D costs
- b) Variable costs like fuel, driver salary.

On top of that, our client would expect a margin. Do we have any numbers for these, or should I assume some?

That sounds right. We expect no margin initially, but the drivers expect 20k income per month, out of which he'd be paying the bike EMIs as well.

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SOLUTION

Fuel Cost: Assuming 10 trips of 5 km each day (50 km/day) and a mileage of 50 km/L, the daily fuel consumption is 1 litre. At ₹100/L, this is ₹100 per day.

For 30 working days, the monthly fuel cost is ₹3,000.

- **Total Monthly Cost:** ₹20,000 (Driver Salary) + ₹3,000 (Fuel) = ₹23,000.
- **Total Monthly Trips:** 10 trips/day x 30 days = 300 trips.
- **Cost per Trip:** ₹23,000 / 300 trips ≈ ₹77 per trip.-
- **Cost per Km:** The average trip is 5 km, so the cost is about ₹15/km.

That's the cost. Now, how'd you set the actual price?

To set the market price, we can use auto-rickshaws as a proxy for willingness to pay for last-mile connectivity. They charge around ₹15/km. Since we are providing a more convenient and faster service, we can command a premium. I would recommend setting the price at ₹20/km.

Okay. How to implement the product now? What all is to be taken care of?

Implementation would start with:-

- Onboarding drivers
- Launching the app
- Bringing in customers (promotion)

Yes. Launching the app is simple. What would be an ideal driver candidate?

The candidates should own a bike and have a valid driving license. I would imagine a young/mid-age man who is comfortable using mobile apps. Food delivery professionals are a good proxy.

Alright.

Moving on to the promotional campaign:
What would be the USPs of your campaign?
What channels would you use to promote?

CABCRAFT: ONBOARD & ON-ROAD

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SOLUTION

Under the promotional campaigns, I would highlight three things:

- a) Affordability
- b) Time saved in traffic
- c) Safety

Since we are offering end-mile connectivity to metro passengers, we can place hoardings inside metro trains and metro stations. We can also set up billboards at office spaces near metro stations.

Great. That'll be all. Thank you!

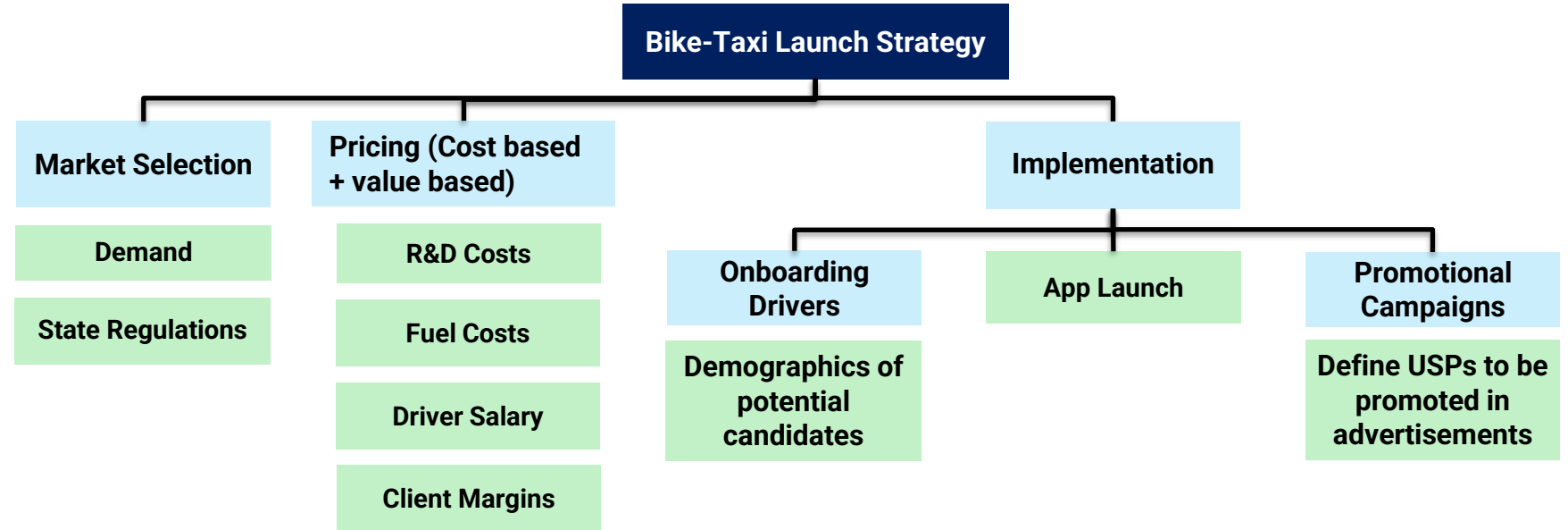
CABCRAFT: ONBOARD & ON-ROAD

Your client is a cab hailing app. They have developed a new product for the Delhi-NCR Market. Devise an end-to-end strategy for the launch.

KEY LEARNINGS

APPROACH

- A robust pricing strategy is built by finding the floor with a cost-based analysis and finding the ceiling with a value-based (or competitor proxy) analysis.
- For any two-sided marketplace, a successful launch plan must have a clear strategy for building both supply (drivers) and demand (customers) simultaneously for network effect.
- The most effective way to launch a location-based service is to start with a hyper-local focus, dominating a small, high-demand area before expanding.



BROWNIE POINTS

- Go beyond setting the price & calculate projected profit/trip & overall unit economics to validate the business model.
- Suggest a phased rollout within Gurgaon, starting with a pilot in a few high-density corridors (like Cyber City) before a full city launch.
- Include a specific incentive str. (e.g., sign-on bonuses, min income guarantees) to quickly build the driver supply.
- Identify key risks, such as regulatory changes, competitive responses, and challenges in achieving a critical mass of users and drivers.

LOOM TO ZOOM

Your client is Raymond. They are looking to enter the online market. Devise an end-to-end strategy for the same.

CLARIFYING QUESTIONS

I would like to ask a few preliminary questions. What is Raymond's objective behind this launch?

The product company has an offline presence in 60 cities and is feeling stagnation. It's aiming to increase its reach by using geography.

Got it. What all services does the client offer?

Their service offerings are currently split, with 70% going to the fabric segment, and 30% going to the fabric and stitching segment.

Understood. Lastly, are there any competitors in this segment?

As for competition, apart from 1-2 startups, there are no other online players in the market.

Your client is Raymond. They are looking to enter the online market. Devise an end-to-end strategy for the same.

SOLUTION

Sure. I would like to start with the market selection part. Starting with the cost of the offering, I would like to assume it is similar to the offline market costs, since the production infrastructure is already set up.

May I know the selling price of the offering?

There are two offerings, sold at Rs. 4000 & Rs. 5000 respectively.

To assess the financial feasibility of targeting Raymond's market, we can take a top-down approach:

- Segmenting the Indian population into rural and urban sectors, further divided by income levels.
- Considering Raymond's premium branding and focus on formal wear, the target demographic would primarily consist of older men with high incomes in rural areas and mid-to-high incomes in urban areas.

This assumption aligns with the brand's positioning and product offerings.

Yes, that is fair, carry on.

Okay, so upon making the relevant calculations, I estimate our market size to be around 0.01 Billion people. Our products cost Rs. 4500 on average. This gives us a market of Rs. 45 Billion.

Now, to determine the financial feasibility, we need to consider the client's variable and fixed costs and their desired level of profit from this undertaking.

That sounds about right, please continue with your analysis.

For that, I would like to clarify something about the delivery system. I want to know whether the distance to delivery would be high or not, as that might lead to increased costs and complexity.

No, the distance is not high, consider the average distance of deliveries to be within the feasible range.

Okay, for operational feasibility:

- Raymond's existing offline presence provides the necessary transportation and logistics infrastructure to expand manufacturing for online sales.

LOOM TO ZOOM

Your client is Raymond. They are looking to enter the online market. Devise an end-to-end strategy for the same.

SOLUTION

- We need to hire staff for the online store
- We can also utilize customer feedback for process improvement.

Fine, so the project is feasible, how would you go about implementing it?

For the implementation:

- Start with setting up an online store and listing the catalogue of products.
- After that, a marketing campaign must be undertaken to increase awareness about the online store.

Okay, so what would be the focus of this marketing campaign?

Marketing should be focused on our target demographic of rich, old males. Additionally, we should focus on acquiring repeat purchases from our customers.

What measures should we take to increase the number of repeat purchases?

We can take several measures :-

- **Save Customer Measurements:** Store customer measurements with their online account. This removes friction for future orders and prevents size mismatches.
- **Offer Bulk Deals:** Introduce discounts for customers purchasing more than one suit to encourage multiple purchases in a single transaction.
- **Implement a Re-engagement Cycle:** Since the product life is around 7-9 years, we can automatically send a personalized offer for a new suit to a customer around the 7-year mark.

Great. That'll be all. Thank you!

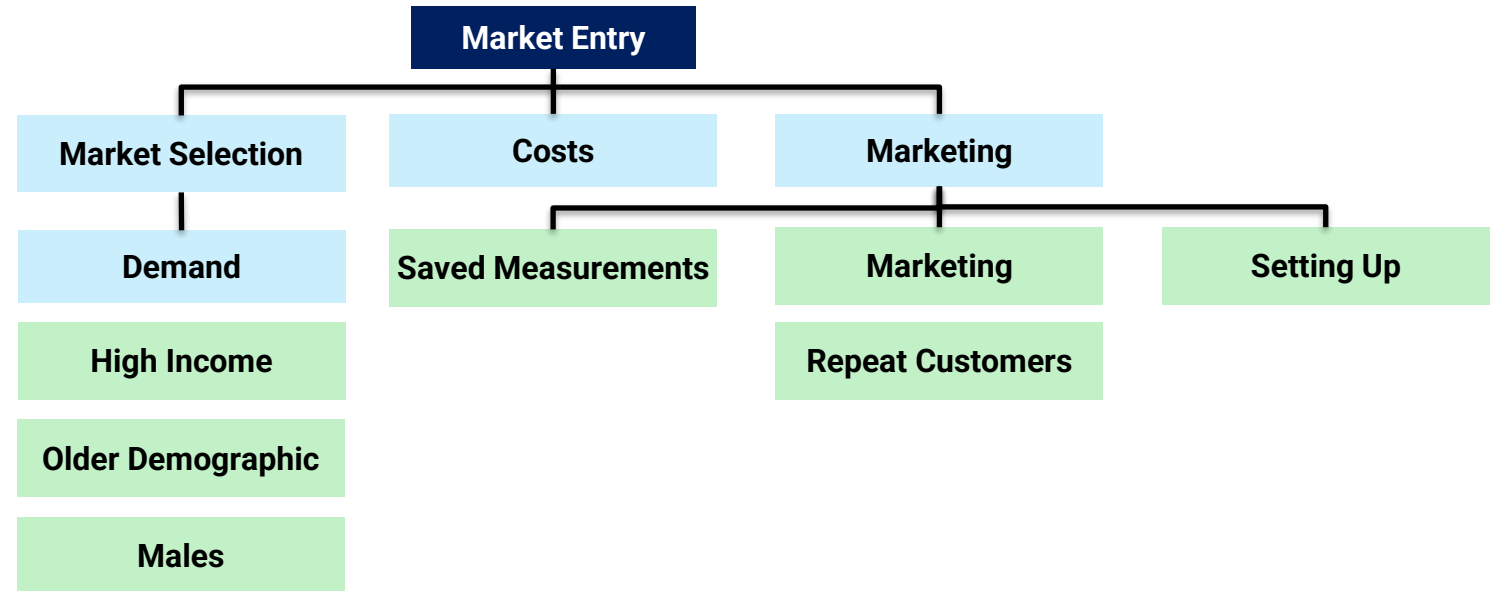
LOOM TO ZOOM

Your client is Raymond. They are looking to enter the online market. Devise an end-to-end strategy for the same.

KEY LEARNINGS

APPROACH

- The most powerful e-commerce strategy for an established offline player is to leverage its existing assets like brand, logistics, and manufacturing.
- For a premium brand, the lifetime value of a customer is high, making retention strategies as important as acquiring new customers.
- A successful market entry is always built on a deep understanding of a specific target demographic and tailoring the product and marketing to their unique needs.



BROWNIE POINTS

- Identify the risk of the online store cannibalizing sales from offline franchises and propose mitigation strategies like "click and collect."
- Specify the online channels to reach an older, high-income demographic, such as targeted ads on business news websites.
- Suggest features tailored to the target audience, like an online stylist consultation or a very simple user interface.

BRANCHLESS BHARAT

Our client is a well-established commercial bank in India. They're losing market share to nimble fintech startups and want to launch a fully digital bank to win over the younger generation. They've asked for our help in devising a go-to-market strategy. How would you approach this problem?

CLARIFYING QUESTIONS

Before structuring my approach, I'd like to clarify a few points about the client and their objectives.

First, what is the client's exact ambition with this neo-bank? Do they want profitability from day one, or is the focus more on market share and adoption?

The primary objective is to capture significant market share.

Who is the target customer segment for this neobank?

The target is the 18–35 age group in urban India.

Understood. What is the budget allocated for this initiative?

They have a budget of ₹100 crores for tech build-out and marketing.

Got it. Lastly, what do we know about the client's strengths and constraints?

Their main strengths are a large balance sheet and a trusted brand. The main challenge is competition from fin-techs with better agility and UX.

BRANCHLESS BHARAT

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SOLUTION

Great. With that in mind, here's how I'd structure my approach:

1. Assess **financial feasibility**
2. Analyze the **market and competitive landscape**
3. Design a **phased product strategy**
4. Outline a **go-to-market plan**
5. Identify and mitigate **risks**
6. Provide a **final recommendation**

Sounds good. Let's begin with financial feasibility.

Sure. The key is to ensure the customer acquisition cost (CAC) is sustainable compared to the lifetime value (LTV).

- Budget = ₹100 crores (marketing + tech build).
- If average CAC = ₹500 → We can acquire **2 million users**.
- We must then project **LTV per user over 3–5 years** to check profitability.

So, financial feasibility hinges on keeping CAC low while driving long-term engagement.

Good. Now let's discuss the market and competitive dynamics.

The market is ripe for digital transformation, and India has a massive fintech industry. The main challenge is the number of existing players. Our client will compete against fintech known for their agility and user experience. The key is differentiation.

The client's strengths are a strong balance sheet and trusted brand. The competition is agile. How would you structure the product offering to attract and retain the target demographic?

I'd suggest a phased, modular rollout:

Phase 1 (Core Offering):

- No-minimum-balance digital savings account.
- Competitive interest rates.
- 100% digital, seamless onboarding.

Phase 2 (Expanded Features):

- Expense tracking.
- Goal-based savings tools.

Phase 3 (Value-Added Services):

- Instant small-ticket loans
- Lifestyle tie-ups for discounts and offers.

BRANCHLESS BHARAT

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SOLUTION

Excellent. Now, how would you approach go-to-market and customer acquisition?

The GTM strategy should feel fresh and distinct from the parent brand:

Brand Identity:

- Youthful, lifestyle-driven positioning.
- Focus messaging on convenience, freedom, and lifestyle.

Digital-First Marketing:

- Social media campaigns.
- Influencer partnerships.
- Referral programs for viral growth.

Distribution:

- App-only offering.
- Partnerships with **universities, educational institutions, and co-working spaces** to tap the 18–35 segment directly.

Good. What are the biggest risks, and how would you mitigate them?

Two key risks stand out:

Customer Churn:

- Switching costs are low.
- **Mitigation:** Continuous user feedback + UX improvements.

Regulatory Risk:

- RBI compliance requirements may shift.
- **Mitigation** → Close collaboration with regulators, compliance-first design.

Great. So, what's your final recommendation?

My recommendation is to proceed with the digital bank launch:

- **Financially viable** if CAC is managed well
- Market potential is **strong** among urban youth
- Use a **phased product rollout** (savings → tools → value-add)
- Adopt a **digital-first GTM** with fresh branding and influencer-led marketing
- Actively mitigate **churn and regulatory risk**

Perfect. That will be all.

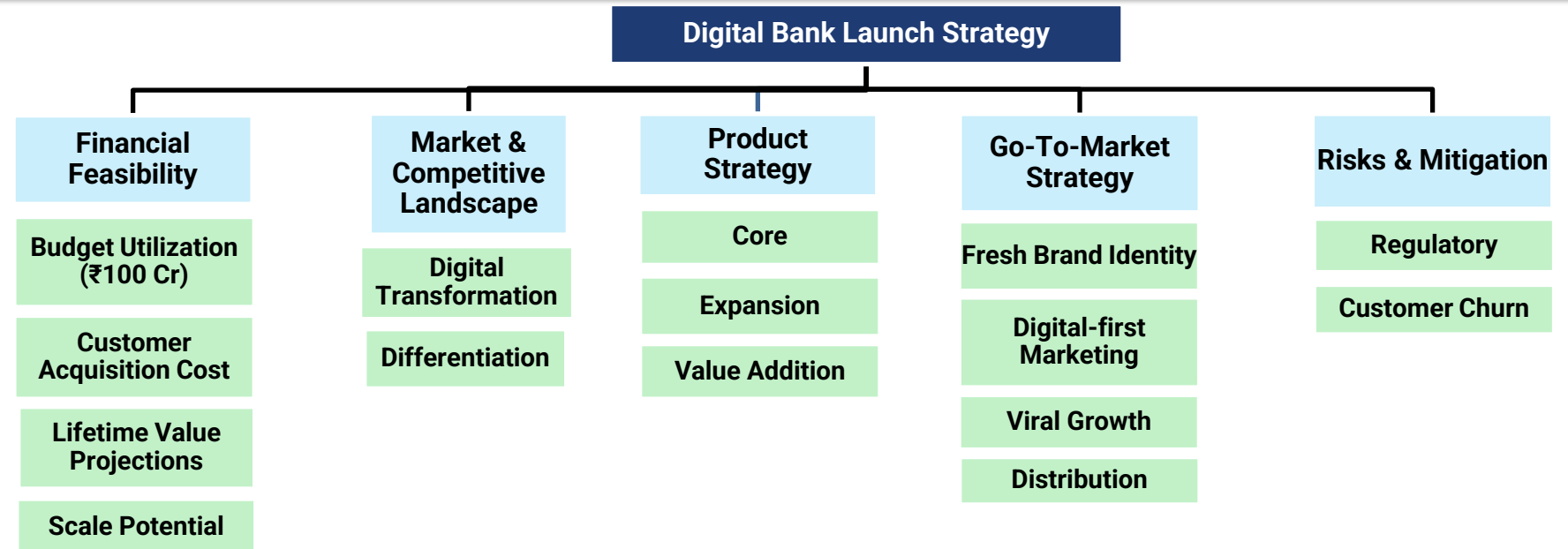
BRANCHLESS BHARAT

Our client is a well-established commercial bank in India. They're losing market share to nimble fintech startups and want to launch a fully digital bank to win over the younger generation. They've asked for our help in devising a go-to-market strategy. How would you approach this problem?

KEY LEARNINGS

- The recommended strategy of launching a simple product and then adding features (a modular rollout) is a core principle of modern digital product development.
- To compete in a crowded market, a new digital brand must be distinct from its traditional parent, focusing on a fresh value proposition.
- For any digital business, the relationship between Customer Acquisition Cost (CAC) and Lifetime Value (LTV) is the most critical metric for sustainable, long-term profitability.

APPROACH



BROWNIE POINTS

- Define a specific MVP for the initial launch (e.g., just a savings account) before outlining phased feature rollout.
- Address regulatory hurdles from Reserve Bank of India (RBI) for a digital-only bank and how to navigate them.
- Propose a B2B2C channel strategy, such as partnering with universities for student accounts or with large companies for salary accounts.

SCOOP IN THE STADIUM

Our client is an Ice Cream franchise and is evaluating the possibility of opening a new outlet in a Stadium in Chennai. Create a GTM strategy for the same

CLARIFYING QUESTIONS

Sure! Can you tell me more about the client?

The client is a well-known player in the ice-cream industry with branches across the country. They primarily serve the mid to high-income consumer segment.

Okay. Why does the client want to open a new outlet in a stadium?

Everyone is aware of the sports frenzy in India. The client wants to make profits out of this while simultaneously promoting its brand to the spectators.

Fair enough. What kind of stadium is it? Do we have any info on the matches hosted, frequency of matches, etc.?

Yes, it is a cricket stadium. It is set to host matches from the upcoming season of IPL, a significant event of the year.

Okay. Before I proceed with the analysis, do we have any info on the other stalls already present in the stadium?

There are several stalls selling snacks & beverages in the stadium. However, currently there is only one stall among them that sells vanilla softy ice-creams.

SCOOP IN THE STADIUM

Our client is an Ice Cream franchise and is evaluating the possibility of opening a new outlet in a Stadium in Chennai. Create a GTM strategy for the same

SOLUTION

I'd like to investigate the three main aspects of evaluation when looking to open a new outlet in any location:

1. Attractiveness of option
2. Economic Viability
3. Operating Feasibility & Risks.

Do you want me to look at any aspect in particular?

Sounds good, can you quickly take me through each of these aspects?

Attractiveness: IPL matches draw massive crowds, and they happen during the summer, when ice-cream demand peaks. With limited direct competition, the location looks promising.

Economic viability: To size the opportunity, I'd like to ask a few questions:

Do we have any information about the prices of our client's ice-creams? Also, what is the maximum occupancy and occupancy rate of the stadium per match?

Our client offers a variety of flavours with an average price of Rs 50/- per ice-cream. The stadium houses a total of 36,000 seats with an average occupancy rate of 80% per match.

Based on the info, the avg footfall per match is $0.8 \times 36000 = 28,800$. The IPL tickets are usually on the expensive side, and it is fair to assume that the spectators would be able to afford a Rs 50/- worth of ice-cream. However, not everyone may opt for ice-cream & so I'd like to consider a conservative estimate of 60% of the spectators make a purchase.

So, our client's revenue would come up to an average of $0.6 \times 28,800 \times 50 = ₹ 8,64,000$ per match.

Sounds good. What would be the possible operating challenges?

The main risks I see are:

- Managing raw material requirements for multiple SKUs
- Avoiding wastage/stockouts given unpredictable demand
- Handling crowd surges during match breaks

These can be mitigated with:

- Limiting to 3–4 high-demand SKUs
- Pre-stocking inventory based on match-day forecasts
- Queue management & digital payment kiosk for faster service

Looks about right. That would be all, thank you.

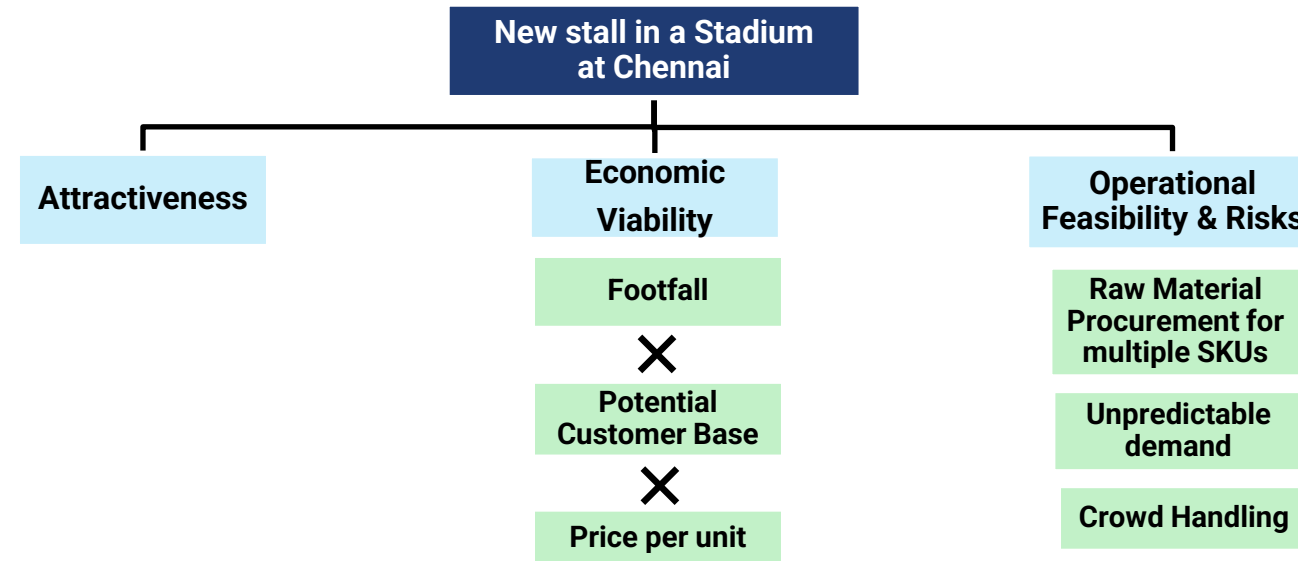
SCOOP IN THE STADIUM

Our client is an Ice Cream franchise and is evaluating the possibility of opening a new outlet in a Stadium in Chennai. Create a GTM strategy for the same

KEY LEARNINGS

- Important to evaluate all 3 aspects of market entry
- Follow MECE at each step of the evaluation to make accurate predictions of potential returns
- Figure out the ease with which hindrances can be dealt with and determine if it is a viable proposition

APPROACH



BROWNIE POINTS

- **Brand visibility:** Even beyond sales, association with IPL enhances long-term brand recall.
- **Operational foresight:** Pre-order/QR-based sales or limiting to 3-4 fast-selling SKUs to handle surges.
- **Scalability:** Success here can be replicated at other sports stadiums and large event venues.

PROJECT CLEAR VISION

Your client is a contact lens manufacturer & retailer based out of Western India. It is looking to expand its operations in other geographies of India. You are required to draft the GTM strategy for it.

CLARIFYING QUESTIONS

I would like to ask a few clarifying questions. What kind of contact lens do we manufacture and are we only limited to it, or do we sell ancillary products like lens solution as well?

The client has 2 kinds of lenses - regular use for corrective vision and fashion use which are typically colored lens. This is available across price segments ranging from economy to premium.

What is the product lifecycle of these lenses?

Each pair has a 6-month life.

What's the current product mix and do we want to expand both categories?

Currently ~90% regular corrective, ~10% fashion. The client wants to grow both.

How are they currently manufacturing and distributing?

Client has a manufacturing facility in Gujarat, and it sells products through its own retail outlets in Tier 1/2 cities.

What's the motivation for expansion? Any specific target geography?

They have excess manufacturing capacity at present and wants to use this capacity to capture market share & generate profits. Let's just consider new geographies & not discuss expansion in existing one. We can consider North, South & East India

What's the timeline to achieve this?

5 years.

Lastly, what is the competitive scenario in India?

There are 20 players operating in India (incl. our client) having roughly equal market share. These are regional players roughly divided equally between the regions – North, South, East & West.

PROJECT CLEAR VISION

Your client is a contact lens manufacturer & retailer based out of Western India. It is looking to expand its operations in other geographies of India. You are required to draft the GTM strategy for it.

SOLUTION

Okay. I'll first structure my approach as:

- **Economic Feasibility:** volumes, profits by region
- **Operational Feasibility:** distribution, logistics
- **Risks & Mitigations:** regulatory, adoption

Does that sound good?

Yes, start with economic feasibility.

For calculation of volume, I would look at the total market size and the market share that we can capture. Do we have any data around this?

Why don't you guesstimate the market size for entire India for regular use contact lens? You can just tell the approach without the numbers.

- I would divide India into urban and rural. Rural region would have lower use of contact lens.
- Then I would want to break it down by income & age. Low income and lower-middle income would have low usage. Age 0-16 & 40+ would also have low usage.

- Then, I'll consider percentage of people requiring glasses/lenses and then apply % for lens considering above factors.
- Then, I'll factor in the life of lenses & multiply the resultant figure by 2 (12/6)

That's sound fair. How would the approach change for fashion use lens?

I'll ignore %age for corrective vision. Restrict the usage to upper income & 16-40 ages. I'll further consider its use in fashion, theatre & film industry.

Sounds good. Let's consider you get a cumulative figure of 24 million through this. Now how would you go about market share?

We can assume that we'll eventually become a 6-player in the region having 1/6 regional market share in a period of 5 years. Since, we already have experience in the business, it seems achievable.

PROJECT CLEAR VISION

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SOLUTION

Sounds a little aggressive but sure we can go ahead with this assumption. For the sake of simplicity, assume volumes are equal across regions. Why don't you work out the nos.?

Sure. So, for each region volume is 6 million (24/4 regions). Annual volume that can be captured by our client is 1 million (6/6 players) in a period of 5 years.

Okay. Let's look at profits now.

So, I'll calculate the profits as:

Volume * (Revenue – Variable Cost) – Fixed Cost.

Since, we are taking 5 years, I'll also factor the growth rates.

Assume the revenue to be 100 for simplicity. Variable cost is given as % of revenue:

35% - North, 30% - South, 45% - East.

Growth rates in volume are

12% - North, 8% - South, 8% - East.

Fixed cost is same across regions. We have assumed market share of 5% will be realized by year 5 end.

We have assumed market share of 5% will be realized by year 5 end. For calculation should I consider 1% by yr 1, 2% by yr 2 & so on?

That's how one would consider practically but for keeping calculation simple, just assume 5% in year 1 and continue.

I'll calculate profits for north and south region only. East can be ruled out because of higher variable cost but similar growth rate as south. I assume the reason for this would be higher transportation cost from Western India

Yes. We must only evaluate North and South. Why don't you calculate year-wise profits and the cumulative for 5 years?

Region	Year 1	Year 2	Year 3	Year 4	Year 5	Total
North	65	73	82	91	102	413
South	70	76	82	88	95	411

All figures are in M. The profits are oddly coming out to be similar.

PROJECT CLEAR VISION

Your client is a contact lens manufacturer & retailer based out of Western India. It is looking to expand its operations in other geographies of India. You are required to draft the GTM strategy for it.

SOLUTION

Now consider 2 scenarios:

- i) Operate for more than 5 years
- ii) Exit within 5 years.

Which region would you consider under these?

- i) I would select North because of its higher growth rate, leading to better long-term returns.
- ii) I would select South because it generates higher profits in the initial years, and the present value of that money would be higher.

Correct. Let's discuss selling channels for each of the products now.

We can have 2 selling channels:

1. Offline retail outlets (present model)
2. Online (own website or a marketplace like Flipkart, Amazon etc.).

- For regular use lens, we can focus more on the offline channel since new customers would be apprehensive of purchasing lens without having a look at it once.
- But for fashion use lens, we can explore the online channel as well since most of its customers would be well-accustomed to online shopping.

That sounds good. Thank you.

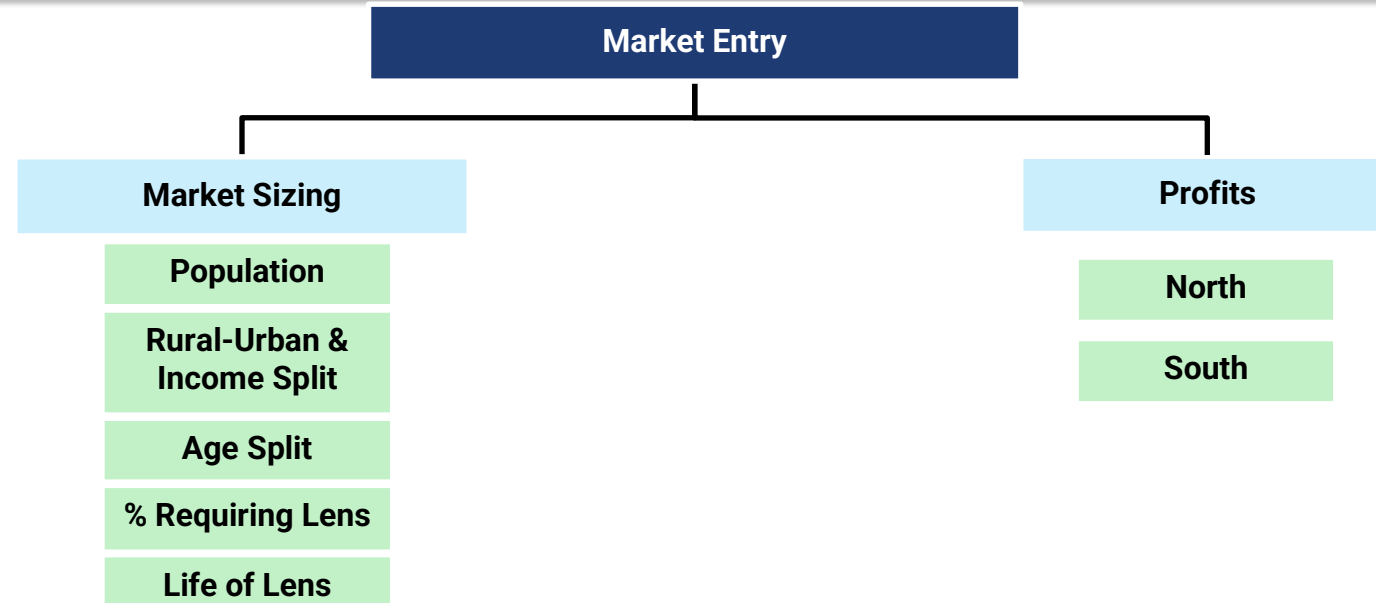
PROJECT CLEAR VISION

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KEY LEARNINGS

- This case shows how to use quantitative analysis (5-year profit projections) to make a clear strategic choice between two seemingly similar options.
- The final recommendation (South for a quick exit, North for long-term growth) is a classic example of aligning strategy with the company's time horizon.
- When comparing two markets, the interplay between variable costs (current margins) and growth rates (future potential) is often the deciding factor.

APPROACH



BROWNIE POINTS

- Explore additional channels beyond retail, like partnerships with optometrist chains and eye clinics
- Mention risks of regional expansion: logistical challenges, price wars with local players, and brand-building costs.
- Use a game theory perspective to predict how the five existing regional players might react to a new entrant.
- Include a specific budget and strategy for building brand awareness in the new region, as the client is currently a regional player.

VOLT-TO-MARKET

The board of directors of Joka Battery Enterprise wants to know the size of the North Korea Market and if, when and how they should enter it. We know that the market is dominated by Korea Battery Enterprise because of a 50% tariff on all imported batteries. The government is planning to reduce the tariff by 5% per year for the next 10 years. Our batteries are superior and last for 5 years.

CLARIFYING QUESTIONS

Understood. Before I structure my analysis, I'd like to ask a few clarifying questions. May I ask about the target market share and the timeframe expected to achieve said goals?

25% in a span of 5 years after entering.

To understand the product better, are these standard lead-acid car batteries, or are we considering EV batteries?

For now, you can assume they are standard lead-acid batteries.

And regarding the sole competitor, Korea Battery Enterprise, what are their key strengths? I assume they have a monopoly on distribution channels?

Yes, as the only player, they control all distribution, primarily through gas stations and affiliated auto shops.

Finally, regarding the political landscape, how does the dictatorial rule affect foreign investment and the ability to repatriate profits?

The government is stable. Foreign investment is new and highly regulated, which makes local partnerships essential for navigating the bureaucracy.

Thank you. That gives me a clear picture.

VOLT-TO-MARKET

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SOLUTION

To provide a comprehensive recommendation, I will structure my analysis in three parts:

1. **Market Sizing:** To quantify the total opportunity.
2. **Entry Timing & Financials:** To determine when is the most profitable time to enter.
3. **Entry Mode Strategy:** To determine how to best enter the market.

Sure, go ahead.

I would like to start by estimating the size of the Taiwanese secondary car battery market. I'll assume there are nearly 10 million people in North Korea.

That's a little low but a good figure to use.

I'll also assume that disposable income is limited and that only one in ten households has a car. So if we estimate the average household has 5 people, there are 2 million households and therefore 200,000 cars.

I would also like to add in another 10,000 vehicles, including taxis, trucks and government vehicles.

So, 210,000 vehicles?

Yes. I'll also assume that Koreans keep their cars for a long time and need a battery change every three years.

Three years? Why did you make that assumption?

Since Korea Battery Enterprise is a monopoly, the quality of the battery might not be competitive with Joka batteries, which you mentioned last for 5 years.

Go on.

So, 210,000 cars will need a battery every three years. This means nearly 70,000 batteries every year. This number will reduce over the long run because our batteries will start to last more. If we want 25% market share, then we are talking 17,000 batteries a year.

VOLT-TO-MARKET

The board of directors of Joka Battery Enterprise wants to know the size of the North Korea Market and if, when and how they should enter it. We know that the market is dominated by Korea Battery Enterprise because of a 50% tariff on all imported batteries. The government is planning to reduce the tariff by 5% per year for the next 10 years. Our batteries are superior and last for 5 years.

SOLUTION

Since you didn't ask for the cost heads, I'll give you the numbers for analysis. It costs Rs. 12,000 (converted value after purchase power parity) for Korea Battery Enterprise to manufacture one battery. It costs us Rs 10,000 to make excluding the tariff costs.

In that case, the initial 50% tariff adds Rs. 5,000 to our cost, making our total landed cost Rs. 15,000. This is a significant cost disadvantage.

- **Scenario 1 (Enter Now):** We would have to charge a high premium for our superior product, which may not be viable.
- **Scenario 2 (Enter Later):** I would suggest that we enter after the fifth year. By then, the tariff will have dropped to 25% (Rs. 2,500), bringing our total cost to Rs. 12,500. This makes us cost-competitive with the incumbent.

Good. Now suggest ways to enter the market.

There are three primary ways to enter:

1. **Start from Scratch:** This is not feasible. Building a new plant for only 17,500 batteries a year is inefficient, and breaking into the incumbent's exclusive distribution network would be nearly impossible.
2. **Acquisition:** This is also unlikely. Acquiring the state-backed monopoly in a dictatorial country is politically difficult.
3. **Joint Venture (JV):** This is the most viable option. It allows us to leverage the existing player's distribution and navigate the political landscape.

Good job. Now that the CEO is about to walk in, what would be your suggestion to him?

I recommend that we plan to enter the North Korean market in 5 years by forming a joint venture with the existing Korea Battery Enterprise. This strategy provides the best balance of financial viability, market access, and political risk mitigation.

Good. Let's wrap up the interview.

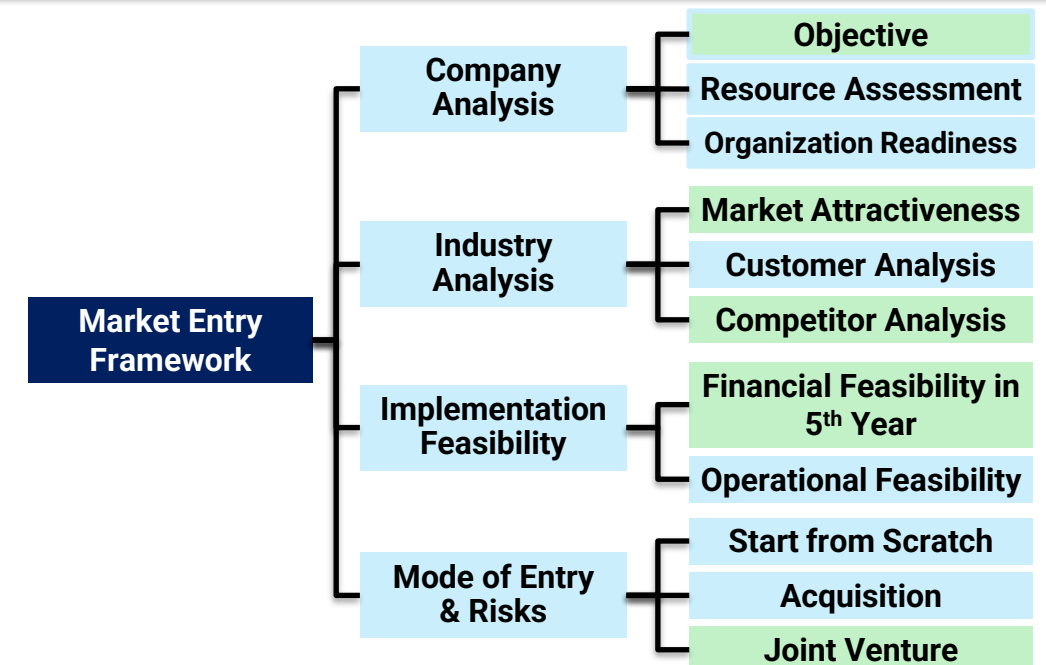
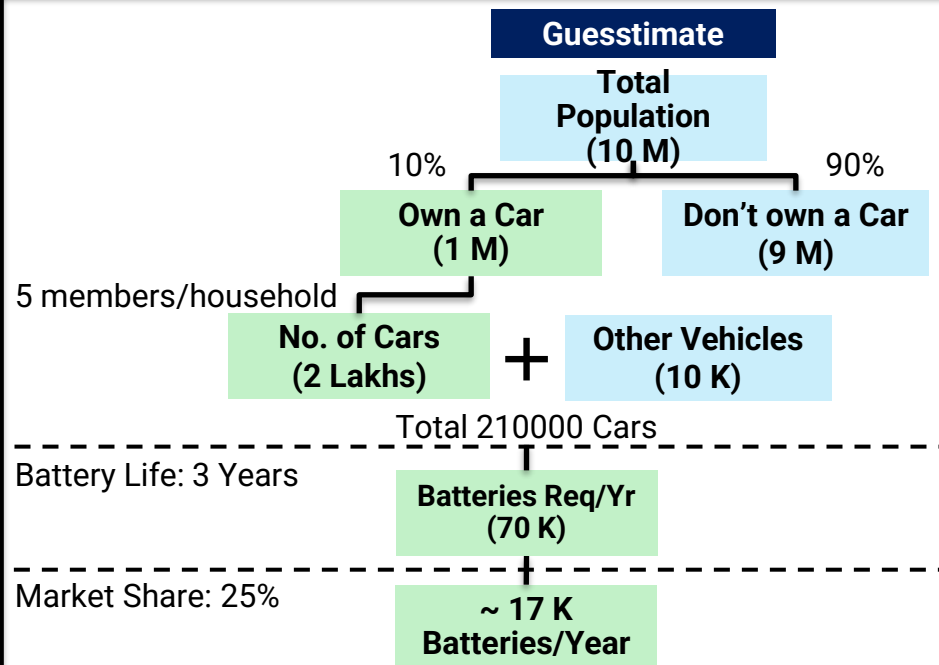
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KEY LEARNINGS

APPROACH

- In markets with changing regulations (like a declining tariff), when you enter is as important a strategic decision as if or how you enter.
- The case demonstrates that even with a superior product, a significant cost disadvantage can make a market non-viable until cost parity is achieved.



BROWNIE POINTS

- Project how their superior 5-year batteries would eventually reduce the size of the annual replacement market.
- Explore non-equity options like a licensing or technology-sharing agreement as a less risky first step.
- Outline strategies for key geopolitical scenarios, such as the sudden removal of all tariffs or the entry of other foreign competitors.

HYDROGEN EXPORT EQUATION

Our client is large Indian energy conglomerate with a strong presence in traditional energy sources. They're looking to diversify and have identified green hydrogen as a key strategic area. Their ambition is to become a global leader in green hydrogen exports by 2030. They've brought us in to figure out if this is viable, and if so, which markets to target. How would you approach this problem?

CLARIFYING QUESTIONS

Before diving into the solution, I'd like to clarify a few points about the client and their objectives.

First, what is the **client's current position** in the energy space? Are they already present in renewables, or is green hydrogen their first big step into clean energy?

They have a strong presence in traditional energy, with some investments in renewables, but green hydrogen would be their first large-scale diversification.

Understood. And when you say they want to become a global leader in green hydrogen exports by 2030, is the **priority** mainly on exports, or are domestic sales also in scope?

The focus is primarily exports, with Europe and Asia-Pacific seen as key destinations.

That helps. Do we have any **constraints on scale or ambition**? For example, is there a target production capacity or tonnage that we should assume?

Yes, the client aims to produce about 2 million tons of green hydrogen per year by 2030.

Great. And in terms of **financial context**, should I assume the client has the balance sheet strength to fund large capital-intensive projects like electrolysis plants and renewable farms?

Yes, they are financially strong and capable of investing significantly, though they would still evaluate partnerships.

Finally, are there any **specific markets or countries** the client has in mind for exports, or should I explore broadly?

You can focus on Europe as the primary target market but also consider others for diversification.

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SOLUTION

Thank you. I would structure my approach in three parts:

1. **Assess market attractiveness:** demand outlook, pricing trends, and target markets.
2. **Analyze financial and operational feasibility:** costs, profitability, and ability to execute.
3. **Recommend go-to-market strategy and risk mitigation.**

Based on this, I'd provide a final recommendation.

That sounds like a solid approach. Let's start with financial feasibility. What would you need to calculate?

To assess financial feasibility, I'd focus on profitability & look at:

- **Production cost/kg** of H₂ (driven largely by electricity input).
- **CapEx** for the plant and supporting infrastructure.
- **Selling price** in the target markets.

By comparing cost and revenue, we can estimate margins and overall viability.

Good. Renewable energy in India costs ₹2.5/kWh, and producing 1 kg of hydrogen requires 55 kWh. In Europe, hydrogen sells for ₹500/kg. What's the cost per kg, and is it profitable?

Let's calculate step by step:

- **Electricity cost per kg** = $55 \times ₹2.5 = ₹137.5$
- **Other operating costs** (water, maintenance, labour, etc.) $\approx ₹15$
- **Total production cost** $\approx ₹152.5$ per kg
- **Selling price** = ₹500/kg
- **Gross margin** = $₹500 - ₹152.5 = ₹347.5$ per kg

The project appears highly profitable.

Let's talk operational feasibility. How would you assess that?

I'd break it into three key areas:

- 1) **Production Infrastructure:** Large-scale solar/wind farms, reliable water source, and electrolyzer capacity. Securing suitable land and resources in India will be critical.
- 2) **Supply Chain & Logistics:** Deciding on export form (liquid hydrogen, compressed gas, or carriers like green ammonia). Then, build transport and port infrastructure accordingly.
- 3) **Talent & Technology:** The client would need to acquire specialized technical talent and technology, potentially through partnerships, to build and operate the plants.

HYDROGEN EXPORT EQUATION

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SOLUTION

Those are valid points. Now, what about entry modes?

There are three typical modes:

1. **Greenfield investment**
2. **Joint venture (JV)**
3. **Acquisition**

I'd recommend a **hybrid approach**:

- Build a **greenfield production facility in India** (leveraging their financial strength and domestic resources).
- Form a **joint venture in a key export market** (to access local expertise, distribution, and risk sharing).

This balances control with market access.

That's a practical approach. What are the key risks our client needs to be aware of?

The four main risks are:

- **Regulatory Risk:** Dependence on stable policies/incentives; sudden changes could impact viability.
- **Technological Risk:** Rapid evolution may render current investments outdated.

- **Market Risk:** Demand growth may lag, or competition could depress prices.
- **Operational Risk:** Large-scale new facility could face delays, execution challenges, or cost overruns.

Excellent. What's your final recommendation?

My recommendation is to proceed with the green hydrogen project.

- The market is **attractive**, and the project is financially promising.
- The client should adopt a **hybrid entry strategy**: greenfield production in India + JV in Europe or another key market.
- Proactive **risk management** (policy monitoring, tech partnerships, market diversification, and strong project management) is essential to ensure a successful and sustainable entry into this high-growth sector.

Perfect. Let's close the case here.

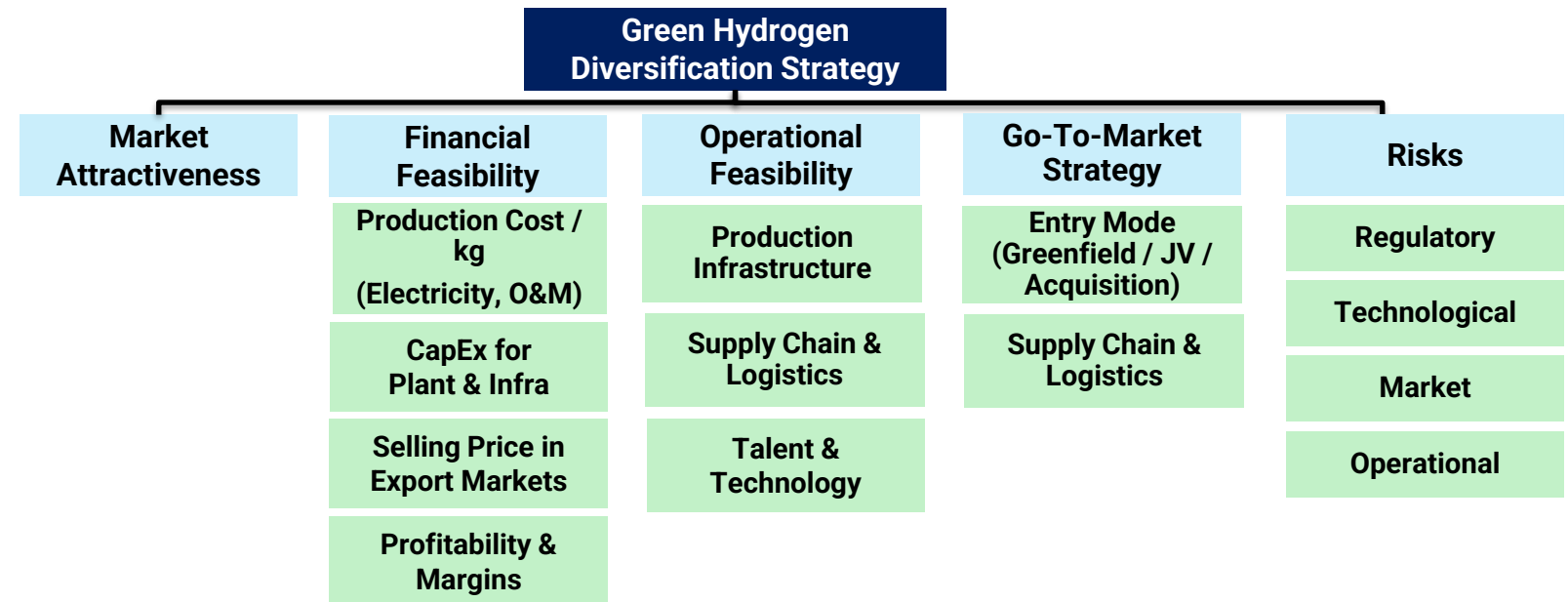
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KEY LEARNINGS

- The case hinges on a simple unit profitability calculation (profit per kg), proving that understanding the core financials is the critical first step.
- The recommendation of a hybrid "Greenfield at home + JV abroad" model is a sophisticated strategy that balances control with market access.
- A strong analysis doesn't just propose a solution; it also identifies and outlines the key associated risks (Regulatory, Market, etc.).

APPROACH



BROWNIE POINTS

- Include specific criteria for selecting a joint venture partner, such as their port access, industrial customer base, and regulatory expertise.
- Outline a high-level 2030 roadmap with key milestones for plant construction, securing offtake agreements, and scaling production.

SEEDING THE MARKET

Our client is John Deere, a global leader in agricultural machinery. They have developed a new line of autonomous landscaping equipment, including robot lawnmowers, and are considering entering the Indian market. They've asked us to help them build a strategy.

CLARIFYING QUESTIONS

Just to clarify, is the client's primary objective to maximize profitability, or is it to establish a strong market presence and brand recognition in this new segment?

Their main goal is to capture a significant market share and establish a first-mover advantage, with profitability becoming the focus in the long term.

Got it. What are the key players in this space, and are there any existing products that might serve a similar purpose?

There are no significant competitors selling autonomous lawnmowers in India. However, the client would be competing against traditional manual mowers, tractors, and a large, unorganized labor market. Customers are currently focused on minimizing labor costs.

Understood. To solve this, I would like to structure my analysis in three parts.- I would assess the market potential for this product in India, which will involve a quick check on financial viability. - I will analyze the competitive landscape.- Finally, I will propose a comprehensive go-to-market strategy. Does that sound reasonable?

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SOLUTION

Understood. To solve this, I would like to structure my analysis in three parts:

- I would assess the market potential for this product in India, which will involve a quick check on financial viability.
- Then, I will analyze the competitive landscape.
- Finally, I will look at risks.

Does that sound reasonable?

Sure. Please proceed.

I'd like to begin by sizing the market and checking for financial feasibility. Since this is a niche, high-value product, a bottom-up approach would be best. I will segment the potential customers into a few key groups and make some key assumptions. My segments are:

- 1) Large commercial properties
- 2) Residential societies
- 3) Sports facilities.

I will assume the following numbers for India:

- There are approximately 500 golf courses and 500 large corporate campuses.
- Then, there are 10,000 gated residential communities and finally, around 1,000 sports stadiums and facilities.
- So, based on these assumptions, the total number of potential customers would be roughly 12,000 entities.

I would like to calculate the financial viability. For this, may I get some data on the costs and pricing.

Sure. The average price of the autonomous lawnmower is ₹5 lakhs per unit. The cost of traditional manual mower is ₹50,000. The annual labor cost for one laborer is ₹2 lakhs. The robot can replace one laborer and is expected to last for five years.

Thank you. I'd like to calculate the potential profit and financial viability. The payback period for a customer is ₹5 lakhs / ₹2.5 lakhs per year, which is 2 years. This shows a strong value proposition.

SEEDING THE MARKET

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SOLUTION

Let's assume a conservative 5% market share in the first year. This would mean we sell 5% of our 12,000 estimated units, which is 600 units.

Total revenue = 600 units x ₹5 lakhs = ₹30 crores.

Assuming a conservative gross margin of 30%,

Our gross profit in first year = ₹30 crores x 30% = ₹9 crores.

This shows that even with a low initial market share, the project is financially viable and has the potential to become highly profitable as we scale.

That's a fair approach

Now I'd like to move on to the competitive landscape. The lack of direct competition is a significant advantage, but the challenge is to convince a customer to shift from a low-tech, labor-intensive model to a high-tech one. I would focus on three pillars to overcome this:

1) **Product and Value Proposition:** The key selling point is tangible ROI through reduced labor costs.

2) **Distribution and Service:** I would recommend a direct sales model for commercial clients, as this allows for hands-on demos. A robust after-sales and service network is critical to building trust.

3) **Marketing and Awareness:** The marketing would focus on education and proving the ROI. We would use targeted digital campaigns, trade show demonstrations, and case studies to showcase successful implementations. The brand trust of John Deere would be a powerful tool here.

That sounds good.

Finally, I see two main risks:-

- 1) The **high upfront cost** to the customer: We can mitigate this with flexible financing models
- 2) The **service and maintenance** challenge: This can be mitigated with a strong after-sales service and training program.

My final recommendation is to proceed with entry, focusing on commercial customers with clear ROI-based value proposition.

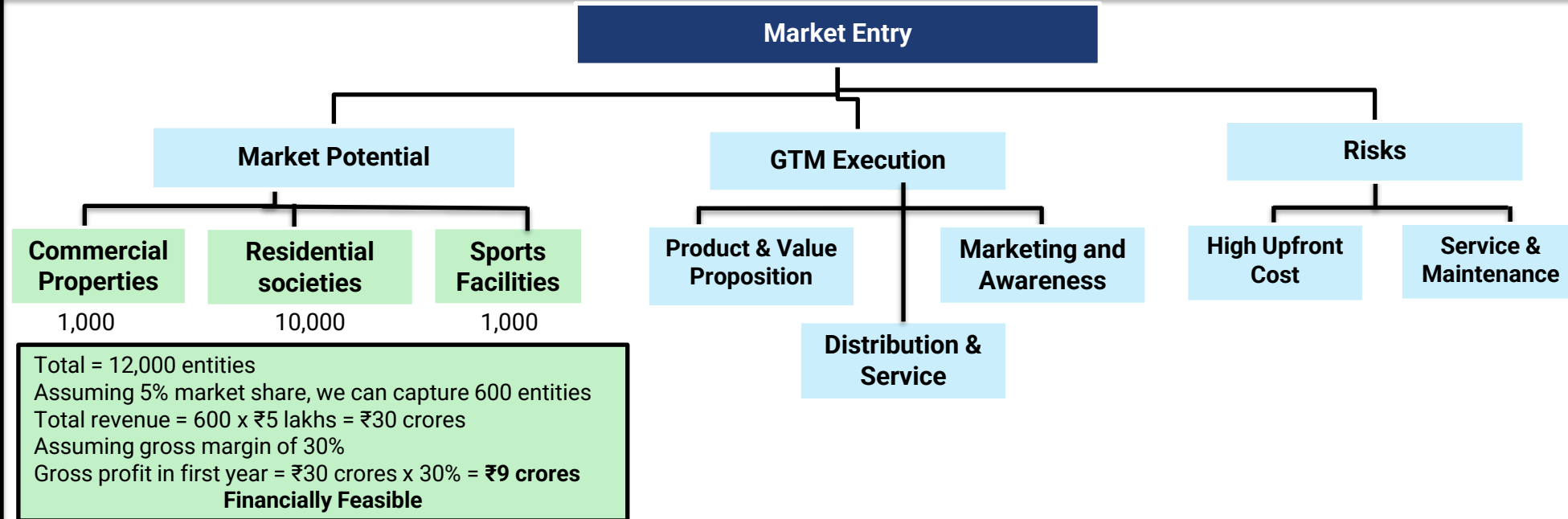
SEEDING THE MARKET

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KEY LEARNINGS

- For a niche, high-value B2B product, use bottom-up market sizing, i.e., start with number of potential customers.
- When selling high-cost, labor-saving technology, use simple Return on Investment (ROI) or payback period calculation.
- A new, complex, and expensive product requires a "high-touch" go-to-market strategy involving a direct sales force, hands-on demos, and a robust service network to build trust.

APPROACH



BROWNIE POINTS

- Suggest alternative models beyond a direct sale, such as a monthly subscription or leasing options.
- Explore a phased "Make in India" plan, starting with local assembly to reduce costs and import duties.
- Segment and prioritize the target customers, focusing on early adopters like large tech parks.
- Build an ecosystem by partnering with premium real estate developers and landscape architecture firms.

CABS AT THE GATE

The Mexico City government has recently issued 2,500 new city permits, priced at \$1,000 each, for taxi operations at its international airport. Our client is a large taxi company that does not currently service this airport. They've approached us to help them understand the market and advise on whether they should enter, how many permits they should acquire, and whether it would be a profitable venture.

CLARIFYING QUESTIONS

My first step would be to size the market to understand the potential opportunity. I'd like to do a quick guesstimate of the total available taxi market at the airport. To do this, I will need some data to proceed with my assumptions.

What data points would you need?

I would need to know the total annual passenger traffic and the split between domestic and international passengers.

The airport has an annual passenger traffic of 42 million, split evenly between domestic and international.

Also, it would be helpful to understand the competitive landscape, such as the number of existing taxis and other transport options like the metro.

There are 5,500 other taxis operating at the airport, along with other facilities like the metro.

Thank you. That gives me a clear picture.

CABS AT THE GATE

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SOLUTION

I'd like to start with market sizing.

- Total Annual Passengers: 42,000,000
- Daily Passengers: $42,000,000 / 365 \text{ days} \approx 115,000$ passengers per day.

Next, I'll estimate the percentage of passengers who are likely to take a taxi.

- I'll make an assumption based on the split between domestic and international passengers.
- I'll assume 70% of international passengers will take a taxi due to luggage and unfamiliarity.
- I'll assume 30% of domestic passengers will use a taxi, with the rest using rideshare apps, private cars, or the metro.
- Daily Intl. Passengers: $(115,000 * 50\%) * 70\% = 40,250$
- Daily Domestic Passengers: $(115,000 * 50\%) * 30\% = 17,250$
- Total Daily Taxi Passengers: $40,250 + 17,250 = 57,500$

This gives us the total potential market size for taxis at the airport. Now, I'd like to calculate the profitability. Can I get some data on fair charge and costs?

I can provide you with the financial data. The average fare is \$200 per trip. The costs would include a driver salary of \$1,000 per month, a one-time permit cost of \$1,000, and the daily running costs for a taxi are about \$600.

Thank you. Based on the total market size, I would advise that we acquire the majority of the permits to secure a dominant market position. Assumption that we acquire 2,000 permits, and each taxi averages 4 trips per day. This would service 8,000 passengers per day.

Revenue Calculation (per year):

Number of Taxis: 2,000 Trips per Day per Taxi: 4
 Annual Trips: $2,000 \times 4 \times 365 = 2,920,000$
 Annual Revenue: $2,920,000 \text{ trips} \times \$200/\text{trip} = \text{\$584 M}$

Cost Calculation (per year):

Driver Salary: $\$1,000/\text{month} \times 12 \text{ months} \times 2,000 \text{ drivers} = \24 M
 Taxi Operating Cost: $\$600/\text{day} \times 365 \text{ days} \times 2,000 \text{ taxis} = \438 M
 Total Annual Cost: $\$24\text{M (salary)} + \$438\text{M (operating)} = \text{\$462M}$
 One-Time Permit Cost: $2,000 \text{ permits} \times \$1,000/\text{permit} = \$2\text{M}$

CABS AT THE GATE

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SOLUTION

Profitability Analysis: Annual Profit: \$584 M (revenue) - \$462 M (cost) = \$122 M
Net Profit (Year 1): \$122M - \$2M (one-time permit cost) = **\$120M**
The project is highly profitable.

Great, Now move to the operational aspects

Now I'd like to look at the competitive landscape to formulate a strategy. Our client has a significant advantage by acquiring 2,000 permits, giving them a dominant presence. However, there are 5,500 existing taxis and other options like the metro.

Yes, how would you design the GTM strategy

My go-to-market strategy would focus on three key pillars:

1. **Dominant Operational Presence:** We need to get our 2,000 cabs into operation quickly and efficiently. This will involve a smooth onboarding process for drivers and a well-managed queuing and dispatch system to ensure our taxis are always available. We should leverage our large fleet to offer a low wait time, which is a key differentiator.
2. **Differentiated Value Proposition:** The client's offering needs to stand out. The value proposition should be based on safety, reliability, and speed. Our marketing should focus on:
 - a) Airport Branding: Strategic branding at key locations like baggage claim and waiting areas.
 - b) Exclusive Service: Offering a dedicated service for international travelers, possibly with bilingual drivers.
 - c) Digital Presence: A user-friendly app for booking, with transparent pricing and real-time tracking, to compete with rideshare apps.

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SOLUTION

- 3. Building a Reputation:** Given existing competition, we must build a reputation for being the safest and most reliable taxi service at the airport. This can be achieved through strong customer service and driver training programs.

Great. We can wrap it up here.

What would be your final recommendations?

My final recommendation is to **proceed** with the market entry. The market is large, and the financial returns are extremely promising, with a potential profit of over \$100 million in the first year. The client's unique advantage of having a large number of permits gives them a significant competitive advantage. By executing a strong go-to-market strategy that focuses on operational excellence and a differentiated value proposition centered on safety and reliability, they can capture a significant portion of the market and achieve a highly profitable venture.

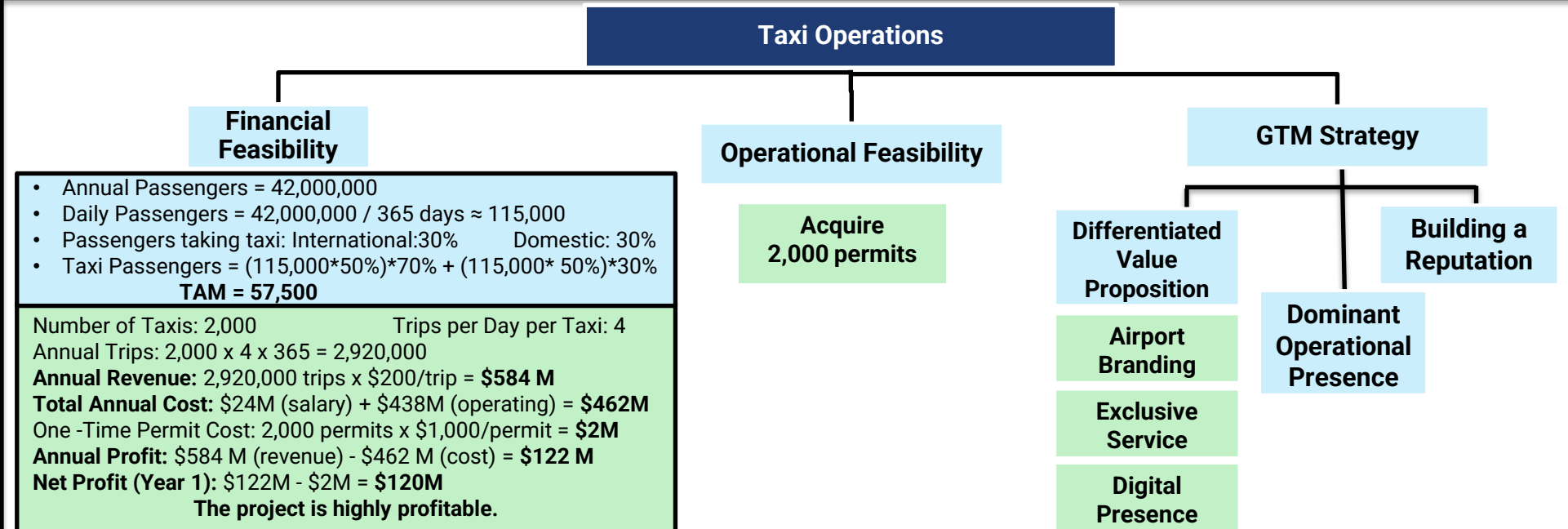
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KEY LEARNINGS

- Breaking down passenger traffic and estimating user conversion percentages offers a clear view of potential daily demand and viability.
- Profitability Hinges on Smart Assumptions (fare per trip, driver costs, etc.) ensures accurate financial forecasting and sound investment decisions.
- Strong GTM Strategy drives differentiation and success relies on operational efficiency, standout value proposition and strong brand reputation for safety and reliability.

APPROACH



BROWNIE POINTS

- Use a logical and data-driven approach to market sizing and segmentation.
- Integrate financial analysis with strategic recommendations effectively.
- GTM strategy should be well-structured around practical and impactful pillars.
- Address competitive landscape and customer needs in a holistic manner.

BORDERLESS SAAS

Your client is a SaaS firm planning to expand its operations overseas. What factors would you consider to help them make the decision?

CLARIFYING QUESTIONS

Okay. I'd like to know more about the firm. What is the current geography they are operating in? And what is their intention/goal behind expanding in the first place?

They are based out of the USA, and they just want to grow organically; no specific target/objective apart from organic growth in mind.

Understood. Can you please share some information about what kind of work the client does as part of SaaS?

They provide integrated software services to high-end clientele.

That helps. What kind of clientele do they serve?

Most of their clients are based in Silicon Valley in the USA.

Are we planning on expanding in any specific service that we offer or is it generic?

Generic services. Now that you know more about the firm, what factors will you consider?

Thank you. That gives me a clear picture.

BORDERLESS SAAS

Your client is a SaaS firm planning to expand its operations overseas. What factors would you consider to help them make the decision?

SOLUTION

I will structure my analysis in three main parts to determine the best path forward:

- 1) **Country Prioritization:** First, I'll use a high-level framework to identify and rank potential countries for expansion.
- 2) **Market Deep-Dive:** For the top-ranked countries, I'll conduct a deeper market and competitive analysis.
- 3) **Operational & Financial Feasibility:** Finally, I'll assess the internal operational requirements and financial viability to make a final recommendation.

Does this approach sound logical?

Yes, it's a clear approach. Let's stick to the high-level factors for now. How would you prioritize the countries?

(Using PESTEL) I will start with some External factors:

- 1) Geopolitical factors, political stability (P)
- 2) After-effect and return to normalcy for the economy after COVID-19, inflation, currency risks, etc. (E)
- 3) Technology adoption rates and the presence of a tech-savvy talent pool.(T)

- 4) Human resource availability, literacy rate, etc. (S)
- 5) Overall effect of pandemic (E)
- 6) Government regulations/barriers to entry for a foreign entity entering (L)

That's a solid analysis. What other factors are important?

Next, I would perform a more detailed Market and Competitive Analysis on the shortlisted countries. This would include:

- 1) **Competitive Landscape:** Identifying key local and international SaaS competitors and their market share.
- 2) **Customer Density:** Assessing the concentration of our target MNC high-end clientele. A high density of potential clients is crucial.
- 3) **Market Entry Strategy:** Based on the competition, we would decide whether to enter via a partnership, acquisition, or by building from the ground up.

Okay, good. And what about the internal factors on the operational front?

BORDERLESS SAAS

Your client is a SaaS firm planning to expand its operations overseas. What factors would you consider to help them make the decision?

SOLUTION

Finally, I would conduct an Operational and Financial Feasibility analysis for the most promising location. This would involve:

- 1) **Revenue Projection:** Estimating potential revenue based on customer density and our service offerings.
- 2) **Cost Analysis:** Calculating the probable cost of setting up and running operations, including talent, real estate, and marketing.
- 3) **Net Present Value (NPV):** I would build a simple NPV model to compare the long-term profitability of expanding to different locations.

This step would give us a data-driven recommendation on where to expand to maximize our return on investment.

Great. We can wrap it up here.

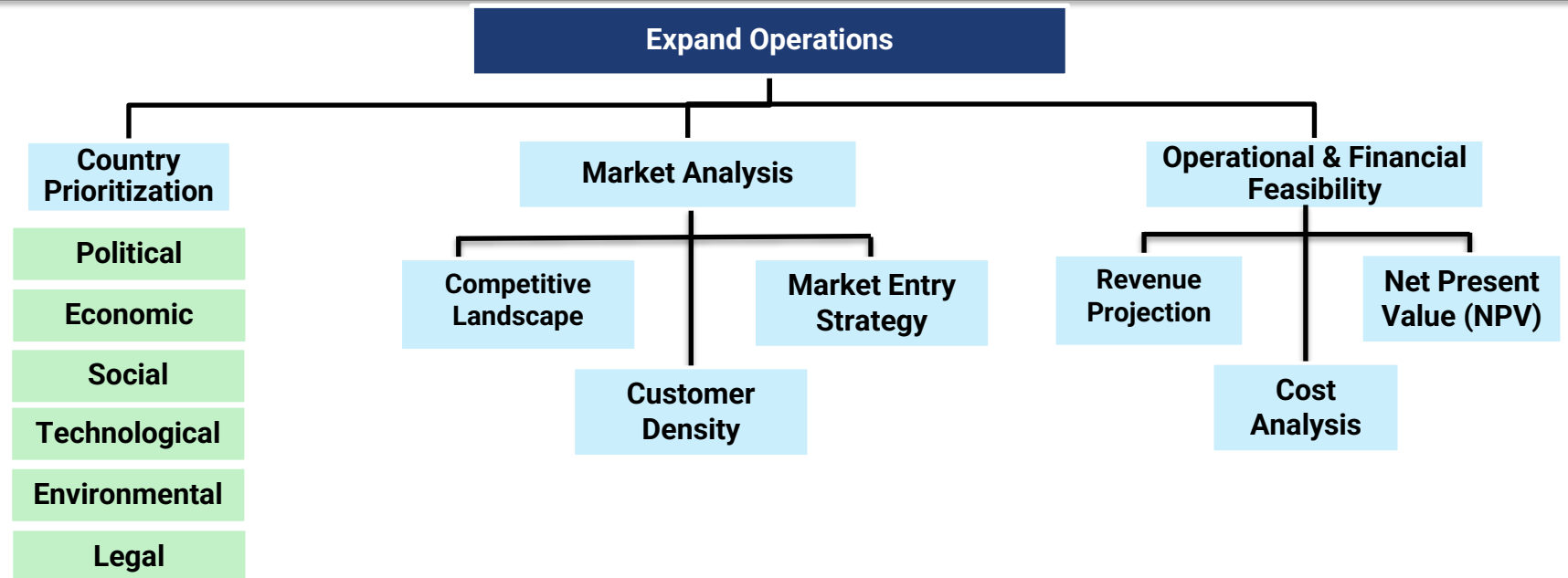
BORDERLESS SAAS

Your client is a SaaS firm planning to expand its operations overseas. What factors would you consider to help them make the decision?

KEY LEARNINGS

- Try to keep the interviewer in the loop while going in any particular direction and seek validation to better understand their expectations.
- Give a one-liner explanation of each bucket and if asked to go into detail, make sure to include the potential barriers and how to overcome them.

APPROACH



BROWNIE POINTS

Go beyond just "human resources." A sharper analysis would focus on the availability of the specific, high-end enterprise sales and engineering talent needed for a B2B SaaS firm.

Discuss how the firm can leverage existing assets like its brand, technology, and relationships with US-based HQs to accelerate entry into a new market.

Your client is a US-based live streaming platform, strong in North America and Europe, with about 60 million monthly active users. They focus on gaming, e-sports, and niche communities. They are considering entering the Indian market and have asked us to draft a go-to-market strategy.

CLARIFYING QUESTIONS

Sure. Before I structure my approach, I'd like to ask a few questions to get a clearer picture. What's the client's primary objective for India? Are they prioritizing user scale or monetization?

They want both. The goal is to establish a large user base quickly and then monetize through a mix of ads, tips, and subscriptions.

That makes sense. And when we think about customers, who should be the initial focus? Is it the viewers, the creators, or advertisers?

All three matter, but they believe creators are the initial focus. Their thinking is that without great creators, the viewers simply won't come.

Got it, a creator-first approach. What does the competitive landscape look like in India?

It's a mixed bag. YouTube dominates general video. There are a couple of small, local players like Loco and Rooter that are gaming-focused but still in their early stages. And of course, Instagram and Facebook are huge for attracting young audiences.

Okay, so a dominant generalist and some emerging specialists. And what about the digital ecosystem itself like internet penetration, device usage, and payment habits?

Internet penetration is around 60%, and smartphones are widespread. However, the Average Revenue Per User (ARPU) is low. Monetization so far has been heavily ad-driven, though the readiness for digital payments is improving quickly.

Thank you, that's very helpful.

STREAM INDIA

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SOLUTION

To provide a clear recommendation, I'd like to structure my analysis in three main parts:

1. **Market Attractiveness:** is India a market we should enter?
2. **Competitive Positioning:** how can we win in this market?
3. **Go-to-Market Strategy:** And finally, how should we execute the launch?

Does that sound like a good plan?

Yes, that's a very logical structure. Let's start with Market Attractiveness.

Based on your inputs, the Indian market looks highly attractive. I see three key drivers:

- **Massive & Young Audience:** India has over 500 million internet users, with a huge portion (around 400 million) under the age of 30. This demographic is a perfect fit for gaming and streaming content.
- **High-Growth Sector:** The gaming market is growing at about 20% CAGR, and e-sports viewership is on a sharp rise. We'd be entering a market with strong tailwinds.

- **Monetization Potential:** While ARPU is currently low, the sheer scale of the user base means that even a low ad-based revenue per user can translate into a significant business. The improving payment ecosystem also points to future growth in tips and subscriptions.

Okay, so the market is attractive. But you mentioned the competition. How do we position ourselves to win?

That's the crucial question. When I analyze the competitive landscape, I see a clear "white space" for our client.

- **YouTube** is the giant, but it's a generalist platform. It's not purpose-built for the kind of live, interactive, community-driven experience our client excels at.
- **Local platforms** like Loco and Rooter are gaming-focused, but they are early-stage and have a fragmented user base. We have a superior product and deeper pockets.
- **Instagram and Facebook** are entertainment-heavy, but their live features are not as interactive or gamified as a dedicated streaming platform.

STREAM INDIA

Your client is a US-based live streaming platform, strong in North America and Europe, with about 60 million monthly active users. They focus on gaming, e-sports, and niche communities. They are considering entering the Indian market and have asked us to draft a go-to-market strategy.

SOLUTION

So, our key point of differentiation is to be the **#1 platform** for hyper-niche, highly interactive live communities.

That's a good positioning. What challenges do you foresee?

I see three primary challenges:

- 1) **Creator Inertia:** Top creators may prefer the larger, established platforms like YouTube and Instagram where they already have a following.
- 2) **Low Monetization Willingness:** We have to accept that subscriptions and tips won't be a major revenue driver initially. The business must be built on an ad-led model for the first few years.
- 3) **High User Acquisition Cost:** The "attention economy" in India is incredibly competitive. Acquiring users will be expensive.

So, putting that all together, what is your final recommendation?

My final recommendation is a clear **"Go"** for the Indian market, executed. I'd break the execution plan into four key pillars:

Creator Acquisition (Phase 1): Adopt an aggressive, creator-first acquisition model.

- Offer strong financial incentives (e.g., cash bonuses, high revenue share) for the first 100-200 creators.
- Forge strategic partnerships with e-sports tournaments, colleges, and gaming cafes to scout emerging talent.
- Sign exclusive contracts with a handful of top-tier Indian streamers to generate initial buzz and attract viewers.

Viewer Growth (Phase 2): Target high-potential demographics and leverage partnerships for scale.

- Focus on acquiring youth in Tier 1 and fast-growing Tier 2 cities where gaming culture is strongest.
- Leverage telco partnerships to offer bundled data packs for streaming, a proven user acquisition strategy in India.
- Build and nurture communities around regional languages (e.g., Hindi, Tamil, Bengali) to maximize reach and engagement.

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SOLUTION

Monetization Path (Phased Rollout): Adapt to the low-ARPU market with a phased monetization plan.

- Short-Term: Focus entirely on an ad-led model, targeting brands in the tech, gaming, and FMCG sectors.
- Medium-Term: Introduce microtransactions (e.g., gamified stickers, tipping) to cultivate the habit of direct creator payment.

Product Differentiation: Solidify a unique and defensible market position by focusing on core strengths.

- Double down on live interactivity features like gamified chat, live collaborations, and tipping to differentiate from YouTube.
- Expand beyond gaming to build hyper-niche communities in areas that larger platforms ignore, such as coding clubs, anime fan groups, and indie music scenes.

That makes a lot of sense. Thank you

STREAM INDIA

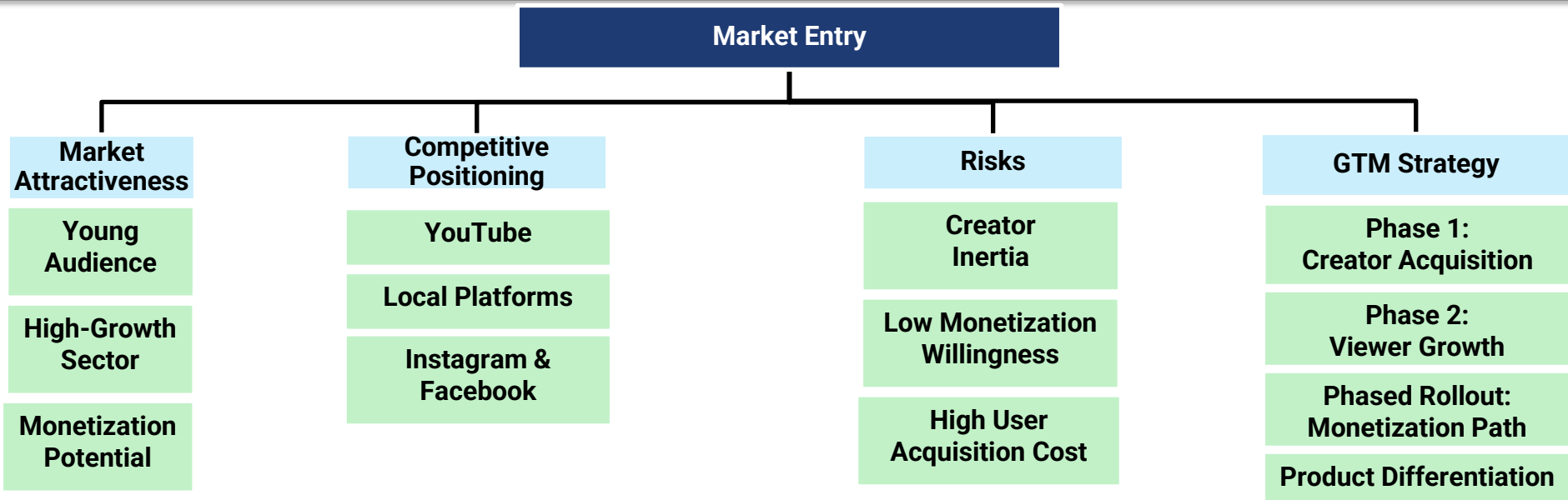


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KEY LEARNINGS

- For any platform connecting creators and viewers, you must solve the supply side (creators) first to attract the demand side (viewers).
- In a market dominated by a generalist platform (YouTube), the winning strategy is to identify and dominate a specific, underserved niche where the incumbent is weak.
- A go-to-market strategy for a large, complex market should be phased, starting with creator acquisition, followed by user growth, and then a gradual rollout of monetization features.

APPROACH



BROWNIE POINTS

- Address the unique challenges of the Indian market, such as data localization laws and the need for robust content moderation policies.
- Include an "ecosystem" plan, suggesting collaborations with gaming cafes, college festivals, and local tech influencers to embed the platform within the existing culture.

EDIBLE OIL ROUTE

Our client is an India-based edible oil manufacturer. They are dominant in the Southern market with ~98% share. They now want to enter new markets across India. Draft GTM strategies for them.

CLARIFYING QUESTIONS

Before I dive into the solution, I'd like to clarify a few points:
Is edible oil their only business line, or do they also operate in adjacent packaged food categories?

Edible oil is their only business.

Got it. And within edible oils, what's their current product mix?
Do they manufacture all types of oil themselves?

They have two main segments:

- Sunflower/vegetable oils
- Health-based oils like soybean, coconut, mustard

They manufacture in-house and distribute via third-party distributors.

That's clear. And what's the motivation for expansion at this stage? Is it because the Southern market is saturated? And are we also considering expansion in international markets?

Yes, the Southern market is fully saturated. They want growth from India only for now. They are exploring North, East, West, and Central.

What is the demand of both products in each of these regions?
Can you tell me if the market is growing for each of these products?

Here's the data we have on growth, demand, and competition across regions.

Growth Rates	North	West	East	Central
Sunflower Oil	-4%	0%	2%	15%
Health Based Oil	12%	5%	25%	50%
Demand				
Sunflower Oil	80%	80%	10%	95%
Health Based Oil	20%	20%	90%	5%

North	West	East	Central
85% - 3 players	85% - 2 players	25% - 2 players	35% - 3 players
15% - 10 players	15% - fragmented	75% - fragmented	65% - fragmented

EDIBLE OIL ROUTE

Our client is an India-based edible oil manufacturer. They are dominant in the Southern market with ~98% share. They now want to enter new markets across India. Draft GTM strategies for them.

SOLUTION

Great, thank you. To structure my thinking, I'd suggest two steps:

1. Market Prioritization

- Look at demand and growth trends by region
- Assess competitive intensity
- Identify region that offers most attractive entry opportunities

2. GTM Execution

- Product & positioning strategy
- Distribution & partnerships
- Marketing & promotions

Would you like me to first focus on which regions to prioritize?

Yes, let's start there.

From the data:

- **North:** Sunflower oil demand 80% but -4% growth; health oils 12% growth but competition intense (3 players hold 85%) → Not attractive
- **West:** Sunflower flat at 80% share, health oils only 15% and fragmented → Mature, low priority

- **East:** Health oils dominate (90% demand, 25% growth), fragmented market (75%) → Very attractive
- **Central:** Sunflower 95% share with 15% growth; health oils only 5% but 50% growth potential. Market fragmented → Medium-term opportunity

That's a solid analysis. Based on this, which markets would you recommend the client should prioritize first?

So, my recommendation on prioritization:

- 1) **Enter East first**, with a strong focus on health-based oils
- 2) **Follow with Central**, starting with sunflower for short-term revenue, but prepare for the health-oil growth wave
- 3) **Defer North and West** due to low growth and entrenched competition.

Good. Now how would you execute in the chosen regions?

EDIBLE OIL ROUTE

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SOLUTION

For **East and Central**, GTM should include:

Product & Positioning

- Launch health oils (soybean, mustard, blends) under a “healthy yet affordable” positioning
- Use sunflower oil to capture volume while piloting health oils through smaller SKUs.

Distribution & Partnerships

- Build strong ties with fragmented distributor networks for reach.
- Leverage modern retail and e-commerce in urban markets; kirana stores in semi-urban and rural areas.

Marketing & Promotions

- Run health-focused campaigns and tie-ups with nutritionists/doctors for credibility.
- Use aggressive price promotions and festival-linked offers for adoption.
- Establish a national umbrella brand identity as “India’s trusted edible oil brand for health and taste.”

Great. Can you summarize the final recommendation in one line?

The client should expand into East with health-based oils and later into Central with sunflower plus health oils, leveraging affordable health positioning, fragmented distribution tie-ups, and region-specific promotions to build a pan-India brand.

That sounds good. Thank you.

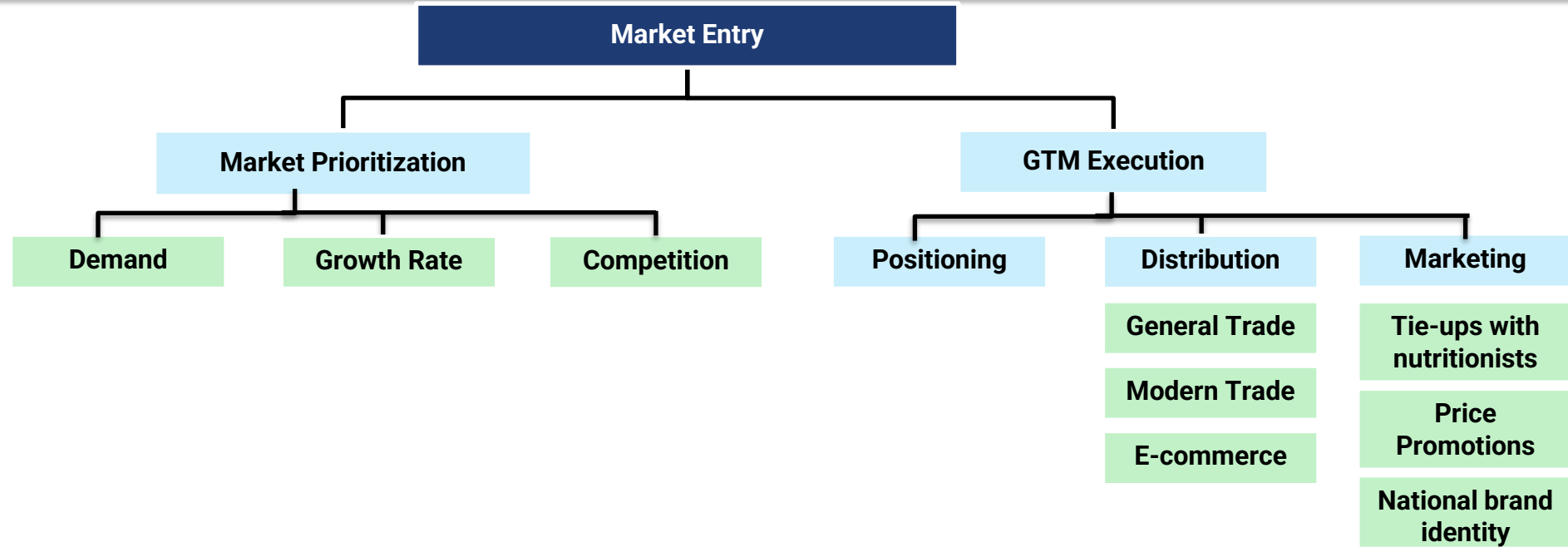
EDIBLE OIL ROUTE

Our client is an India-based edible oil manufacturer. They are dominant in the Southern market with ~98% share. They now want to enter new markets across India. Draft GTM strategies for them.

KEY LEARNINGS

- GTM strategy can also cover Product, Distribution, and Marketing
- Regional customization is key in FMCG India, one-size-fits-all rarely works.
- In mature markets, avoid entrenched players; in fragmented markets, move fast with differentiation.

APPROACH



BROWNIE POINTS

- Segment by urban vs. rural consumption patterns, cooking habits, and brand loyalty.
- Distinguish between general trade (kirana stores), modern trade (supermarkets), and e-commerce contribution to edible oil sales.
- Integrate regional marketing levers (TV in rural, digital campaigns in metros, festival tie-ins for adoption).

CHEMROUTE TO INDIA

Your client is a US-based chemical company looking to enter the Indian market. You need to evaluate if the market is attractive for the client to enter.

CLARIFYING QUESTIONS

I've a few preliminary questions. What kind of chemicals does the client sell?

We sell patented chemical products used to melt snow. It is used in regions with heavy snowfall.

Why have they chosen India as the target market?

We have chosen the Indian market as it is a large country, and the current players are fragmented.

Lastly, I'd need to understand the competitive landscape. What is the market structure like?

The industry has 8-10 players, and none of them have a market share of more than 8%. Your client's patented solution is also more efficient, using a lesser amount of chemical to melt snow.

CHEMROUTE TO INDIA

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SOLUTION

That's interesting. To evaluate this opportunity, I'll structure my analysis in two parts:-

- **Market Sizing:** I'll estimate the total market size to understand the scale of the opportunity.
- **Market Attractiveness & Entry Strategy:** Then, I'll assess the competitive landscape to decide whether to enter and how.

Sure. How would you estimate the market size?

I'll use a step-by-step, area-based approach:-

- Estimate the total area in India that receives heavy snowfall.
- Calculate the total volume of snow to be melted annually in this area.
- Determine the total quantity of chemical needed based on usage frequency.
- Multiply the quantity by the price to get the final market size.

Seems right. Go ahead.

To estimate the area of India:

We can assume that it is similar to two triangles placed over each other.

(The base of the triangle will be the east to west distance of India and height of each triangle will be half the distance between top and bottom points of India).

- Making this calculation, Area of India = $2 * (1/2 * \text{base of triangle} * \text{height of triangle}) = 2 * 1/2 * 2500 * 3000 / 2 = \sim 3,500,000$ sq km.
- Only certain Northern states receive snowfall, which is approx. 20% of the country. Therefore, area under snowfall will be: $20\% * 35,00,000 = 700,000$ sq km.
- Now I will calculate the amount of chemical needed to melt the snow in this area.

Can you tell me how much chemical is needed to melt snow and what is the usage frequency?

CHEMROUTE TO INDIA

Your client is a US-based chemical company looking to enter the Indian market. You need to evaluate if the market is attractive for the client to enter.

SOLUTION

Seems good. You can assume that these regions receive approx. 100 cm of snowfall each year, and snow is to be melted at least 20 times a year. On average, 10 mL of chemical is required to melt 1 cubicmetre of snow.

Great. Using those numbers, I can now calculate the total chemical volume needed per year.

Total Chemical Needed = (Area in m²) x (Snowfall depth in m) x (Usage Frequency) x (Chemical per m³)
 = (700,000 * 1,000,000) * (1) * (20) * (0.01 L)
 = 140 billion litres per year.

What is the price of this chemical?

You can assume the average price is \$0.5 per litre.

Alright. That makes the total market size = 140 billion litres * \$0.5/litre = \$70 billion.

Great. This seems like an attractive market. What would you recommend, if we should enter or not?

My recommendation is to enter the market. The key reasons are:

- **Large Market Size:** A \$70 billion market is a highly attractive opportunity.
- **Fragmented Competition:** No dominant player makes it easier for a new entrant to gain market share.
- **Superior Product:** Our patented, more efficient chemical gives us a strong competitive advantage.

Alright. How should the client enter the market?

The best entry mode would be a Joint Venture with a couple of existing local players. This strategy would allow us to leverage their local understanding and distribution networks, which, combined with our superior product, would ensure the fastest and least risky path to success.

Sounds good. Thank you!

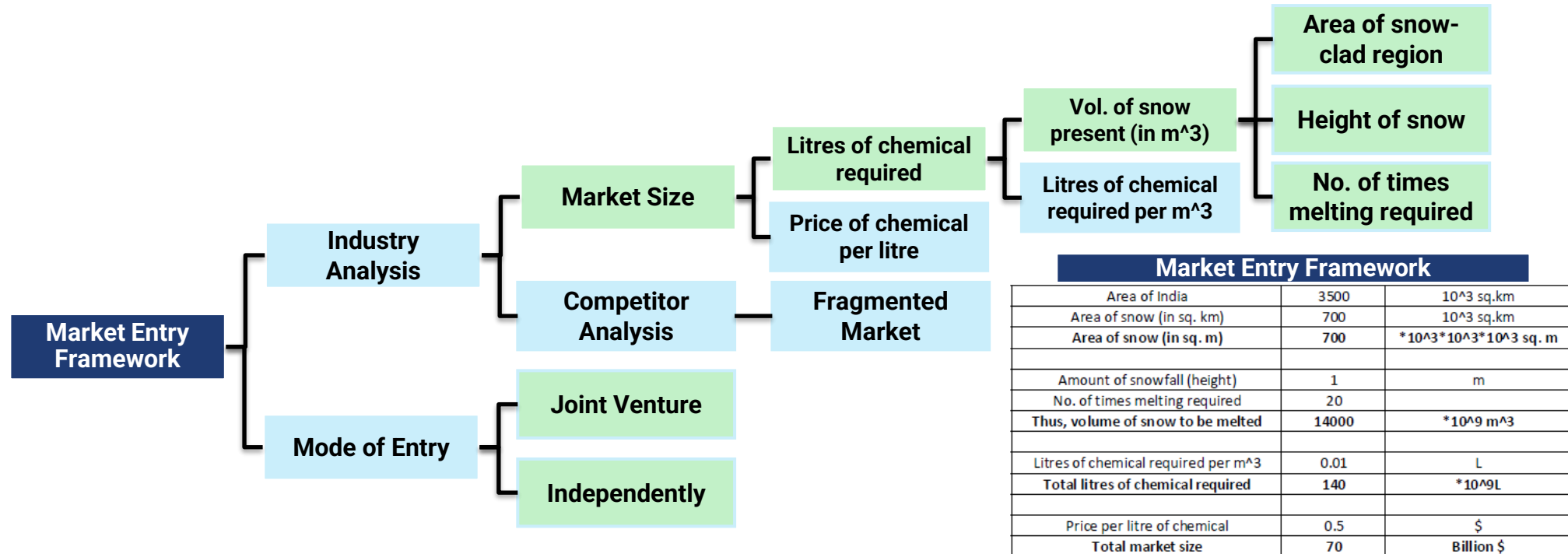
CHEMROUTE TO INDIA

Your client is a US-based chemical company looking to enter the Indian market. You need to evaluate if the market is attractive for the client to enter.

KEY LEARNINGS

APPROACH

- This case is a classic example of a top-down market sizing: start with a large number (Area of India) and logically narrow it down with assumptions.
- The best way to handle a multi-step calculation is to break it down into a clear, logical sequence.
- A fragmented market with no dominant player is often an ideal entry point for a new company, especially one with a superior product.



BROWNIE POINTS

- Include the specific criteria for selecting a joint venture partner, such as their distribution network in Northern states.
- Segment potential customers (e.g., Border Roads Organisation, municipal corporations, hotel chains) and propose a targeted sales strategy for each.
- Discuss market trends like increased infra spending in Himalayan states to explain why now is the perfect time to enter.

GEARS TO THE GULF

Your client is an automobile manufacturer based in India who is planning to enter a foreign market. Please advise them on the same.

CLARIFYING QUESTIONS

I would like to ask a few preliminary questions before proceeding with this case. Which automobiles does our client manufacture?

They make SUV cars mainly for the premium segment in India.

Alright, and why are they planning to expand to a different country?

They have 20% excess capacity in their manufacturing units and want to utilize the same.

Do they have any country in mind?

Yes, they want to enter Saudi Arabian market with their SUVs and want you to help them in pursuing this. Our client considers the market as profitable in the future and has excellent relations with the Prime Minister of Saudi Arabia.

Alright! What's the overall growth rate of automobile market in Saudi Arabia?

It is 7%

Are there any other competitors for SUVs in the Saudi Arabian market?

Yes, there are 6 major automobile competitors in the market. Out of these, 4 players exist in the SUV market which sell mainly to the premium segment.

Alright! Since most players already exist in the premium segment, is our client planning to enter the same segment or a different one?

What would you advise our client to do?

GEARS TO THE GULF

Your client is an automobile manufacturer based in India who is planning to enter a foreign market. Please advise them on the same.

CLARIFYING QUESTIONS

I would advise our client to enter into the economy segment, primarily due to two reasons:-

- Lack of options in the economy segment provides our client with an excellent opportunity
- As many people in Saudi Arabia have higher incomes, our cars with similar prices as that in India might fall in the economy segment.

That makes sense. Let's proceed with the case.

GEARS TO THE GULF

Your client is an automobile manufacturer based in India who is planning to enter a foreign market. Please advise them on the same.

SOLUTION

I would structure my approach in three parts:-

- **Financial Feasibility:** To estimate the market size and profitability.
- **Operational Feasibility:** To analyze production and distribution.
- **Marketing & Branding Strategy:** To define how we position the product.

Let's start with the financial angle.

Sure. So, profits can be calculated by a formula:-

- Market size, multiplied by the market share and the margin earned.
- Then, we can subtract the fixed costs which will give us the profit figure

Sounds fair! Let's estimate the market size of these vehicles in Saudi Arabia

To estimate the annual market size for economy SUVs, I would use a top-down approach:-

- **Target Population:** Start with the urban population of Saudi Arabia (~2 crore).
- **Segment by Income:** Divide the population into income segments (e.g., lower, middle, upper).
- **Calculate Households:** Convert the population in each segment to the number of households.
- **Apply Car & SUV Ownership Rates:** Apply a percentage for car ownership and then a sub-percentage for SUV ownership to each income segment.
- **Determine Annual Sales:** Apply a replacement rate (based on the average life of an SUV) to the total number of SUVs in the market to find the number of new SUVs bought each year.

Perfect! Okay, let's assume it is financially feasible. Now I want you to figure out the operational aspect.

GEARS TO THE GULF

Your client is an automobile manufacturer based in India who is planning to enter a foreign market. Please advise them on the same.

SOLUTION

Operationally, the two key areas are:

Production and Distribution.

Since we already have extra capacity which we plan to utilize, I assume that we won't be facing any production issues. However, we will have to export the cars to the market. Does our client have the financial resources to undergo export?

Yes, our client is ready to export the cars there.

Perfect! Then coming over to the distribution angle. How do we normally distribute our cars in the Indian market and how is it carried out in Saudi Arabian market?

In the Indian market, we sell through our own showrooms and third-party distribution networks and its similar for players in Saudi Arabia.

As a new player who are selling extra capacity, it would not make sense for us to open our own showrooms. Hence, we should explore third party distribution channels.

But how would you get third party channels to sell your car? As mentioned, there are multiple players already existing in the market who are serviced by these channels, and they'll not want another competitor entering their country.

We can motivate them through a mix of levers:

- **Financial:** We can offer them higher commissions as well as ease in distribution through our export channels
- **Relational:** Leverage our connections with the Saudi Arabia government to obtain access to third party channels.
- **Market Pull:** As we build demand for our product, distributors will naturally be more willing to partner with us.

Alright! Let's dive into the marketing and promotional angle. How would you introduce the product into the new market?

Sure! We would have to look at the various online and offline promotional campaigns.

GEARS TO THE GULF

Your client is an automobile manufacturer based in India who is planning to enter a foreign market. Please advise them on the same.

SOLUTION

Before we go there, I would like you to look at an overall perspective: what would be your branding levels, what would be you drive your product promotion around?

Alright! So, I would like to look at the following aspects of the launch:

- SUVs which we are offering
- Pricing
- Customer segment
- Promotional activities

Okay, that sounds like a structure. Let's proceed.

So, from the product angle, it should be best for us to drive our product branding around the features of the product as well as the differences between our SUV and the other SUVs. We should highlight the best features of our SUVs and show how we provide these at a lower cost than our competitors.

But won't our brand value be affected since we are a premium brand in India?

You are right about that. In order to tackle the problem, we can sort this situation by launching a sub-brand, especially one which relates more to the Saudi population, or which represents some famous symbol of theirs.

Alright! We can close the case here.

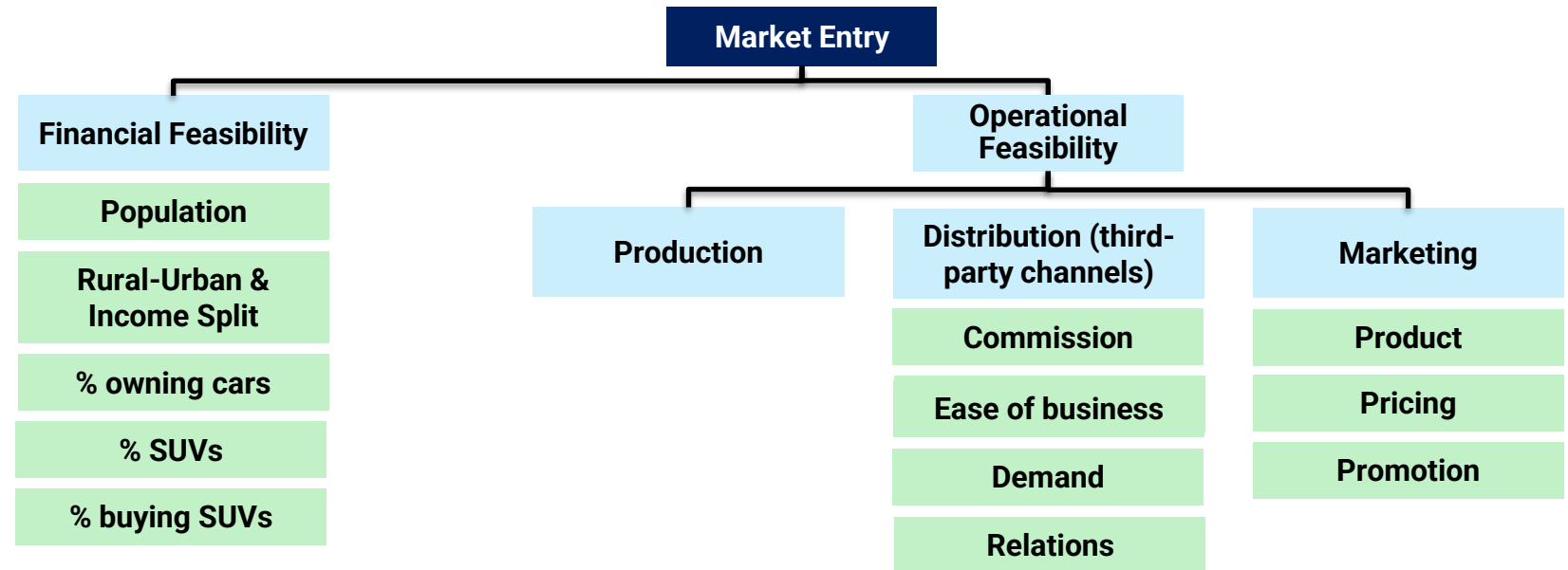
GEARS TO THE GULF

Your client is an automobile manufacturer based in India who is planning to enter a foreign market. Please advise them on the same.

KEY LEARNINGS

APPROACH

- A product's positioning (premium vs economy) is defined by the target market's perceptions & income levels, not the company's home market.
- A powerful way to structure a market entry case is to use a multi-layered framework that covers financial, operational, and marketing feasibility.
- Launching a sub-brand is an effective strategy to enter a new market segment without diluting the core brand's established identity.
- A smart entry strategy identifies & leverages the company's unique advantages (like excess capacity or political connections) to overcome market challenges.



BROWNIE POINTS

- Discuss the need to customize the SUV for the Saudi market, considering factors like a stronger AC for the climate and local driving preferences.
- Identify key risks like geopolitical instability, currency fluctuations, or failure to secure reliable distribution partners.
- Suggest a 5-yr roadmap including plans for eventual local assembly or introduction of other vehicle models.

NEXT-GEN LOGISTICS

Our client is a large, traditional logistics company in India. They're a major player but are now facing significant disruption from tech-driven startups. They've decided to launch a new digital freight forwarding platform specifically for the SME segment. They have a substantial budget and are committed to this venture.

CLARIFYING QUESTIONS

Thank you. Just to clarify, what is the client's current revenue from the SME segment in their traditional business and what is the typical cost structure? This will help me understand the potential for cannibalization.

Our client's current revenue from SMEs is about ₹2,000 crores and their profit margin is about 15%.

Got it. How large is the total addressable market of SMEs in India that use freight services?

The total number of SMEs is approximately 6 crores

What is the typical commission rate charged by existing digital players? Are they competing primarily on price or on value-added services?

For the sake of this case, let's assume the average annual spend for a SME is ₹2.5 lakhs.

The digital market is fragmented, and competitors are currently competing on price, commission rates ranging from 4% to 8%.

Lastly, what is the budget for the project?

The client has committed a budget of ₹100 crores for the first two years of the project. This would cover the technology build-out and initial marketing.

Thank you. Based on the data, I would like to first size the total addressable market and then do a quick check on the financial viability of a new platform.

Great, Go ahead

NEXT-GEN LOGISTICS

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SOLUTION

- About 2.5% of 6 crores SMEs are in Tier 1 and Tier 2 cities and are tech-savvy enough to use a digital platform, that's 15 lakhs potential customers.
 - With an average annual spend of ₹2.5 lakhs, the total addressable market for a digital platform is ₹37,500 crores.
 - To break even on the investment, we would need to generate ₹100 crores in profit. Given a conservative gross margin of 30% on our revenue, **Profit = Revenue × Gross Margin** we would need to generate ₹333 crores in revenue.
 - At a 5% commission rate, **Revenue = Commission % × GMV** we would need to achieve a Gross Merchandise Value (GMV) of ₹6,660 crores.
 - This is about 17.7% of the total addressable market.
- This suggests that achieving profitability will be a significant challenge and will require a rapid scale-up.

Okay, This looks good

Now I'd like to move to the operational feasibility, which is critical for a two-sided platform. The biggest challenge is the 'chicken and egg' problem, and from your insights, the internal stakeholder conflict. I will break this down into three core components:

- 1) **Platform Build:** The client must build a user-friendly app for both SMEs and truckers that simplifies booking, tracking, and payments. This requires a significant technology investment and a dedicated team.
- 2) **Supply-Side Onboarding:** Onboarding truckers is a major challenge. We'd need to convince a largely unorganized and tech-averse group to join our platform.
- 3) **Internal Change Management:** The client's traditional sales team could be a major barrier. I would not launch the platform company-wide. Instead, I would propose a pilot in a single, high-traffic corridor (e.g., Delhi-Mumbai).

During this pilot, traditional sales team would be incentivized to onboard their existing SME clients onto new system, turning them from resistors into champions of the change.

NEXT-GEN LOGISTICS

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SOLUTION

That's a sound strategy. Let's add a twist. The traditional sales team has been a major source of our SME business. Let's assume there are 10,000 salespeople, each with 150 SME clients in their portfolio. If we ask them to transition their clients to the platform, we'll lose their direct relationship. What percentage of these SMEs do you think we can successfully migrate to the platform in the first year without losing them, and how would you project the revenue from this?

This is a complex challenge. We must balance the need for digital adoption with the risk of losing a trusted relationship. I'll make a few assumptions. Let's say we have a two-part incentive program.

- 1) **Early Adopter Incentive:** We offer a 5% discount on the first transaction to SMEs that sign up through their salesperson.
- 2) **Salesperson Bonus:** We offer a bonus of ₹1,000 to the salesperson for every SME that signs up and completes a transaction.

With this, I would assume we can get a 20% adoption rate from the existing client base in the first year.

Yes, that's a fair assumption

- Total SMEs in Portfolio: 10,000 salespeople x 150 clients/salesperson = 15 lakhs SMEs
 - SMEs Migrating to Platform: 15 lakhs x 20% = 3 lakhs SMEs
 - Assuming a one-time transaction of ₹10,000 in Year 1 from each SME: 3 lakhs x ₹10,000 = ₹300 Cr
 - GMV Revenue (at 5% commission): ₹300 Cr x 5% = ₹15 Cr.
- This shows that the initial revenue from migrating existing clients, while modest, is a solid foundation for the business. It is a lower-risk way to get started compared to a cold, national launch.

Yes, that's a good analysis. Next what would you analyze?

Given the operational complexity, a purely Greenfield approach would be too slow. Full acquisition would be very expensive and might not integrate well with the client's existing assets. Therefore, I would propose a hybrid entry model, Greenfield technology build combined with a strategic partnership.

NEXT-GEN LOGISTICS

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SOLUTION

Great, looks a good idea. What would be some of the risks associated?

The key risks and barriers to entry are:

- 1) **Internal Resistance:** The traditional sales force could sabotage the platform out of fear of obsolescence.
- 2) **Network Effects:** Competitors could achieve critical mass first, making it difficult for our client to compete. The first mover with a large network will likely dominate.
- 3) **Pricing Pressure:** The market is price-sensitive. Competitors could start a price war, eroding our profit margins.
- 4) **Trust Deficit:** SMEs and truckers may be hesitant to trust a new digital platform, especially with their payments and goods.

To mitigate these, our strategy must be carefully executed. The pilot program and a focus on delivering a reliable and transparent service will be crucial to overcoming these hurdles.

Excellent. What is your final recommendation?

My final recommendation is to **proceed** with the launch. The client has a significant competitive advantage in its existing physical network. By combining this with a new, user-friendly digital platform and a carefully managed internal change process, they can not only defend their position but also capture a new, fast-growing market. The phased pilot approach, along with a focus on delivering value-added services, will ensure the platform's long-term success and profitability.

Thank you, We can end the case.

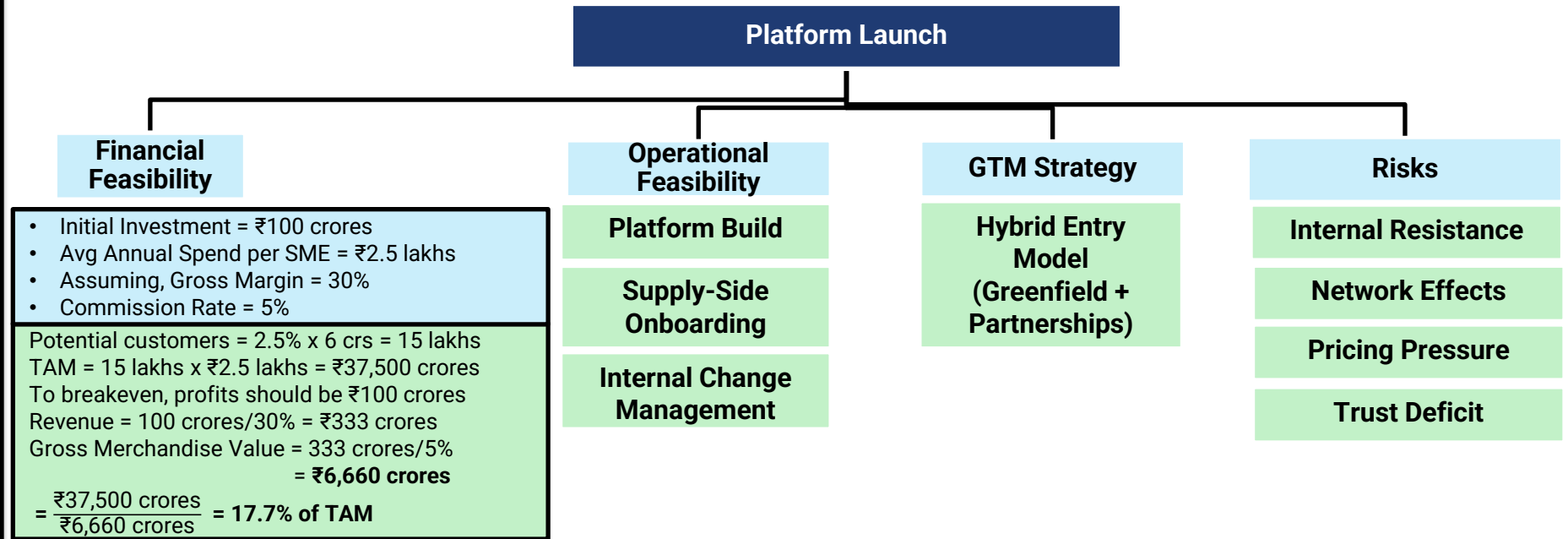
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KEY LEARNINGS

APPROACH

- Launching through a pilot in high-traffic corridors reduces risk and builds trust. Gradual expansion allows time for stakeholder alignment and system fine-tuning.
- Traditional sales teams may resist digital transformation due to fear of obsolescence. Incentives and clear migration plans can convert them from blockers to enablers.
- Early mover advantage and building a two-sided network (SMEs & truckers) is crucial to defend against price-based competition.



BROWNIE POINTS

- Include financial break-even analysis with clear GMV and commission assumptions.
- Suggest dual incentive model (early adopter discount + salesperson bonus).
- Highlight trust deficit and pricing pressure as key risks with mitigation steps.
- Recommend a hybrid approach (greenfield + partnerships) to balance speed and cost.

LUXURY ON WHEELS

Our client is a renowned European luxury car manufacturer with a strong global reputation, but no presence in India. They see a significant opportunity in the high-end SUV segment and want to enter the market. They've asked us to advise them on the viability and the go-to-market plan.

CLARIFYING QUESTIONS

Sure. To begin I'd like to ask a few clarifying questions: What are the client's key strengths, and are there any specific financial targets, like a return on investment (ROI) or a break-even period, for this venture?

Good questions. Our client's key strength is their reputation for craftsmanship, performance, and exclusivity in other markets. There are no specific financial targets yet; the focus is on strategy.

Got it. What is the average price of a luxury SUV in India, and what is the typical sales volume for top models in this segment?

The average price for a high-end luxury SUV in India is around ₹1.5 crore. The top-selling model in this segment sells approximately 2,000 units per year.

Lastly, what is the brand perception of the existing players like Mercedes, BMW, and Audi in this market, and what are their key competitive advantages?

The existing players have a strong brand legacy and extensive dealership networks.

Thank you. That gives me a clear picture.

LUXURY ON WHEELS

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SOLUTION

Based on the data, I would like to first size the total addressable market. I will make a few assumptions to build a quick model:

- Let's assume India's urban high-net-worth population is approximately 10% of the total population of 140 million.
- Assuming an average household has 4 people, this gives 35 million households.
- Of this group, I'll assume that only 2% have the purchasing power for a luxury car, which is 700,000 households.
- If 5% of these households are in the market for a new luxury car each year, and 25% of those purchases are for an SUV, the total addressable market becomes **8,750 households**.

Let's work with those numbers. Top model in this segment sells approx 2,000 units per year. Average price is ₹1.5 crore, and our manufacturing cost is ₹1 crore per unit. Consider 2 modes:

1. CBU (Completely Built Unit) Imports: This has an import duty of 100%.
2. CKD (Completely Knocked Down) Assembly: This has an import duty of 30% but requires fixed investment of ₹150 crores to set up local assembly plant.

Thank you for the data. This is a critical set of assumptions. I'd like to quickly calculate the profitability of each model.

Model 1: CBU (Completely Built Unit) Imports

- Per-unit Cost: ₹1 cr (manufacturing) + ₹1 cr x 100% duty = ₹2 crs
- Gross Profit / Unit: ₹1.5 cr(selling price) - ₹2 cr(cost) = - ₹50 lakhs

This model is not viable as we'd lose money on every car sold.

Model 2: CKD (Completely Knocked Down) Assembly

- Per-unit Cost: ₹1 cr (manufacturing) + (₹1 cr x 30% duty) = ₹1.3 crs
- Gross Profit per Unit: ₹1.5 crs (selling price) - ₹1.3 crs (cost) = ₹20 lakhs

This model is **viable**. To break even on the ₹150 crore investment, we would need to sell ₹150 crores / ₹20 lakhs per unit = 750 units. Since the top model sells 2,000 units, capturing a 40% share of that (800 units) would allow us to break even in the **first year**. The market size is significant enough to justify the initial investment.

LUXURY ON WHEELS

Our client is a renowned European luxury car manufacturer with a strong global reputation, but no presence in India. They see a significant opportunity in the high-end SUV segment and want to enter the market. They've asked us to advise them on the viability and the go-to-market plan.

SOLUTION

Looks good. Please proceed ahead.

Now I'd like to move to the operational feasibility. The client's brand is unknown, which is our biggest hurdle. My framework would focus on a phased GTM strategy to overcome this.

How would you phase that?

Phase 1 Limited & Exclusive Launch:

- Launch initially only in high-potential metro cities like Delhi and Mumbai to target the highest concentration of HNIs.
- Forgo a large dealership network in favor of a few exclusive, company-owned 'brand experience' centers.
- Maintain complete control over the customer experience and build brand reputation centered on premium service.

Phase 2: Product and Service Proposition:

- Position the brand as an exclusive experience, not just a car.
- Avoid competing on brand legacy with established players like Mercedes or BMW.
- Highlight superior product performance and providing unparalleled customer service as the core strengths.

Phase 3: Targeted Marketing & Promotion

- Avoid mass media. Adopt a highly targeted, exclusive marketing strategy.
- Key Channels:
 - Placements in high-end luxury magazines
 - Precisely targeted digital advertising campaigns
 - Focus on exclusive, invite-only launch events & test drives
- Create a sense of scarcity and desirability to attract early adopters and generate powerful word-of-mouth buzz within the HNI community.

That's a sound strategy. Here's a twist: We have found that the typical Indian luxury car buyer is highly relationship-driven. They are extremely loyal to their local dealership, often buying multiple cars from the same dealer over decades, regardless of the brand.

How does this challenge your direct-sales model? What are the implications?

LUXURY ON WHEELS

Our client is a renowned European luxury car manufacturer with a strong global reputation, but no presence in India. They see a significant opportunity in the high-end SUV segment and want to enter the market. They've asked us to advise them on the viability and the go-to-market plan.

SOLUTION

That's a critical new insight. It means that my initial strategy could alienate the very people who influence luxury car purchases in India. This creates a significant dilemma.

Dilemma 1: Stick with the Direct Sales Model.

- Pros: Complete brand control, higher profit margins per unit.
- Cons: We risk alienating influential dealers and may fail to attract customers who rely on these relationships.

Dilemma 2: Shift to a Traditional Dealership Model.

- Pros: We leverage existing relationships and trust, which can accelerate market entry.
- Cons: We lose control over brand experience, and our profit margins will be lower, as we pay a commission to the dealer.

You are correct.

Given this dilemma, I would recommend:

- 1) Adopt a hybrid dealership approach that balances brand control with market access.
- 2) Partner with a small, exclusive number of highly-vetted, multi-brand luxury car dealerships.

- 3) Limit these partnerships to major metro cities initially.
- 4) Instead of a full franchise, implement a "store-within-a-store" or a co-branded showroom concept.
- 5) This model allows the client to leverage the dealer's existing relationships and customer base while still maintaining significant control over the brand and customer experience.
- 6) Offer a higher-than-average commission to these dealers to ensure they are motivated to promote the new brand.

Excellent. What is your final recommendation?

My final recommendation is to **proceed** with the market entry using a **CKD assembly model** to ensure profitability. The go-to-market strategy must be a phased launch in select cities, with a hybrid dealership model that leverages existing relationships while maintaining brand control. The focus in the initial years should be on delivering an exclusive and superior customer experience, leveraging our brand heritage and product quality to justify our premium price point.

That makes a lot of sense. Thank you

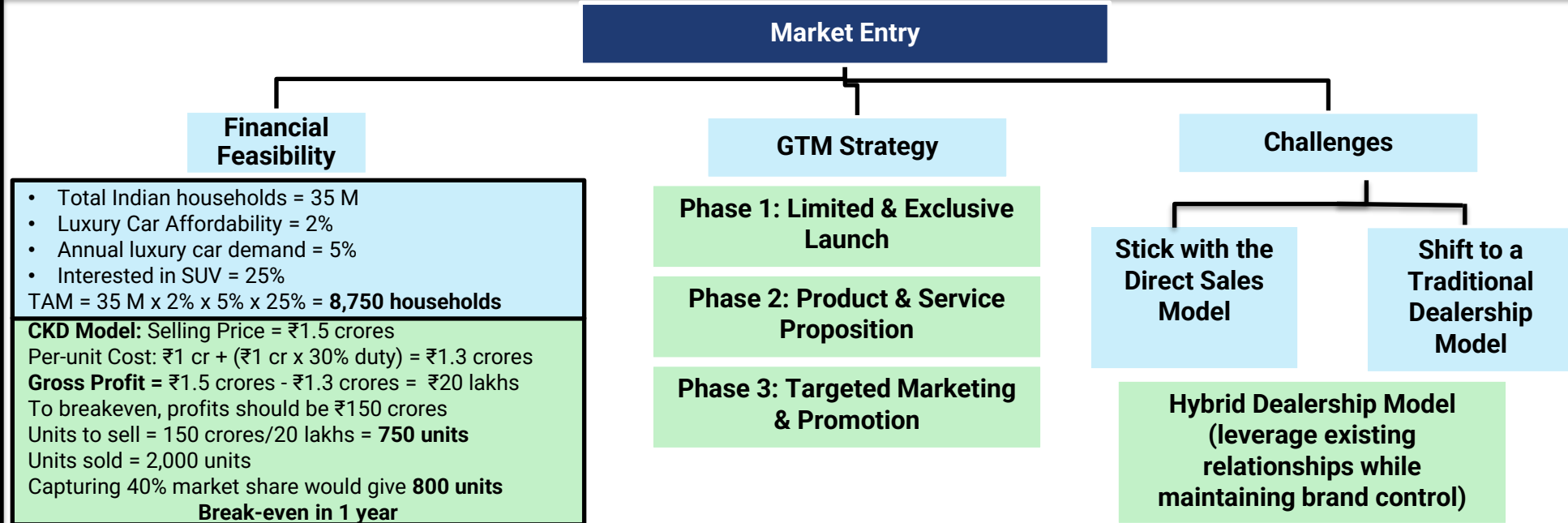
LUXURY ON WHEELS

Our client is a renowned European luxury car manufacturer with a strong global reputation, but no presence in India. They see a significant opportunity in the high-end SUV segment and want to enter the market. They've asked us to advise them on the viability and the go-to-market plan.

KEY LEARNINGS

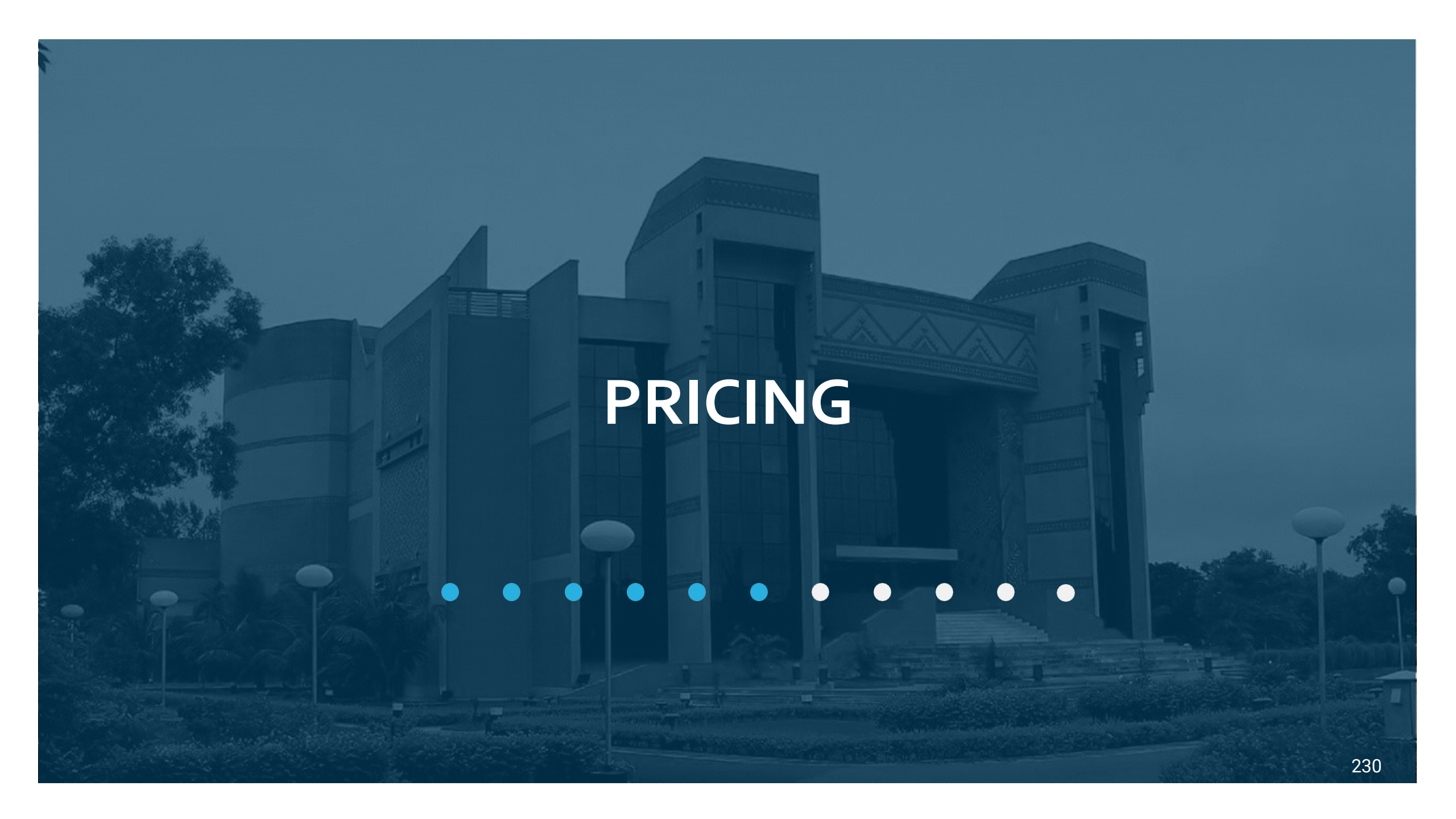
- Hybrid Entry Models reduce risk, by combining CKD assembly with a selective hybrid dealership network balances profitability and brand control during market entry.
- Starting in high-potential metros (Delhi, Mumbai) builds exclusivity and brand awareness before nationwide expansion.
- Indian luxury buyers rely heavily on trusted dealer relationships, making direct sales models less effective initially.

APPROACH



BROWNIE POINTS

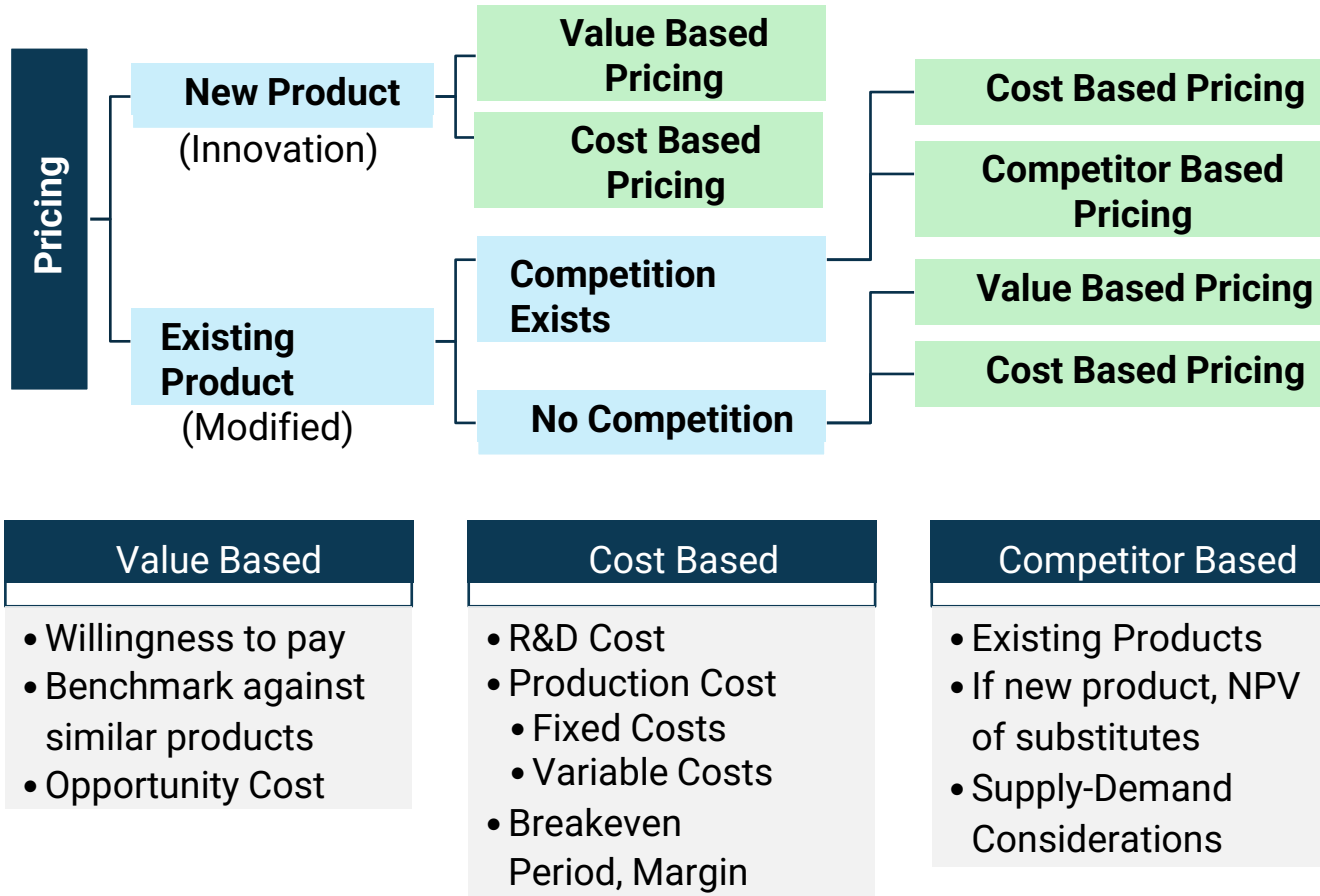
- Recommend store-within-a-store concept to lower upfront investment.
- Suggest exclusive brand experience centers to enhance premium positioning.
- Consider dealer incentives for brand promotion without full franchise risk.
- Propose a multi-phase strategy integrating product, service, and marketing.



PRICING

OVERVIEW

While pricing cases can be asked on a standalone basis, they can also be asked in conjunction with market entry cases to estimate the potential revenues generated by the client upon entry. Your objective is to identify the best approach to estimate the price of the product.



PRELIMINARY QUESTIONS TO CONSIDER*

- What business is the client operating?
- What is the product or service that is being offered?
- What are the various uses of the product?
- How is it different from what is being offered by the competitor?
- Who are the competitors and what are their prices?
- Expected margin
- Substitute products
- Capital investments and expected payback period

Note: Consider implications of price elasticity on demand of the product

PERPETUAL TOOTHBRUSH PREMIUM



Client is a toothbrush manufacturer. It has recently come up with a toothbrush which can last forever. The client has hired you to suggest a price for this toothbrush.

CLARIFYING QUESTIONS

Sure! A few quick clarifications. Could you please tell me more about the product functionality and features?

So, it looks like a regular toothbrush, but it can last for the entire lifetime of a user. It is used in the same manner as a standard toothbrush.

Got it. What is the cost associated with manufacturing such a product?

Good question. The unit manufacturing cost of the toothbrush is about ₹50. The company has also invested \$10M in R&D for this product

How does the company plan to distribute this product?
Is there any specific geography in mind for launching?

Initially, we plan to sell via retail grocery stores and on OTC medical shops. We plan to make it available in major Indian cities.

Are there any existing similar products currently in the market?

No there exists no such product which can last for a lifetime.

Does the company want to recover its R&D cost through the pricing model?

No, you can assume the R&D cost to be sunk cost.

PERPETUAL TOOTHBRUSH PREMIUM



Client is a toothbrush manufacturer. It has recently come up with a toothbrush which can last forever. The client has hired you to suggest a price for this toothbrush.

SOLUTION

Since there are no current competitors, I would like to ignore the competitor-based pricing. I would like to proceed with Cost based and value-based pricing.

Sure, that makes sense.

Is there a fixed margin that the client is looking for the product?

They would ideally like a 50% margin over revenue.

Okay. Since the cost to produce the brush is 50 Rs, the brush can be priced at Rs. 100, to give a margin of 50% on revenue. This price looks very low for such a novel product.

Ok, sounds good.

Let me move on to value-based pricing. I would like to calculate this using the value i.e., lifetime functionality the product gives over normal toothbrushes.

Sure, Go ahead.

Considering an average age of a person to be 70 years, and if we ignore infant and old age period, we can assume that a person

uses a toothbrush for 60 years and current toothbrushes are typically changed every 2 -3 months.

That's fair. You can assume 2 months and go ahead.

This would mean that a person uses around $6 \times 60 = 360$ toothbrushes in their lifetime. If we assume a price of Rs 50 per toothbrush, the ideal value of our product is $360 \times 50 = \text{Rs } 18000$.

Ok. What do you think are the factors that will change this price.

I would like to split the factors in two. Factors that will reduce the price and others that will increase the price.

Sure, that sounds good. What will they be?

I think the factors that will increase this value is inflation, time value of money, convenience of one time buying and the factors that will reduce the price would be fear of loss, boredom of single product for entire life.

Awesome. We can close the case here.

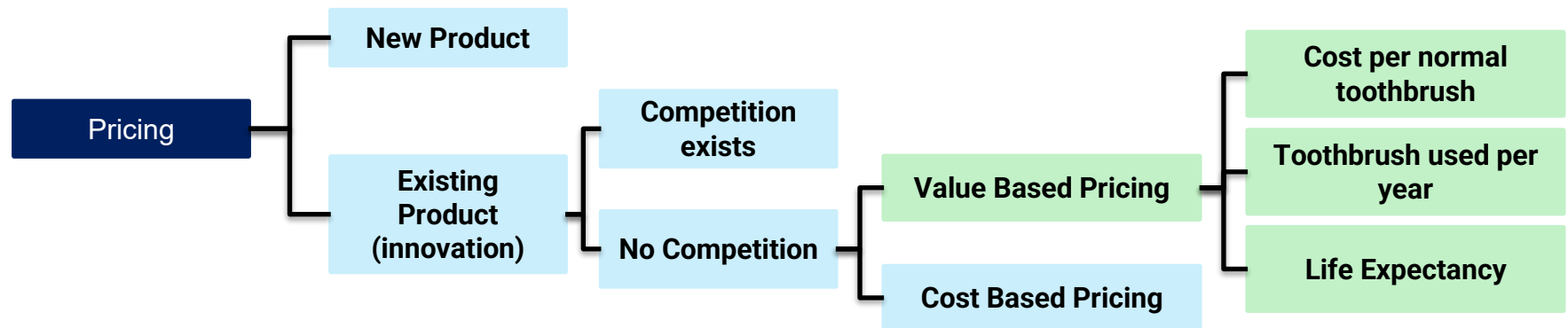
PERPETUAL TOOTHBRUSH PREMIUM

Client is a toothbrush manufacturer. It has recently come up with a toothbrush which can last forever. The client has hired you to suggest a price for this toothbrush.

KEY LEARNINGS

- Value based pricing can be derived using the additional value (in monetary terms) that the product has the potential to create
- Cost based pricing can then be used for relative comparison with value-based pricing & sense check
- A product with no repeat purchases requires you to think beyond just the initial price and consider how to build a sustainable business.

APPROACH



BROWNIE POINTS

- Recognize that the perceived value differs by segment and suggest a tiered pricing strategy to capture maximum value.
- When identifying factors that reduce the price (like fear of loss), suggest solutions like offering a low-cost replacement or "insurance."

YIELD TO PRICE

Client is a Korean conglomerate and wants to launch a new fertilizer in the US market. Suggest pricing for the fertilizer.

CLARIFYING QUESTIONS

Okay, can you tell me more about the client? What is the main business of the client? Where does he client currently operate?

The client manufactures chemicals, fertilizers, and other petroleum products. They currently operating the Asian market.

Since the client operates in the Asian market, why are they targeting the US market?

Fertilizers is not a big market in Asia due to low income of farmers, hence for high profits the clients want to launch it in US directly.

What is the new fertilizer? Is it different from the fertilizers people generally use in US?

Yes, it is a different to the existing fertilizers in the market, it accelerates the growth of fruits.

Does it work on all kinds of fruits or any specific types of fruits?

It has been tested successfully on apples; hence the client wants to launch it only for apples as of now.

Does the client have a patent for this product? Does any similar competing product that already exists in US?

Yes, the client has a patent. No such similar product exists.

Okay. Does the client plan to set up a manufacturing plant in US or import the product? How are they planning to sell to the customers?

That will depend on the revenues we are expected to generate, you can ignore that for now. They plan to sell it through retail chains across US.

YIELD TO PRICE



Client is a Korean conglomerate and wants to launch a new fertilizer in the US market. Suggest pricing for the fertilizer.

SOLUTION

- To price the fertilizer, we cannot use competition-based pricing since there is no competition.
- Cost-based pricing also cannot be used since we don't know about the cost details.
- I think that **value-based pricing** will be the best way to monetize this fertilizer.

You mentioned that it accelerates the growth of fruits. By how much does time get reduced?

The time gets reduced by 20%

How much time does the normal cycle of apples take to grow?

It takes 90 days.

Okay. This means that a farmer can grow 4 cycles in a year, taking 360 days. Reducing time by 20% means the new cycle will be complete in $0.8 \times 90 = 72$ days, and the farmer can now grow 5 cycles in a year. What is the price of the fertilizer that they currently use?

There is only one type of fertilizer in the market, which costs \$40/kg.

How much quantity do they generally require?

Assume 1kg of fertilizer is required per acre and additional revenue per cycle assuming 1 acre of land is \$200

Okay, so clearly the farmer has the potential to earn additional \$200 in revenue due to this fertilizer. However, the farmer will also have to born an additional cost of \$40 for fertilizer for each additional cycle. So, a farmer's additional profit for every new cycle of production is \$160. Hence, the value of this fertilizer can be at most \$160.

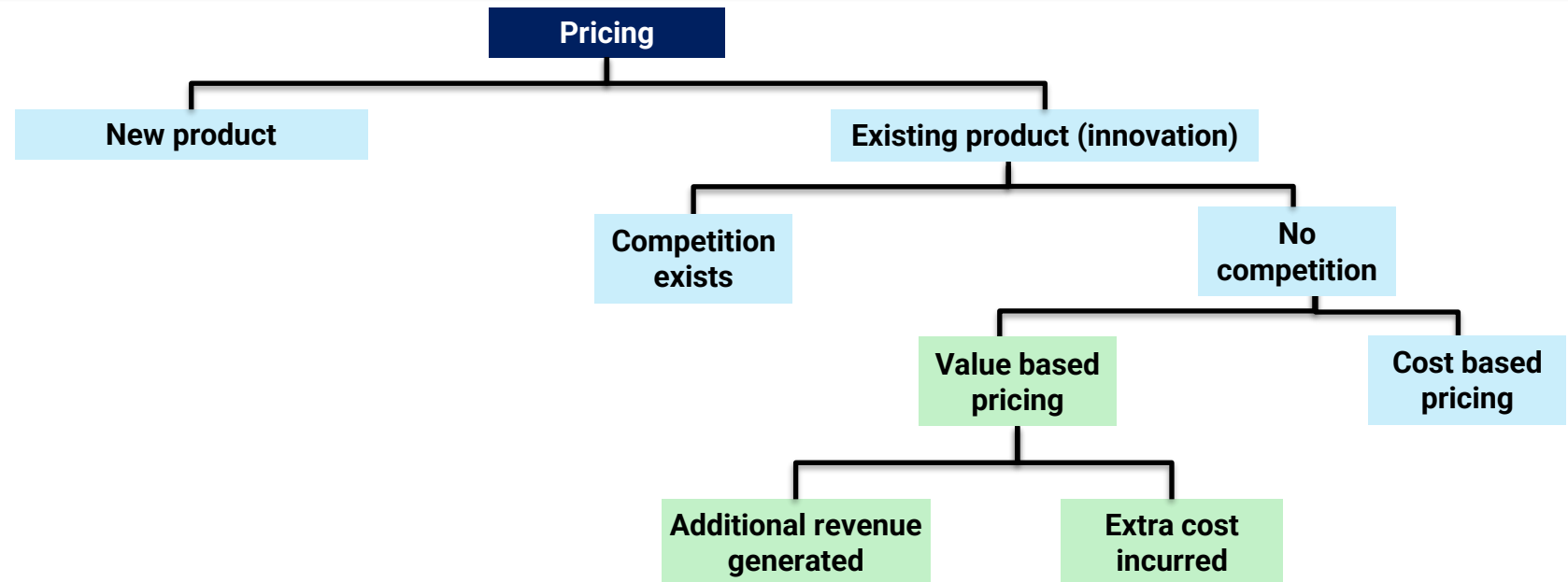
That looks good, thank you.

YIELD TO PRICE

Client is a Korean conglomerate and wants to launch a new fertilizer in the US market. Suggest pricing for the fertilizer.

KEY LEARNINGS

APPROACH



BROWNIE POINTS

- Go beyond calculating the maximum price. Suggest a "penetration pricing" strategy (e.g., \$120) to leave value for the farmer and drive rapid adoption.
- Think beyond the calculation to consider potential risks like the long-term effects of fertilizer on soil health or potential US regulatory hurdles.

TOLL TAG TALLY



Your client is a construction company that has recently built an expressway. They want your help in determining the optimal toll charges to levy on vehicles using the road.

CLARIFYING QUESTIONS

Sounds Interesting. Could you tell me more about the expressway, like where is it located and why has this been built?

The expressway has been built between Delhi and Amritsar. An expressway is a high-speed corridor which has only a few entry/exit points, thus leading to non-stop transit. This newly built expressway would reduce the travel time by 2 hours

Who would be controlling the expressway and its revenue collection?

So, the expressway has been built with a BOT model (Build-Operate-Transfer). Under this agreement, the construction company has built the expressway without obtaining any payment from the Government. They will earn their revenues through the toll charges over a period of 10 years, post which the expressway would be handed over to the government

How many entry/exit points does the expressway have?

Roughly 8-10 points

What are the targets of the construction company?

They want to recover their costs and earn 20% profits

Who are expected to be the normal users of the expressway?

So this expressway would be used by all the people who use any highway– truck drivers, small car consumers, public transport etc

What is the total amount which has been incurred in the construction?

Let's assume a total amount of \$2.5B has been incurred. Let's start with your approach.

TOLL TAG TALLY



Your client is a construction company that has recently built an expressway. They want your help in determining the optimal toll charges to levy on vehicles using the road.

SOLUTION

Sure. So, the price can be estimated through one of the following ways:

1. Cost-based model
2. competitor-based model
3. Value-added model

Let's proceed with the cost-based approach first

Sure! Under the **cost-based system**, the first task would be to identify the components and amounts of fixed and variable costs. **The fixed costs** would include:

- Material costs
- Labour costs
- Equipment cost

This would represent a major portion of the \$2.5bn spent. The **variable cost** incurred to ensure smooth running of the expressway over the next 10 years. This include:

- Labour costs to maintain the toll booths
- Repair/maintenance cost
- Supervision costs.

Perfect. Let's proceed further, give me the structure for estimating your price

Okay. So, the next task would be to estimate the miles covered by a vehicle on the expressway. Since the expressway has multiple entry and exit points, we need to estimate the total vehicle miles which would be covered on an expressway. Then, a pass or ticket can be provided to a vehicle when it enters the expressway and the same can be collected at an exit point which will be used to estimate the miles covered and charges involved.

So, the final method could be **(cost + profit)/vehicle miles**. Additionally, a load aspect can also be added where a certain charge can be imposed for the load of goods on the vehicle.

That sounds good. Let's go with the competitor approach now

Sure. So firstly, how many other similar highways or substitute transport options are available for the travel between Delhi and Amritsar?

TOLL TAG TALLY



Your client is a construction company that has recently built an expressway. They want your help in determining the optimal toll charges to levy on vehicles using the road.

SOLUTION

There are 2 other highways which can be used for the transit.

And are there any similar expressways which cover similar distance or travel time in India?

Yes, there are roughly 4 other expressways which are very similar in terms of distance and exit points

Perfect. So, the charges imposed by competitor highways can be used as a base for the **competitor pricing**. Additionally, given that our expressway cuts the travel time, customers might be willing to pay extra for the time saved. Hence, here we can check the charges imposed by the similar expressways across India. The toll tax for the expressway can be between the price charged by competitor highways and the similar expressways across India.

That sounds like a good approach. Let's move to the next one

So, the final approach will be the **value-based pricing**. Under this method, the aim is to estimate the additional value being generated from the time saved by the expressway.

- The value of time saved can be obtained by computing the economic value of 1 day for 1 person.
 - Following that, we will take the average time saved per user (2 hours) and obtain the economic value of the same.
- This economic value so obtained can be added to a base price or competitor price to obtain the value-based price/toll charges

That sounds good. Let's close the case here.

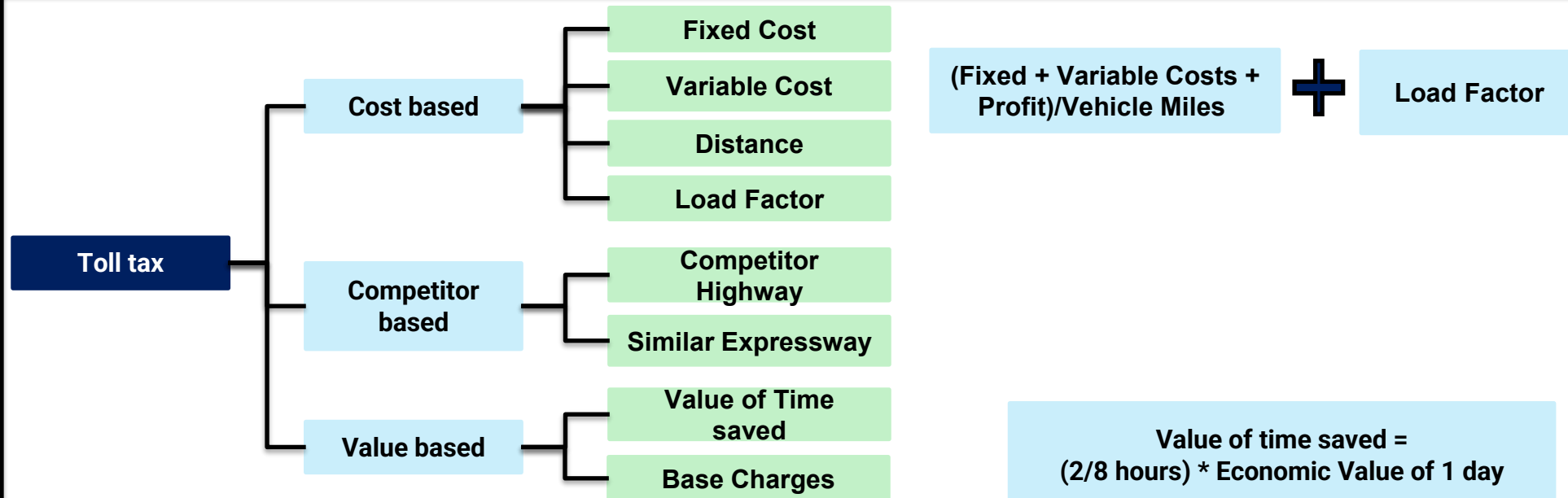
TOLL TAG TALLY

Your client is a construction company that has recently built an expressway. They want your help in determining the optimal toll charges to levy on vehicles using the road.

KEY LEARNINGS

- Most pricing cases have a similar structure and can be solved through either of the 3 methods. Key is to adapt those methods with the respective problem statement
- Lay out a clear, logical structure (Cost, Competitor, Value) from the start and executing it step-by-step.
- Competitor based approach can include aspects of substitutes, even if it is a product-based pricing case

APPROACH



BROWNIE POINTS

- Go beyond a single price. Suggest a full pricing matrix with different rates for vehicle type (car, truck) and usage frequency (monthly passes).
- Instead of calculating the value of time for a "person," quantify it separately for segments like commercial trucks (fuel, wage savings) and passenger cars (convenience).

WATT SHOULD WE CHARGE



Your client is an electric company. They have recently created a bulb that can work in perpetuity. What price should they charge?

CLARIFYING QUESTIONS

That's interesting. I just had a few preliminary questions before I delved deeper. What is the objective of our client? Also, is this a new product or a modified existing product?

Well, this is a new product. The objective of the client is to price to achieve a break-even with the product in the short-medium term.

Alright. Would it be ok if we proceed with a Value-based pricing strategy

That's an interesting option, though perhaps a more traditional pricing method could help us reach breakeven more reliably.

In that case, can you tell me a bit more about who are the competitors and what their prices are? Additionally, what is the cost per unit of the product? Are there any R&D expenses associated?

The primary competition is from Traditional Bulbs.

- For a conventional bulb, it costs Rs. 4 to the manufacturer, Rs. 10 to the distributor, Rs. 14 to the store owner, and Rs. 18 to the customer.
- For this new bulb, it costs the client Rs. 400 to manufacture. R&D spend was Rs. 120 crore.

You can make assumptions about the manufacturing capacity and number of years to break-even.

WATT SHOULD WE CHARGE



Your client is an electric company. They have recently created a bulb that can work in perpetuity. What price should they charge?

SOLUTION

Assuming a limited initial production of 50 bulbs/hour, a 12-hour workday, 5-day workweek, and 250 annual operating days, with 1% substandard output, the estimated annual output is 148,500 bulbs. Whether 6 years is a suitable break-even timeframe depends on other factors like pricing, sales volume, and market demand.

Sounds like a good approach. Let's calculate the price now.

In order to achieve break-even, beyond the cost, we need to recover the R&D expenses in 6 years. So, we will determine the contribution margin to achieve the same.

Contribution per unit =

$$\frac{R\&D\text{Expenses} + \text{Cost of Substandard Units}}{\text{Annual Output} * \text{Target years to Break-Even}} = \frac{120\text{crore} + 1500 * 400}{148500 * 6} = 1347.47$$

So, the price per unit should be set to 1750, by adding the contribution margin to our cost per unit.

Correct. Moving ahead, what customer segments can we target?

Given that it is a very expensive bulb our potential customers segments would be high-income individuals, corporations, and the Government (streetlights).

Let's focus on Corporates as well. Suppose the Total Addressable Market (TAM) is 1000. Now, there's no cap on manufacturing capacity. What price would you charge?

Okay. Let's consider 50% of the TAM to be captured and a requirement of 300 bulbs per corporate, along with all the previous assumptions. For simplicity, let's assume 100% efficiency in production. New Contribution per Unit

$$= \frac{R\&D\text{Expenses}}{\{Market\text{Sales} + Institutional\text{Sales}\} * \text{Years}} = \frac{20\text{crore}}{[1150000 + (500 * 300)] * 6} = 666.67$$

So, the new price would be 1100 (rounding off).

WATT SHOULD WE CHARGE

Your client is an electric company. They have recently created a bulb that can work in perpetuity. What price should they charge?

SOLUTION

This price sounds more realistic. What issues would you face if these bulbs are used as streetlights?

Streetlights can be subject to theft, vandalism, etc.

Okay. Now, What would you consider if you had gone for Value-based pricing?

We should have compared it against the cost incurred on conventional bulbs used at a place in that individual's/corporation's lifetime. Also, a minor factor would also be the time and resources saved in buying the perpetual bulb compared to the conventional bulb.

Great. We can close the case.

WATT SHOULD WE CHARGE

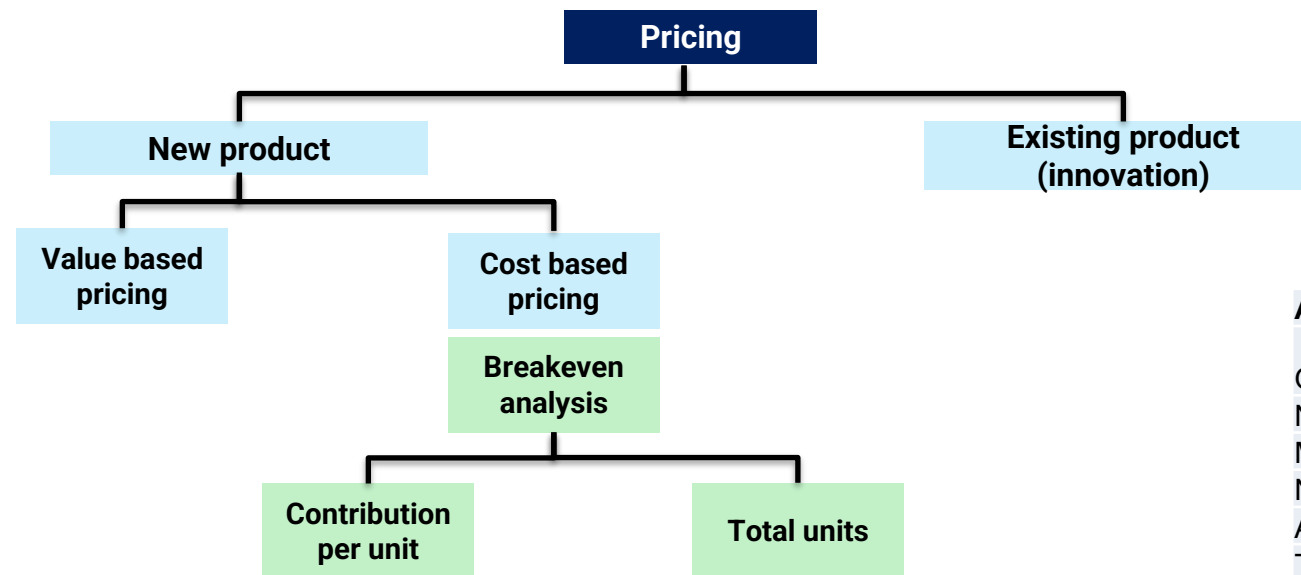


Your client is an electric company. They have recently created a bulb that can work in perpetuity. What price should they charge?

KEY LEARNINGS

- A breakeven calculation sets a floor for pricing. The final price must also consider market willingness to pay (value) and competitive pressures.
- Selling a product that never needs replacement fundamentally changes the business model from repeat sales to capturing a lifetime of value upfront.

APPROACH



Annual production: Case 1	
Units per hour	50
Working hours	12
Working days	250
Substandard Output(ineligible for sale)	1%
Total annual production	148500

Annual production: Case 1	
Output in Case 1 at 100% efficiency	150000
Number of corporations in TAM	1000
Market obtainable	50%
Number of corporations in SOM	500.00
Avg no of bulbs for each corporate	300
Total corporate market	150000
Total annual production	300000

BROWNIE POINTS

- Suggest a "Light-as-a-Service" model, especially for corporate or government clients, to create a recurring revenue stream instead of a one-time sale.
- Analyze long-term implications for client's suppliers and distributors, whose business models rely on repeat sales.

DOSE-TO-DOLLARS



Your client is a mid-sized pharmaceutical company. They have successfully developed a new, patented drug for treating chronic migraines and are planning to launch it in the USA. They need your help to determine the optimal pricing strategy.

CLARIFYING QUESTIONS

Sure. Before I structure my approach, I'd like to ask a few clarifying questions:
What is the primary objective for the client with this launch? Are they aiming to maximize profit, capture market share, or something else?

Their primary objective is to maximize long-term profitability.

Understood. Could you tell me more about the drug itself? How is it administered, and how does its effectiveness compare to existing treatments?

It's a self-administered injection taken once a month. Clinical trials have shown it is significantly more effective at reducing the frequency of migraines and has fewer side effects than the current standard treatment, which is a daily pill.

That's a strong value proposition. On that note, who are the main competitors, and what is the typical annual cost of their treatments?

The main competition is the daily pill. The total annual cost for that treatment, including the drug and any associated care, is approximately \$10,000 per patient, which is typically covered by insurance.

Perfect. And finally, what is the client's cost to produce a one-year supply of this new drug?

The Cost of Goods Sold (COGS) is about \$1,000 per patient per year. You can treat the R&D costs as a sunk cost for this pricing exercise.

DOSE-TO-DOLLARS

Your client is a mid-sized pharmaceutical company. They have successfully developed a new, patented drug for treating chronic migraines and are planning to launch it in the USA. They need your help to determine the optimal pricing strategy.

SOLUTION

Thank you, that's very helpful. Okay, to determine the optimal price, I'd like to analyze the problem from three perspectives:

- **Competitor-Based Pricing:** which gives us a market benchmark.
- **Value-Based Pricing:** to understand the maximum price the market would be willing to pay based on the benefits our drug provides.
- **Cost-Based Pricing:** to establish our price floor.

Finally, I'll synthesize these three to provide a final recommendation. Does that sound like a reasonable approach?

That sounds like a solid plan. Let's start with your value-based analysis. How would you go about that?

The additional value our drug provides can be broken down into two main categories:

1. Direct medical saving
2. Indirect economic benefits for the patient.

To quantify the direct savings, do we have any data on the average reduction in costs from fewer ER visits or less need for other pain medications?

Yes. Assume that due to our drug's higher effectiveness, patients experience an average of \$3,000 per year in direct savings on other medical costs.

Great. Now for the indirect benefit of productivity. Do we have data on the number of workdays patients typically miss on the current treatment versus with our new drug?

Patients on the old drug miss an average of 10 workdays per year, while our drug reduces that to just 2 days.

Okay, that's a significant improvement of 8 saved workdays. To monetize this, I'll need an average daily wage. I'll make a reasonable assumption here. Given the US market and a mix of professions, would an average daily wage of \$250 be a fair estimate to proceed with?

DOSE-TO-DOLLARS

Your client is a mid-sized pharmaceutical company. They have successfully developed a new, patented drug for treating chronic migraines and are planning to launch it in the USA. They need your help to determine the optimal pricing strategy.

SOLUTION

That's a reasonable assumption. Please continue.

So, the productivity gain is $8 \times \$250 = \$2,000$ per year in productivity value. This means the total additional value our drug creates is the \$3,000 in direct medical savings plus the \$2,000 in productivity gains, for a total of \$5,000 per year.

That's correct. So how does that help you determine a price?

The total value of our treatment to the healthcare system and the patient is the cost of the current alternative, \$10,000 plus the additional value we create, \$5,000. This gives us a theoretical maximum price of \$15,000 per year.

Our cost-based floor is the COGS of \$1,000.

So, our pricing corridor is between \$1,000 and \$15,000.

So, given that wide range, where would you set the final price, and what is your recommendation for the client?

Considering all three pillars, I would recommend setting the annual price at \$13,000. Here's my reasoning:

- **Captures Value:** This price captures a significant portion (\$3,000 out of the \$5,000) of the additional value we create, allowing the client to meet their profitability goals.
- **Incentivizes Adoption:** It leaves \$2,000 of value for the patient and the insurer. This makes it a financially attractive option for them, which is crucial for getting insurance coverage and encouraging doctors to prescribe it.
- **Strong Market Positioning:** It clearly positions the drug as a premium, superior alternative to the \$10,000 competitor, justifying its higher price through tangible benefits without appearing excessively priced, which helps manage public perception.

That's a well-reasoned recommendation. Thank you, we can close the case here.

DOSE-TO-DOLLARS

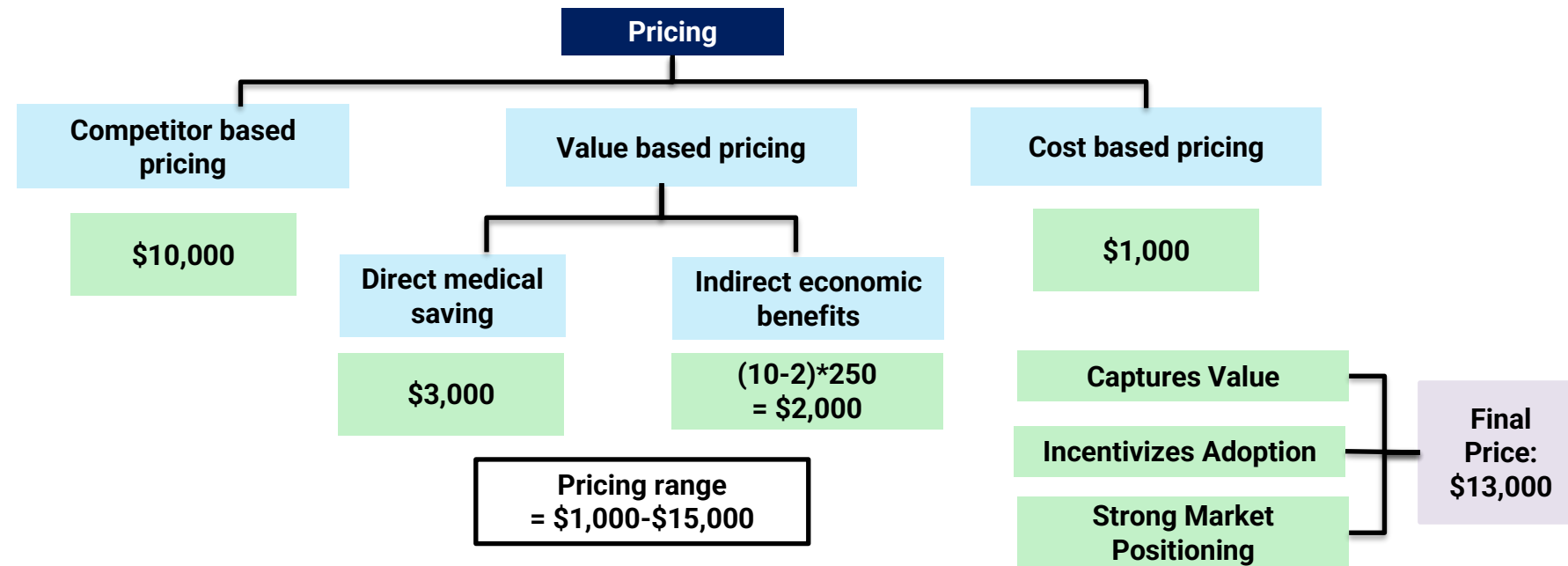


Your client is a mid-sized pharmaceutical company. They have successfully developed a new, patented drug for treating chronic migraines and are planning to launch it in the USA. They need your help to determine the optimal pricing strategy.

KEY LEARNINGS

- The final recommendation must strategically balance capturing value for the company with leaving enough value for the customer/payer to incentivize adoption and market access.
- Lead the interview by proactively asking for the specific data points needed for the analysis.

APPROACH



BROWNIE POINTS

- Mention that the price might need to evolve over time, especially as competitors launch similar drugs or as the patent expiration date approaches.
- Briefly analyze the reasoning of the Competitor's Price.

TELEPORT TARIFF



A tech company has developed a teleporting machine that can instantly transport people and goods. They want your help to suggest a pricing model.

CLARIFYING QUESTIONS

Can I assume the significant feature of the teleporting machine is to transfer to any part of the world?

Yes, fair assumption.

Alright, I have few more preliminary question.

Go ahead.

Is there any competition for the client?

There are no direct competitors.

Where is the machine located? Can that be considered as the starting point?

The machine is in Mumbai– you can consider that as the starting point.

How much time does it take to teleport someone?

It takes approximately 30 mins to transfer you to any place.

TELEPORT TARIFF



A tech company has developed a teleporting machine that can instantly transport people and goods. They want your help to suggest a pricing model.

SOLUTION

Great. Pricing can be done in 3 ways:

1. Cost-based Pricing
2. Competitor-based Pricing
3. Value-based Pricing.

Since it is specialty product/service, cost-based pricing can be ruled out. Since there are no competitors, we can rule out competitor-based pricing as well. I'd use value-based pricing here.

Sure. Go ahead.

The pricing can be done by using the value of time saved as a proxy. The target customers can be three major segments:

- 1) CXOs who lose a lot of valuable time during international travels
- 2) Diplomats who have to travel abroad for urgent matters
- 3) Travels related to medical emergencies. I'd like to price the product for the first segment to begin with.

Seems okay. Let's focus on the first segment only

Alright. I'd consider the average yearly salary for CXOs to be approximately INR 10 crores, which means the hourly earnings are somewhat around INR 40k, assuming he/she works 10 hours a day for 250 days in a year.

Seems like a fair assumption. Go ahead.

- A typical international trip takes 15 hours on an average.
- Using the teleporting machine, it can be completed in 1/2 hour, which indicates a time saving of 14.5 hours.
- Now, assuming the CXO can use 70 to 80% of the time saved in doing other essential work, the actual time benefit for the CXO is around 10-12 hours.
- Taking a conservative assumption, I'd assume a total benefit of around 10 hours.

Using the hourly salary of CXO calculated earlier, this translates to a price of ~INR 4 lacs per use

TELEPORT TARIFF



A tech company has developed a teleporting machine that can instantly transport people and goods. They want your help to suggest a pricing model.

SOLUTION

Fair. Anything else you would like to add to justify your costs?

Yes. We can use a business-class ticket price to justify this price. On an average, a typical business class international trip costs around INR 2 lacs. Our price is a 100% premium over this, which seems fair to me. We can certainly tinker with the price on the basis of the destination of the person using our machine.

Makes sense. Thank you. We can close the case here.

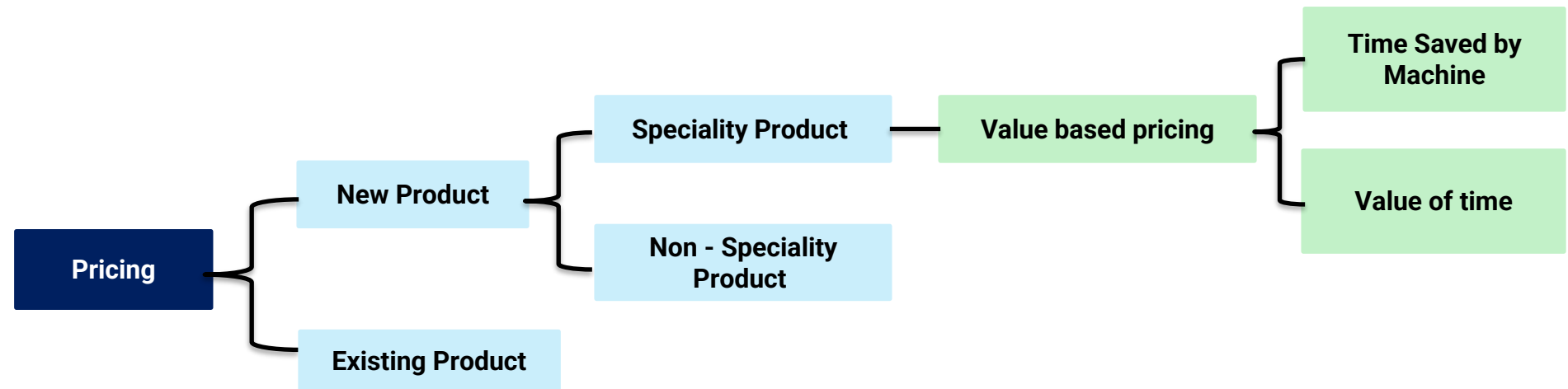
TELEPORT TARIFF

A tech company has developed a teleporting machine that can instantly transport people and goods. They want your help to suggest a pricing model.

KEY LEARNINGS

- Value based pricing is used as it is a novel product
- First step in a pricing case is to segment the potential market and select a specific target customer to price for.
- Use a credible proxy (a CXO's hourly wage) to place a monetary value on an intangible benefit like time saved.

APPROACH



BROWNIE POINTS

- Add other costs saved by teleportation (hotels, meals, ground transport) to the CXO's time value, creating an even higher price point.
- Mention powerful non-monetary benefits like reduced travel fatigue and no jet lag which further justify a premium price.
- Go beyond setting a single price. Suggest a "price skimming" strategy for early adopters, potentially evolving into dynamic or subscription pricing later.

PRIMETIME BID PLAY



Your client is a media & entertainment giant & is looking to bid for a global event. You are required to determine how much should the client bid.

CLARIFYING QUESTIONS

Sure, before I delve deeper, I just had a few preliminary questions related to the event.

Sure, go ahead.

Can you please tell me a bit more about the event? More so related to the timeline of the event, geography?

The event is of three weeks. You can think of any sporting World Cup as reference.

Will advertising be the primary source of revenue for the winning bidder?

Yes, advertising will be the primary source of revenue. You can assume India for geographic reach of the event

Alright. Just to understand further, what exactly is the objective of our client? If it is just pure returns, then does the client have a target margin?

Correct, the objective is ROI with 30% margin in mind. Enough questions for now, please proceed with your approach.

PRIMETIME BID PLAY



Your client is a media & entertainment giant & is looking to bid for a global event. You are required to determine how much should the client bid.

SOLUTION

Okay, I am taking following approach for this problem :

- Bid Price = Profits / 1.3;
- Profits = Revenue – Costs;
- Revenue = Total primetime hours * Primetime advertising rates + Total non-primetime hours * non-primetime advertising rates
- Costs = Total expected cost for streaming the event + Opportunity cost of streaming something else

Sounds like a solid approach

Alright, before I proceed, I would need some data around the prevalent advertising rates for primetime & non-primetime hours.

Primetime is 5L INR / 30 secs & 3L per 30 sec for non-primetime.

Assuming a total of 10 hours of event streaming everyday -> total hours can be divided on weekdays & weekends as follows:
 Primetime = 3hrs on weekdays + 10 hrs on weekend
 Non-primetime = 7hrs on weekdays + 0hrs on weekend

And what about the opening & closing ceremony?

Yes, so assuming both of them to be of 3 hours and that both happen on weekends, the total hours can be calculated as:
 Primetime hrs = (3hrs * 5days * 3weeks) + (10hrs * 2days * 3weeks) + (6hours) = 111 hrs = ~100 hrs for simplicity
 Non primetime hrs = (7hrs * 5days * 3weeks) = 105 hrs = ~100 hrs

Okay, calculate total revenue now.

Assuming 10 mins in an hour are available for advertising, revenue:

Primetime : $5\text{L}/30\text{secs} * 60\text{sec}/\text{min} * 10\text{min}/\text{hr} * 100\text{hrs}$
 = 3000 crs

Non-primetime : $3\text{L}/30\text{secs} * 60\text{sec}/\text{min} * 10\text{min}/\text{hr} * 100\text{hrs}$
 = 1800 crs

Thus, total revenue = 4800 crs = ~5000 crs

PRIMETIME BID PLAY



Your client is a media & entertainment giant & is looking to bid for a global event. You are required to determine how much should the client bid.

SOLUTION

Is there any assumption here that you are taking?

Yes, I am assuming that all advertising slots are sold.

Correct. Moving ahead, you can assume the total costs of the event to be around 1000 crs. Now go ahead calculate the profit & bid price.

Alright so total profits = $5000 \text{ crs} - 1000 \text{ crs} = 4000 \text{ crs}$ and thus, bid price = $4000 / 1.3 = 3000 \text{ crs}$

Correct, we can close the case here.

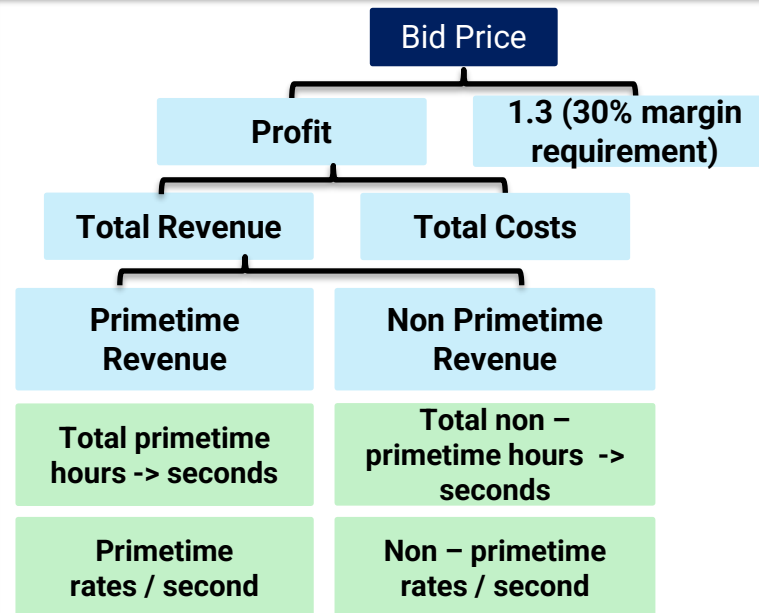
PRIMETIME BID PLAY

Your client is a media & entertainment giant & is looking to bid for a global event. You are required to determine how much should the client bid.

KEY LEARNINGS

- The ambiguity around "margin" was a critical point. Ensure you have a precise definition of financial objectives before starting calculations.
- In such cases, it is most important that you first lay down a structure in your mind as to how you will calculate the final required parameter
- A complete analysis must always acknowledge and test the key assumptions.

APPROACH



Hours Calculation		
	Week -day	Week -end
Primetime Hours	3	10
No. of Days	5	2
No. of Weeks	3	3
Primetime Hours	45	60
Special Event (Hours)		6
Total Primetime Hours	111 -> ~100	
Non-Primetime Hours	7	0
No. of Days	5	2
No. of Weeks	3	3
Non-Primetime Hours	105	0
Special Event (Hours)		0
Total Non-Primetime Hours	105 -> ~100	

Bid Price Calculation	
Total Revenue	5000 Crs
Total Costs	1000 Crs
Total Profits	4000 Crs

Revenue Calculation	
Total Primetime hours	100
Total advertising minutes / hour	10
Total seconds per hour	60
Primetime rates / 30 seconds	5L
Total Primetime Revenue	3000 Crs

Total non - Primetime hours	100
Total advertising minutes / hr	10
Total seconds per hour	60
Non - primetime rates / 30 seconds	3L
Total non-primetime Revenue	1800 Crs

Total Revenue	~5000 Crs
----------------------	------------------

Margin Required	30 %
Bid Price	~3000 Crs

BROWNIE POINTS

- Go beyond just advertising. Briefly consider other potential revenue streams like licensing fees, syndication of highlights, or subscription revenue for a more comprehensive valuation.
- Instead of accepting a single cost number, break it down into key components like the bid price itself, production costs and marketing costs to calculate a more realistic maximum bid.

LUXURY ON WHEELS

You are working with a PE client and they are evaluating a business that provides services to auto manufacturers globally. You are tasked with evaluating what will happen to car prices globally in the future.

CLARIFYING QUESTIONS

Before I structure my analysis, I'd like to ask a few clarifying questions to make sure I'm on the right track.
When we say "car prices," are we considering the retail price to the end consumer, or the price of services sold to the manufacturers?

Let's focus only on retail prices for the end consumer.

Great. Are we looking at a specific geography or car segment, or is this a general global view?

Let's keep it at a general global level for now, across all segments.

And finally, are we looking at the base price of the car, or the on-road price which includes things like insurance and registration?

Let's stick to the base price only right now.

LUXURY ON WHEELS



You are working with a PE client and they are evaluating a business that provides services to auto manufacturers globally. You are tasked with evaluating what will happen to car prices globally in the future.

SOLUTION

I know that price is mainly a function of demand and supply.

- In this case, **demand** would be influenced by number of customers and their ability and willingness to pay.
- In order to understand **supply** better, I'll break it down based on the supply chain of automobiles.

Is there a particular route I should explore first?

Please start with the demand-side factors.

Starting with demand, **individual demand** is a function of:

- 1) Ability to pay
- 2) Willingness to pay

1. Ability to pay is essentially influenced by **income** and **access**.

- Globally **incomes** would go up in the next 4-5 years, even though there may be a brief recessionary period in the immediate future. So, while the ability to pay for luxury and semi-premium cars would definitely go up, for the entry level cars, it's uncertain.
- **Access** can be further broken down into **online** and **offline**. It is likely to improve with increased internet penetration and showroom presence

2. Willingness To Pay can be analyzed through:

- Pre-purchase: Factors like growing environmental concerns and the trend towards EV adoption are heavily influencing what kind of car people are willing to buy and how much they'll pay for it.
- Purchase: During the purchase itself, factors like brand perception, available features, and the overall buying experience affect willingness to pay.
- Post-purchase: After buying, considerations like resale value, maintenance costs, and brand service can influence a customer's willingness to pay a premium for a particular brand in the future.

What about market demand?

Market demand is driven by the number of customers (population size * proportion of potential car purchasers) and individual demand. Further, factors like gender equality and age demographics can impact the proportion of car buyers.

LUXURY ON WHEELS



You are working with a PE client and they are evaluating a business that provides services to auto manufacturers globally. You are tasked with evaluating what will happen to car prices globally in the future.

SOLUTION

Now, how would you analyze the supply side?

For the supply side, I would analyze the key cost drivers along the automotive value chain:

- **R&D:** There is massive ongoing investment in EV technology, autonomous driving and in-car software. These R&D costs will need to be recouped, putting upward pressure on prices.
- **Procurement & Raw Materials:** We've seen significant volatility in the prices of key materials like lithium for batteries and semiconductors. Geopolitical factors and supply chain disruptions are likely to continue, suggesting upward cost pressure.
- **Assembly & Labor:** While manufacturing is becoming more automated, rising labor costs in many parts of the world will also contribute to higher production costs.
- **Distribution & Marketing:** The shift towards a direct-to-consumer or agency model by some manufacturers could either increase or decrease costs, but the need for a strong brand and marketing will remain a significant expense.

This seems great. Any alternative lens to look at the problem?

Yes, there could be 2 other methods to look at:

1. **Standard pricing framework** (Cost, Value, Competition): to analyze the micro-level dynamics
2. **PESTEL analysis** (Political, Economic, Social, Technological, Environmental, Legal): to capture broader macro trends affecting the industry.

One last question, you chose the demand supply framework first & the cost, value, competition structure later. Why one over the other?

We are trying to understand the change in price in an industry and not really pricing a product from scratch. Demand-supply allows us to analyze the macro forces pushing and pulling on the market as a whole. But cost/value/competition can be a useful supplement to the analysis.

Thank you, that's a very comprehensive analysis.

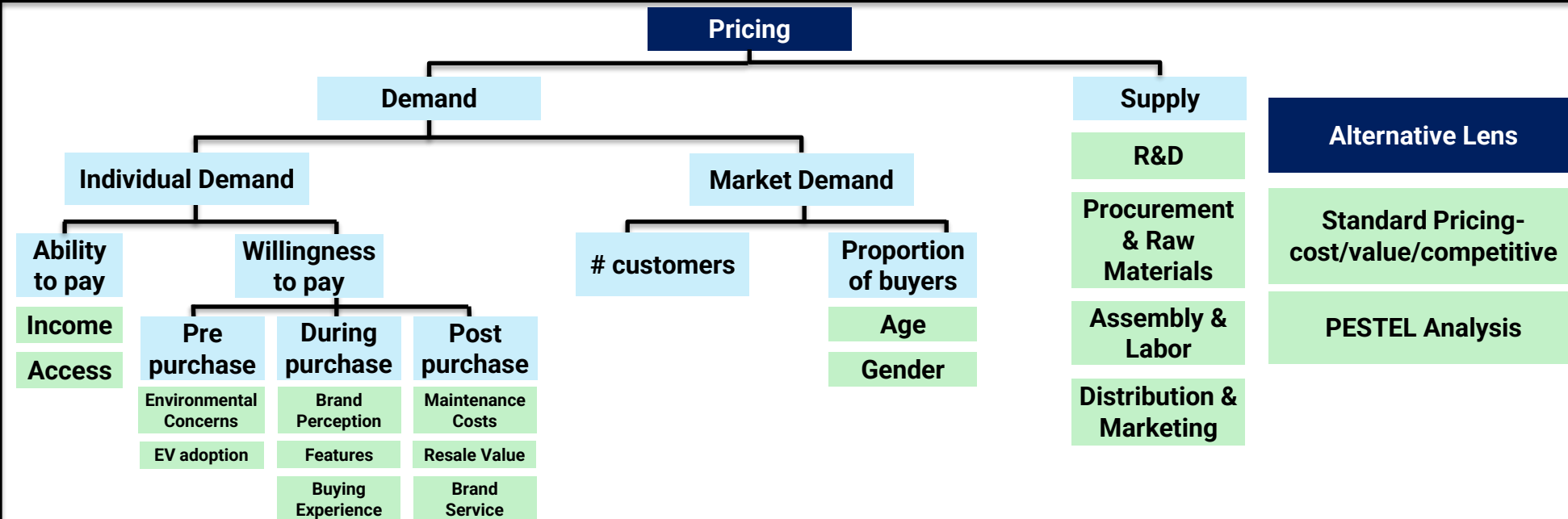
LUXURY ON WHEELS

You are working with a PE client and they are evaluating a business that provides services to auto manufacturers globally. You are tasked with evaluating what will happen to car prices globally in the future.

KEY LEARNINGS

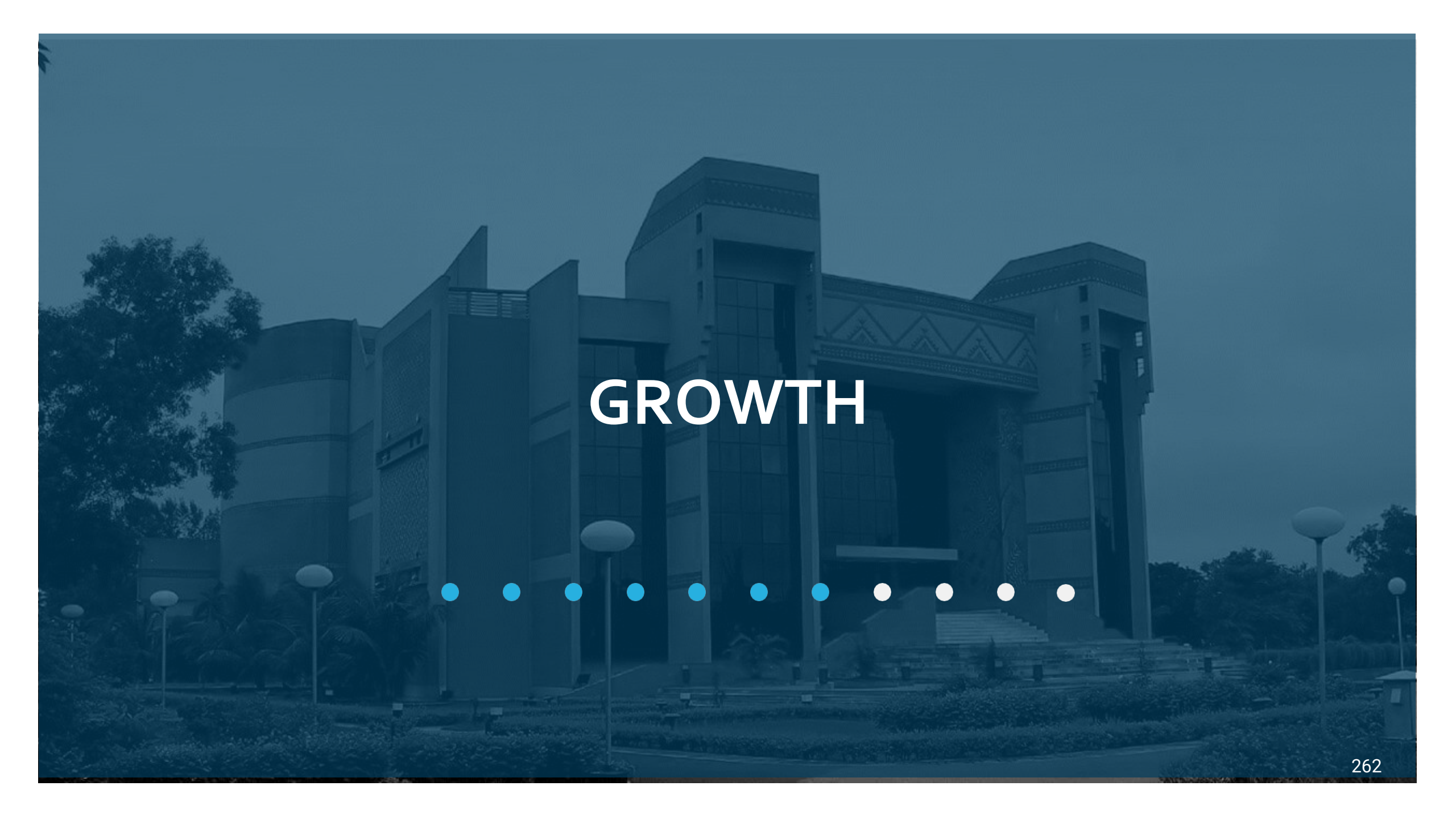
- Even if the problem statement is very generic, try to break it down into as minute drivers as possible to be exhaustive in your approach
- A strong analysis recognizes complex dynamics, such as how rising overall income combined with growing inequality can have different effects on different market segments.

APPROACH



BROWNIE POINTS

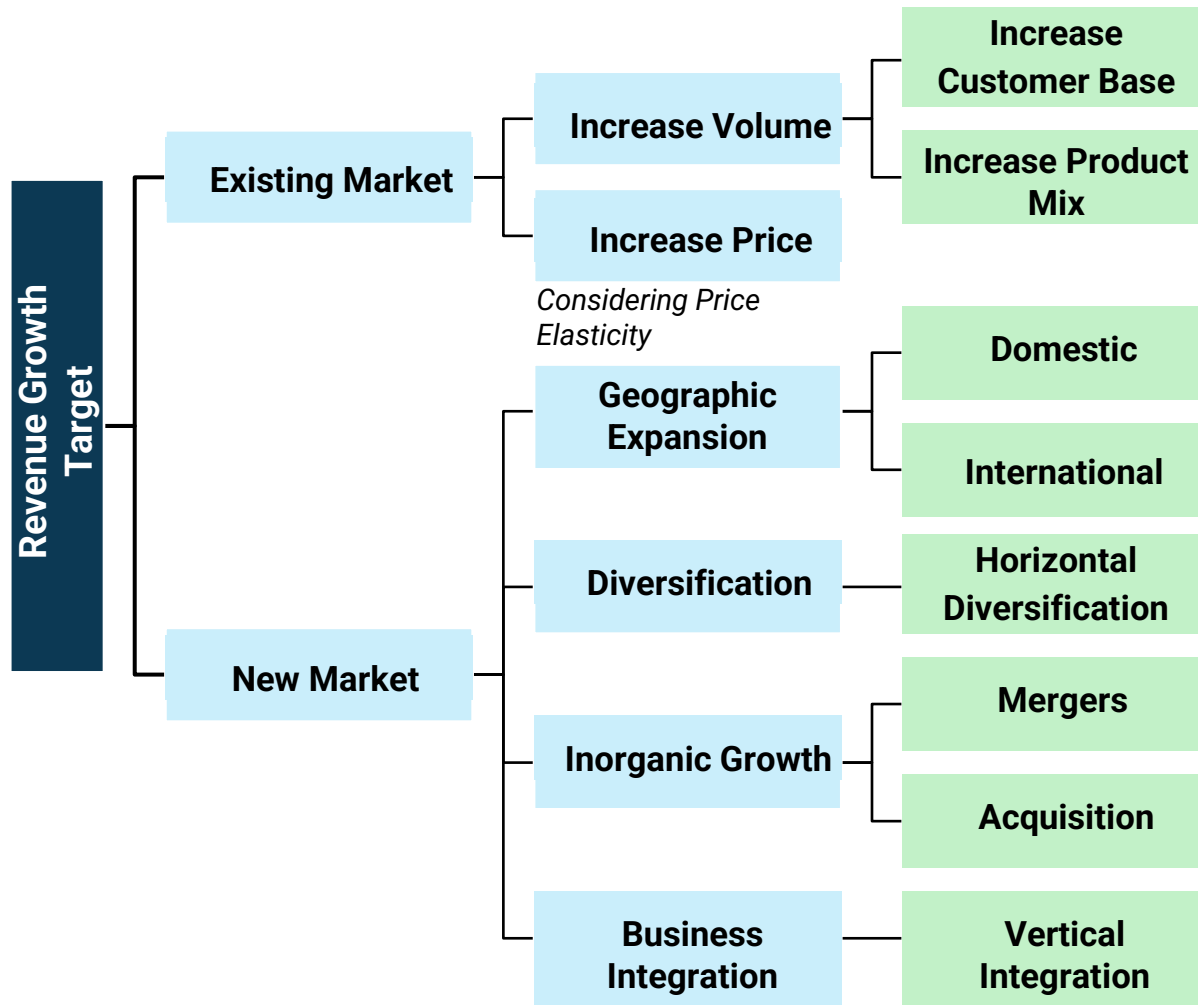
- Pinpoint future cost drivers like rising price of battery materials (lithium, cobalt) or massive R&D investments.
- After analyzing both sides, synthesize the findings to make a clear final prediction.
- Frame the conclusion from an investor's perspective, identifying where future profit pools are likely to shift.



GROWTH

OVERVIEW

In growth cases, the client is typically expecting to see some year-on-year growth. You are expected to understand growth targets, evaluate methods, and suggest recommendations to achieve the targets.



PRELIMINARY QUESTIONS TO CONSIDER*

- What is the growth objective/target of the client?
- What is the time-period in which the client wants to achieve the target?
- How has the client's industry been performing?
- Where does the client stand vis-à-vis competitors (number and respective market shares)?
- Does the client have the capacity to meet increase in demand?
- Does the client have any financial constraints for investment?

Each L3 unit (Merger, Acquisition, etc.) requires additional considerations.

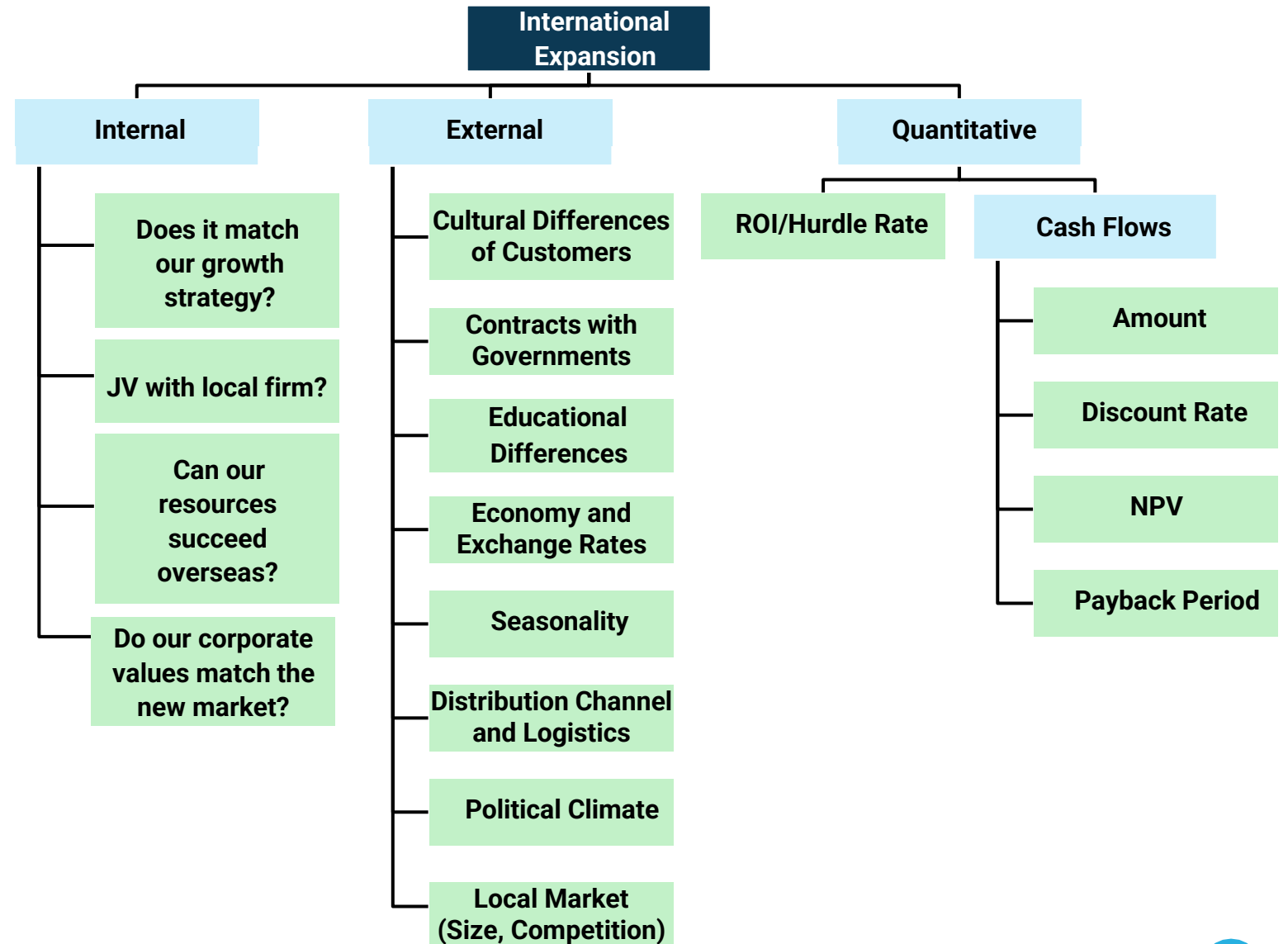
Note:

In case, the prompt asks you to analyze profit growth opportunities, all you need to do is individually analyze the revenue prospects using the framework on left and then also analyze the cost prospects using value chain analysis.

INTERNATIONAL EXPANSION (2/2)

OVERVIEW

The following framework can be considered if you are faced with a problem statement which involves international expansion growth strategy.



ADVISING THE ADVISORS



Your client is a partner at a leading consulting firm. They have been growing steadily but now want to speed up revenue growth. Help them explore ways to grow faster.

CLARIFYING QUESTIONS

Thanks! A few quick questions before we start. Are we looking at growth for the entire firm, or just the partner's team?

It's a firm-wide growth initiative

Okay. Is there any specific growth target in mind?

There is no fixed number but they want to beat their usual 10% annual growth.

Got it. What regions and industries is the firm currently active in?

They have strong presence in North America, growing in Asia and the Middle East, and offer services in strategy, operations, and digital.

Lastly, are there any roadblocks, like hiring issues or capacity limits?

They are facing some talent shortages in experienced staffs, specially in delivery and sales.

ADVISING THE ADVISORS



Your client is a partner at a leading consulting firm. They have been growing steadily but now want to speed up revenue growth. Help them explore ways to grow faster.

SOLUTION

Got it! I'd break this down into organic and inorganic growth. Shall I start with Organic Growth?

Yes, let's hear it.

I'll break organic growth into three main areas:
A. Clients B. Geographies C. Services
Would you like me to start with Clients?

Yes, go ahead.

Talking about clients:

1. Get More Business from Existing Clients-

- Many clients only use the firm for one service.
- They can cross-sell. E.g., if a client came in for strategy, offer operations or tech support as a follow-up.
- Creating dedicated account teams for big clients helps build trust and unlock more work.

2. Find New Clients-

- Focus on industries that are growing fast, like healthcare, clean energy, or tech startups.
- Use alumni networks, webinars and referrals to generate new leads.
- Offer small pilot projects to start relationships without needing a big commitment.

Makes sense. But finding new clients takes time, right?

Yes! That's why the firm could hire a support team that helps with finding leads and preparing proposals, so senior people can focus on the actual meetings.

Okay, move on!

ADVISING THE ADVISORS



Your client is a partner at a leading consulting firm. They have been growing steadily but now want to speed up revenue growth. Help them explore ways to grow faster.

SOLUTION

Within Geographies:

1. Get More Work from Current Geographies

- In North America, focus on getting more long-term, full-cycle projects.
- In Asia, especially India, target digital transformation in BFSI or IT.
- In the Middle East, pitch public sector reforms, infrastructure or tourism strategy - areas that governments are investing heavily in.

2. Enter New Geographies

- Look at Southeast Asia: lots of family-run businesses that need scaling advice
- Explore Africa as a future opportunity: especially in fintech, agri-tech and telecom

Great! What about services?

For services:

1. Make Current Service Delivery More Efficient

- Senior consultants are overworked; they need to train mid-level staff to lead smaller engagements
- Use templates and playbooks from past projects to save time
- Build a support team (offshore or internal) to help with research and slides

2. Launch New Services

Add hot topics like:

- AI and automation consulting
- Sustainability and ESG reporting
- Cybersecurity and data privacy

Run training workshops in these areas to attract clients

That's a good breakdown of organic growth. What about inorganic options?

ADVISING THE ADVISORS



Your client is a partner at a leading consulting firm. They have been growing steadily but now want to speed up revenue growth. Help them explore ways to grow faster.

SOLUTION

For inorganic growth, I'd like to focus on 3 areas:

1. Acquisitions
2. Strategic Partnerships
3. Flexible Talent Models

Let's start with Acquisitions.

1. Acquisitions in New Geographies:

The fastest way to enter a new region is by buying a local player. This gives instant access to: Local clients, Local talent and the market's way of working

- In the Middle East, acquire a small firm working with government clients (e.g., public policy, tourism strategy).
- In Southeast Asia, buy a boutique firm helping family-owned businesses or startup.

2. Acquisitions for New Capabilities:

Instead of building a new practice from the ground up, the firm can acquire a niche expert team. For example:

- A small firm focused on generative AI use cases
 - A specialist in carbon reporting or ESG audits
 - A digital firm with expertise in cybersecurity or data privacy
- These firms are usually small but highly specialized, and they help the consulting firm move fast in trending areas.

Wouldn't that be expensive?

Yes, but they don't need to acquire giants. Even small bolt-on acquisitions can help — and JVs or minority stakes are safer options to start with.

Got it! What's next?

ADVISING THE ADVISORS



Your client is a partner at a leading consulting firm. They have been growing steadily but now want to speed up revenue growth. Help them explore ways to grow faster.

SOLUTION

Strategic Partnerships

In cases where acquisition isn't feasible, the firm can partner with other companies to offer combined solutions. For example:

- Partner with a tech company (like Salesforce, SAP) to offer implementation services
- Work with data analytics firms to offer digital transformation projects
- Collaborate with HR tech or EdTech startups for org transformation or upskilling engagements

Great! Move on.

Flexible Talent Models

Another way to scale is by building an extended workforce, without hiring full-time. This includes:

- Freelance consultants for short-term projects
- Retired industry experts for specialized advice or sales support
- Even gig-based researchers or analysts to support teams

- Global expert networks for niche client needs
- This gives the firm the ability to take on more work without waiting to hire full-time staff.

Good. I believe we can wrap up the case here. What is your final recommendation?

I'd recommend a mix of organic and inorganic growth:

Organic:

- Sell more to current and new clients
- Enter high-potential markets like India, UAE, Southeast Asia
- Launch new services like AI, ESG, cybersecurity
- Improve delivery through better staffing and tools

Inorganic:

- Acquire or partner with local firms in new geographies
- Buy niche players in emerging fields
- Build flexible expert networks to support delivery

That would be all. Thanks a lot!

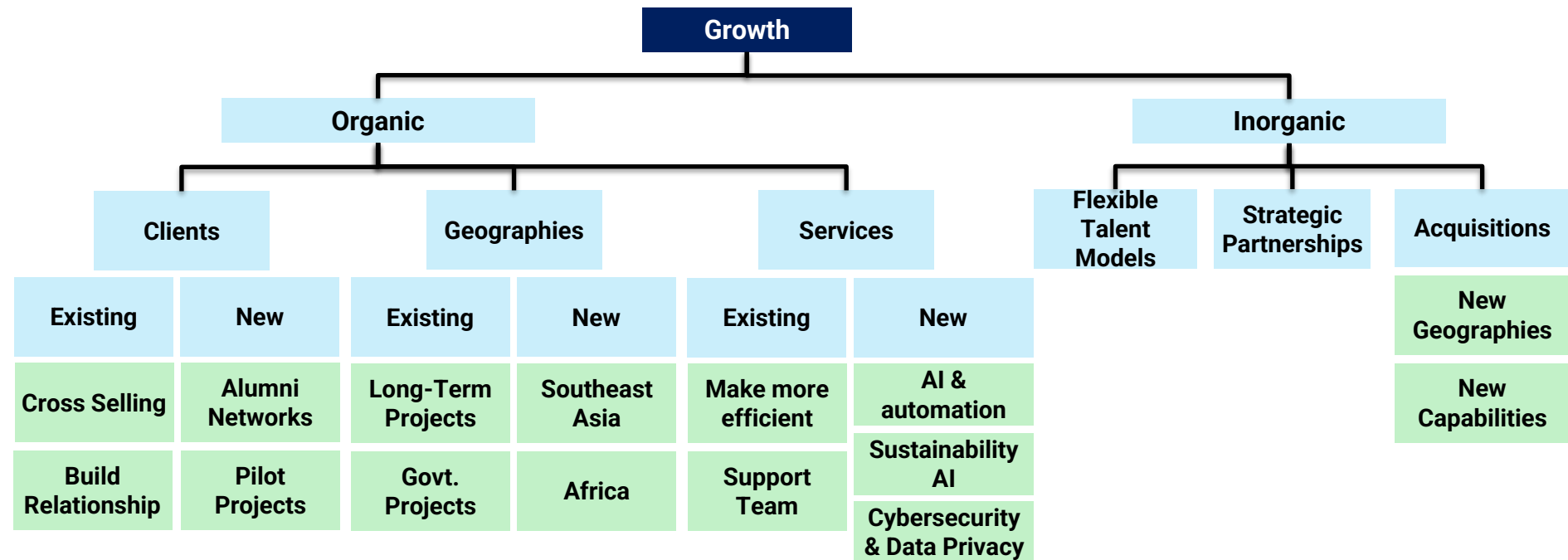
ADVISING THE ADVISORS

Your client is a partner at a leading consulting firm. They have been growing steadily but now want to speed up revenue growth. Help them explore ways to grow faster.

KEY LEARNINGS

- A successful growth strategy cannot rely on a single action but requires a combination of multiple levers working together.
- Combine quick wins with long-term plays
- Address delivery bottlenecks along with client expansion

APPROACH



BROWNIE POINTS

- Provide concrete examples of region-specific opportunities to show a deeper level of thinking.
- Highlight the need for flexible staffing models to solve potential delivery capacity issues during expansion.

SAFETY AT SCALE



Your client is a fire extinguisher manufacturer. They want to grow 3x in 3 years. What would you suggest?

CLARIFYING QUESTIONS

Thank you. A few clarifications before I begin.

First, do we know if this target is revenue growth, or also includes expanding profits?

The focus is revenue. Profitability should be protected, but top-line growth is the main goal.

Got it. And where does the client operate today? Are they mainly B2B suppliers to institutions, or do they also sell directly to households?

Mostly B2B: factories, offices, commercial establishments. Retail penetration is limited.

Okay. Last clarification: are they serving India only or already present abroad?

Currently India-focused, though they export small volumes to neighboring countries.

SAFETY AT SCALE

Your client is a fire extinguisher manufacturer. They want to grow 3x in 3 years. What would you suggest?

SOLUTION

Great. To structure this, I'd look at two broad levers for growth:

1. Organic Growth

- Current Products, Current Geography
- Product Expansion
- Geographic Expansion

2. Inorganic Growth

- Partnerships
- Acquisition
- Vertical Integration

This way, we cover short-term revenue levers and long-term capability building.

That's a clear structure. Let's go deeper.

Sure.

1. Current Products, Current Geography:

- Increase penetration in India. Today they serve mostly metros. They should push into Tier 2/3 cities, where compliance is rising and competition is limited.
- Many businesses are still not compliant with fire safety. Stronger sales force + tie-ups with government for mandatory installation in schools, offices, housing societies.

2. Product Expansion:

- Add adjacent products: smoke detectors, fire alarms, sprinklers, fire blankets.
- The client could position themselves as a one-stop fire-safety provider.

3. New Geographies

- Expand exports to markets with similar regulatory frameworks like Southeast Asia, Africa, and Middle East. Fire safety awareness is growing there, and competition is less entrenched.

SAFETY AT SCALE



Your client is a fire extinguisher manufacturer. They want to grow 3x in 3 years. What would you suggest?

SOLUTION

Between domestic penetration and international expansion, what would you prioritize?

Domestic first. Compliance-driven demand is picking up, which offers faster, predictable growth. International can be developed in parallel as a long-term play.

Good. Let's discuss inorganic growth

Yes. Three main levers are:

1. Partnerships:

- Tie-ups with real estate developers, construction firms, and facility management companies so extinguishers are bundled into new projects.
- Partnerships with e-commerce and retail chains to sell household and office extinguishers.

2. Acquisitions

- Acquire smaller regional fire-safety companies to get instant access to distribution networks and client contracts.
- Could also acquire firms specializing in adjacent fire-safety tech to accelerate product expansion.

3. Vertical Integration

- Backward: Into cylinder manufacturing or chemical sourcing to reduce cost of goods.
- Forward: Into fire-safety services like AMC (annual maintenance contracts), audits, and training. This creates recurring revenue.

Which of these would give the fastest impact?

Partnerships with real estate and facility management would deliver bulk orders quickly. Acquisitions take time to negotiate, so more medium-term. Vertical integration is more strategic, with benefits visible over the long term.

That would be all. Thanks a lot!

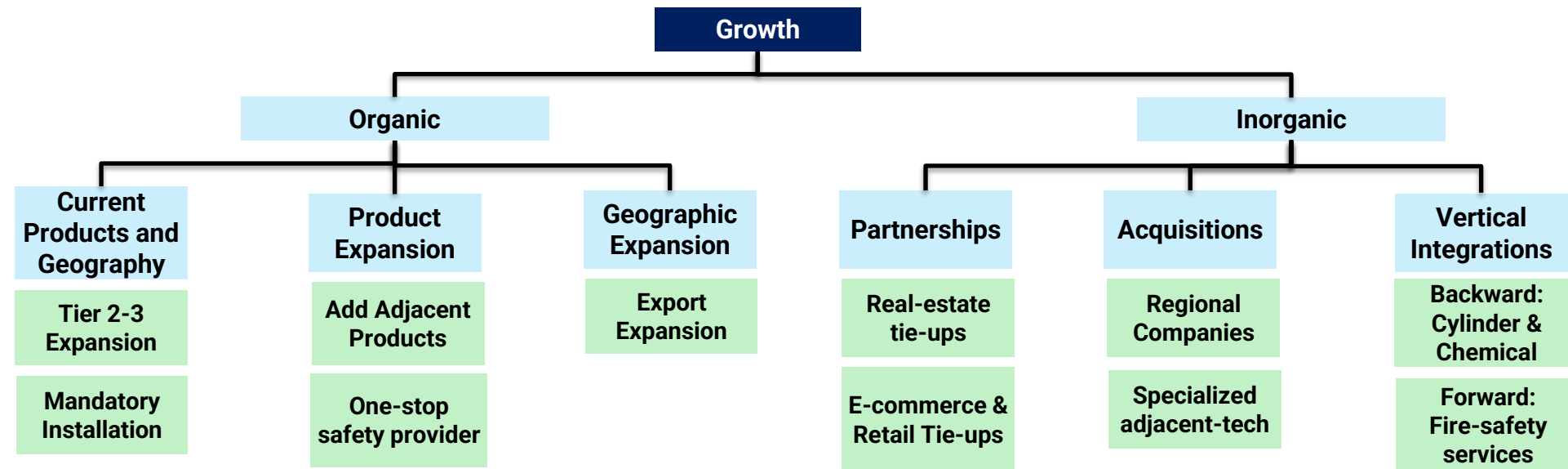
SAFETY AT SCALE

Your client is a fire extinguisher manufacturer. They want to grow 3x in 3 years. What would you suggest?

KEY LEARNINGS

- Regulatory push: anticipate stricter fire-safety norms in India and abroad; use policy advocacy to create demand.
- Digital angle: IoT-enabled “smart extinguishers” that track usage/expiry and connect to fire alarm systems.
- Branding & awareness: build household adoption by positioning extinguishers as affordable, must-have safety products.

APPROACH



BROWNIE POINTS

- A clear Organic vs. Inorganic structure helps break down growth cases logically.
- Within organic growth, focus on penetration, product expansion, and geography expansion.
- Inorganic growth levers like partnerships and acquisitions deliver speed; vertical integration builds long-term resilience.

STREAMING GROWTH



Your client is a pan-Indian video streaming OTT platform. Due to the competitive industry, their growth has stagnated. It wants you to devise a growth strategy.

CLARIFYING QUESTIONS

Before I structure my approach, I'd like to understand the client's business. What is their primary revenue model: is it subscription-based (SVOD), advertising-based (AVOD), or a hybrid?

They operate on a freemium model. There is a free, ad-supported tier and a premium, ad-free subscription tier.

Understood. Who is their primary target audience, and what kind of content is their specialty? Are they focused on regional content, Bollywood, or international shows?

Their strength has traditionally been in mainstream Bollywood movies and a few original Hindi web series. Their target audience is the urban, Hindi-speaking population in Tier 1 and Tier 2 cities.

That helps define their niche. When we say growth has "stagnated," where is the client feeling the most pain? Is it in acquiring new users, retaining existing subscribers, or increasing the average revenue per user?

It's a combination of poor new user acquisition and a high churn rate for their premium subscribers.

STREAMING GROWTH



Your client is a pan-Indian video streaming OTT platform. Due to the competitive industry, their growth has stagnated. It wants you to devise a growth strategy.

SOLUTION

Thank you. That's a crucial distinction.

To devise a comprehensive growth strategy, I would structure my analysis around the entire customer value chain. I'll break it down into three core pillars:

- 1. User Acquisition:** How can we attract a larger volume of new users to the platform?
- 2. User Retention & Engagement:** How can we reduce churn and keep our existing users, especially premium subscribers, more engaged?
- 3. Monetization:** How can we increase the average revenue per user (ARPU) from both our free and premium tiers?

Does this approach seem logical?

Yes. Let's start with User Acquisition.

For User Acquisition, we need to differentiate ourselves in a crowded market. I would propose three initiatives:

- 1) Strategic Bundling Partnerships:** We should partner with major telecom companies (like Jio or Airtel) to bundle our premium subscription with their mobile data or broadband plans. This is a proven strategy in India for rapid, low-cost user acquisition.
- 2) Content Niche Expansion:** Our current focus on Bollywood is a high-competition area. We should invest in high-quality, original regional content (e.g., Tamil, Telugu, Bengali). This allows us to tap into underserved markets, create a unique content library.
- 3) Hyper-Targeted Marketing:** Instead of broad campaigns, we should use data analytics to run targeted digital marketing campaigns aimed at specific demographics, such as fans of a particular regional actor or genre.

That makes sense. Now, how would you address the high churn rate?

STREAMING GROWTH



Your client is a pan-Indian video streaming OTT platform. Due to the competitive industry, their growth has stagnated. It wants you to devise a growth strategy.

SOLUTION

High churn is often a symptom of a weak value proposition or poor user experience. To fix this, I would focus on:

- **Investing in "Hero" Content:** We need to fund and create one or two high-budget, exclusive "must-watch" original series per year that act as a powerful magnet for retaining subscribers.
- **Improving the Product Experience:** We must invest in our technology. This means improving the content recommendation engine to personalize the user experience and reducing buffering or technical glitches.
- **Building a Community:** We can launch interactive features like live chats during a show's premiere or exclusive behind-the-scenes content to build a community around our original shows, making the platform stickier.

Finally, what are your thoughts on Monetization?

For Monetization, we can **optimize our existing freemium model**.

- **Introducing Tiered Subscriptions:** Instead of a single premium plan, we could offer multiple tiers. For example, a "Mobile-only" plan at a lower price point, a "Family" plan for multiple screens, and a "Premium 4K" plan. This makes our service accessible to a wider range of income levels.
- **Optimizing the Ad Experience:** For our free tier, we can use better ad-tech to deliver more relevant, less intrusive ads. This can increase our ad revenue without alienating our free user base.
- **Exploring Transactional Models (TVOD):** We could experiment with a "movie rental" model for newly released blockbuster films, allowing users to pay a one-time fee for early access.

This multi-pronged strategy addresses the core issues of acquisition and retention while also building new, more robust revenue streams.

Well done. Let's close the case here

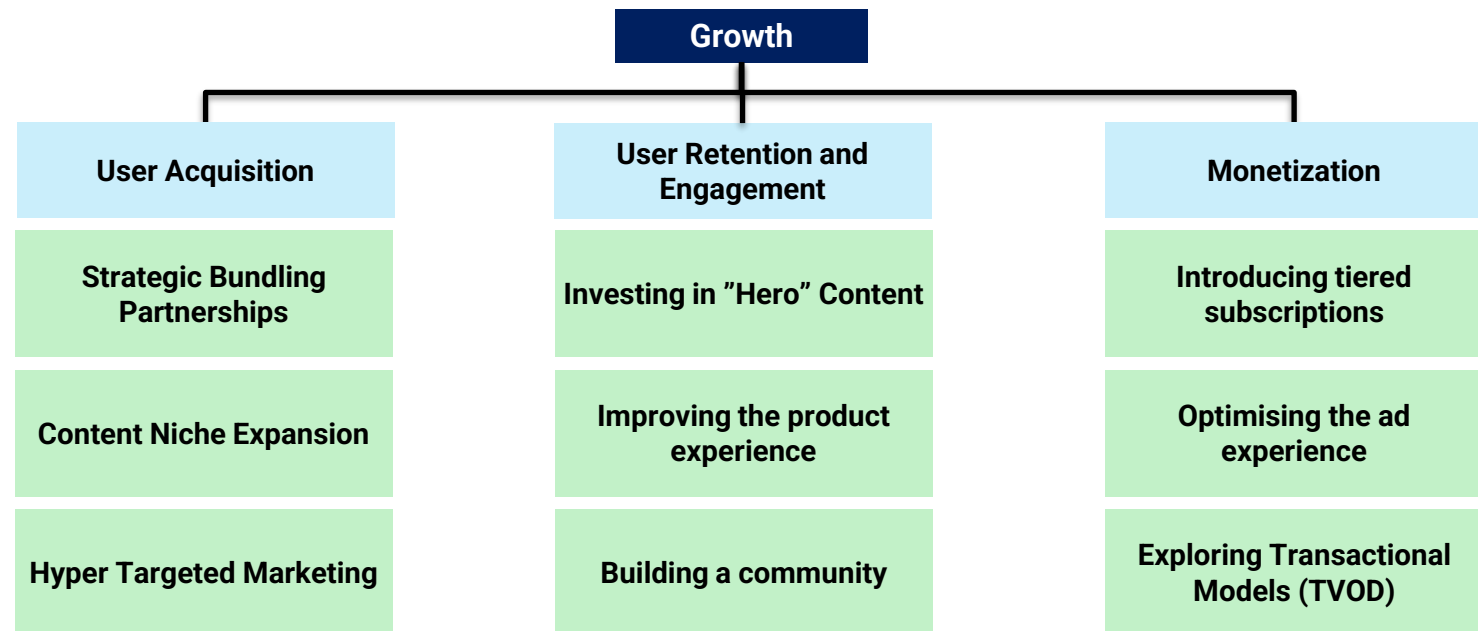
STREAMING GROWTH

Your client is a pan-Indian video streaming OTT platform. Due to the competitive industry, their growth has stagnated. It wants you to devise a growth strategy.

KEY LEARNINGS

- In subscription models, fixing high churn is the most critical first step for sustainable growth.
- In open-ended growth cases, create a custom, logical structure tailored to the specific problem, rather than forcing a generic framework.

APPROACH



BROWNIE POINTS

- Segment churning users to identify which customer groups are most likely to leave.
- Sequence the proposed initiatives into a clear roadmap, prioritizing the "Hero Content" and product fixes first.

THE PARLE-G PIVOT

Your client is a 50-year-old Indian company, famous for a single product: a classic glucose biscuit. This biscuit has been a household name for generations, but for the past five years, sales have been stagnating. The board wants you to devise a growth strategy to appeal to a younger demographic and strategically expand their product portfolio.

CLARIFYING QUESTIONS

Before I structure my approach, I'd like to ask a few clarifying questions to understand the situation better. Could you please define the target "younger demographic"? Are we talking about Gen Z, millennials, or both? And are they primarily in urban or rural areas?

They are targeting urban and semi-urban millennials and Gen Z, roughly the 18-35 age group.

Understood. What are the company's key strengths that we can leverage? I would assume they have strong brand recognition and a deep distribution network

That's correct. Their brand is recognized by over 90% of the population, and their distribution network reaches even the smallest villages.

That's a powerful asset. Finally, what are the main constraints we should be aware of? Is there a specific budget, or are there any brand perception issues we need to overcome?

The budget for new initiatives is moderate but flexible for high-potential ideas. The main brand perception issue is that while the brand is trusted and evokes nostalgia, it's seen as "old" or "traditional" by the target demographic.

THE PARLE-G PIVOT

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SOLUTION

Thank you. That provides a very clear picture. The core challenge is to leverage the brand's strength (trust, nostalgia) while shedding its weakness (being seen as outdated). Therefore, I would structure my growth strategy around three key pillars:

- **Revitalize the Core.** How do we make the classic glucose biscuit relevant and exciting for a younger audience?
- **Strategic Portfolio Expansion.** How do we leverage our brand to launch new products that appeal to this demographic?
- **Modernize the Go-to-Market Strategy.** How do we change our marketing and distribution channels to effectively reach this new audience?

Does this approach seem logical?

Yes. Let's start with your first pillar. How would you Revitalize the Core product?

To revitalize the core, we need to address the product, packaging, and positioning.

- **Product Innovation:** We can introduce new variants of the classic biscuit. For example, a chocolate-dipped version, smaller "bite-sized" packs for on-the-go consumption, or even a version fortified with extra protein or vitamins.
- **Packaging Overhaul:** We must redesign the packaging to be more modern, vibrant, and Instagram-worthy. We could even launch limited-edition artist collaboration packs to create buzz.
- **Positioning Shift:** We need to move the brand from just a "source of energy" to a fun, versatile snack. Marketing campaigns could focus on creative ways to eat the biscuit with dips, in desserts, etc.

Now, how would you approach Portfolio Expansion?

THE PARLE-G PIVOT

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SOLUTION

For portfolio expansion, we need to be strategic to not dilute the brand. I would start with:

- **Close Adjacencies (Low Risk):** The most logical first step is to enter other biscuit categories where our brand credibility is high. This includes launching our own range of cream biscuits, cookies, and savory crackers.
- **Further Adjacencies (Medium Risk):** Once we have established a presence in the broader biscuit market, we can move into adjacent "snacking" categories. This could include healthy snack bars, breakfast cereals, or baked snacks like rusks.
- **Go-to-Market Synergy:** The key is that all these new products can be pushed through our existing, powerful distribution network, making the launches highly efficient.

Finally, how would you Modernize the Go-to-Market Strategy to ensure these products reach the target audience?

This is crucial. The old way of marketing won't work.

1. **Channel Mix Evolution:** While maintaining our strength in traditional Kirana stores, we must aggressively expand our presence in modern trade channels like supermarkets and, most importantly, on e-commerce and quick-commerce platforms where our target audience shops.
2. **Marketing & Communication Overhaul:** We need to shift a significant portion of our marketing budget from traditional TV ads to digital channels. This means:
 - **Influencer Marketing:** Partnering with food bloggers and lifestyle influencers on Instagram and YouTube.
 - **Content Creation:** Creating engaging social media content, like short-form video recipes or user-generated content campaigns.
 - **Nostalgia Marketing (with a twist):** Running campaigns that tap into the nostalgia of the brand but frame it in a modern, cool context.

THE PARLE-G PIVOT

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SOLUTION

For the first 18 months, I would recommend a focused, two-pronged approach:

- **Revitalize the Core:** Immediately execute the packaging overhaul and launch one new variant (e.g., chocolate-dipped) of the classic biscuit, supported by a strong digital marketing campaign. This is the fastest way to signal to the market that the brand is changing.
- **Launch Close Adjacencies:** Simultaneously, we should launch our first new product in a high-demand adjacent category, like cream biscuits.

This dual strategy allows us to re-energize our cash cow product while also taking the first concrete step towards becoming a broader snacking company, setting a strong foundation for the next five years of growth.

Thank you. We can end the case here.

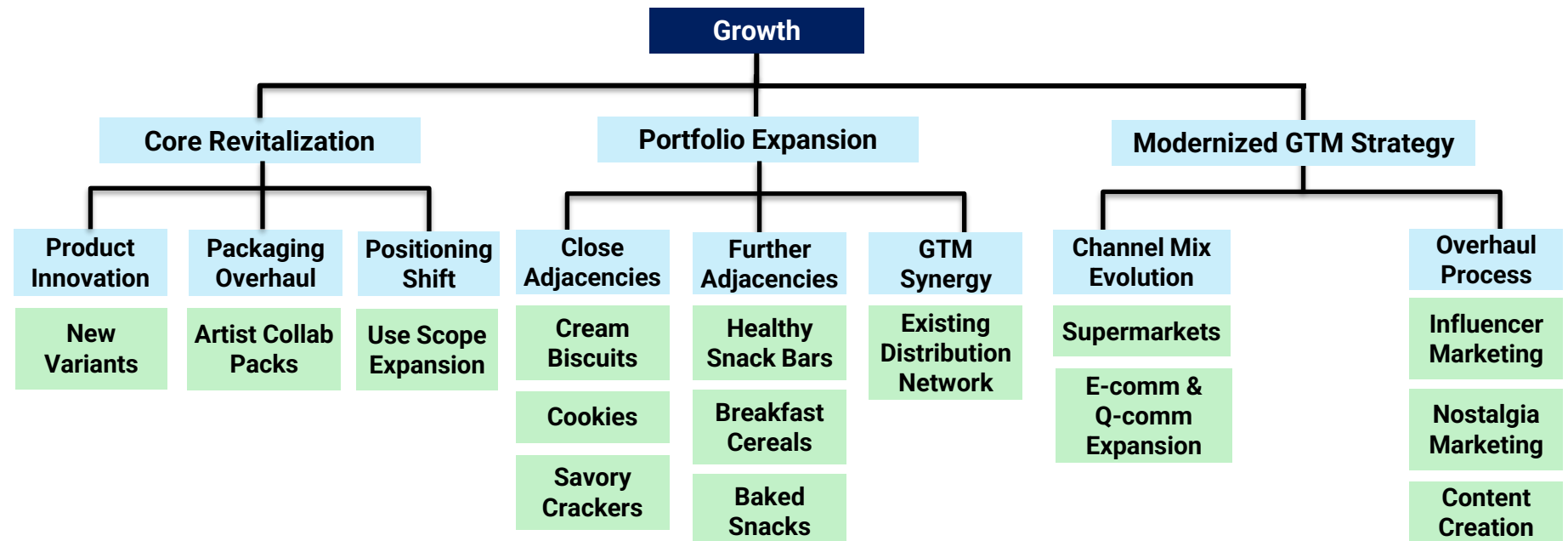
THE PARLE-G PIVOT

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KEY LEARNINGS

- For brand-heavy problems, structuring your approach around customer segments (e.g., "Nostalgic" vs. "New" user) can yield deeper insights.
- It's possible and often necessary to run two parallel strategies: one to protect the core business and another to innovate and capture new markets.

APPROACH



BROWNIE POINTS

- Highlight that this strategy requires a significant internal cultural shift from a traditional mindset to an agile, youth-focused one.
- Suggest modern ways of marketing like co-creation campaigns and experiential marketing

GEAR UP FOR GROWTH



Client is an automobile parts manufacturer. They want to grow to 2X in the next 5 years. Analyze the possible options and give recommendations.

CLARIFYING QUESTIONS

Sure! A few quick clarifications, does “doubling” refer to revenue, profits, market share or another parameter?

They’re aiming for 2x revenue growth.

Got it. What is their current geographic footprint? Do we wish to expand geographically or maintain SQ? Any constraints?

Good question. They are currently focused on India and Southeast Asia, but they’re open to entering new markets or exploring adjacent product lines.

What are our key products? At what capacity do our plants run, and what is the outlook on R&D?

They currently manufacture drivetrain and braking systems, run at about 80% capacity, and have a decent R&D setup, though they haven’t yet entered the EV space.

What is your business model – B2C or B2B? Which sectors do we primarily supply?

Primarily B2B – they supply parts to OEMs.

Is there any particular part you want to focus on? Any emerging trend in the industry that your competitors may have adopted?

Have a broad focus, there isn’t any emerging trend as such

How feasible is expanding production capacity? What would be the expected timelines?

It wouldn’t be feasible in this time period

GEAR UP FOR GROWTH



Client is an automobile parts manufacturer. They want to grow to 2X in the next 5 years. Analyze the possible options and give recommendations.

SOLUTION

I'd like to break growth opportunities into two broad buckets:

- 1) Grow the existing business
- 2) Explore new growth areas

Should I start with the first bucket?

Let's start with the first — growing the existing business

Sure. I'd break this down **into four sub-levers**:

1. Increase Share of Wallet with Current OEM Customers:

- Right now, they may be supplying just a few components (e.g., braking systems)
- They could conduct a component gap analysis to find out what else their current clients are sourcing from other suppliers like suspension parts, steering systems, etc.
- Offering bundled deals or end-to-end modules can make them more attractive
- Since trust and integration already exist with OEMs, cross-selling becomes more efficient

Makes sense. Any risks here?

Yes, they may face competition with entrenched suppliers and capacity constraints. But since they're running at 80%, they might have some flexibility or could expand capacity selectively.

Okay, move on

2. Geographic Expansion with Existing Product Lines:

- They currently operate in India and Southeast Asia. There's room to enter geographically adjacent markets like the Middle East, Africa, or even Eastern Europe
- These markets often rely on cost-effective auto parts, which aligns with their manufacturing base
- They could start by targeting OEMs who operate globally and already trust the client

Wouldn't entering a new market take time?

GEAR UP FOR GROWTH



Client is an automobile parts manufacturer. They want to grow to 2X in the next 5 years. Analyze the possible options and give recommendations.

SOLUTION

Definitely! They'd need local partnerships or distributors. One way to accelerate would be contract manufacturing or JVs with local players for market entry without building from scratch.

Got it! What's next?

3. Product Upgradation and Value-Added Offerings

- They could move from standard parts to premium or custom-engineered components.
- For example, lightweight aluminum-based brake calipers or intelligent braking systems that support ADAS.
- These have higher margins and are increasingly in demand among EV and premium car manufacturers.

Wouldn't that need more R&D investment?

Yes — but they already have in-house R&D. They may just need to reorient some focus toward advanced materials or smart parts to stay competitive.

Sure. Any other suggestion?

4. Pricing Optimization and Better Customer Retention

- If their components are high quality and reliable, they can possibly command a small price premium.
- They can offer volume-based discounts or performance-linked pricing to incentivize long-term contracts.
- Building in predictive maintenance services or integration with the OEM's systems can also increase stickiness.

That's pretty comprehensive. Let's move on to the second bucket — new growth areas.

GEAR UP FOR GROWTH



Client is an automobile parts manufacturer. They want to grow to 2X in the next 5 years. Analyze the possible options and give recommendations.

SOLUTION

(Takes a minute to think)

Sure. I see four main directions they could consider:

1. Entering the EV Components Space

- As the auto industry transitions to electric, there is a massive shift in the parts needed. Many traditional components like engine parts will phase out, but others like battery enclosures, power electronics casings, regenerative braking systems and thermal management modules are in growing demand.
- If our client has decent R&D, they could start developing parts tailored for EV platforms – maybe even partner with emerging EV OEMs or startups who are more flexible with suppliers.

Would this require large upfront investments?

It would require some R&D for sure, but they could start with simpler EV components that are closer to what they already make.

For example, aluminum brackets or chassis parts for EVs. This way, they test the market before scaling deeper into high-tech parts like BMS housing or e-axle components.

Okay, Move on

2. Expanding into the Aftermarket (B2C/B2B2C)

Currently they only sell to OEMs, but there's a strong opportunity in the automotive aftermarket; spare parts that are replaced due to wear and tear.

They can tap into this in two ways:

- **Through offline partnerships** with garages, dealers, and service centers.
- **Through online distribution** via platforms like Amazon, Flipkart, or niche players like Boodmo and GoMechanic.

If they build a brand and ensure product quality, they can position themselves as a trusted aftermarket supplier, possibly with higher margins than OEM contracts.

GEAR UP FOR GROWTH



Client is an automobile parts manufacturer. They want to grow to 2X in the next 5 years. Analyze the possible options and give recommendations.

SOLUTION

Isn't the aftermarket very fragmented?

Yes, but that also means there's room for consolidation and brand trust. They can differentiate on warranty, packaging, and delivery speed, especially if they offer common fast-moving parts like brake pads or filters.

Interesting! What's the next path you'd consider?

3. Mergers & Acquisitions

If they have the capital, M&A can be a great enabler of fast growth.

Two possible approaches:

- **Geographic entry:** Acquire a regional player in a new market like Africa or Eastern Europe and use their network to expand distribution.
- **Capability building:** Buy out a smaller EV component manufacturer, maybe one with niche tech or established contracts.

M&A can also help shortcut R&D cycles if they absorb IP or engineering talent through acquisition.

Wouldn't that be risky for a mid-sized firm?

It is, but it doesn't have to be a large deal. Even a strategic minority investment or JV can work as a low-risk entry point.

Got it! Anything else that you'd like to suggest?

4. Diversification into Adjacent Industries

Lastly, they could leverage their manufacturing and precision engineering capabilities in adjacent sectors:

- Aerospace and defense: where durability, standards are high.
- Industrial machinery parts: such as gear systems, housing casings, etc.
- Construction equipment: which often uses heavy-duty automotive-style components.

GEAR UP FOR GROWTH



Client is an automobile parts manufacturer. They want to grow to 2X in the next 5 years. Analyze the possible options and give recommendations.

SOLUTION

These industries are less cyclical than automotive and may offer longer-term contracts.

Do you think diversification would dilute their focus?

Potentially, yes. So, I'd suggest they treat this as a long-term hedge. Start with a few pilot contracts in one adjacent space, assess profitability and fit, and expand only if it complements their core strengths.

Great! Will you please summarize?

To summarize, I'd recommend a two-pronged growth strategy:

A. Short-Term (1–2 years)

- Focus on expanding wallet share with OEMs
- Leverage spare capacity to scale existing production
- Enter adjacent regional markets (Africa, MEA)
- Look for better customer retention

B. Medium to Long-Term (3–5 years)

- Build capabilities and form partnerships for EV component manufacturing
- Establish aftermarket presence (offline + digital)
- Explore selective acquisitions to gain tech or regional access

This mix balances core growth with innovation-driven expansion, helping them reach the 2X target sustainably.

Thank you. We can close the case here.

GEAR UP FOR GROWTH

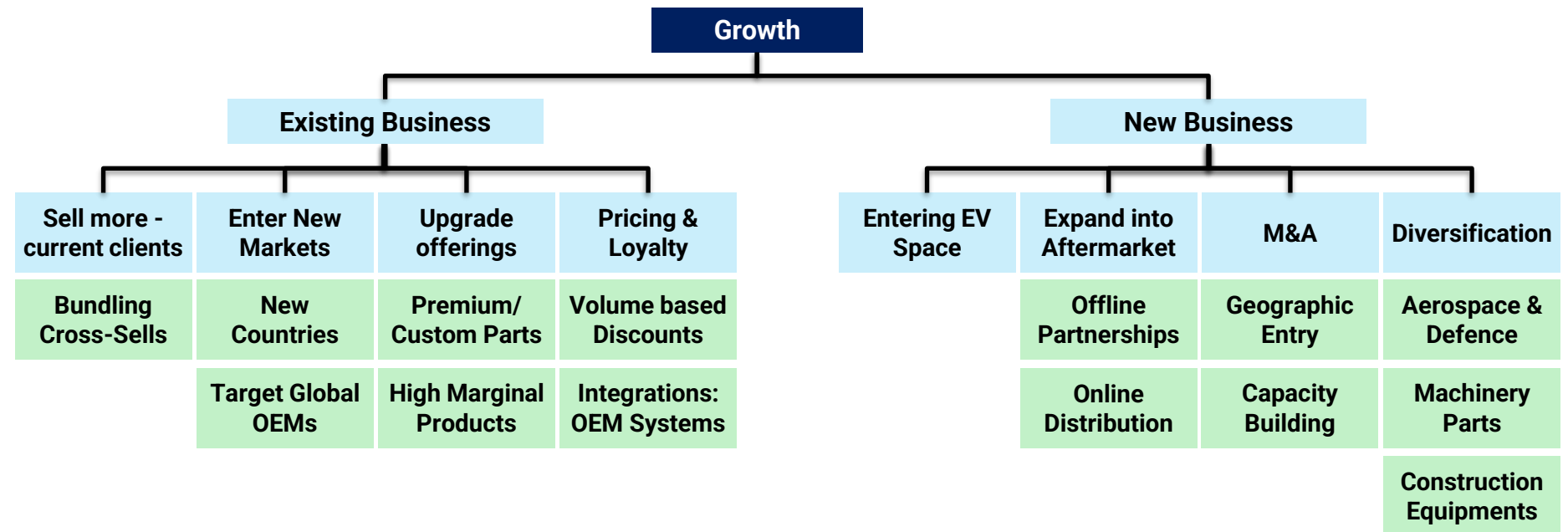


Client is an automobile parts manufacturer. They want to grow to 2X in the next 5 years. Analyze the possible options and give recommendations.

KEY LEARNINGS

- Growth strategy cases require a balanced mix of ambition and feasibility
- Breaking growth into “core” and “new” buckets creates a clear MECE structure
- Always explore product, customer and geographic levers
- Structuring answers around short-term vs long-term actions strengthens recommendations

APPROACH



BROWNIE POINTS

- Suggest EV entry via adjacent and low-risk components
- Propose a phased capacity scale-up to handle growing demand
- Bring up aftermarket and D2C as high-margin channels

TICKET TO THE TOP



Your client, an online travel aggregator, wants to become the number one player in India within two years. How would you approach this?

CLARIFYING QUESTIONS

Thanks, before I dive in, I'd like to clarify a few things: By number one, do we mean market share, revenue or profitability?

Market share is the key metric.

What is the current position of the client in the market?

They are the 3rd largest player today.

What services do they currently provide? Just transport booking or also hotels/events?

They primarily sell tickets for different modes of transport. Add-ons like hotels exist, but not structured.

What is their geographic coverage right now?

They operate pan-India but get most traction from urban youth.

What is their geographic coverage right now?

Through online marketing and partnerships with travel agencies.

TICKET TO THE TOP



Your client, an online travel aggregator, wants to become the number one player in India within two years. How would you approach this?

SOLUTION

To become number one in market share, we need to expand both volume and scope. I'll structure the growth plan into two broad pillars:

- A. Grow in Existing Markets**
- B. Expand into New Markets**

That sounds structured. Let's dive into existing markets first.

For current markets, the focus should be:

1. Customer Acquisition & Retention

- Optimize digital channels via SEO, PPC, social media
- Enhance user experience: faster booking, easy navigation, personalized recommendations
- Build loyalty programs and referral incentives to boost repeat use

2. Product & Service Enhancement

- Improve ticketing process with single-click bookings
- Offer dynamic pricing and bundled packages (e.g., train + cab)
- Enhance reliability with real-time updates on delays/cancellations

3. Value-Added Services

- Expand offerings to include cabs, buses, holiday packages, and events
- Tie-up with insurance providers for travel insurance
- Collaborate with regional operators to capture niche transport segments

Okay, good. Now what about new markets?

TICKET TO THE TOP



Your client, an online travel aggregator, wants to become the number one player in India within two years. How would you approach this?

SOLUTION

For new markets, the levers are:

1. Untapped Customer Segments

- Semi-urban and rural markets: vernacular app interface, simplified checkout
- Offline kiosks at bus/train stations to onboard non-digital customers

2. New Demographics

- Corporate partnerships for bulk travel bookings
- Special offerings for students (discounts) and seniors (easy booking flows)

3. Geographic Expansion

- Penetrate Tier-2/3 cities with regional transport tie-ups
- Collaborate with state tourism boards for local travel/event packages

Interesting. But the timeline is short, only 2 years. What would you prioritize?

A. Short-term (Year 1):

- Double down on urban markets with improved acquisition & retention
- Roll out value-added services like cabs and insurance for quick wins

B. Medium-term (Year 2):

- Expand into Tier-2/3 cities with vernacular apps and offline onboarding
- Build corporate partnerships for steady volume

And what KPI's would you track?

- Market share growth (transactions handled)
- Repeat customer rate
- Average revenue per booking (ARPB)
- CAC vs. LTV

Great. Let's close the case here.

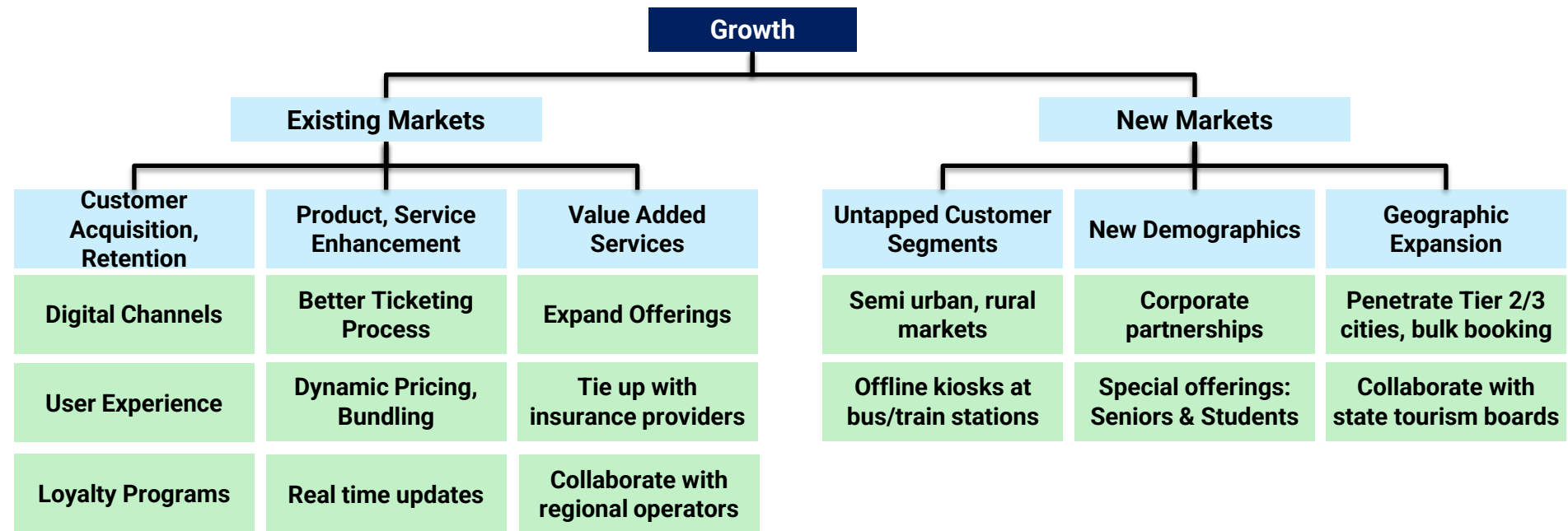
TICKET TO THE TOP

Your client, an online travel aggregator, wants to become the number one player in India within two years. How would you approach this?

KEY LEARNINGS

- This case tests the ability to balance short-term wins with long-term expansion under a tight 2-year horizon.
- Always include both customer stickiness (loyalty, UX) and frequency drivers (bundles, insurance, cabs), not just one side.
- Bringing in localization (vernacular, offline kiosks) shows awareness of India-specific challenges and makes the solution realistic.

APPROACH



BROWNIE POINTS

- Highlight loyalty & referral programs as cost-effective levers for retention
- Propose bundled packages to increase basket size
- Bring in Tier-2/3 vernacular and offline onboarding as the real long-term growth driver

LEAGUE OF OPPORTUNITY



Your client is a small basketball league in India looking to expand its reach and increase revenue.

CLARIFYING QUESTIONS

To begin, could you please specify the current size of the league and the region it is based in?

We are currently based in South India. We have 6 participating teams, with each team having a total squad of 10 players. We currently conduct a league format with a total of 30 matches.

Got it. Do we have a high-level understanding of our current revenue streams and how we currently market the league?

Our revenue comes from local sponsorships and ticket sales. Marketing is primarily through social media and some local print media.

Understood. Finally, what is the competitive landscape like? Are there other competing sports leagues, either basketball or others, that we should be aware of?

The market is quite fragmented. There are other local sports, but no other organized basketball league of our scale in the region.

LEAGUE OF OPPORTUNITY



Your client is a small basketball league in India looking to expand its reach and increase revenue.

SOLUTION

Thank you for the information. To achieve significant growth, a comprehensive strategy is needed. I would structure my approach by first separating the growth levers into two main avenues:

- **Organic Growth:** Expanding and improving our current operations.
- **Inorganic Growth:** Merging with or acquiring other entities.

Within Organic Growth, I would focus on three key pillars:

- Enhancing the Core Product & Fan Engagement in our existing market.
- Geographic Expansion into new markets.
- Revenue Stream Diversification beyond match-day income.

If it's alright with you, I'd like to delve into each of these pillars sequentially.

That's a logical structure. Please proceed.

Starting with the first organic pillar: **Enhancing the Core Product & Fan Engagement.** The goal here is to increase revenue per match in our current South India market. I see three ways to do this:

- **Improve the Fan Experience:** To increase audience, we can create a more immersive event. This includes setting up pre-game fan zones, organizing post-game meet-and-greets with players, and adding live entertainment.
- **Strengthen Local Partnerships:** We should deepen our relationships with local businesses beyond sponsorships. We can create co-branded promotions or offer their customers exclusive discounts to drive ticket sales.
- **Boost Media Coverage:** We need to increase our visibility. We can explore partnerships with local TV channels or popular regional digital media outlets to create more content and buzz around the matches.

That's a fair assumption. Proceed. Okay. What would you analyze next?

LEAGUE OF OPPORTUNITY



Your client is a small basketball league in India looking to expand its reach and increase revenue.

SOLUTION

Next, I would move to the second pillar: **Geographic Expansion**. The client mentioned interest in North India. To succeed there, we would need a clear, phased approach:

- **Market Research:** First, we must conduct detailed research to understand the specific sports culture, media consumption habits, and potential fan base in the target northern cities.
- **Local Partnerships:** We should not enter in isolation. Partnering with local sports associations, colleges, and basketball clubs is crucial to build grassroots credibility and promote the league.
- **Phased Rollout:** We could start with exhibition matches or a smaller tournament in the first year to test the market before launching a full-fledged northern division.

Great. And the third organic pillar?

The third pillar is **Revenue Stream Diversification**. Relying only on tickets and sponsorships is risky. We should build new revenue lines, such as:

- **Merchandise:** Selling team jerseys, basketballs, and other fan apparel online and at matches.
- **Digital Content & Streaming:** Partnering with an OTT platform or launching our own to stream matches live. This opens a national audience and subscription revenue.
- **Gaming & E-sports:** Engaging with the youth audience by exploring partnerships with mobile gaming or fantasy league platforms.

That covers the organic side well. What are your thoughts on the inorganic option you mentioned?

Finally, we should consider Inorganic Growth. Merging with or acquiring other smaller basketball leagues in India could be a powerful move. The primary benefits would be rapid market consolidation, access to a wider audience and talent pool, and increased negotiating power with media and sponsors. However, this path comes with significant integration challenges and would require thorough due diligence.

Thank you. We can close the case here.

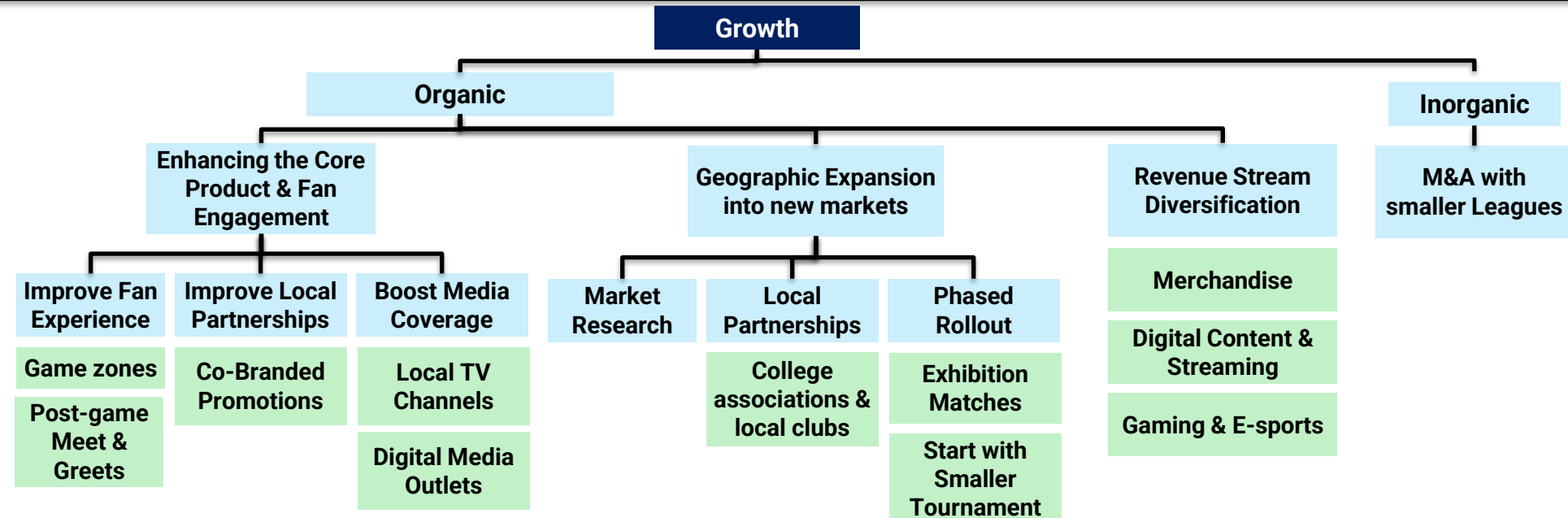
LEAGUE OF OPPORTUNITY

Your client is a small basketball league in India looking to expand its reach and increase revenue.

KEY LEARNINGS

- Try to analyze solution from a revenue perspective, how can a sports league earn money
- The success of the case was rooted in first clarifying the client's objectives (revenue, reach) and current state before building a solution.

APPROACH



BROWNIE POINTS

- Propose initiatives into a clear 5-year roadmap, prioritizing quick wins versus long-term investments.
- Create sustainable talent pipeline through academies & scouting to support long-term league quality & expansion
- Propose a strategy to build a competitive moat, such as securing exclusive media rights or long-term player contracts to defend against future rivals.

THE NEXT QUEST



Your client is a paid computer game developer named Moganj. Their CEO, Mr. Sudip Srikanth, wants your help to expand the horizons of their top-selling game, CraftMine, by pursuing a growth strategy.

CLARIFYING QUESTIONS

Sure. Before I recommend an optimal strategy, I would like to know a bit more about the background of the company and the game itself.

Moganj developed CraftMine five years back, and it is their top-selling title. Their prime market is Timbuktu, and they boast a loyal fan base of 5 million active players, with 90% of them located in Timbuktu itself. The action-adventure game had seen a huge growth in the initial years after launch, but growth has now plateaued.

Understood. What is the competitive landscape like?

The gaming industry is extremely vast with different genres. Moganj has a few other games that were made to compete with the big players but are sidelined as of now.

Got it. Lastly, does the client have a specific method of growth in mind?

The client has not specified a method to grow; you have the freedom to suggest any optimal strategy.

THE NEXT QUEST



Your client is a paid computer game developer named Moganj. Their CEO, Mr. Sudip Srikanth, wants your help to expand the horizons of their top-selling game, CraftMine, by pursuing a growth strategy.

SOLUTION

Thank you. That gives me a clear picture. Great. I would like to point out that we have two factors at play. Firstly, our core product and secondly, the home market. This leaves us with four options:

- **Market Penetration (Existing Product, Existing Market):** How can we get more revenue from our 5 million players in Timbuktu with CraftMine?
- **Product Development (New Product, Existing Market):** What new games or products can we offer to our existing player base in Timbuktu?
- **Market Development (Existing Product, New Market):** How can we launch CraftMine in new countries to attract new players?
- **Diversification (New Product, New Market):** This would be a riskier, longer-term option involving new games for new markets.

That's a very comprehensive list of options. Given that Moganj has limited resources to venture into new markets at this stage, what would you suggest?

I agree. For now, penetrating our existing market should be the primary goal. We can focus on the first two levers: Market Penetration and Product Development.

Okay, how would you approach penetrating the existing market with CraftMine?

For Market Penetration, the goal is to boost revenue from our existing 5 million players. The most effective way to do this is by introducing in-game purchases that enhance the experience without disrupting the core gameplay. This could include:

- Offering items like unique skins for characters and different weapons.
- Selling other add-ons like special items or exclusive in-game events. We would need to analyze different pricing strategies for these items to attract a wide range of players.

We also need to look at the angle of existing players and ways to increase repeat purchases.

THE NEXT QUEST



Your client is a paid computer game developer named Moganj. Their CEO, Mr. Sudip Srikanth, wants your help to expand the horizons of their top-selling game, CraftMine, by pursuing a growth strategy.

SOLUTION

And what about your second lever, product development?

For Product Development, we can leverage the trust and loyalty of our existing Timbuktu player base. You mentioned Moganj has a few sidelined games. We can revisit and potentially re-launch one of these games. This would be a good method to utilize existing assets and diversify our offerings without the high cost of developing a brand-new game from scratch.

That seems like a good place to start. Thank you. We can wrap it up here.

THE NEXT QUEST

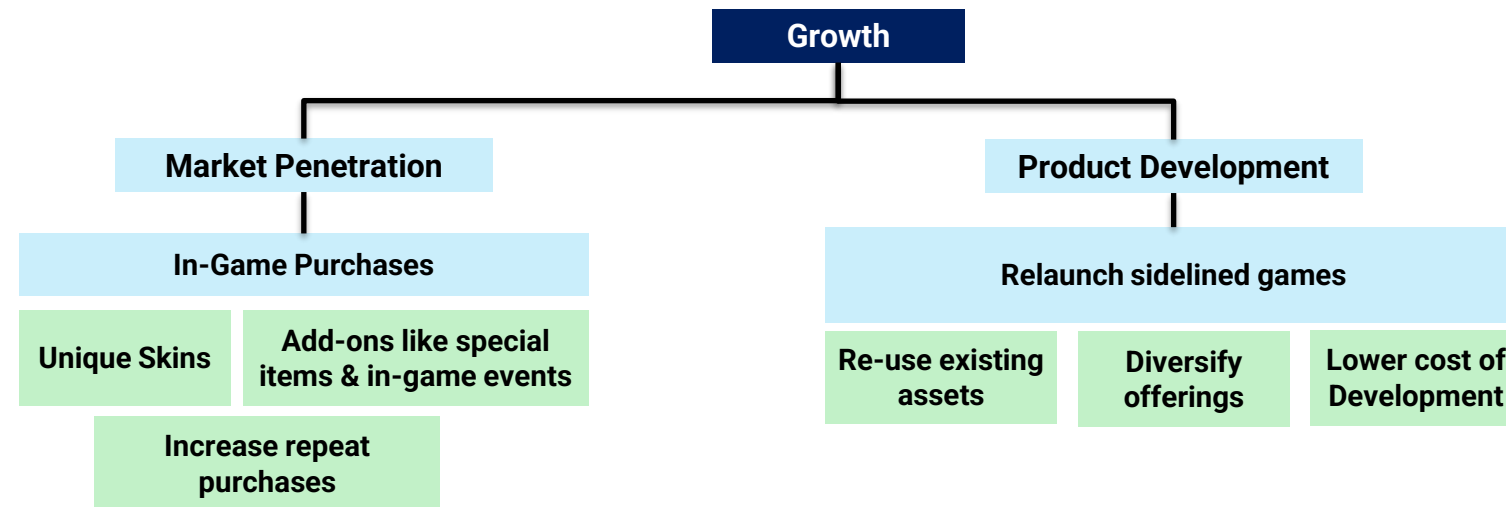


Your client is a paid computer game developer named Moganj. Their CEO, Mr. Sudip Srikanth, wants your help to expand the horizons of their top-selling game, CraftMine, by pursuing a growth strategy.

KEY LEARNINGS

- When resources are limited, the best strategy is often to focus on penetrating your existing market before expanding into new ones.
- A cost-effective growth strategy involves leveraging existing, underutilized assets (like the sidelined games) before building something entirely new.
- List out the threats and challenges, along with potential solutions to make your solution impactful

APPROACH



BROWNIE POINTS

- Suggest a clear roadmap, prioritizing low-cost in-game add-ons before committing resources to reviving an older game.
- Recommend analyzing the player base to tailor different in-game offers to different types of players
- Consider the risk that launching a sidelined game could cannibalize the player base of the main game, CraftMine.

PROJECT TOP 20



Your client is a Tier-2 private B-school in India. For the past decade, their national rankings have been stagnant, and they are facing increasing competition from new, more aggressive private universities. The Board of Directors wants you to devise a 5-year growth strategy.

CLARIFYING QUESTIONS

Before I propose a structure, I need to understand what "growth" means to the client. Are we prioritizing an improvement in rankings, an increase in student intake, revenue growth, or something else?

The primary goal is to break into the Top 20 of national rankings. They believe this will naturally lead to better revenue and student quality.

That clarifies the core objective. Could you tell me a bit about the school's current positioning? Does it have a specific specialization, like finance or marketing, and what is its main source of revenue?

They are known for a solid general MBA program, with no standout specialization. About 90% of their revenue comes from the tuition fees of their flagship two-year MBA program.

Understood. And finally, are there any major constraints, such as budget for new initiatives or the ability to expand the campus?

You can assume they have a moderate budget for high-impact initiatives but cannot afford a massive campus overhaul.

PROJECT TOP 20



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SOLUTION

Thank you. That gives me a clear picture. To structure the growth strategy, I would focus on the core drivers of a B-school's reputation and success. I'll break it down into four key pillars:

- **Academic Product & Brand:** How can we enhance the quality of education and the school's brand perception?-
- **Student Intake (Admissions):** How do we attract a higher quality and more diverse pool of applicants?
- **Student Output (Placements):** How do we improve final placement outcomes, which heavily influence rankings?
- **Revenue & Financial Health:** How can we create a more sustainable financial model beyond just the flagship MBA program?

Does this approach seem logical?

Yes, it's a comprehensive structure. Let's start with the Academic Product & Brand.

To enhance the academic product, we need to build a reputation for excellence in a specific area. I would propose:

- **Develop a Niche Specialization:** We should enhance our established General MBA by introducing high-demand specializations like Business Analytics. This creates a powerful combination.
- **Investing in Faculty:** We should allocate a significant budget to hire 2-3 renowned professors or industry leaders in these new specializations.
- **Promoting Thought Leadership:** We need to incentivize and fund faculty research and publications, especially within our new areas of focus.

That makes sense. Now, how would you improve the placements?

PROJECT TOP 20



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SOLUTION

Placements are the most critical driver of rankings. My recommendations would be:

- **Strengthen the Corporate Relations Team:** We need to move beyond just inviting companies for placements. The team should be restructured to build deep, strategic partnerships with a target list of high-growth companies in our new niche areas.
- **Intensive Placement Preparation:** We should launch a mandatory, year-long "Career Skills" program that includes rigorous mock interviews, case study workshops, and soft skills training.
- **Leverage the Alumni Network:** Create a formal mentorship program connecting current students with successful alumni in their target industries.

Okay. Assuming we improve our brand and placements, how do we attract better students in the first place?

That's where the Student Intake pillar comes in. With a stronger brand proposition, we can:

- **Launch Targeted Digital Marketing:** Instead of broad ads, we can run targeted campaigns showcasing our new specializations and placement success.
- **Conduct "Knowledge" Workshops:** Host free, high-quality workshops on topics like "Careers in Product Management" in Tier-2 and Tier-3 cities to attract and identify high-potential students.

Finally, how would you address the Revenue & Financial Health?

Relying 90% on one program is risky. To diversify, I would suggest:

- **Launch Executive Education Programs:** Offer short, high-margin certificate programs for working professionals in our new areas of specialization.

PROJECT TOP 20



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SOLUTION

- **Offer Online Certificate Courses:** Partner with platforms like Coursera or upGrad to launch online courses, leveraging our "star" faculty.
- **Corporate Training:** Utilize our campus and faculty to offer customized training programs for corporate clients during academic breaks.

- **Faculty** immediately improves the academic product and brand, which makes it easier for a stronger corporate relations team to attract better companies.
- **Better placements** become the most powerful marketing tool to attract higher-quality students in the following admission cycle, directly impacting the rankings.

This is a very comprehensive plan. If you had to choose only two of these initiatives to start with in the first year, which would you pick and why?

Thank you. We can end the case here.

I would prioritize **Investing in Faculty** for our new specializations and **Strengthening the Corporate Relations Team** as these two initiatives create a powerful virtuous cycle.

PROJECT TOP 20

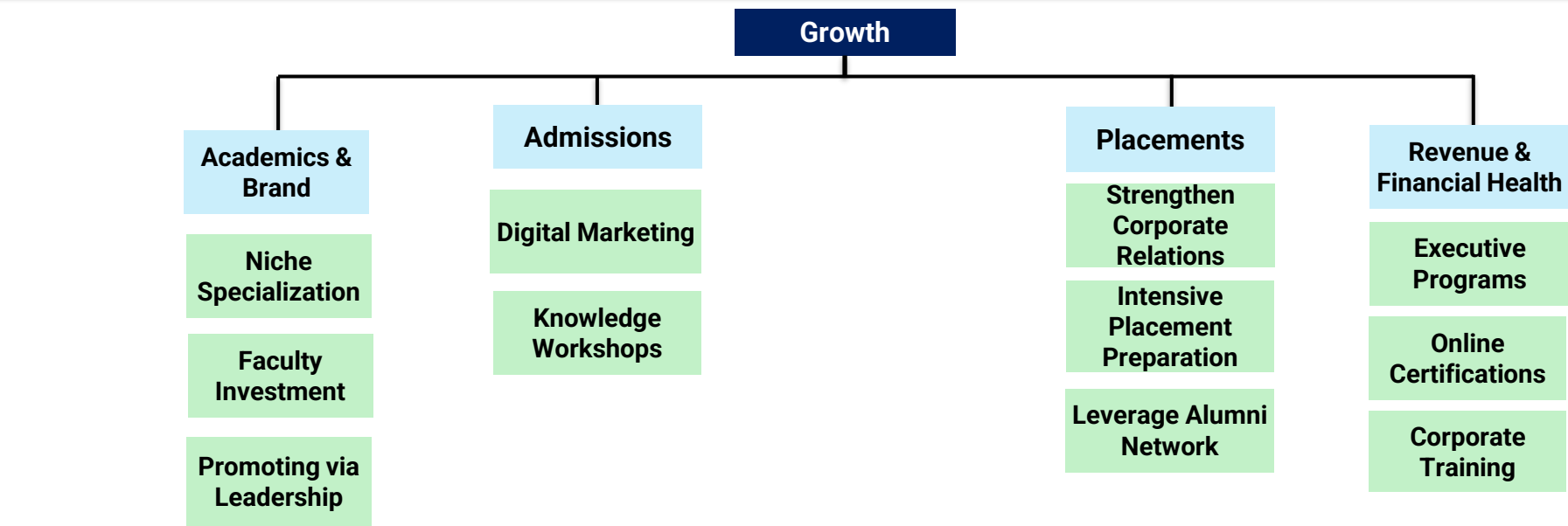


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KEY LEARNINGS

APPROACH

- For non-traditional clients like a B-school, create a custom framework that fits the unique business model.
- When presented with multiple growth options, the key skill is to prioritize initiatives based on their impact on the primary goal (rankings).
- For an educational institution, a growth strategy is fundamentally a brand-building and reputation management strategy.



BROWNIE POINTS

- Deep dive into the strategies of competing B-schools to identify a unique, sustainable advantage.
- Suggest a comprehensive digital transformation plan for the entire student lifecycle, from admissions to alumni engagement.

BEYOND THE BOOKSHELF



A chain of premium physical bookstores, known for its curated collections and in-store cafes, wants to grow despite the dominance of online retailers. What strategy should they adopt to expand their footprint and increase revenue?

CLARIFYING QUESTIONS

Before I structure my approach, I have a few clarifying questions. What is the client's current footprint? How many stores do they have and where are they located?

They have 15 large-format stores, all located in prime, high-street locations in major metro cities like Delhi, Mumbai, and Bangalore.

Understood. What are their current revenue streams, and what is the approximate split? I assume it's primarily book sales and the in-store cafes.

You're right. About 70% of revenue comes from book sales, 20% from the cafes, and the remaining 10% from stationery and merchandise.

That's a helpful breakdown. Finally, what is the primary objective behind this growth? Is it a specific revenue target, a certain number of new stores, or a more qualitative goal like strengthening their brand?

The goal is to double their revenue in the next five years while strategically expanding their store count.

BEYOND THE BOOKSHELF



A chain of premium physical bookstores, known for its curated collections and in-store cafes, wants to grow despite the dominance of online retailers. What strategy should they adopt to expand their footprint and increase revenue?

SOLUTION

Thank you. That gives me a clear picture.

To compete with online retailers, our strategy cannot be just about selling books. It must be about selling an experience. Our physical stores are our biggest competitive advantage.

Therefore, I would structure my growth strategy around three core pillars:

- **Transforming Stores into "Community Hubs":** How can we maximize revenue and loyalty from our existing 15 stores by making them experiential destinations?
- **Strategic Footprint Expansion:** How can we intelligently expand our store count, and what should these new stores look like?
- **Building a Synergistic Omnichannel Model:** How do we integrate our physical presence with a digital strategy to create a seamless customer experience?

Does this approach seem logical?

Yes. Let's start with your first pillar. How would you transform the stores into "community hubs"?

The goal is to give people a reason to visit beyond just buying a book they could get online. I would propose three initiatives:

- **Curated Events & Workshops:** We should host a regular calendar of ticketed events. This could include author signings, book clubs, poetry slams, and even workshops on topics like creative writing or calligraphy. This creates a new, high-margin revenue stream.
- **Introduce a "Third Space" Concept:** We need to enhance our cafes and create more comfortable seating areas where people can work, read, or socialize. We could introduce a membership model that offers benefits like unlimited coffee and reserved seating, creating a recurring revenue stream.
- **Partnerships & Pop-ups:** We can partner with local artists, artisanal brands, or even tech companies to host pop-up shops or exhibitions within our stores. This keeps the in-store experience fresh and attracts new audiences.

BEYOND THE BOOKSHELF



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SOLUTION

That's a strong vision for the existing stores. Now, how would you approach footprint expansion?

For expansion, we should move away from a one-size-fits-all model. I would suggest a two-pronged approach:

- **"Hub-and-Spoke" Model:** We should continue to open large-format "hub" stores in new metro cities. But for every hub, we should open smaller, "spoke" or "neighborhood" stores in affluent residential areas. These smaller stores would have a highly curated selection and a stronger community feel.
- **Data-Driven Location Selection:** We must use data analytics to choose our new locations. We should analyze demographic data, local consumer spending habits, and the proximity of our target audience (e.g., universities, corporate offices) to make informed real estate decisions.

Finally, how do you see the omnichannel model working? How do we compete with the convenience of online giants?

We don't compete on price or speed; we compete on curation and community. Our omnichannel strategy should reflect this:

- **"Click-and-Collect" with a Twist:** Allow customers to buy online and pick up in-store. When they come to pick up, we can offer them a complimentary coffee or a discount coupon for their next purchase, turning an online transaction into a physical experience.
 - **Hyper-Personalized Recommendations:** We should leverage our in-store sales data and online browsing history to provide truly curated book recommendations, something algorithms often struggle with. Our "Recommended for you" should feel like it's coming from a well-read friend, not a machine.
 - **Exclusive Online Content:** We can live-stream our in-store author events exclusively for our online members or create a podcast featuring our booksellers discussing their favorites. This uses our physical assets to create digital content.
- This integrated strategy allows us to leverage the unique strengths of our physical stores to build a loyal community.

That's a well-thought-out plan. We can end the case here.

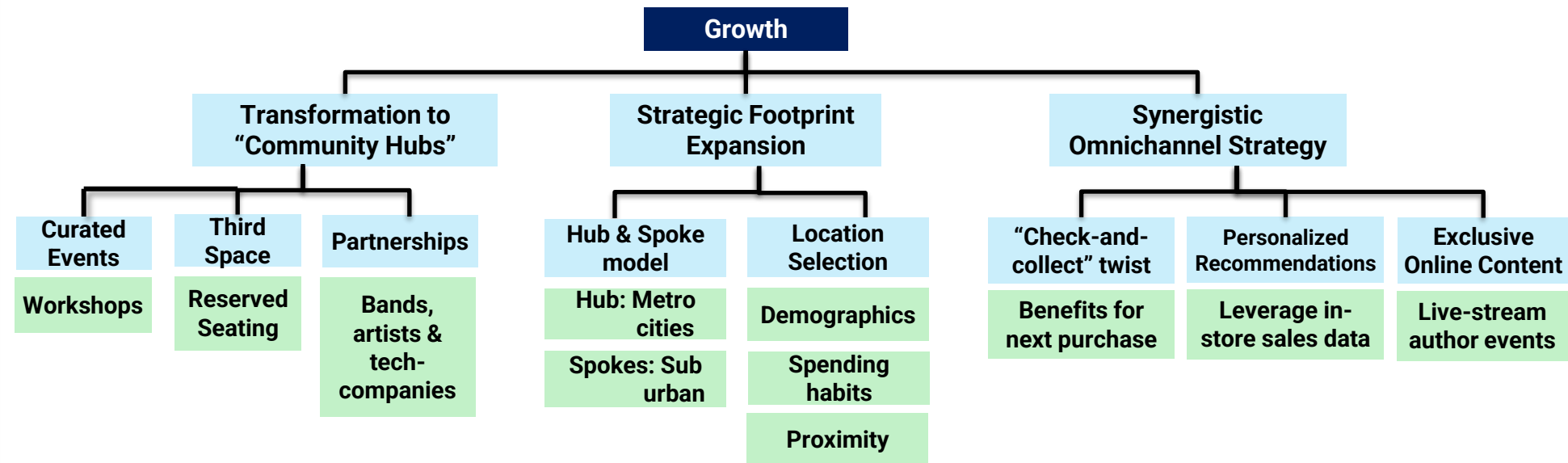
BEYOND THE BOOKSHELF

A chain of premium physical bookstores, known for its curated collections and in-store cafes, wants to grow despite the dominance of online retailers. What strategy should they adopt to expand their footprint and increase revenue?

KEY LEARNINGS

- For physical retail to thrive, it must transform from a point of sale into an experiential destination.
- Using a detailed, multi-level framework allows you to break down a complex problem into a clear, actionable plan.
- A smart growth strategy always begins by maximizing the value and efficiency of existing assets before committing capital to expansion.

APPROACH



BROWNIE POINTS

- Suggest a formal partnership with a premium coffee brand or local artisans to enhance the in-store experience and brand.
- Propose a loyalty program that integrates online and offline channels, rewarding customers for both purchases and engagement.

THE SONIC BOOM



A popular independent music festival held annually in one location wants to grow its brand and revenue. What strategies should they explore to expand their reach and create a more sustainable, year-round business model?

CLARIFYING QUESTIONS

Before I structure my approach, I need to understand the festival's current identity. What genre of music do they focus on, and who is their core audience?

It's an indie and alternative music festival. The core audience is primarily 18 - 30 year olds from metro cities.

Understood. And what are their primary revenue streams at the moment? I'd assume it's mostly ticket sales, with some on-site food and beverage and sponsorships.

That's correct. Ticket sales account for about 70% of the revenue. The rest is split between sponsorships and on-site sales.

That heavy reliance on a single annual event is a key challenge. Finally, what is their current size in terms of attendees?

They attract around 20,000 attendees over a three-day weekend.

THE SONIC BOOM



A popular independent music festival held annually in one location wants to grow its brand and revenue. What strategies should they explore to expand their reach and create a more sustainable, year-round business model?

SOLUTION

Thank you. That provides a clear baseline. The core challenge is to evolve from a single, successful event into a year-round music brand. Therefore, I would structure my growth strategy into two main pillars:

- **Enhance the Core Festival.** How do we maximize the profitability and brand impact of the flagship annual event?
- **Expand Beyond the Festival.** How do we leverage the brand to create new, year-round revenue streams and maintain audience engagement?

Does this approach seem logical?

Sure. Let's start with the Core Festival.

To enhance the core festival, we need to optimize our existing revenue streams and add new ones. I would suggest:

- **Tiered Ticketing & Dynamic Pricing:** Instead of one ticket price, we should introduce multiple tiers like General Admission, VIP, and "Platinum" packages that include backstage access or artist meet-and-greets. We can also use dynamic pricing to increase prices as the event date gets closer.
- **Increase On-Site Spend:** We need to make the festival a cashless environment using RFID wristbands. This is proven to increase average per-head spending on food, drinks, and merchandise by making transactions frictionless.
- **Tiered Sponsorships:** We should create different sponsorship packages: a "Main Stage" sponsor, a "New Artists Stage" sponsor, an "Official Beverage Partner," etc. This allows us to attract a wider range of sponsors at different price points.

THE SONIC BOOM



A popular independent music festival held annually in one location wants to grow its brand and revenue. What strategies should they explore to expand their reach and create a more sustainable, year-round business model?

SOLUTION

Now, let's move to the more strategic challenge: how do we Expand Beyond the Festival?

This is where we build a year-round business. I would propose a three-pronged approach to transform the brand into a media company:

- **Geographic "Satellite" Events:** We can leverage our brand to launch smaller, one-day "satellite" festivals or concerts in other major cities. This allows us to test new markets and engage with fans who can't travel to the main event.
- **Launch a Digital Content Arm:** We have incredible access to artists. We should set up a small production team to record live sessions, artist interviews, and behind-the-scenes content during the festival. This content can be monetized on YouTube or through a subscription model on a platform like Patreon, keeping the audience engaged all year.

This is a very comprehensive plan. If you had to prioritize these initiatives, where would you start?

I would start by **Enhancing the Core Festival** in the first year. The increased profitability from tiered ticketing and sponsorships will provide the necessary cash flow to fund the more ambitious expansion plans, like launching satellite events and a digital content arm, in years two and three. Optimizing the core business is the foundation for building the year-round brand.

Thank you. We can close the case here.

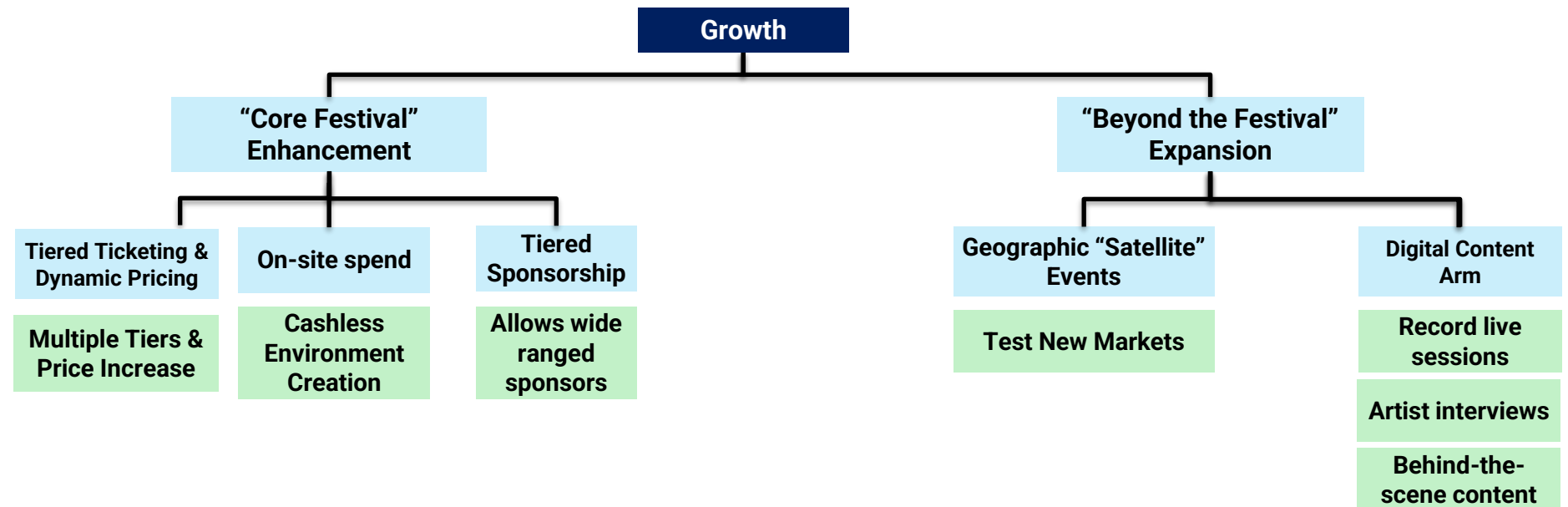
THE SONIC BOOM

A popular independent music festival held annually in one location wants to grow its brand and revenue. What strategies should they explore to expand their reach and create a more sustainable, year-round business model?

KEY LEARNINGS

- The key to sustainable growth for an annual event is to transform it into a year-round media brand.
- A powerful way to structure this type of case is to separate strategies for enhancing the core event from those for building new, year-round businesses.

APPROACH



BROWNIE POINTS

- Suggest leveraging the brand to launch an artist management or record label wing, creating a new B2B revenue stream.
- Recommend building a proprietary app or platform to host content, sell tickets, and own the audience data.

THE NEXT FLIP: SCALING FLIPKART



Your client is Flipkart in 2017 - 18. They have asked you to develop their strategy for the next 3–5 years.

CLARIFYING QUESTIONS

Sure. Before I dive in, I'd like to clarify a few points to better structure my approach:

What is Flipkart's primary business model and current key features? Is it purely an e-commerce platform or does it have other verticals?

It's a basic e-commerce application where users can order products and get them delivered.

What is the primary goal of this strategy? Are we aiming for profitability, revenue growth, or market share expansion?

They want to increase profitability and grow the customer base.

Could you share Flipkart's current growth rate and geographic footprint?

They are growing at 20% annually and operate mainly in the top 4 Indian cities.

THE NEXT FLIP: SCALING FLIPKART

Your client is Flipkart in 2017 - 18. They have asked you to develop their strategy for the next 3–5 years.

SOLUTION

Alright. At a high level, I would structure Flipkart's growth strategy into two main streams:

- Inorganic Growth
- Organic Growth

Let's start with inorganic growth.

Given Flipkart's stage in 2017–18, partnerships may be more suitable than outright mergers due to lower capital outlay and quicker execution. I'd base this on the customer journey and identify potential partnership points:

1. Product Search

- Partner with vernacular search startups for Tier-2/3 penetration.
- Explore voice-based AI search to improve accessibility.

2. Checkout & Transactions

- Collaborate with fintech startups offering credit services to underwrite loans for high-value purchases (e.g., laptops, appliances).
- Integrate with UPI, wallets, and BNPL providers to improve payment flexibility.

3. Delivery & Pickups

- Partner with hyperlocal logistics startups to expand same-day and next-day delivery coverage.
- Use shared warehousing with third parties to reduce capex.

4. Post-Sales Services

- Partner with insurance providers for product protection plans.
- Tie-up with service providers for installation and repair to enhance after-sales experience.

Alright. Now let's move to organic growth.

THE NEXT FLIP: SCALING FLIPKART

Your client is Flipkart in 2017 - 18. They have asked you to develop their strategy for the next 3–5 years.

SOLUTION

I'll break organic growth into three buckets:

1. New Products & Services

- Expand beyond traditional e-commerce into engagement-based platforms like gaming and live shopping feeds to increase app stickiness.
- Launch a video content platform to integrate entertainment and commerce.
- Develop private labels in fashion, electronics, and home essentials to improve margins.

2. Improve Sales of Existing Products

- Increase purchase frequency via a strong loyalty program (e.g., Flipkart Plus) and bank tie-ups for exclusive offers.
- Increase basket size by:
 - Implementing a robust AI recommendation engine.
 - Offering bundling discounts and cross-category promotions.
- Use personalized push notifications and app gamification to re-engage dormant customers.

3. Geographic Expansion

- Phase 1 (1–2 years): Deepen penetration in Tier-1 cities through faster deliveries (same-day, hyperlocal warehouses) and better user experience (one-click voice checkout, multiple payment modes).
- Phase 2 (2–5 years): Enter Tier-2 and Tier-3 cities with:
 - Localized marketing in regional languages.
 - COD (Cash on Delivery) and easy returns to build trust.
 - Affordable logistics solutions and tie-ups with India Post or regional courier services.

If you had to prioritize initiatives, what would they be?

Given competitive pressure from Amazon at the time, my priorities would be:

1. Strengthen core categories (electronics, fashion) via exclusives and private labels.

THE NEXT FLIP: SCALING FLIPKART

Your client is Flipkart in 2017 - 18. They have asked you to develop their strategy for the next 3–5 years.

SOLUTION

2. Accelerate Tier-2/Tier-3 entry with localized logistics and vernacular experience.
3. Launch grocery and daily essentials for higher purchase frequency.

Good. How would you measure success?

- GMV year-on-year Growth Rate
- Customer Acquisition Cost (CAC) vs Lifetime Value (LTV)
- Repeat Purchase Rate & Retention
- Contribution Margin from private labels
- Delivery SLA Compliance to ensure customer satisfaction

That's clear. We can close the case here.

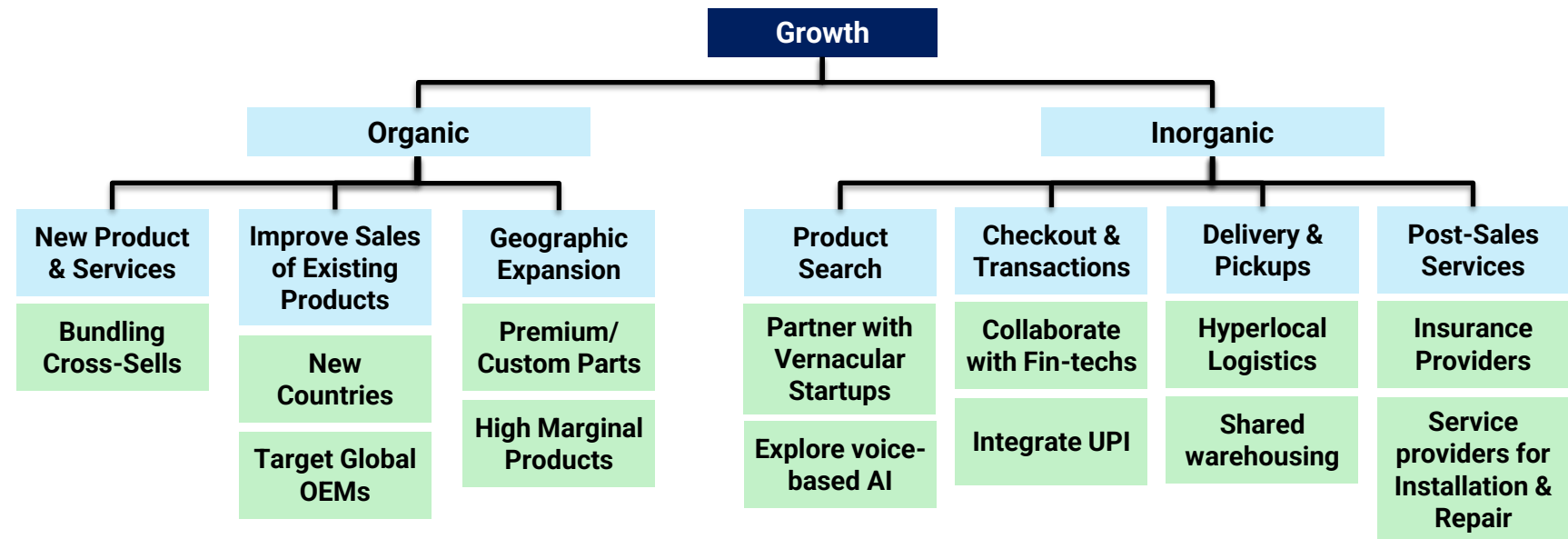
THE NEXT FLIP: SCALING FLIPKART

Your client is Flipkart in 2017 - 18. They have asked you to develop their strategy for the next 3–5 years.

KEY LEARNINGS

- Always clarify scope and objective before structuring
- Balance short-term vs. long-term priorities (defend core electronics/fashion now, invest in Tier-2/3 and grocery for future)
- Integrate competitive and financial lenses
- Consider Amazon's threat and ensure initiatives drive profitability, not just scale

APPROACH



BROWNIE POINTS

- Highlighting Tier-2/3 localization with vernacular search, COD, and regional logistics
- Linking inorganic moves directly to strategic gaps (grocery, payments, logistics)
- Emphasizing profitability levers like private labels, BNPL, and shared warehousing

THE GROWTH ENGINE PARK



Your client is an industrial park located in South India near a port. The park currently has all the necessary infrastructure, and 70% of its facilities are occupied by manufacturing companies. The client wants you to chart out a growth strategy for the next 10 years.

CLARIFYING QUESTIONS

Understood. Before I structure my approach, I'd like to understand the client's objectives and the context a bit better. When we talk about growth, are we focusing primarily on increasing revenue?

Yes, that's correct. The aim is for a 20X revenue growth over the 10 years.

Are there any budget constraints or other limitations we need to consider?

No, you can assume there are no constraints.

Got it. And what are the primary revenue streams for the park currently?

The main revenue stream is from renting out land and buildings to manufacturing facilities.

Thank you. That gives me a clear picture of the starting point.

THE GROWTH ENGINE PARK



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SOLUTION

To structure the 20X growth strategy, I would first separate our options into two main avenues:

1. Inorganic Growth 2. Organic Growth.

Since here we are targeting a huge jump in revenue in a short period, I believe we should look at **expanding inorganically**:

- **Acquiring other industrial parks** (especially near ports or freight corridors).
- **Mergers with nearby parks** to create shared utilities and commercial synergies.

Sure, let's focus on organic growth for the rest of the discussion.

Under the organic route, we can think about two paths:

1. Expanding into new markets

- New customer types (beyond manufacturing facilities)
- Diversification into new business verticals
- New geographical regions (e.g., North India)

2. Expanding within the existing market

Let's first deep dive into growth within the existing market.

Within the **existing market**, growth can come from:

- Increasing the **number of customers**
- Increasing **revenue per customer**

Okay. How would you attract more customers?

Within the existing market, the first step is to increase our customer base of manufacturing clients. To do this, we must **enhance the park's core value proposition**. This would involve **improving our marketing** to highlight our proximity to the port and creating a more streamlined onboarding process for new tenants.

And how would you increase the revenue generated from each customer? We cannot raise the base rental prices.

THE GROWTH ENGINE PARK



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SOLUTION

In that case, we must introduce **new, value-added services** that we can sell to our existing and new tenants. This would increase our revenue per customer. Some services could include:

- **Logistics & Warehousing:** Offering integrated storage and transportation services, leveraging our port access.
- **Utility Management:** Providing managed power, water, and waste treatment solutions.
- **Business Support:** Offering shared services like HR, compliance, and accounting for smaller tenants.
- **Infrastructure:** Building and renting out on-site staff quarters for laborers and managers.

Great. Now move to new markets.

The first step would be to explore **new customer segments**. We can offer our existing rental spaces to non-manufacturing clients who can still benefit from our infrastructure.

A prime example would be targeting **large e-commerce companies for massive warehousing and fulfillment centers**. Our location near the port is a major advantage for their import and supply chain operations.

Okay. What about diversification?

Diversification would involve **building entirely new, non-industrial business models within the park's ecosystem**. We could leverage our land and the large working population to build and operate commercial assets, such as:

- Hotels and service apartments for business travelers visiting the park.
- Retail centers and food courts to serve the employees.

This strategy turns the park into a self-sustaining township, creating new revenue streams while making it a more attractive place to work.

THE GROWTH ENGINE PARK



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SOLUTION

You also mentioned expanding to new geographies. Tell me more about that

Yes. This would be a longer-term, more capital-intensive strategy. Given our success in South India, we could look to **replicate our industrial park model in other strategic locations.** For example, a location in North India, perhaps within the Delhi-Mumbai Industrial Corridor, could be a strong candidate. This would allow us to tap into a completely different manufacturing ecosystem and serve a new set of clients, truly diversifying our geographical risk and revenue base.

Fair enough. We can close the case here.

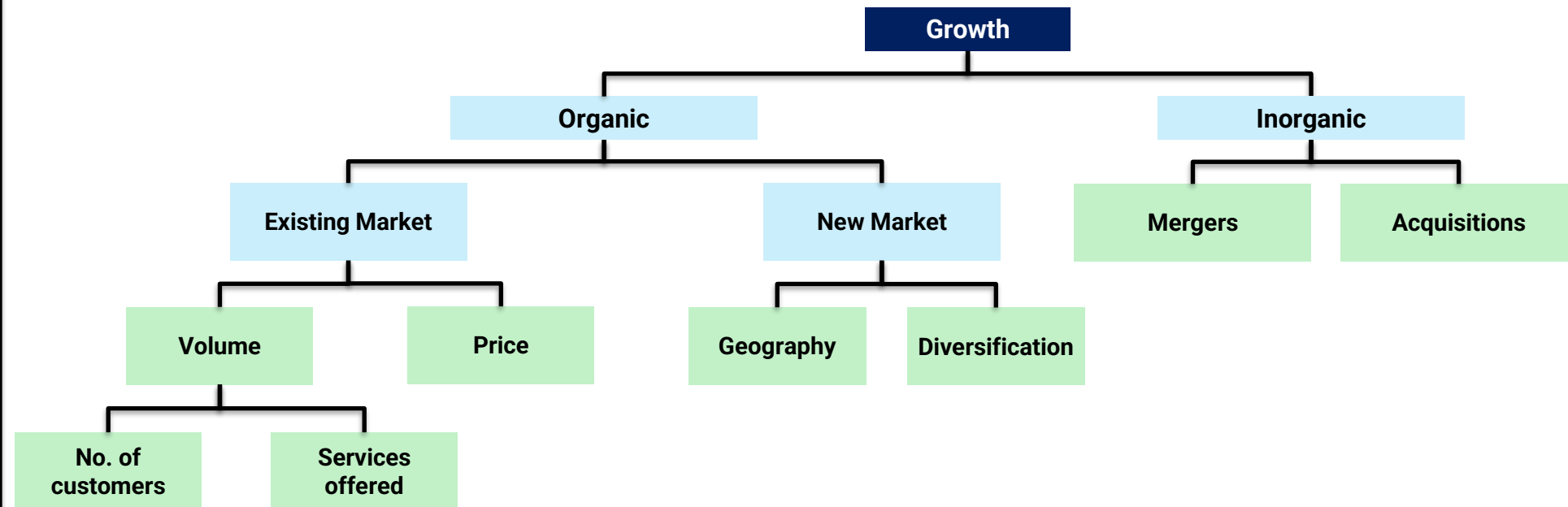
THE GROWTH ENGINE PARK

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KEY LEARNINGS

- The best strategy for an industrial park is to think beyond just renting space.
- Build a self-sustaining ecosystem with value-added services that create stickiness and new revenue streams.
- Strengthen the core business (Market Penetration, Service Development) while also exploring new, synergistic opportunities (Market Development, Diversification).

APPROACH



BROWNIE POINTS

- Go beyond just marketing. Propose building a powerful identity, the "Premier Port-Side Industrial Ecosystem".
- Propose a new revenue stream through on-site advertising by leasing high-visibility billboard space along the park's internal roads or on building facade.

TESTING THE LIMITS

Your client is a diagnostic company specializing in tests for cancer patients. They were incorporated a couple of years ago and want to grow by 10x in the next year. They have approached you for a growth strategy.

CLARIFYING QUESTIONS

Sure. I'd like to understand the company and its operations better before I structure my approach. Could you tell me about the geography in which the firm operates and the specific tests they offer?

The company operates all over India. They currently offer only one specialized test which is used to identify the genes and mutations of a patient's cancer to guide targeted treatments. This test is mandatory at the beginning of the diagnosis.

Understood. And what is the competitive landscape like?

There are no significant direct competitors providing this specific test.

Lastly, what is the price of the test, and does the client have enough capacity to handle a 10x increase in volume?

The price for a single test is between ₹15,000 and ₹20,000. And yes, the client has confirmed they have the lab capacity to handle more than 10x their current volume.

TESTING THE LIMITS

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SOLUTION

Thank you. That's very helpful. To structure the 10x growth strategy, I would like to analyze three key areas:

- **Market Opportunity Assessment:** I'll quantify the Total Addressable Market (TAM) to confirm that a 10x growth target is feasible.
- **Current State Analysis:** I'll analyze our current revenue and sales operations to establish a baseline.
- **Growth Strategy Levers:** Finally, I'll propose specific initiatives to bridge the gap between our current state and the 10x growth target.

Does that sound like a reasonable path forward?

Yes, that's a logical approach. Let's start with the market opportunity.

To size the market, may I know the number of cancer patients in India?

There are approximately 2 million cancer patients, and that number is rising.

Okay. Given the test price of around ₹15,000, not all 2 million patients will be able to afford it. I'll segment the market by income level to find our addressable market. I'll assume four buckets:

1. BPL
2. Lower-Middle
3. Upper-Middle
4. High-Net-Worth.

Can I assume that our target customers would primarily be in the Upper-Middle and High-Net-Worth categories, which might represent about 40% of the total patients?

That's a fair assumption. Proceed.

Great. So, 40% of 2 million patients gives us an addressable market of 800,000 patients per year. At an average price of ₹15,000 per test, the Total Addressable Market (TAM):

$800,000 \times 15,000 = ₹1200 \text{ Crores}$.

Given a TAM of ₹1200 Crores, the client's target of 150 Crores is ambitious but certainly feasible.

TESTING THE LIMITS

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SOLUTION

Good. Now, what about the current state? The client's current revenue is 15 Crores.

Okay. At an average price of ₹15,000, a revenue of 15 Crores means we are currently conducting 10,000 tests per year. The client mentioned they have 10 sales representatives. This means each rep is responsible for generating 1,000 tests per year, or about 80-90 tests per month. This seems like a reasonable workload. To reach the 150 Crore target, we would need to conduct 100,000 tests per year. The current sales force of 10 is insufficient for this.

Correct. So, what specific strategies would you propose to achieve this 10x growth?

I would propose three strategic growth levers:

- **Sales & Channel Expansion:** The most critical step is to significantly scale our sales force. To go from 10,000 to 100,000 tests, we will likely need to increase our sales team proportionally, aiming for a team of around 80-100 reps. Their primary focus will be to increase the frequency of visits to the key prescribers: oncologists.
- **Market & Brand Development:** We need to increase the visibility and credibility of our test. We can do this by conducting seminars and workshops for the medical community, presenting clinical data and patient testimonials to establish our test as the undisputed standard of care.
- **Financial & Access Levers:** To ease the financial burden on patients and accelerate adoption, we should partner with major insurance companies to include our test in their list of claimable expenses. This would be a major catalyst for growth.

Thank you. We can close the case here.

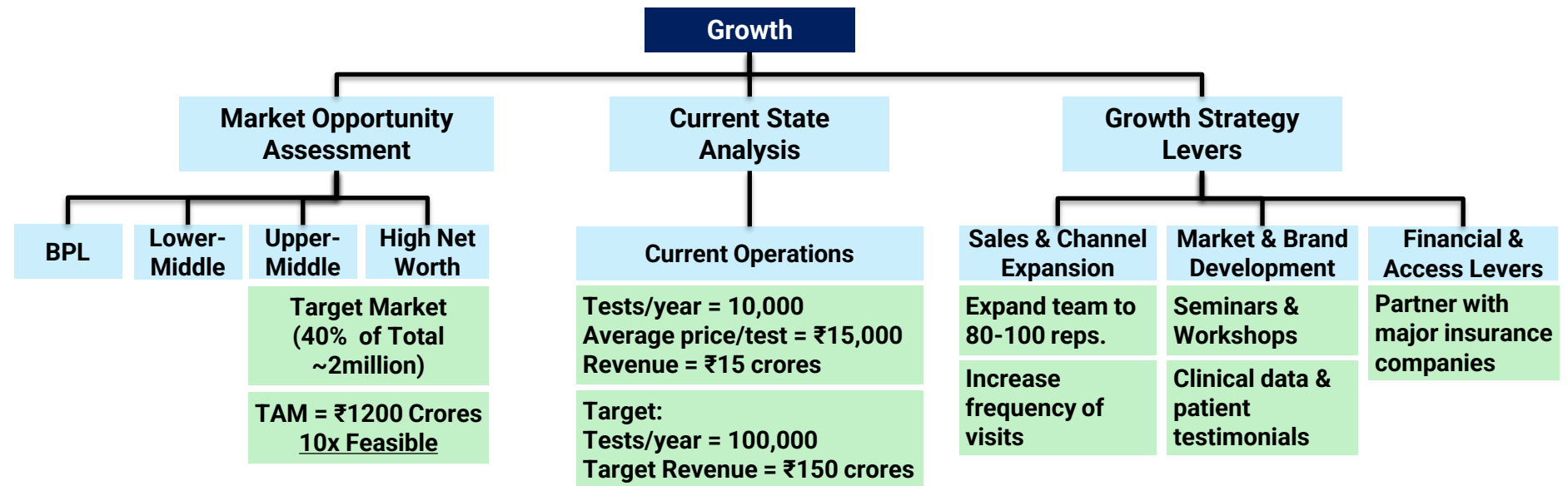
TESTING THE LIMITS

Your client is a diagnostic company specializing in tests for cancer patients. They were incorporated a couple of years ago and want to grow by 10x in the next year. They have approached you for a growth strategy.

KEY LEARNINGS

- A revenue target is meaningless without connecting it directly to the required operational capacity, such as the necessary sales force size.
- The most effective growth plans attack the problem from multiple angles simultaneously: sales, marketing, and market access.
- Always break the guesstimate into smaller, manageable components and walk the interviewer through the calculations clearly.

APPROACH



BROWNIE POINTS

- Propose financing options (EMIs) or tiered pricing to make the test accessible to the Lower-Middle Class segment.
- Highlight the primary risks, such as the significant challenge of rapidly hiring and training a large, specialized sales team.

THE TEXAS RETAIL ROLLOUT



Your client is a retail company with 20 stores located in and around Texas. They have an ambitious goal to expand their footprint to 200 stores across the United States. They need you to develop a plan for this expansion.

CLARIFYING QUESTIONS

Sure. Before I structure my approach, I need to understand the business better. What type of products do these retail stores sell?

They are a specialty retailer focused on high-quality, sustainable home goods, things like bedding, kitchenware, and small decor items.

That helps define the brand. Who is their typical target customer?

Their core customer is in the upper-middle-income bracket, typically aged 30-50, who values quality, sustainability, and modern design.

Understood. And what is the timeline for this expansion to 200 stores?

They want to achieve this within the next 5 to 7 years.

Got it. Lastly, how is this expansion being funded?

The expansion will be funded through a combination of existing profits and a recent round of private equity investment.

THE TEXAS RETAIL ROLLOUT



Your client is a retail company with 20 stores located in and around Texas. They have an ambitious goal to expand their footprint to 200 stores across the United States. They need you to develop a plan for this expansion.

SOLUTION

Thank you. That confirms they have the capital, but the timeline requires a very efficient strategy. To develop a robust expansion plan, I would structure my analysis around four key questions:

- **Are We Ready? (Internal Analysis):** First, we need to ensure the current 20-store model is standardized and profitable enough to be replicated successfully.
- **Where Do We Go? (Market Prioritization):** Second, we need a data-driven approach to select the next 180 locations from across the entire US.
- **How Do We Enter (Entry Strategy):** Third, we need to define the optimal strategy for entering these new markets.
- **What's the Plan (Rollout & Sequencing):** Finally, we need to create a phased timeline for the rollout to manage risk and resources effectively.

Does this approach seem logical?

Yes. Let's start with the first part. How would you assess if the client is ready to scale?

For the Internal Analysis, I would focus on creating a "**Store Replication Blueprint.**" This involves:

- **Standardizing Operations:** Ensuring that everything from supply chain and inventory management to in-store processes and staffing models is consistent and efficient.
- **Confirming Unit Economics:** Analyzing the profitability of the existing 20 stores to establish a clear picture of the expected revenue, costs, and payback period for a new store. We need to be confident that the model is profitable before we expand it to 180 stores.
- **Assessing Brand & Infrastructure:** Evaluating if their current brand has recognition beyond Texas and if their back-end infrastructure (like IT and HR) can support a national operation.

That makes sense. Assuming we've confirmed the model is solid, how would you decide where to go next?

THE TEXAS RETAIL ROLLOUT



Your client is a retail company with 20 stores located in and around Texas. They have an ambitious goal to expand their footprint to 200 stores across the United States. They need you to develop a plan for this expansion.

SOLUTION

For Market Prioritization, I would develop a **scoring model** to rank potential cities or metropolitan areas. The criteria would include:

- **Demographic Alignment:** Cities with a high concentration of our target upper-middle-income customers.
- **Market Size & Spend:** The total market size for home goods and the average household spend in that category.
- **Competitive Landscape:** The level of saturation from direct competitors. We'd look for attractive markets that are currently underserved.
- **Logistical Feasibility:** Proximity to potential distribution centers to ensure an efficient supply chain.

This would allow us to create a ranked list of the top 30-40 cities to target for the first wave of expansion.

Good. Once you have the target cities, what's the entry strategy?

For the Entry Strategy, I would recommend a **"hub-and-spoke" model**. Instead of scattering single stores across the country, we should:

- **Establish Regional Hubs:** Select a few key cities from our prioritized list to enter first with multiple stores. This allows us to build brand recognition and achieve operational efficiencies in marketing and logistics.
- **Adapt the Store Format:** While the core brand should be consistent, we might need to slightly adapt the store size or product mix based on local tastes or real estate availability in different cities.
- **Launch with a Marketing Blitz:** Each new market entry should be supported by a targeted marketing campaign to build awareness and drive initial foot traffic.

Finally, how would you sequence the rollout to get from 20 to 200 stores?

THE TEXAS RETAIL ROLLOUT



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SOLUTION

For the Rollout Plan, I would propose a three-phased approach over the 7-year timeline:

- **Phase 1 (Years 1-2): The "Refine & Cluster" Phase.** We would open the next 20-30 stores but keep them clustered in states adjacent to Texas. This allows us to test and refine our expansion blueprint with a lower logistical risk.
- **Phase 2 (Years 3-5): The "Hub & Spoke" Phase.** This is the main growth engine. We would launch our regional hubs in the top-priority cities across the country, aiming to open another 100-120 stores.
- **Phase 3 (Years 6-7): The "Infill & Optimize" Phase.** In the final phase, we would open the remaining stores, primarily by adding more locations within our established hub regions and optimizing the performance of the entire network.

This phased approach allows for learning and adaptation while managing the significant risks of such a rapid national expansion.

That's a clear actionable plan. We can wrap the case here.

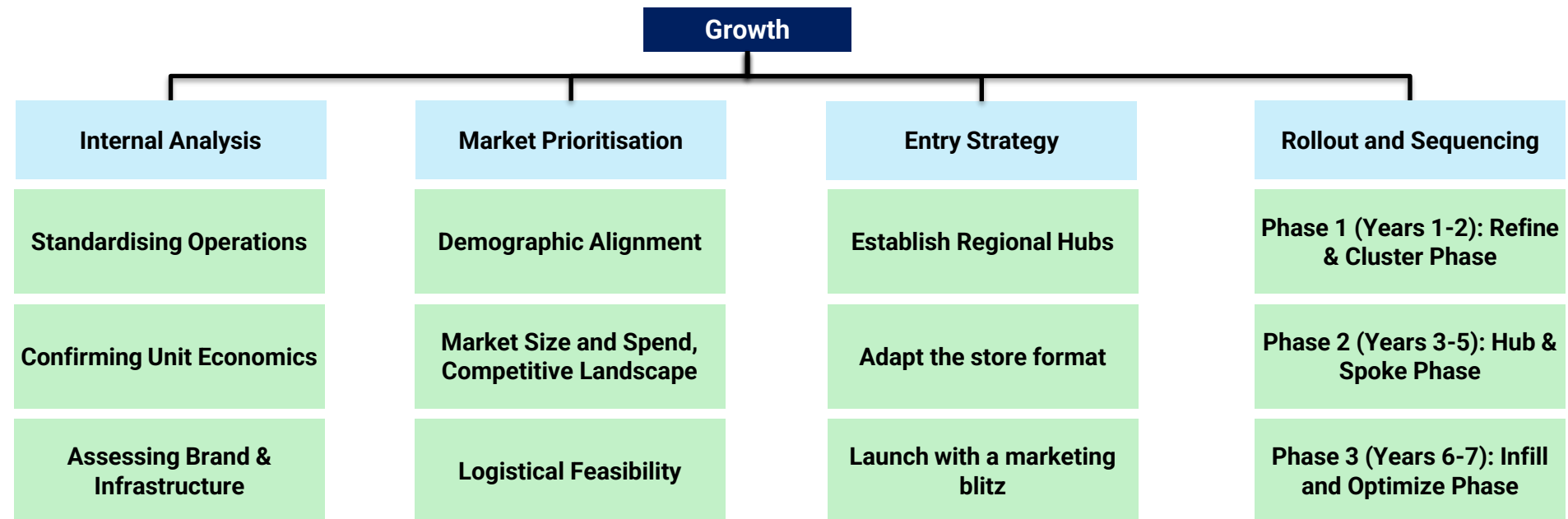
THE TEXAS RETAIL ROLLOUT

Your client is a retail company with 20 stores located in and around Texas. They have an ambitious goal to expand their footprint to 200 stores across the United States. They need you to develop a plan for this expansion.

KEY LEARNINGS

- For large-scale expansions, a phased approach is crucial for managing risk.
- In scaling, the first step is always to confirm the profitability and replicability of the existing store model.
- Market selection should be based on a clear, data-driven scoring model, not just intuition.

APPROACH



BROWNIE POINTS

- Propose an omnichannel strategy, integrating e-commerce with the new physical stores from day one.
- Detail the need for a new, national supply chain and distribution network.
- Identify key expansion risks (financial, operational, brand) and propose specific mitigation strategies for each.



MERGERS & ACQUISITIONS + DUE DILIGENCE



STRATEGIC FIT

Deal Rationale

- Cost synergy
- Revenue synergy
- Technology transfer (early-stage start-up)
- Response to competitor

Type of Deal

- Vertical integration
- Horizontal diversification
- New market entry

DEAL ECONOMICS

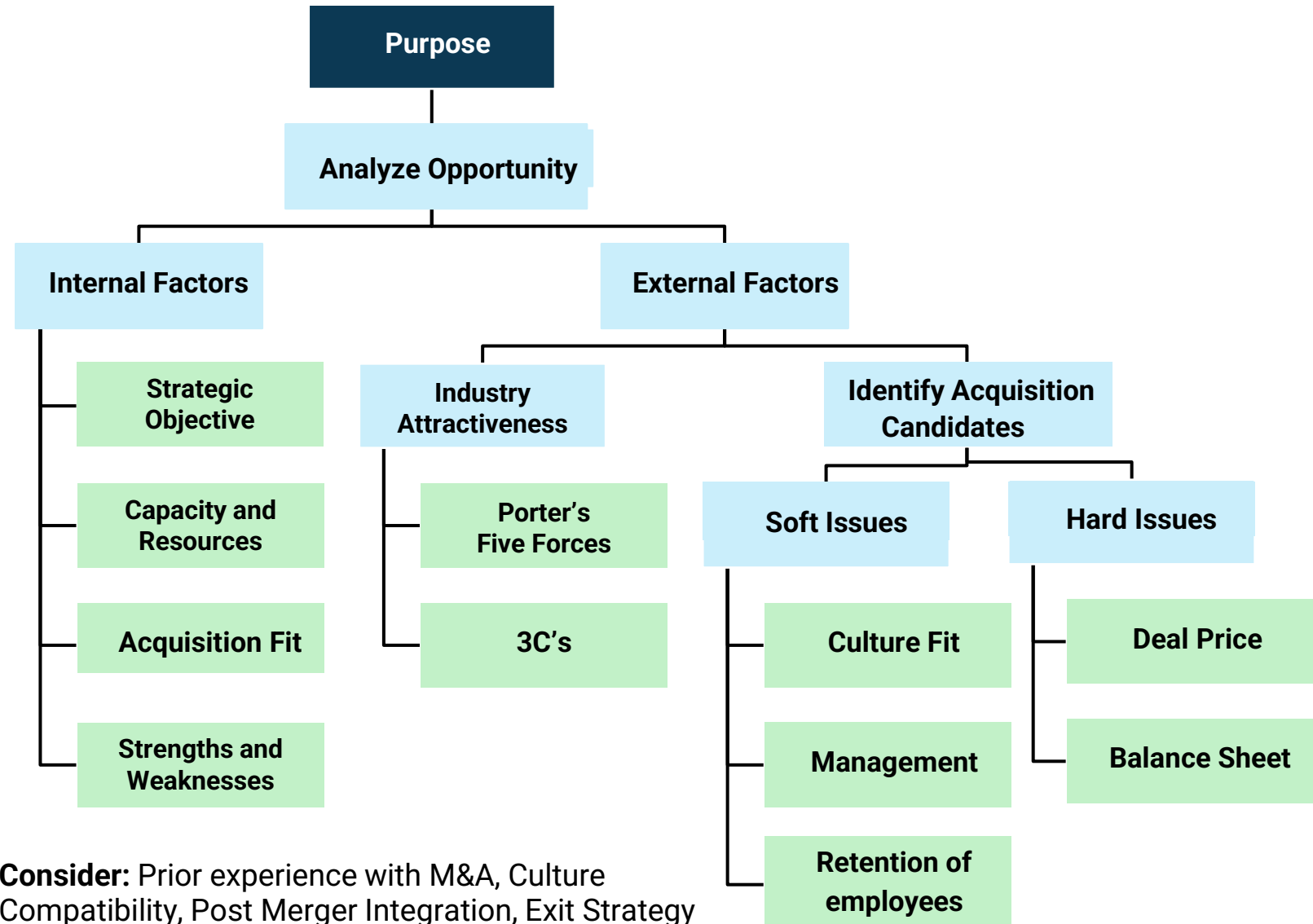
Valuation

- Revenue and cost analysis
- CAPEX and Working Capital
- PBT
- PAT
- Cost of Capital (R)
- Value = PAT/R

Deal Price Synergies

- Cost and Revenue – New Firm Value

New Firm Value > Deal Price



Consider: Prior experience with M&A, Culture Compatibility, Post Merger Integration, Exit Strategy

POPCORN POWER PLAY

PVR and INOX were two of India's largest cinema chains. After years of competing, they announced a merger in 2022 to form a single entity. Given their market dominance, how did this merger manage to get approval from the Competition Commission of India? Analyze and uncover the story.

CLARIFYING QUESTIONS

That's a very interesting case. Before I attempt an answer, I'd like to clarify a few things about the industry structure.

Sure, go ahead.

Roughly how big was the Indian film exhibition industry around 2022, in terms of size or revenues?

Roughly ₹11,000–12,000 crore in annual box office collections before the pandemic. India had about 7,000–7,500 screens at the time.

Thanks. Within that, how significant were PVR and INOX?

Together, they had about 1,500 screens, making them the largest multiplex operators. Cinepolis was next with ~450 screens, followed by smaller regional players.

Before I jump into the case analysis, should I think of this market purely as theatrical exhibition, or should I also consider substitutes like OTT?

The CCI generally looks at the market as theatrical exhibition, not OTT.

POPCORN POWER PLAY

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SOLUTION

Now, let me structure my approach. At a high level, I see three possible explanations for why the merger went through:

- 1) **Market dynamics:** perhaps competition wasn't as badly harmed as it looks at first glance.
- 2) **Public interest/distress argument:** Regulators might allow it to preserve a struggling industry.
- 3) **Regulatory thresholds and exemptions:** the deal might have fallen below certain financial thresholds, exempting it from CCI scrutiny. I will test each of them in turn.

Yes, that seems like a comprehensive breakdown. You can proceed.

Let me start with market dynamics.

- Together, PVR and INOX controlled around 1,500 screens. That's only ~20% of India's 7,500 screens. So in terms of raw numbers, there were still thousands of single-screen and regional theatres outside their network.

- However, the competitive concern is sharper in urban multiplexes. In metros, they were the two biggest players. That does raise the risk of a duopoly turning into a monopoly. So while nationwide their share may look modest, in the most lucrative markets, concentration would clearly increase. That makes me think pure market structure alone may not have been enough to get the deal through.

That's right. The market dynamics were stacked against the local players, and it would have come under the CCI purview.

Moving on to the next aspect; were PVR or INOX in such financial distress that regulators allowed them to merge under a "failing firm" argument?

While they were struggling due to the COVID period affecting the financial performance of the cinema industry as a whole, there was no failing firm argument at play.

POPCORN POWER PLAY

PVR and INOX were two of India's largest cinema chains. After years of competing, they announced a merger in 2022 to form a single entity. Given their market dominance, how did this merger manage to get approval from the Competition Commission of India? Analyze and uncover the story.

SOLUTION

Alright, so that's not the main reason. Let me move to the third bucket. Could you clarify how CCI decides whether to review a merger?

Notification is mandatory if combined assets exceed ₹2,000 crore or turnover exceeds ₹6,000 crore in India.

Normally, PVR and INOX would exceed that. Did they notify the CCI?

No, they didn't.

That's surprising. So some exemption must have applied. Does the CCI framework provide such exemptions?

Yes, there's a de minimis exemption.

Right; if the target's assets or turnover are below a threshold, or if the deal value is below ₹2,000 crore, notification isn't required. Here's my hypothesis: Despite their brand recognition, PVR and INOX had relatively low market valuations at the time due to the COVID slump. If the effective deal size was below ₹2,000 crore, the transaction would fall under the de minimis exemption, meaning no CCI review was required.

That was indeed what happened. We can close the case now.

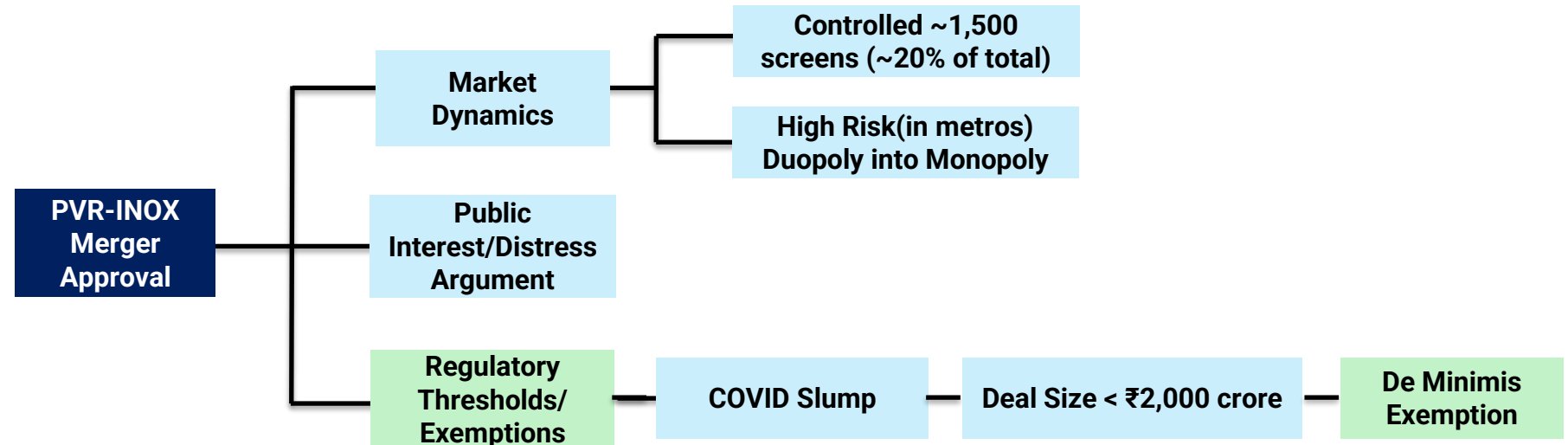
POPCORN POWER PLAY

PVR and INOX were two of India's largest cinema chains. After years of competing, they announced a merger in 2022 to form a single entity. Given their market dominance, how did this merger manage to get approval from the Competition Commission of India? Analyze and uncover the story.

KEY LEARNINGS

- Market share alone doesn't decide merger approval; regulators also consider wider industry structure.
- Competition analysis can differ nationally vs. locally (urban multiplexes vs. pan-India screen count).
- The de minimis exemption under CCI can allow large players to bypass scrutiny if deal size falls below thresholds.
- External shocks like COVID can depress valuations, making exemptions applicable.

APPROACH



BROWNIE POINTS

- Bring in the urban multiplex vs. national screen count contrast.
- Highlight that COVID slump reduced valuations, making the deal eligible for the de minimis exemption.
- Remember to check regulatory thresholds and not just market share arguments.
- Rule out the "failing firm" argument with clear reasoning.

PEDALLING TO PROGRESS

Your client is a local bicycle manufacturer, and they have recently received an offer from a global EV company to acquire their Indian operations. Evaluate if you should go ahead with this offer.

CLARIFYING QUESTIONS

Before we start, I would like to ask a few clarifying questions.

Sure, go ahead.

First, I'd like to understand the client better. How large is the client's operation in terms of revenue, production volume, and market share?

Sure. They operate in Punjab, Haryana, and Delhi NCR. Annual revenue is about ₹120 crore, with a production of 3 lakh bicycles per year. They have ~12% market share in North India.

And what about profitability?

EBITDA margin is around 12%.

Okay. Could you tell me about the acquiring company?

It's a European vehicle manufacturer with a premium EV and bicycle division. They are looking to expand into India for mid-range bicycles and potentially e-bikes.

Understood. Lastly, is this an exclusive bicycle player or do they have other verticals?

The client is only into bicycles.

PEDALLING TO PROGRESS

Your client is a local bicycle manufacturer, and they have recently received an offer from a global EV company to acquire their Indian operations. Evaluate if you should go ahead with this offer.

SOLUTION

Great. I'd like to structure my approach into three areas:

- Strategic Fit
- Financial Attractiveness
- Deal Considerations

Does that sound good?

Yes, go ahead.

For strategic fit, I'd like to start with market attractiveness. What's the size and growth of the Indian bicycle market?

The Indian bicycle market is worth ₹5,000 crore, growing at about 5% CAGR. North India accounts for roughly 30% of this.

So North India market is ₹1,500 crore, and our client's revenue is ₹120 crore — meaning they have about 8% of the total North India market.

Correct!

And is the acquiring company already present in India?

No, they are not

Let's check valuation now. What's the expected asking price?

The owner is expecting ₹180 crore.

So that's a P/S ratio of 1.5x (₹180 crore / ₹120 crore revenue). Given 12% EBITDA margin, EBITDA is ₹14.4 crore — so EV/EBITDA is 12.5x

Yes, that correct!

This seems a bit high for a manufacturing business in India unless there's strong growth potential. I'd like to move on to the deal considerations now. Could I get some info on the operational side; capacity utilization, supplier concentration, and distribution network?

PEDALLING TO PROGRESS

Your client is a local bicycle manufacturer, and they have recently received an offer from a global EV company to acquire their Indian operations. Evaluate if you should go ahead with this offer.

SOLUTION

Sure. Current capacity is 4 lakh units/year.
They're producing 3 lakh — so 75% utilisation.
Suppliers are diversified, with no single supplier >20% of spend.
Distribution is 60% dealer network, 40% institutional contracts.

Any seasonality in demand?

Q1 and Q4 see spikes due to festive seasons and school cycles.

How did COVID impact them?

Revenue dropped by 40% in FY21 but recovered to pre-COVID levels in FY23.

Given our client's strong presence in North India but limited national footprint, the acquisition by a global vehicle firm could offer:

- Capital Infusion
- Brand Leverage
- Export Access

However, we must assess:

- 1) Fit in product positioning
- 2) Operational integration risks
- 3) If the offer reflects fair value based on post-COVID demand trends.

For me, this **deal works** if the acquirer can negotiate closer to **₹150 crore** and commit to national expansion.

Thank you, we can now close the case

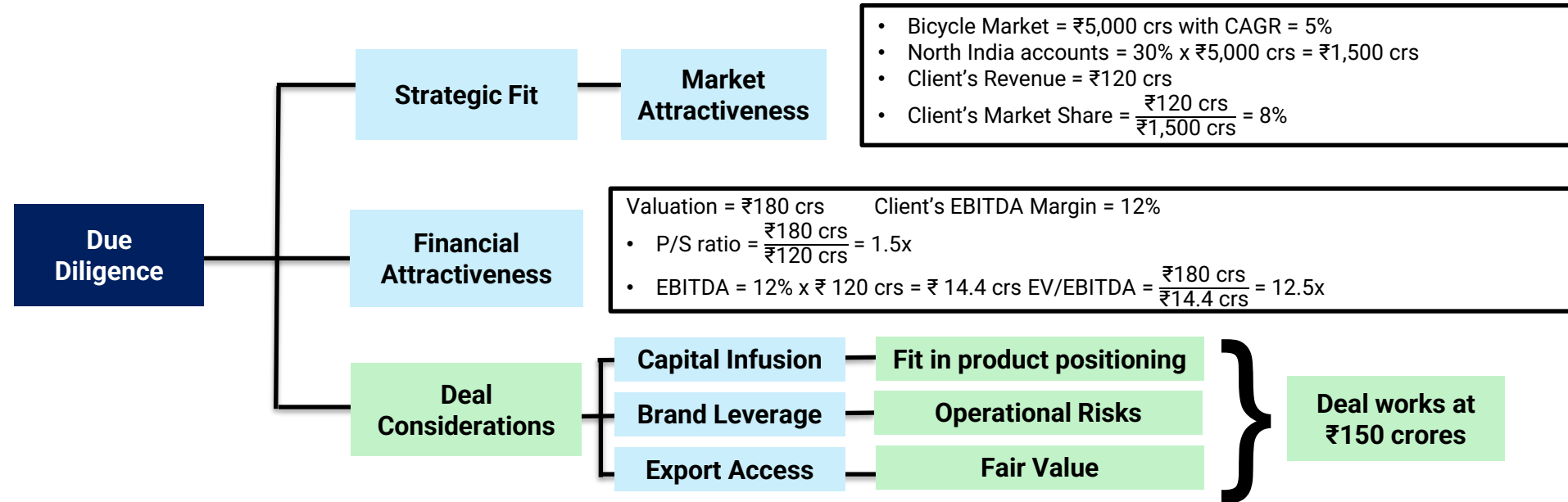
PEDALLING TO PROGRESS

Your client is a local bicycle manufacturer, and they have recently received an offer from a global EV company to acquire their Indian operations. Evaluate if you should go ahead with this offer.

KEY LEARNINGS

- Always test strategic fit (market entry, synergies, positioning) alongside pure financials.
- Valuation multiples (P/S, EV/EBITDA) help quickly gauge the fairness of an offer.
- Operational levers like capacity utilisation and supply chain diversification can be hidden strengths.
- External shocks (COVID) should be normalized when assessing future growth potential.
- A “conditional yes” answer (deal works if price/terms improve) often shows nuanced thinking.

APPROACH



BROWNIE POINTS

- Calculate both P/S multiple and EV/EBITDA multiple to benchmark valuation.
- Adjust for COVID impact on financials instead of taking revenue at face value.
- Highlight capacity utilisation (75%) as a lever for future growth.
- Note distribution mix (dealer vs. institutional) and supplier diversification as risk mitigants..

PAPER DREAMS

Your client is a large national publishing brand. They are evaluating the acquisition of a youth magazine publisher. They have hired us as consultants in this regard.

CLARIFYING QUESTIONS

Before diving in, I'd like to clarify a few points about the client and the asset. Could you tell me about the client's current portfolio and their investment horizon?

The client publishes multiple lifestyle, news, and business magazines, both print and digital, but has no direct presence in the teen and young adult segment. They are looking at a 5–7 year holding period, aiming to build synergies and increase digital ad revenues.

Understood. I'd also like to know some details about the target: number of titles, distribution, and focus areas.

They publish two monthly print magazines and maintain a moderately active website and social media presence. Distribution is pan-India via newsstands and subscriptions, with their strongest base in metros and tier-1 cities. The content focuses on pop culture, music, gaming, and lifestyle aimed at ages 15–25.

Your client is a large national publishing brand. They are evaluating the acquisition of a youth magazine publisher. They have hired us as consultants in this regard.

SOLUTION

Got it. I think the first step in due diligence should be assessing **industry attractiveness**; both the size and growth of the Indian youth magazine market, and the constraints. From what I know, print readership among youth has been declining due to digital consumption habits, while online engagement is up. Could you share the current market size and growth rates?

That is correct; the print youth magazine market is about ₹250 crore and is shrinking by ~5% annually. The digital youth content market, however, is worth around ₹1,500 crore and is growing at ~12% annually.

That's telling. The print decline is a structural trend, so the value will hinge on digital monetization potential.

From a supply side, I'd expect high fragmentation: thousands of blogs, YouTube channels, and influencer accounts, making it hard to build brand loyalty. Large international players in digital lifestyle content also compete for eyeballs. This means the competitive intensity is already high.

Fair, go on.

Next, to gauge **financial attractiveness**, I'd like to estimate revenues. Could you tell me the average print circulation, subscription pricing, and digital ad revenue?

Each magazine has a monthly circulation of 80,000 copies at ₹80 per copy (cover price), with around 30% sold via subscriptions at a discounted average of ₹60 per copy. Annual digital ad revenues are around ₹6 crore.

Okay, so for print: $80,000 \text{ copies} \times ₹80 \times 12 \text{ months} = ₹76.8 \text{ crs}$ gross but factoring the subscription discount (30% at ₹60) and typical distribution cuts (~40%), net print revenue would be closer to ₹45 crs annually across both magazines. Adding ₹6 crs from digital ads brings total revenue to about **₹ 51 crs**.

Correct, how do you see this in terms of the industry structure.

PAPER DREAMS

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SOLUTION

Compared to the industry, this revenue per title is above average for Indian youth magazines, but the bigger picture is that print is in structural decline. Their digital presence is moderate but not dominant; I'd guess their monthly unique visitors aren't among the top players.

Yes, they're at about 1.2 million monthly unique visitors — far below leading youth content platforms that cross 8–10 million.

That's a concern. In publishing, the biggest moat in digital is **scale and engagement**, because advertisers pay for reach.

Here, they have some brand recall in print but **limited digital leadership**. Synergies with your client's existing portfolio might help with ad sales bundling, but **audience crossover** between business/lifestyle and teen segments is limited.

Monetization through events or merchandise is possible, but those require fresh investment.

Fair point. Can you think of some risks now?

Yes, sure.

- 1) Structural decline of print readership in the youth segment, which is unlikely to reverse.
- 2) Digital competition is fierce, with low switching costs for readers.
- 3) Monetization risk: digital ad rates are under pressure due to programmatic buying, and sponsorships for niche audiences can be volatile.
- 4) Execution risk: scaling digital engagement will require significant marketing spend and content investment, which could dilute margins.
- 5) Cultural relevance risk: in youth media, trends change fast, and a brand can become “uncool” quickly. Would you agree that these are the main ones?

Yes, correct those are the key risks. What is your final recommendation?

PAPER DREAMS

Your client is a large national publishing brand. They are evaluating the acquisition of a youth magazine publisher. They have hired us as consultants in this regard.

SOLUTION

Looking at the big picture, the magazine operates in a shrinking print market, has middling digital reach, and faces steep competition from both domestic and global players.

While there is some brand equity, the scale-up needed to make this asset materially valuable in the digital space would require high investment with uncertain returns.

The risks are structural, not cyclical, which makes a turnaround less likely. Even with potential cross-selling synergies, the acquisition is unlikely to deliver the desired exit premium in 5–7 years. Given the industry headwinds and limited moat, I'd recommend not proceeding with the acquisition.

Thank you, we can close this case now!

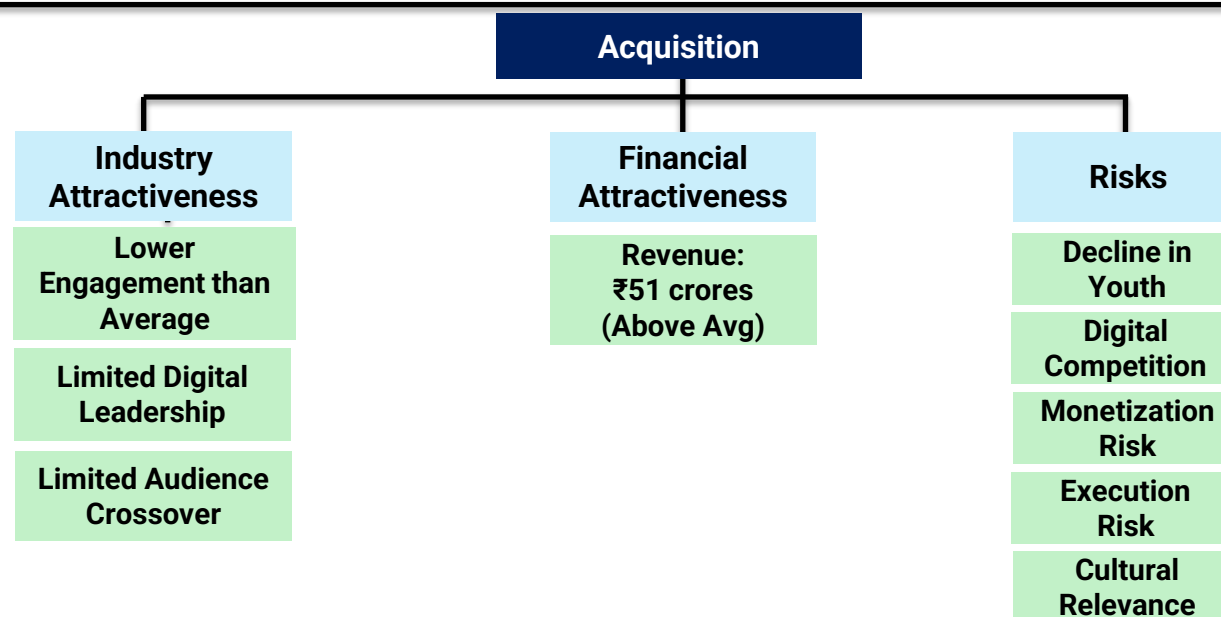
PAPER DREAMS

Your client is a large national publishing brand. They are evaluating the acquisition of a youth magazine publisher. They have hired us as consultants in this regard.

KEY LEARNINGS

- In M&A cases, separate industry structure trends from company-level performance.
- Print in youth segments is structurally declining; growth must come from digital.
- Scale is the moat in digital publishing; without reach, monetization stays limited.
- Cross-segment synergies (business/lifestyle → youth) are often weaker than they look.
- A “do not proceed” conclusion can be strong if backed by clear structural reasoning

APPROACH



BROWNIE POINTS

- Break down print vs. digital market dynamics (declining vs. growing).
- Estimate net print revenues after subscription discounts and distribution cuts.
- Compare digital reach (1.2M vs. 8–10M industry leaders) to highlight competitive gap.
- Identify structural vs. cyclical risks; structural decline in print is a great insight.
- Suggest alternate monetisation avenues (events, merchandise) but flagging execution risks.

CONNECTED HOME VALUATION

Your client is a VC firm. They are currently valuing a group of early-stage start-ups that produce home IOT devices. How will you value these startups?

CLARIFYING QUESTIONS

Before I dive in, I'd like to clarify the scope, what geography are these startups operating in?

Let's focus on India.

Got it. Within home IoT, which device categories should be considered: are we talking add-on plug-and-play "smart" adapters as well as entirely new connected devices?

A wide range of both; treat them as one bucket for now.

Understood. And are these businesses positioned as B2C or B2B?

B2C, and so are the main competitors. You are just trying to look for the best one and you need to suggest how should the VC approach the valuation process

CONNECTED HOME VALUATION

Your client is a VC firm. They are currently valuing a group of early-stage start-ups that produce home IOT devices. How will you value these startups?

SOLUTION

Okay, I think I have a basic understanding now. Thank you. I will approach the valuation in three parts :

1. Market & Industry Analysis
2. Company Evaluation and Technology Assessment
3. Financial and Strategic Assessment

Can you elaborate on each of these three factors individually?

Sure, I will look at these three factors within each of the three

1. Market & Industry Analysis:
 - Market potential
 - Competitive Landscape
 - Market Trends & Dynamics
2. Company Evaluation & Tech. Assessment:
 - Technology Differentiation
 - Intellectual Property Portfolio
 - Scalability & Adaptability

3. Financial & Strategic Assessment:
 - Financial Projects / Performance
 - Management Team & Capability
 - Risk Analysis & Mitigation

Okay, can you describe more on market & industry analysis aspect? What factors within each of these three will you look at?

Alright, starting with market potential, I will:

- Look into the Home Devices IOT Market size in India
- Check its growth rate and also projected trends
- Identify the overall demand for IOT solutions in India

Okay, what will you evaluate in Competitive Landscape?

Right, I will:

- Identify the major players & competitors in this sector.
- Estimate the market positioning of each of these players
- Look into market shares and the unique offerings of these players.

CONNECTED HOME VALUATION

Your client is a VC firm. They are currently valuing a group of early-stage start-ups that produce home IOT devices. How will you value these startups?

SOLUTION

Fine, what about Market Trends & Dynamics?

In this segment, I will:

- Analyze the emerging technologies and shifts in consumer preferences.
- Look into analyzing regulatory trends and other standards that will affect the IOT and semiconductor industry at large

Okay, are you aware of any method to value startups?

I have heard of about four methods of startup valuation before –

- Discounted Cash Flow Analysis:** Valuation based on future cashflows
- Venture Capital Method:** Valuation based on expected exit multiples
- Comparable Method:** Valuation based on valuation of similar companies
- Precedent Transaction:** Valuation based on previous transactions of the same company

Alright, any idea, which one of the above is used most often?

I am not sure, but I believe it is the VC Method owing to lack of certain / enough data required for other three methods.

Correct, we can close the case here.

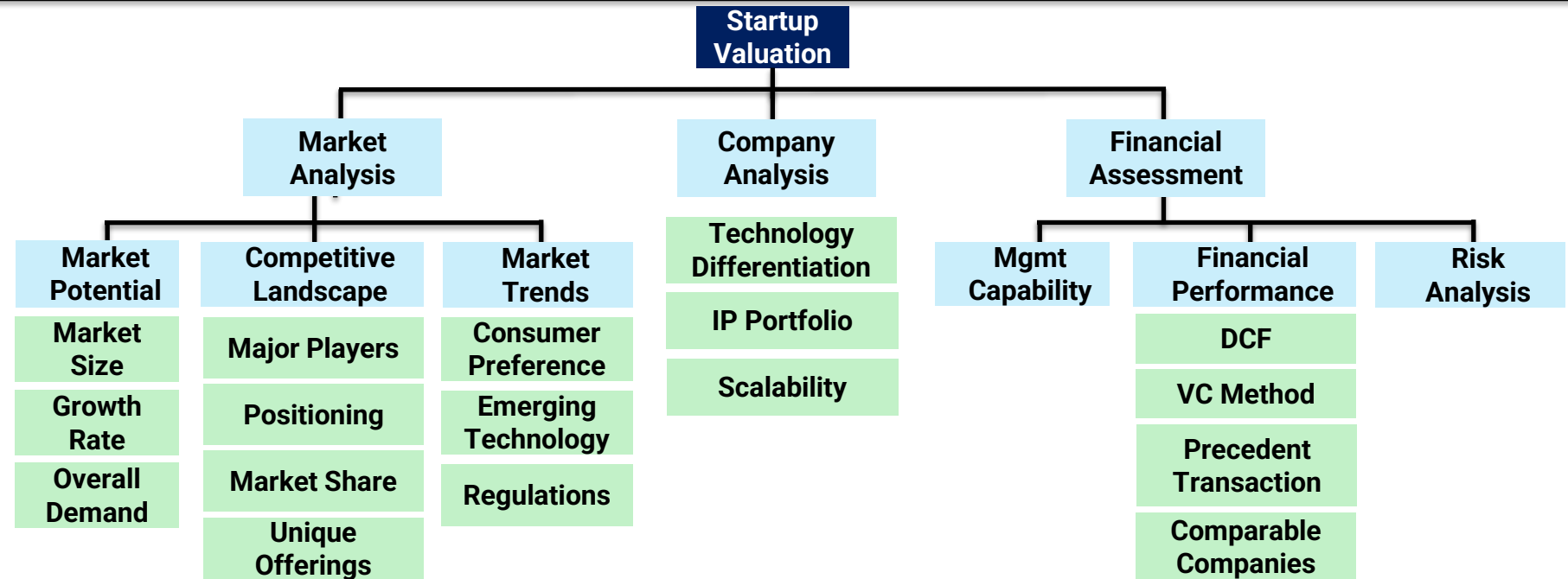
CONNECTED HOME VALUATION

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KEY LEARNINGS

APPROACH

- For strategy cases, a strong, comprehensive structure is the most critical element for success.
- Your structure and analysis should directly reflect the thinking process and priorities of the client.
- It's not enough to name a tool (like a valuation method); you must explain why it's the right one for the specific context.



BROWNIE POINTS

- State that for VCs, the 'Company & Team' pillar often outweighs financials in early-stage bets.
- Include a fourth section on 'Investment Thesis & Exit Strategy' to show a true VC-centric view.
- Briefly explain how the different parts of your analysis (market, company, financials) influence one another.
- When asked about tools, state the industry standard (e.g., the VC Method) and briefly justify

ROBOTS AND RETURNS

We're evaluating whether to participate in the Series B of a robotics startup. We invested in their Series A and currently hold around 10% equity. They're now raising a larger round. I'd like you to help us think through how much we should invest, and what exit strategy we should plan for.

CLARIFYING QUESTIONS

I would like to ask a few clarifying questions before I begin my analysis. Could you share a bit about the company's current performance: revenue scale, growth, and profitability?

They're at about \$25M ARR, growing rapidly, though still loss-making with a monthly burn of ~\$3M.

Got it. And what's the market they're targeting?

The entire logistics automation space, including warehouses and deliveries, a large and growing space with multiple strategic players active.

ROBOTS AND RETURNS

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SOLUTION

Understood. I would break down my analysis into three segments:

1. Business fundamentals:
 - Product
 - Market Position
 - Team
2. Exit options:
 - IPO
 - M&A
 - Secondary
3. Qualitative factors:
 - Competitive Moat
 - Regulatory Environment
 - Management Strength with the financial upside

That sounds good. You may proceed.

On fundamentals, how differentiated is their product compared to other players?

Their tech is fairly strong. They use AI-driven monitoring tailored for pathway navigation. Customers are sticky, with >90% retention, and major businesses onboarded.

That's a positive. And how do we view the founding team?

They have strong electronics and tech backgrounds, but limited international scaling experience.

So, qualitatively:

- Big Market Tailwinds
- Strong Retention
- some Execution Risk internationally.

On exit, I think:

- a) IPO is the best-case if they execute well.
- b) Strategic M&A is the most likely path.
- c) Secondary sale is a safety net if things stall.

Given this, I'd lean toward maintaining pro-rata; enough to capture upside without being overexposed.

ROBOTS AND RETURNS

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SOLUTION

Okay. But what if a strategic acquirer offers us an early exit; say 3 years from now, at a mid-range valuation?

In that case, I'd evaluate based on return multiples and fund cycle needs.

If it delivers, say, 4–5x in 3 years, that might actually beat holding out for an uncertain IPO in year 6 or 7.

The trade-off is **certainty versus potential upside**.

Given regulatory and competitive uncertainties of robotics, an early strategic exit at solid multiples could be the optimal play.

Interesting. One last question: what red flags would make you reconsider investing at all in this round?

A few red flags would be:

- 1) Regulatory headwinds in target markets (e.g., data privacy laws tightening).
- 2) Weak unit economics despite scale, if burn continues without pathway to profitability.
- 3) Team attrition or inability to recruit international leadership. If any of those surface, I'd argue against participating further.

Excellent. We can close the case.

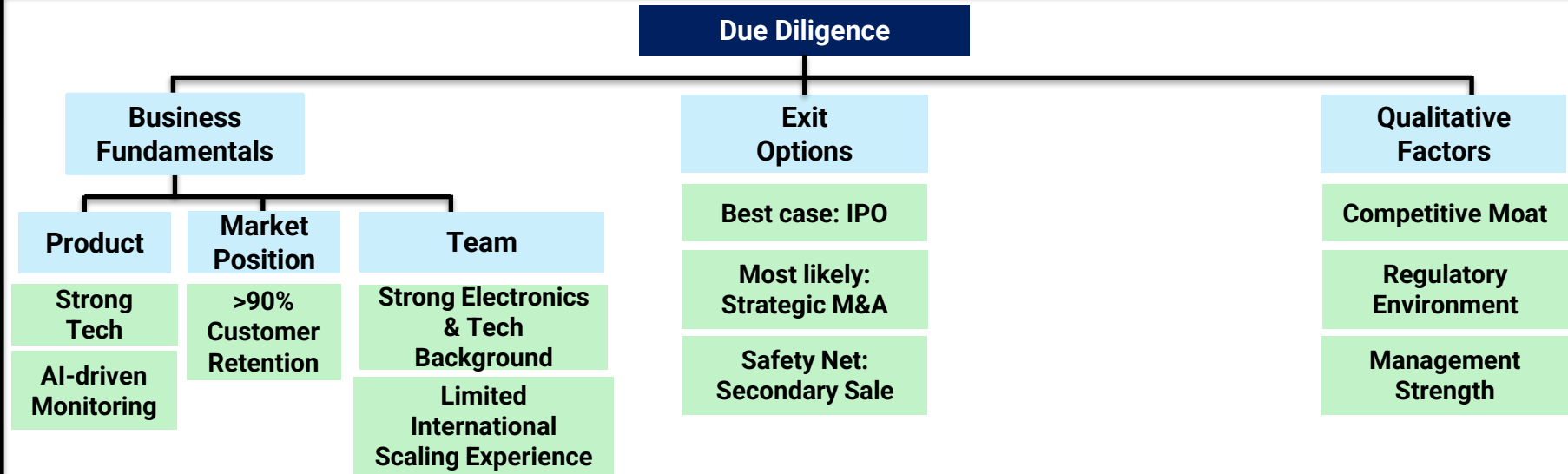
ROBOTS AND RETURNS

We're evaluating whether to participate in the Series B of a robotics startup. We invested in their Series A and currently hold around 10% equity. They're now raising a larger round. I'd like you to help us think through how much we should invest, and what exit strategy we should plan for.

KEY LEARNINGS

APPROACH

- In VC cases, structure your answer across business fundamentals, exit routes, and risks.
- Pro-rata participation is often a balanced play: captures upside while limiting overexposure.
- Exit strategy should weigh certainty (M&A/secondary) vs. potential upside (IPO).
- Customer stickiness + market growth are strong signals, but execution risk in new geographies can be a dealbreaker.
- Include fund-level thinking (portfolio diversification, fund cycle timing) in VC recommendations.



BROWNIE POINTS

- Split analysis into fundamentals, exit pathways, and qualitative factors (clear structure).
- Emphasize customer retention (>90%) as a moat.
- Balance IPO vs. M&A vs. secondary exit paths, not just defaulting to IPO.
- Explain why to stick to pro-rata instead of increasing exposure (concentration + execution risk + capped M&A).
- Mention fund cycle considerations when deciding on early strategic exits.

DIAGNOSING HEALTHY RETURNS

Your client is a PE firm. They plan to acquire a chain of diagnostic centres in Southern India. How should they go about it?

CLARIFYING QUESTIONS

Before diving in, I'd like to clarify a few points about the client and the asset. What is the client's current portfolio composition, and what's their investment horizon for this deal?

The client has investments across healthcare, including hospitals and medical devices, but no direct exposure to diagnostics. They are looking for a 7–9 year holding period with an aim to exit at a premium.

Understood. I'd also like to know some basic details about the chain; how many centres, in which states, and what services they offer.

They operate 60 centres across Karnataka, Tamil Nadu, Telangana, and Kerala. Around 20% are large hub facilities equipped for advanced imaging like MRI and CT scans, and the rest are smaller spoke labs focusing on pathology and basic imaging. The hubs also process samples from the spokes. They offer preventive health packages, routine pathology, radiology, and corporate wellness tie-ups.

DIAGNOSING HEALTHY RETURNS

Your client is a PE firm. They plan to acquire a chain of diagnostic centres in Southern India. How should they go about it?

SOLUTION

Got it. I think the first step in due diligence should be assessing **industry attractiveness**; both the size and growth of the Southern diagnostics market, and any constraints on expansion. From what I know, diagnostics is split between:

- Organized Segment: composed of branded chains is growing faster due to higher trust and better quality standards.
- Unorganized segments

Could you share the Southern market size and growth rates?

The market is worth roughly INR 15,000 crore and is growing at about 10% annually, compared to a national average of 8%.

That's encouraging. From a supply side, I'd expect fragmentation due to many small local labs, with only a few regional chains. This creates room for brand consolidation. However, scaling could be limited by the availability of skilled radiologists and pathologists, so **talent supply** will be a key constraint. I would also want to see how competitive intensity varies between metro and tier-2 cities.

Next, to gauge **financial attractiveness**, I'd like to estimate revenues. Could you tell me the average number of tests per month and average ticket size for hubs and spokes?

Hubs conduct around 3,000 tests per month at ₹800 per test. Spokes conduct the same number of tests but at ₹500 per test.

Alright, so for hubs: $3,000 \times ₹800 \times 12 \text{ months} = ₹2.88 \text{ crores}$ per hub per year. Across 12 hubs, that's about ₹34.56 crore annually.

For spokes: $3,000 \times ₹500 \times 12 \text{ months} = ₹1.44 \text{ crores}$ each, multiplied by 48 spokes gives ₹86.4 crores.

Total annual revenue would be about **₹1,20.96 crores**. Factoring in ancillary income from corporate tie-ups and wellness packages, I'd add around 10%, giving roughly **₹1,33 crores**.

Exactly. What if I tell you that revenue per centre is around ₹2.2 crores for hubs and ₹1.5 crores for spokes in the case of other regional labs?

DIAGNOSING HEALTHY RETURNS

Your client is a PE firm. They plan to acquire a chain of diagnostic centres in Southern India. How should they go about it?

SOLUTION

Now, comparing this to the industry: if revenue per centre is around ₹2.88 crore for hubs and ₹1.8 crore for spokes, that's significantly higher than the average regional lab. I'd guess occupancy of lab capacity is also better than average?

Yes, occupancy is about 85% versus an industry norm of 70%.

That's a strong operational indicator. Moving on, I want to think about **competitive moats**.

- In diagnostics, the biggest is **trust**: both from patients and from referring doctors. A brand with established reliability will have high repeat volumes.
- The **hub-and-spoke model** is also a moat, as it optimizes capital expenditure and ensures fast turnaround.
- **Technology adoption** like automated analyzers and digital reporting can both cut costs and improve accuracy, which makes them harder to displace.
- **Preventive health packages** create customer stickiness, while prime locations near hospitals and high-income residential areas improve accessibility and visibility.

You're absolutely right. Can you think of some risks now?

Sure.

- **Technological disruption.** For example, home sample collection services could eat into walk-in business, especially for basic pathology.
- **Competition:** if a national chain enters aggressively with lower prices, margins could compress.
- **Regulatory:** tighter norms could increase compliance costs and capex.
- **Operational:** given the shortage of skilled lab staff, attrition could impact service quality.
- Finally, high **fixed costs** from equipment leases mean that a demand slowdown could hit profitability.

Would you agree these are the main ones?

Yes, those are the key risks. What is your final recommendation?

DIAGNOSING HEALTHY RETURNS

Your client is a PE firm. They plan to acquire a chain of diagnostic centres in Southern India. How should they go about it?

SOLUTION

Looking at the big picture, the chain operates in a high-growth market, has above-average revenue per centre, strong occupancy, and meaningful competitive moats. The risks are real but seem manageable, especially given their brand strength and operational model. Provided the valuation is reasonable; ideally in line with or below peer EV/EBITDA multiples, I'd recommend **proceeding** with the acquisition.

Thank you, we can close this case now!

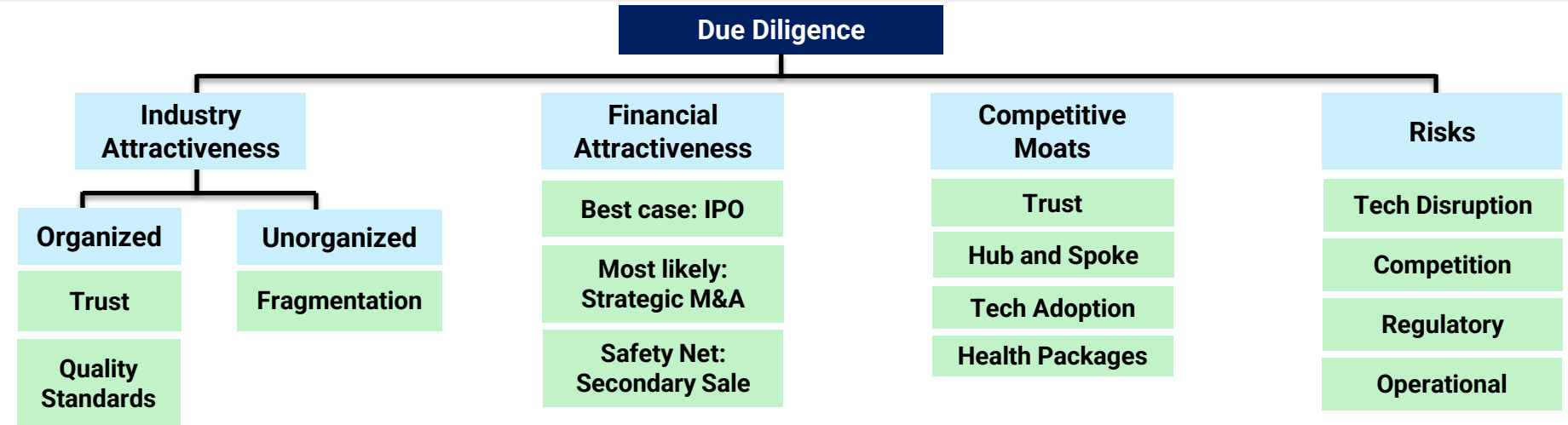
DIAGNOSING HEALTHY RETURNS

Your client is a PE firm. They plan to acquire a chain of diagnostic centres in Southern India. How should they go about it?

KEY LEARNINGS

- In PE cases, structure analysis across market attractiveness, company performance, moats, and risks.
- The hub-and-spoke model creates scalability and efficiency advantages in diagnostics.
- High occupancy and revenue per centre signal strong brand and operational efficiency.
- Key risks are tech disruption, competition, regulation, and talent shortage.
- A good recommendation ties to valuation discipline (even a strong asset is overpriced if multiples aren't justified).

APPROACH



BROWNIE POINTS

- Benchmark occupancy (85% vs. 70%) as an operational strength.
- Identify trust + hub-and-spoke model + tech adoption as durable moats in diagnostics.
- Bring in industry fragmentation and consolidation opportunity as upside potential.
- Flag home sample collection as a disruptive risk (many candidates miss this).
- Stress valuation vs. peer multiples before final recommendation.

ANALYTICS EXIT EQUATION

Your client is the founder of an analytics firm that has received a buyout offer. Decide whether to accept it.

CLARIFYING QUESTIONS

Before I proceed, I'd like to clarify a few points about what business is the analytics firm in?

It's an IT services analytics company, providing people-based insights and customer-retention solutions to small and private businesses.

Thank you. What's the value of the offer on the table?

The buyout offer is \$500 million.

And who is making this offer?

Accenture is the bidder who is particularly interested in the firm's talent pool.

Understood. What's the firm's current revenue run-rate?

The revenue of the firm is \$85 million and is growing about 30% per annum over the last few years.

ANALYTICS EXIT EQUATION

Your client is the founder of an analytics firm that has received a buyout offer. Decide whether to accept it.

SOLUTION

Okay, I would like to look at:

- Financial feasibility
- Operational scenario
- Personal (founder) factors separately.

Is this fine?

Yes, please proceed

Sure, to assess financial feasibility, I would like to know if there are any other offers the firm has received? What is the industry valuation benchmark and data on recent deals? Statistics of the firm's last funding round?

The firm hasn't received other offers, there weren't any recent deals in this sector. The average P/S multiplier received is 4. In the last funding round (2 years ago) the firm was valued at \$300M and received a P/S multiple of 6.

The current offer of \$500M => P/S multiple of $500/85 = 5.88$, is there any other factor that I should consider?

Yes, there is 75% chance that the firm might win a \$20M contract from HUL.

Okay, so if the increase in revenue would be expected value of the HUL contract that is $(0.75 \times 20 + 0.25 \times 0) = \$15M$. The new revenue would be \$100M, implying that the P/S multiple based on the current offer would be 5.

Yes, you are correct. Though is lower than the past rounds it is better than the industry average. Move on to the operational scenario segment.

Okay, the operational scenario segment can be split into offer acceptance and rejection:

1. **Offer acceptance:** need to settle cultural differences, Accenture would assist in fueling growth
2. **Offer rejection:** focus on revenue growth through client acquisitions and invest in growth through hiring and training employees, further fundraise may be required to fuel growth.

ANALYTICS EXIT EQUATION

Your client is the founder of an analytics firm that has received a buyout offer. Decide whether to accept it.

SOLUTION

Correct, the current employee strength is 600 of which 300 are new hires.

Yes, so training them would add burden on the firm's P&L.

Absolutely, move on to the personal factors segment.

Here, we could look at monetary factors and the decision to stay/leave after acquisition. Further factors to consider in stay/exit decision would be:

- Emotional connect
- Loss of power
- If any other career options are available or not

Correct, this seems fine. Do you have any recommendations.

While the stay/exit decision may be founder dependent, based on the operational scenario and financial feasibility I think accepting the offer would be prudent.

Great, we can close the case now.

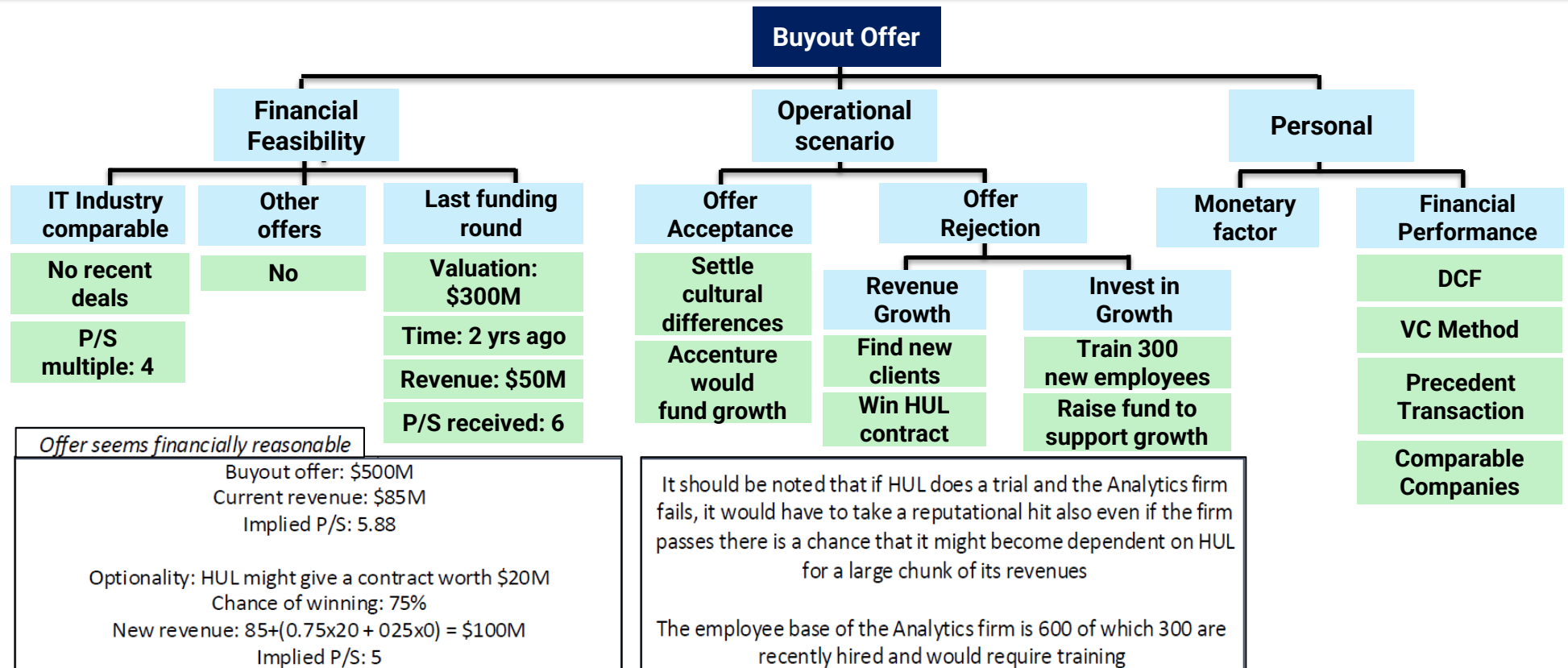
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KEY LEARNINGS

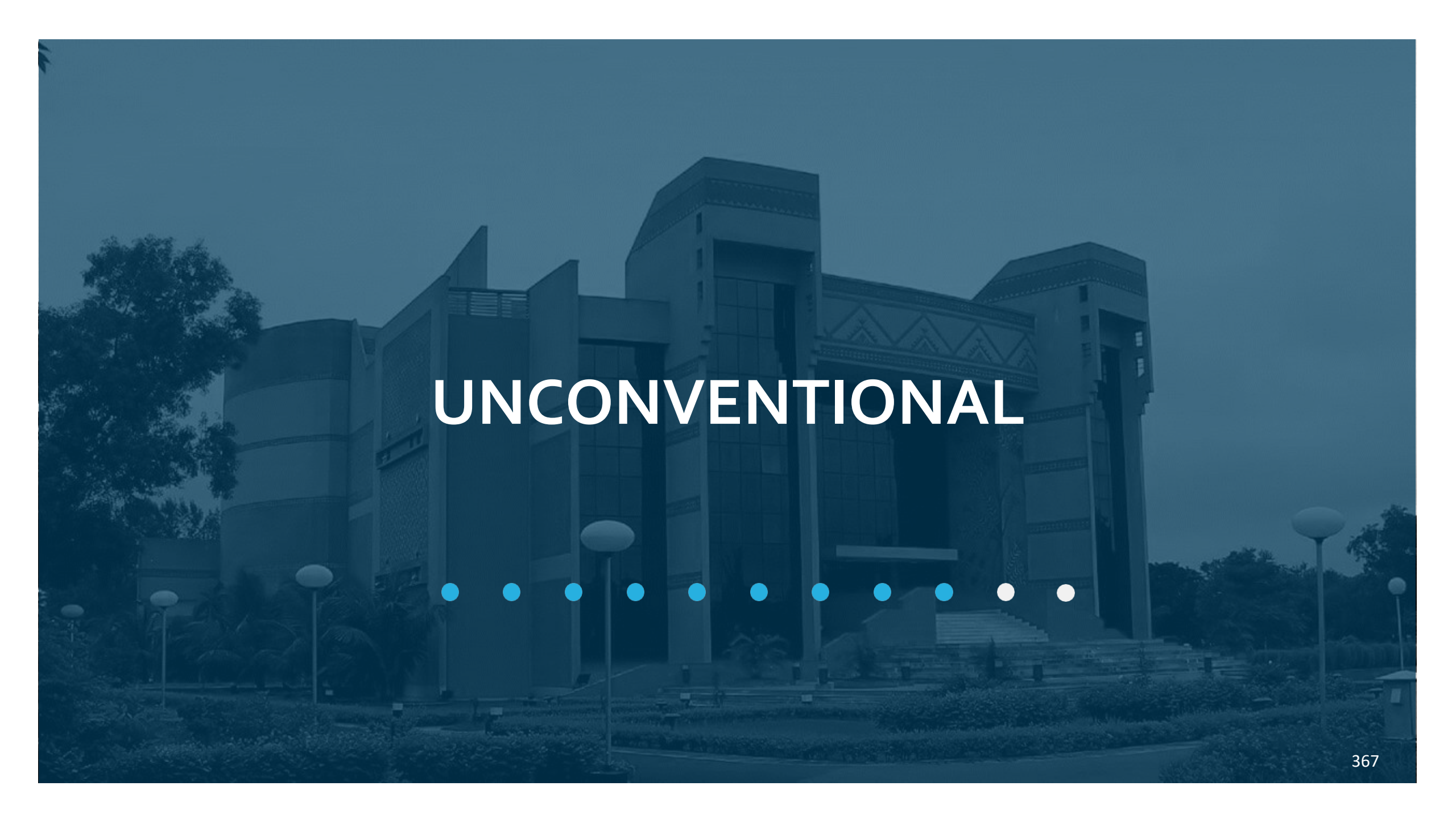
APPROACH

- Be prepared to incorporate new information (like a potential contract) into your financial analysis on the fly.
- A strong recommendation skillfully balances the quantitative financial analysis with the qualitative realities of the business and its founder.



BROWNIE POINTS

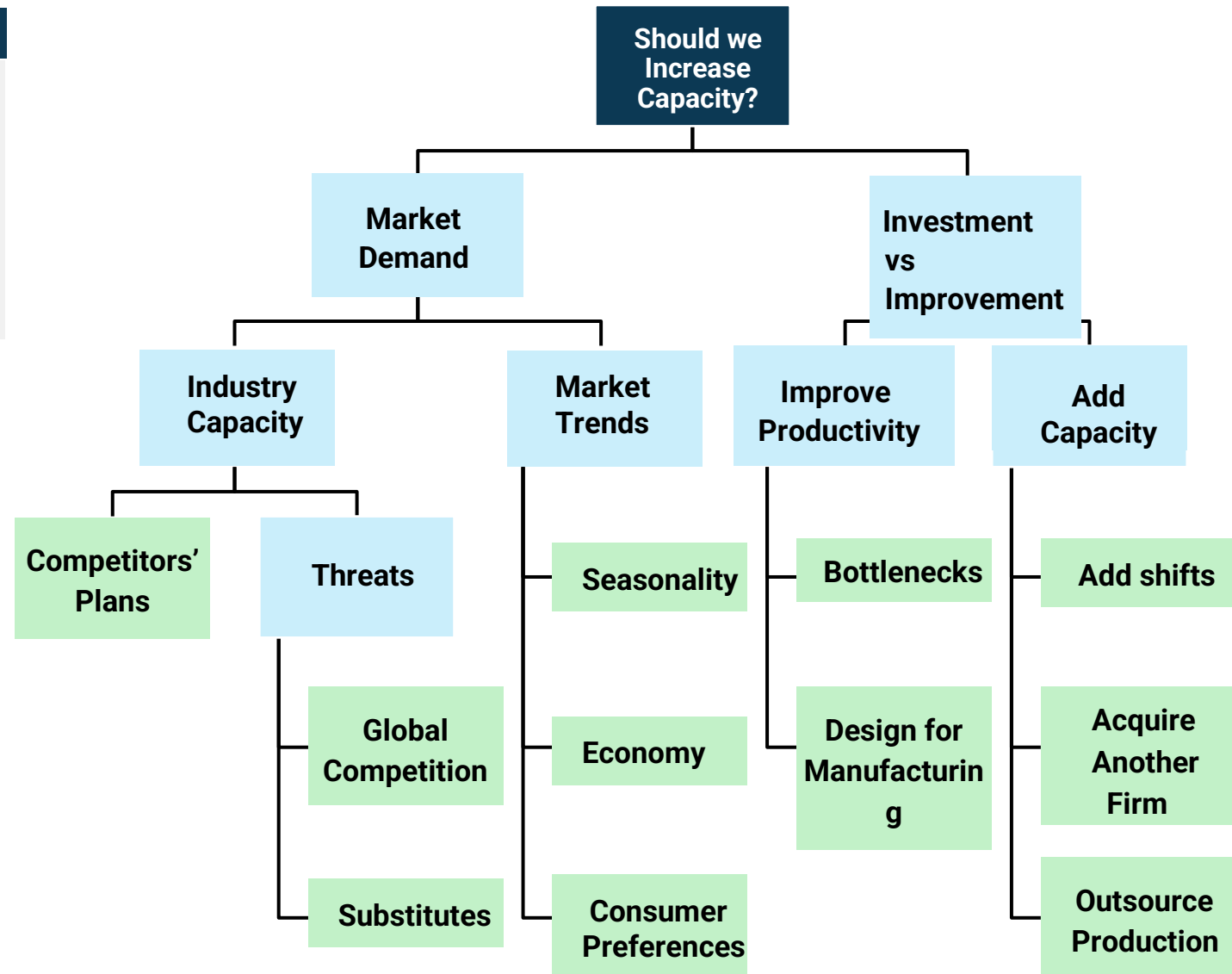
- Ask the offer's structure (cash vs. stock), as it fundamentally changes the risk profile for the founder.
- Investigate the bidder's strategic motivation (e.g., buying talent, tech, or clients) to gain negotiation leverage.



UNCONVENTIONAL

OVERVIEW

The following framework can be considered if you are faced with a problem statement which requires understanding capacity expansion. This can be an extension of a growth or profitability case where the client is looking to increase volumes and required additional capacity.



MERIT UPLIFT MISSION



Your client is the Education Ministry of Rajasthan. They have hired you to improve the Rajasthan State Board results for students of Class X & XII.

CLARIFYING QUESTIONS

Thank you! Before diving in, could you clarify what exactly constitutes improving board results?
Is there a specific metric we are focusing on?

Yes. You can consider pass percentage as the key metric.

Got it. Are we considering both public and private schools here, or only one category?

Focus only on public schools affiliated with the Rajasthan Education Board.

Understood. Could you share what the main challenges are that cause poor board results in these schools?

Students often complain that they don't get enough practice before the board exams. They also complain that teachers are unable to finish the syllabus on time and often skip important topics towards the end.

Thanks. Lastly, what do teachers currently do to ensure students get enough practice?

Apart from regular teaching, there are monthly tests and one full syllabus exam in December.

MERIT UPLIFT MISSION



Your client is the Education Ministry of Rajasthan. They have hired you to improve the Rajasthan State Board results for students of Class X & XII.

SOLUTION

Alright. To structure my approach, I'd like to analyze the issue across three major stakeholders:

- **Government (Education Officers):** for oversight, monitoring, resource allocation.
- **Schools (Principals & Teachers):** for teaching quality, syllabus completion, student practice.
- **Consumers (Students & Parents):** for student engagement, parental involvement, feedback loops.

Does this work?

Yes, please go ahead.

Great. Starting at the top, the Government needs to become more proactive. I would suggest:

- **Data-Driven Intervention:** Use past board data to identify subjects and schools that consistently underperform.
- **Centralized Planning:** Create a central syllabus completion planner with clear, uniform milestones.
- **Monitoring:** Deploy monitoring teams to visit the identified lagging schools and ensure they stay on track.

Makes sense. What's next?

Next, the School should focus on empowering teachers and providing more rigorous practice for students:

- **Teacher Empowerment:** Organize regular workshops and training sessions to upgrade teaching skills with modern methodologies.
- **Enhanced Student Practice:** Implement a mandatory two-Pre-Board exam system in January and February. This provides students with crucial, timed, exam-like practice.
- **Targeted Support:** Based on the results of the first Pre-Board, conduct focused remedial classes for struggling students.

Sounds good. Finally, what about the students and parents?

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Does this work?

board and schools should introduce more scholarships and fee waivers for academic achievements.

Is there anything else you think can be implemented?

Finally, I'd also suggest scholarships & fee waiver programs at the state and school level to motivate students further. These combined steps across all three stakeholders should help improve pass percentages significantly.

Great. These are good recommendations. Let's close the case here.

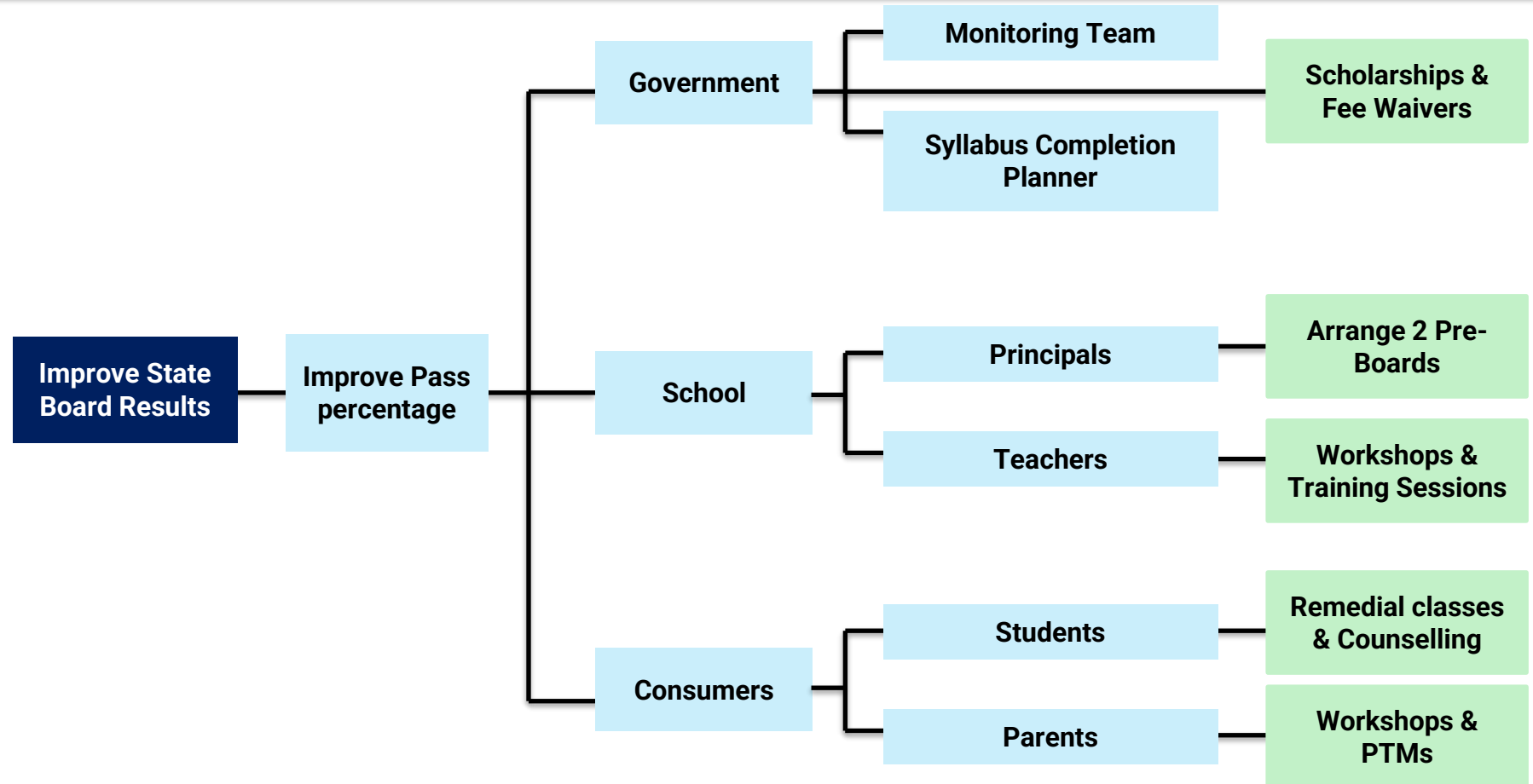
MERIT UPLIFT MISSION

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KEY LEARNINGS

- For public sector cases, a stakeholder framework (e.g., Government, School, Student) is a highly effective way to structure the problem.
- It is important to define what the metric for improvement exactly is at the onset itself. This will help give direction to the case.
- A strong strategy combines "push" mechanisms (monitoring, exams) to ensure accountability with "pull" mechanisms (incentives, training) to motivate performance.

APPROACH



SQUEEZE & SELL



You are required to help a 5-year-old to set up a lemonade stand.

CLARIFYING QUESTIONS

Okay, before I delve deeper in the case, I had a few preliminary questions. Where is the lemonade stand to be set up? What is the occasion or purpose of setting up this stand?

The stand will be set up in an open park during a school annual fair. The goal is to attract customers and maximize revenue.

Okay, a few questions regarding the product. Shall we include different types/flavors of lemonade? Shall we accompany our lemonades with a variety of snacks?

Stick to classic lemonade only.

Got it. Also, who makes up the addressable customer base?

The fair is for 200 students, their parents, friends, and the faculty. You can skip the general public for the time being.

Understood. Since lemonade is usually a summer drink, what weather conditions do I take into consideration?

For this case, you can assume it is the summer season.

Okay. Lastly, who are the competitors here?

Each of the 200 students in the class has a food or beverages stall.

SQUEEZE & SELL

You are required to help a 5-year-old to set up a lemonade stand.

SOLUTION

Thank you, that's clear. I'd like to structure my analysis in two parts:

- Size the market and project the potential revenue.
- Operational feasibility

Shall I proceed with the revenue structure first?

Yes, please proceed.

To calculate the potential revenue, I would use the formula:
 $\text{Revenue} = \text{No. of Customers} \times \text{Price/Glass} \times \text{Frequency}$.

Addressable Market:

- Parents ($2 \times 200 = 400$)
- Friends ($2 \times 200 = 400$)
- Faculty (5)
- Competitors ($10\% \text{ of } 200 = 20$)

Total $\approx$ 825 customers

- Purchase Frequency: On a summer day, let's assume an average purchase frequency of 1.5 glasses per customer.
- Total Glasses Sold: This gives us a total of approximately $825 \times 1.5 = \sim 1200$ glasses.

So, the revenue would be 1200 multiplied by the price per glass, which we can determine after considering the costs.

Good, the revenue structure looks fine. Now assess feasibility.

I'll break it down into three parts:

1. Setting Up
 - Raw materials: lemons, sugar, water, glasses.
 - Equipment: juicer, containers, serving table.
 - Personnel: order taking, preparing lemonade, serving.
 - Location: stall allocated in the open park.

SQUEEZE & SELL

You are required to help a 5-year-old to set up a lemonade stand.

SOLUTION

2. Operations

- Manage electricity & rent.
- Prepare lemonade in batches.
- Take/deliver orders, handle payments smoothly.

3. Marketing

- Posters & signage near the park.
- Pricing incentives → cashback, bulk discounts.
- Use WhatsApp/school parent groups for promotion.

2. Operations

- Clear role division → one takes orders, one makes, one serves.
- Prepare in advance to avoid delays.

3. Marketing

- Posters + small combos with other food stalls.
- Collect quick feedback to improve taste/retention.

Sounds good. We can close the case here.

Nice breakdown. Please conclude with recommendations.

I would suggest:

1. Revenue Strategy

- Base price per glass; bulk discounts for families/friends.
- Encourage repeat purchase with small offers.

SQUEEZE & SELL

You are required to help a 5-year-old to set up a lemonade stand.

KEY LEARNINGS

- A complete business plan must always analyze both potential revenue and expected costs to understand the ultimate profitability
- In a crowded market, creative strategies in marketing, operations, and customer experience are what make a business stand out.

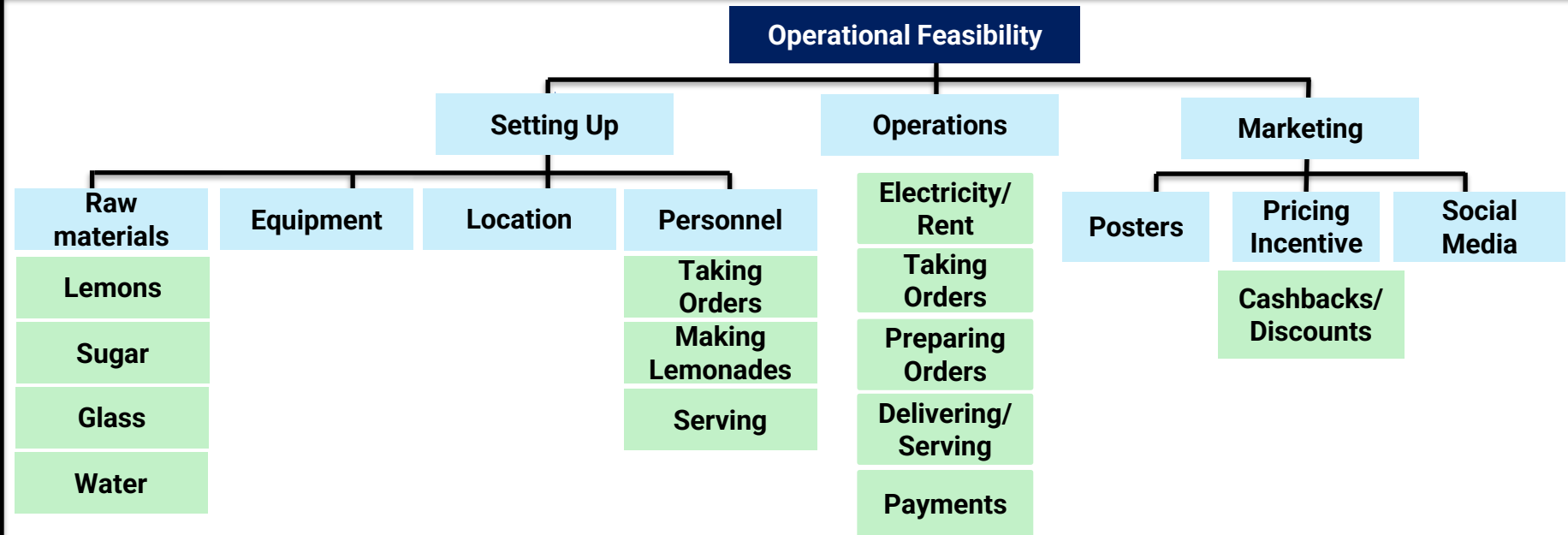
Total Revenue =

$$\text{Price/Glass} * \text{Purchase Frequency} * \text{\#Customers}$$

#Customers =

$$\text{Parents (2*200)} + \text{Friends (2*200)} + \text{Faculty (5)} + \text{Competitors (10\% * 200)} = 825$$

APPROACH



BROWNIE POINTS

- Suggest a specific pricing strategy, like cost-plus pricing or competitor-based pricing, to determine the price per glass.
- Go beyond operations and marketing to focus on creating a memorable customer experience with a decorated stall and a catchy name.

SHEWORKS, WE GROW



Your client is a factory owner facing an issue: while female hiring has been rising, the percentage of female workers in the overall workforce is declining. They want to understand why this is happening and what can be done.

CLARIFYING QUESTIONS

Sure. Before I structure my approach, I'd like to ask a few clarifying questions. Can you tell me more about the client? What industry are they a part of?

The client's industry and position in the value chain are not of importance for this case. You can consider the factory a generic semi-automated manufacturing facility.

Understood. Where is the factory located?

It's located 100 kms away from Indore, MP, in a largely rural area.

Could you briefly explain a bit about the competition that the client faces and if there are any competitor factories in the area? Also, are they facing a similar problem?

Yes, there are a couple of competitor factories in the area, and they have actually seen an increase in their female workforce.

Lastly, could you also touch upon the timeframe of the problem?

The problem at our client's factory has been noticed over the last 6 months.

SHEWORKS, WE GROW



Your client is a factory owner facing an issue: while female hiring has been rising, the percentage of female workers in the overall workforce is declining. They want to understand why this is happening and what can be done.

SOLUTION

Got it. To analyze better, I'd like to split the workforce into two broad categories:

1. **Administrative roles** – factory leadership, HR, Finance, IT, Sales & Marketing, Procurement.
2. **Non-administrative roles** – production line, maintenance, warehouse, unskilled labor, security, etc.

Could you please shed some light on whether any of these verticals is specifically facing this issue or is it a factory-wide problem?

There's a slightly higher decline in admin roles, but overall, it's a factory-wide problem.

Okay, then I'd like to understand this issue from a female worker's daily journey:

- The worker starts the day at home, finishes any chores, and gets ready.
- Depending on the distance of the commute, she either takes a bus to the factory, uses her personal commute, or walks.
- Once inside the factory, she works at her station. Throughout the day, she might need to visit the washrooms or the cafeteria.
- When the day gets over, she returns through her preferred form of commute.

This may help us identify at which stage the drop-offs are happening. Is that alright?

Yes, please go ahead.

Could you walk me through the commute situation first? For instance, how do most women get to the factory and back?

SHEWORKS, WE GROW



Your client is a factory owner facing an issue: while female hiring has been rising, the percentage of female workers in the overall workforce is declining. They want to understand why this is happening and what can be done.

SOLUTION

The bus running from Indore to the factory that picks up & drops off workers has been dysfunctional post 7 pm for the last year. Could you think of any issues to focus on from this problem?

That seems like the critical issue.

- Women may face safety concerns commuting late without secure transport.
- This can lead to family resistance at home, preventing them from working late shifts.

Would you confirm if this is indeed a concern raised by workers?

Correct, female workers have faced such resistance from their homes and this is the major reason behind the drop. Any recommendations for this issue?

Yes. To resolve this critical safety and retention issue, I would propose three recommendations:

- **Immediate Fix:** The company should immediately ensure a reliable and operational bus service that runs post 7 pm. This is the highest priority.
- **Short-Term Solution:** They should improve on-board safety measures, such as having security personnel on the buses, especially for the late-night routes.
- **Long-Term Solution:** They should explore and pilot alternative transportation options like partnerships with ride-sharing services to provide more flexible and safe commute choices for workers.

The recommendations are practical and actionable. That wraps up the case. Well done.

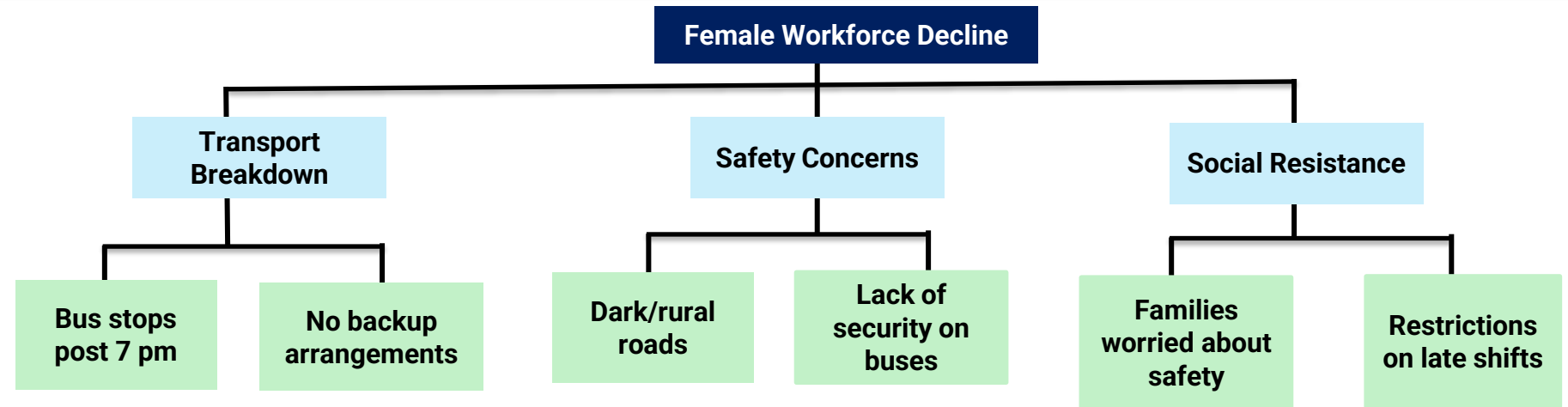
SHEWORKS, WE GROW

Your client is a factory owner facing an issue: while female hiring has been rising, the percentage of female workers in the overall workforce is declining. They want to understand why this is happening and what can be done.

KEY LEARNINGS

- User journeys are useful in trying to understand user pain points, triggers and barriers.
- The solution to an internal business problem can also lie in external factors; in this case, a logistical issue outside the company's direct control.

APPROACH



BROWNIE POINTS

- Involve partnering with local authorities to improve last-mile safety and create a more supportive community environment.
- Take continuous inputs from interviewer, especially in Root Cause Analysis, and do not dwell very deep into one part of the solutioning

TALENT QUEST



Our client, a leading IT services firm, has seen a sharp drop in applications for their fresher training program. They want to know why.

CLARIFYING QUESTIONS

Understood. Before I structure my analysis, I'd like to ask a few clarifying questions to understand the context. First, can you tell me a bit more about the client's business?

The client is a top-tier IT player. They primarily provide offshore ERP support for global clients.

Understood. Could you also tell me more about the training program? Where are hires sourced from? What salaries are offered and What is expected from applicants?

We hire freshers from engineering colleges across India, and we are open to off campus applicants as well. Salaries range from 20-30k per month. We only hire software engineers.

But we are not receiving enough applications as we used to, is that correct? Since when has this been happening?

Yes, that is correct. It has been an issue for the past 2 years.

TALENT QUEST



Our client, a leading IT services firm, has seen a sharp drop in applications for their fresher training program. They want to know why.

SOLUTION

Okay. To diagnose this, I'd like to map the end-to-end candidate journey and check where the drop-offs are happening. Does that approach work?

Yes, please go ahead.

The journey begins when students:

1. Start applying for jobs in their final year.
2. Post-graduation, they usually choose between:
 - Taking a job (in IT or another sector),
 - Pursuing higher studies,
 - Starting their own venture.

Before diving deeper, may I clarify: Has there been any shift in student preferences in the past couple of years (e.g., fewer students opting for IT/software jobs)?

No, the total applicants for jobs in colleges have stayed the same.

Okay, so applications at colleges remain the same overall. This points to two main possibilities:

1. Applicants prefer other IT firms over our client.
2. Applicants are attracted to other sectors offering new opportunities.

Can you confirm if the number of openings in other sectors has changed significantly?

No, the job openings in other sectors are fairly stable.

Then the first possibility seems stronger; students might be preferring competing IT firms.

Potential reasons could be:

- Higher salaries or better profiles offered by competitors.
- More companies visiting campuses, increasing student choice.

Is this happening?

TALENT QUEST



Our client, a leading IT services firm, has seen a sharp drop in applications for their fresher training program. They want to know why.

SOLUTION

Yes. Many start-ups have recently begun recruiting from the same campuses. They offer better profiles and exposure, so students are preferring them.

Understood. I'd also like to check the recruitment process.

Once students apply:

- They undergo tests, interviews, etc.
- A few are finally offered employment.

Has anything changed recently in this process ? For example, made it longer or tougher?

Yes, we shifted to an online recruitment process. But the system is cumbersome, and students are facing issues. We are still fixing it.

That helps explain the drop. To summarize the key reasons:

- **Competition effect:** Start-ups offering better roles & exposure.
- **Process inefficiency:** The new online recruitment process is cumbersome and discouraging students.

Exactly. Thank you, that will be all.

TALENT QUEST

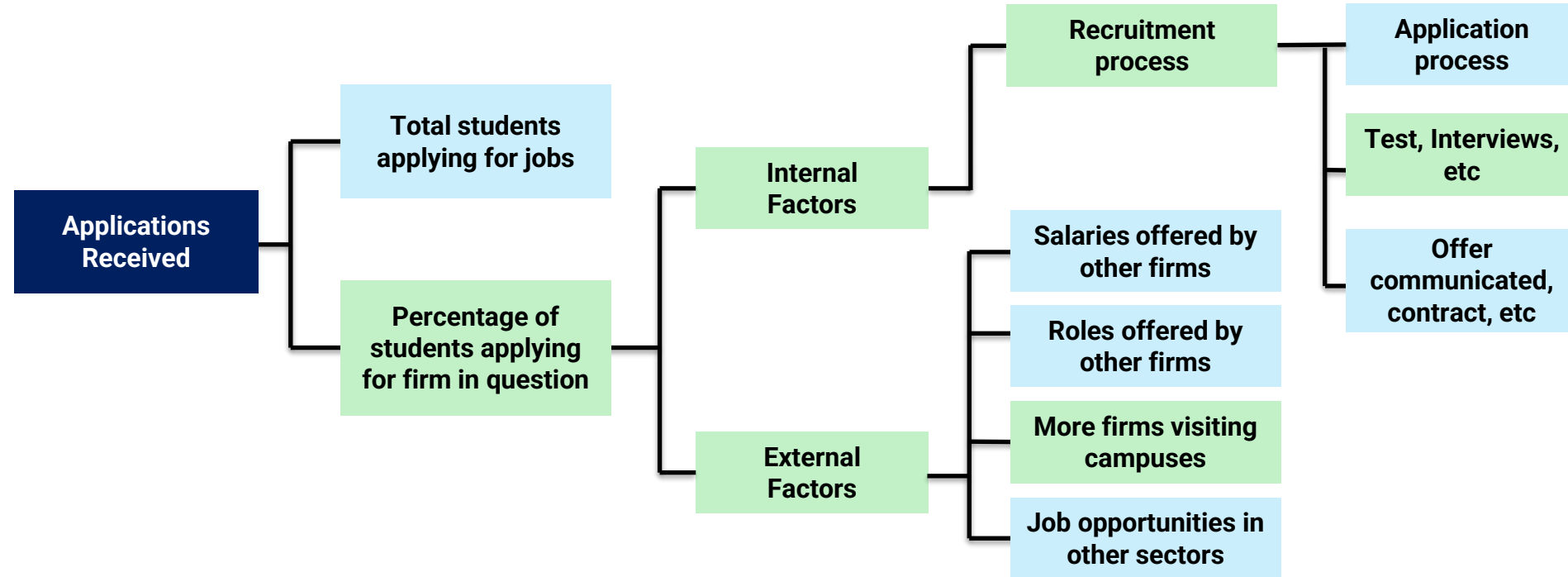


Our client, a leading IT services firm, has seen a sharp drop in applications for their fresher training program. They want to know why.

KEY LEARNINGS

- Important to consider both Internal & External factors
- The key to solving a "why" question is to systematically test different hypotheses before jumping to conclusions.

APPROACH



BROWNIE POINTS

- Looking at the entire recruitment funnel: awareness → application → selection → offer.
- Consider brand perception of IT services vs start-ups/product companies.
- Mention process efficiency (offline vs online) as a differentiator.

ROUTE OF THE BARREL

Your client is an oil manufacturer who is concerned about the transportation of produced oil. They want you to develop a framework through which they can predict the cost of transportation.

CLARIFYING QUESTIONS

Understood. I would like to ask a few clarifying questions. Where is our client located, what parts of the value chain do they occupy, and who are their competitors?

Our client is based in the Middle East. They have their own rigs, and they are involved in the initial processing. They have no competitors in their country.

Does our client want a model for worldwide shipping, or are they considering any particular location?

For now, you can just consider the costs of shipping to India as a part of this discussion.

I would like to know now about the transportation. I assume it is a third-party transportation company that does the job. How many players are in this business in the Middle East?

You're correct, it is a third-party company. There are a few players who do this job, so you can assume there is moderate competition among the transportation players.

ROUTE OF THE BARREL

Your client is an oil manufacturer who is concerned about the transportation of produced oil. They want you to develop a framework through which they can predict the cost of transportation.

SOLUTION

Okay. So, to start, the transportation costs for our clients can be modelled as:

$$\text{Cost} = (\text{Volume} * \text{Cost/Km}) + \text{Markup}$$

Since the distance is constant for a given shipping route to India and the Cost/Km is a function of fuel costs, the most volatile and critical variable to predict is the Markup. The markup will be a function of the market dynamics for shipping.

To predict the markup, we need to analyze the three factors that determine its price:

- **Demand-Side Factors:** What drives the need for oil tankers from the Middle East to India?
- **Supply-Side Factors:** What determines the availability of these tankers?
- **External Factors:** What political or macro-economic events can influence this balance?

Does this seem like a good way to proceed?

Yes, please go ahead.

Great. Let's start with the Demand-Side Factors. The demand for tankers is a function of India's total demand for oil from the Middle East. This is influenced by:

- **India's Total Oil Demand:** This can be broken down into Industrial and Retail demand, which is relatively inelastic in the short to medium term.
- **Availability of Cheaper Sources:** India's demand specifically from the Middle East will decrease if cheaper oil becomes available from other sources like Russia or Venezuela.
- **Competitor Actions:** The shipping demand from other Middle East oil players also contributes to the total demand for tankers in the region.

That's clear. What about the supply side?

ROUTE OF THE BARREL

Your client is an oil manufacturer who is concerned about the transportation of produced oil. They want you to develop a framework through which they can predict the cost of transportation.

SOLUTION

The Supply-Side Factors that determine the availability of ships for our client include:

- **Total Serviceable Ships:** The number of ships available in the region with the players.
- **Regional Competition:** The availability of these ships for the India route is dependent on better offers available elsewhere for the transporters. If a route to Europe becomes more profitable, ships will be diverted there, reducing supply for us.

Good. And what do you mean by external or political factors?

The External Factors are crucial as they can override market logic. For example:

- **Sanctions:** If there are sanctions against a major producer like Iran, India would not be able to import from there, shifting demand to other players and creating trade barriers.
- **OPEC Decisions:** Any decision by OPEC to cut production might push India to look for other sources, impacting both the supply of oil and the demand for specific shipping routes.
- **Diplomatic Issues:** Any diplomatic fallout between nations can also disrupt trade flows.

Now, can you name three key recommendations for our client to minimize these transportation costs?

Certainly. Based on the analysis, the client can minimize costs by managing volatility and risk. My three key recommendations would be:

- **Strategic Storage & Timing:** The client can lease out storage in the India. This decouples their shipping schedule from their production, allowing them to ship in larger volumes only when transportation costs (the markup) are low.
- **Enter into Long-Term Agreements:** To mitigate price volatility, they can enter long-term contracts with a shipping company to supply capacity at a fixed markup. This secures availability and creates cost predictability.
- **Shift Contractual Risk (FOB Origin):** The most direct way to eliminate this cost volatility is to pass the responsibility to the buyer. By engaging in "FOB Origin" shipping terms as much as possible, the buyer becomes responsible for arranging and paying for the transportation.

That's all. Thank you.

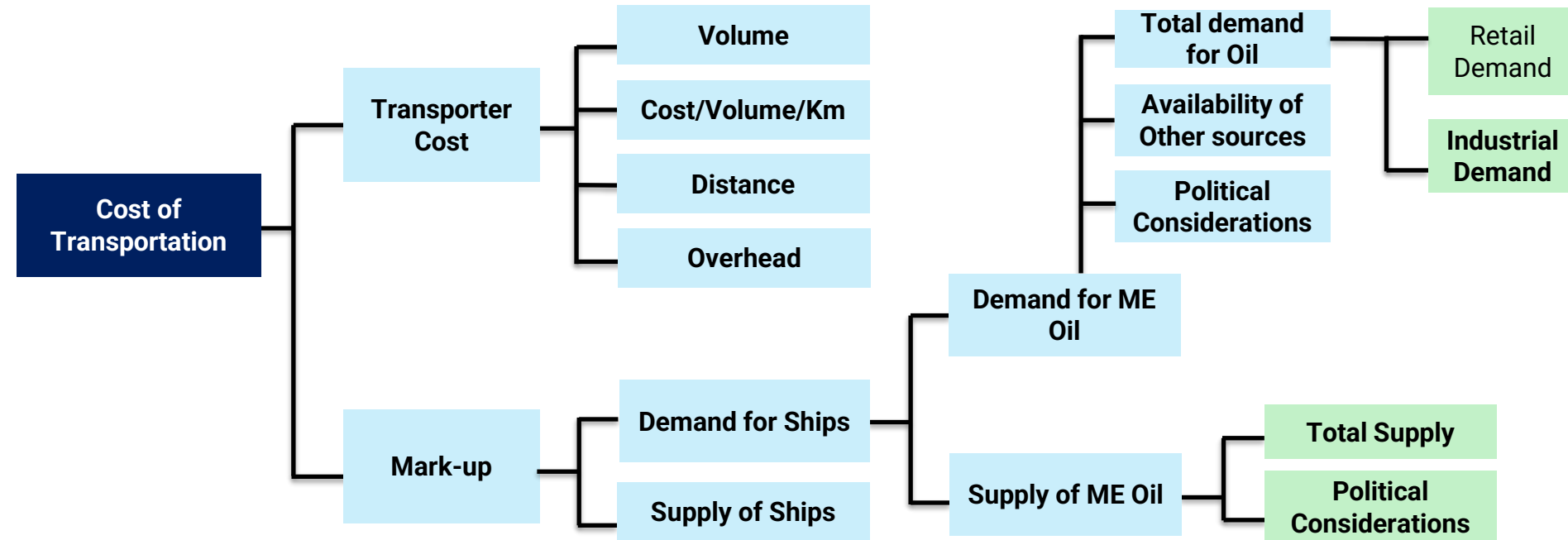
ROUTE OF THE BARREL

Your client is an oil manufacturer who is concerned about the transportation of produced oil. They want you to develop a framework through which they can predict the cost of transportation.

KEY LEARNINGS

- When trying to understand what drives any price or cost, the fundamental framework of Supply and Demand is almost always the best and most logical starting point.
- Use the insights from your analytical framework to generate a set of practical, actionable recommendations.
- A robust cost-reduction strategy includes a mix of operational changes (e.g., strategic storage), contractual solutions (e.g., long-term agreements), and risk-shifting tactics (e.g., FOB terms).

APPROACH



BROWNIE POINTS

- Recommend using technology, like a digital portal for teachers to track syllabus progress or Ed-Tech apps for practice
- Include a long-term strategy for improving teacher recruitment, training, and career progression, not just short-term workshops.

EMISSIONS TO EFFICIENCY



Your client is the Ministry of Road Transport and Highways. They want to achieve Net Zero within 25 years. Suggest next steps.

CLARIFYING QUESTIONS

Thanks. Before I structure my approach, I'd like to clarify a few points. What exactly comes under the ministry's scope; only road construction, or also transport regulation?

Both. They are responsible for building & maintaining roads as well as regulating transport.

Got it. And when we say Net Zero, is it strictly about reducing emissions, or does it also include offsetting measures like carbon capture?

The focus is mainly on emission reduction, not offsets.

Understood. One last thing, is this mandate India-wide, or focused on certain high-emission corridors?

It's a nationwide mandate.

EMISSIONS TO EFFICIENCY



Your client is the Ministry of Road Transport and Highways. They want to achieve Net Zero within 25 years. Suggest next steps.

SOLUTION

Great, thank you for the clarity. To structure my approach, I will break down the Ministry's areas of influence into two main domains:

- **Construction:** Decarbonizing the building and maintenance of our road infrastructure.
- **Transportation Regulation:** Decarbonizing the vehicles that use this infrastructure.

Would you like me to start with construction?

Yes, please go ahead.

Okay, so beginning with the construction first. The construction value chain includes:

- Raw Materials (cement, gravel, sand, asphalt)
- Inbound Logistics (transport + warehousing)
- Construction Operations & Maintenance

Coming to RM, while we can procure from carbon neutral supplier, I would like to take a deeper look into cement as it is an important RM, is that fine?

Yes. Please proceed

1. Starting with **Raw materials**, we need to enforce stricter supplier criteria for

Cement:

- Procure from carbon-neutral suppliers.
- Encourage in-situ limestone mining to reduce blasting.
- Mandate heat recovery units in cement plants.

Gravel + Sand + Asphalt: Prefer suppliers with carbon-neutral certifications.

2. Moving on to **Inbound Logistics**:

- Shift to alternate fuel trucks (EV, hydrogen fuel cell, bio-CNG).
- Optimize warehousing & transport to cut fuel usage.

3. Lastly, **Construction Operations and Maintenance**:

- Use fuel-efficient machinery.
- Adopt low-wastage construction practices.

EMISSIONS TO EFFICIENCY



Your client is the Ministry of Road Transport and Highways. They want to achieve Net Zero within 25 years. Suggest next steps.

SOLUTION

- Install solar-powered streetlights along highways.
- Create green zones & cycling lanes to encourage non-motorized transport.

These are good ideas. Now, what about transportation regulation?

Okay, here I would like to assess the public transport and private modes of transport separately.

Okay, go on.

1. Public Transport

- Phase out ICE buses gradually.
- Replace with EV or alternate fuel buses.
- Provide subsidies to state transport corporations to speed adoption.

Private Vehicles can be split in HCV and LCV/4W/3W/2W segments as HCVs tend to impact the roads and highways more adversely.

2. HCVs

- Mandate or reward high vehicle utilization leading to fewer trips.
- Subsidize alternate fuel trucks to encourage adoption.
- Set caps on weekly trips on national highways ensuring lesser damage and hence lower maintenance requirement of roads

3. LCVs/4W/3W/2W

- Provide tax incentives for EV purchases.
- Roll out PPP-led EV charging infra nationwide.
- Promote hydrogen fuel adoption for long-distance freight.

You've covered public and private transport well. Are there any cross-cutting enablers like policy, financing, or technology, that you think should be added to strengthen the plan?

EMISSIONS TO EFFICIENCY



Your client is the Ministry of Road Transport and Highways. They want to achieve Net Zero within 25 years. Suggest next steps.

SOLUTION

Yes, three key enablers are:

- **Policy:** We need strong, clear mandates. This includes setting stricter emission standards, defining EV adoption targets for commercial fleets, and creating a national carbon policy for all infrastructure projects.
- **Financing:** This massive transition requires innovative funding. We can use tools like green bonds, provide viability gap funding for EV charging infrastructure, and create attractive PPP models to bring in private capital.
- **Technology:** We must invest in R&D to become self-reliant. This means establishing a national mission for developing next-generation batteries, green hydrogen fuel cells, and digital systems to monitor emissions and traffic flow efficiently.

These enablers will accelerate adoption and ensure the momentum towards Net Zero is sustained over the 25-year period.

Well done, let's close the case here.

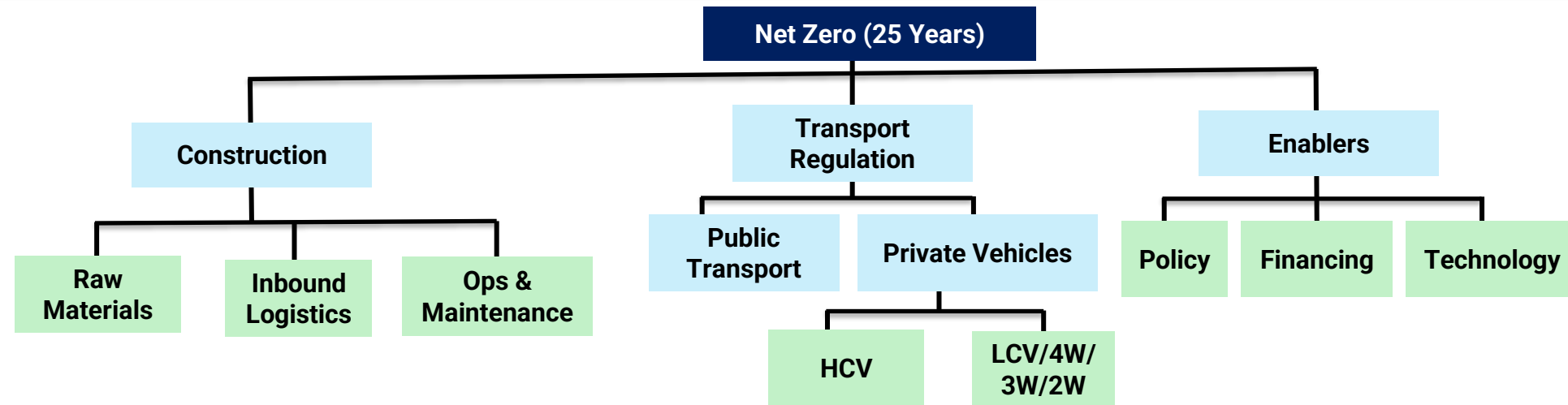
EMISSIONS TO EFFICIENCY

Your client is the Ministry of Road Transport and Highways. They want to achieve Net Zero within 25 years. Suggest next steps.

KEY LEARNINGS

- For any production-related problem, analyzing the entire value chain (Raw Materials -> Logistics -> Operations) is a powerful way to identify all areas for improvement
- When dealing with regulations that affect different groups, segmenting the target (e.g., Public vs. Private vehicles) allows for more effective and tailored policies.

APPROACH



BROWNIE POINTS

- Structure the 25-year plan into distinct phases (e.g., 0-5 years, 5-15 years), prioritizing foundational policies and infrastructure.
- Include a strategy for influencing public behavior through campaigns promoting public transport, carpooling, and non-motorized transport.

FLEET OR FREIGHT OUT?

Our client is a pharmaceutical company that has created a unique drug that is extremely effective in treating a form of cancer. Global standards require that they upgrade their fleet of commercial trucks for distribution. You are hired by the COO to decide if they should outsource or upgrade their fleet and continue with in-house distribution.

CLARIFYING QUESTIONS

Thank you. Before I dive deeper, I'd like to clarify a few points to better understand the situation. Could you share the current size of the fleet and the annual delivery requirements?

The company makes ~400 deliveries per year.

Got it. Also, do we already have details of the costs involved in both outsourcing and upgrading?

Outsourcing costs ₹3 lakh per delivery. Upgrading the fleet costs ₹6 crore. Additionally, 100 drivers are on payroll at ₹50,000/month each, plus fuel, insurance, and maintenance of ~₹50,000 per delivery.

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SOLUTION

Understood. To approach this, I'd like to evaluate two dimensions:

- **Financials:** Compare in-house vs outsourcing on total yearly cost.
- **Risks:** Assess internal risks (people, brand) and external risks.

Shall I start with the financial comparison?

Yes, go ahead.

Sure. I would compute the in-house cost as follows:

- Driver salaries: $100 \text{ drivers} \times ₹50,000 \times 12 \text{ months} = ₹6 \text{ crore}$
- Delivery costs (fuel, insurance, maintenance): $₹50,000 \times 400 \text{ deliveries} = ₹2 \text{ crore}$
- Fleet upgrade = ₹6 crore

The total in-house cost = ₹14 crore annually

Now, the outsourcing cost: $400 \text{ deliveries} \times ₹3 \text{ lakh per delivery} = ₹12 \text{ crore}$

Outsourcing is cheaper by ₹2 crore. ₹(14-12) crores.

Fair. Now look at the risks.

Sure, I'll break it into two parts:

- **Internal risks:** Outsourcing means firing 100 drivers. This may cause employee backlash, union protests, reputational damage.
- **External risks:** Outsourcing partners can increase prices, fuel costs may fluctuate, and government regulations on pharma logistics may tighten.

So, while outsourcing is financially attractive, it carries significant internal risks.

Okay. Suppose management still wants to consider in-house. How could we make it viable?

Yes, a few ideas :

- Lease trucks instead of buying. It can reduce upfront capex.
- Outsource only maintenance, keep deliveries in-house.
- Route-optimization tech can help lower fuel and running costs.
- Extend payback beyond 2 years, making upfront spend feasible.

Let's end the case here. Thank you.

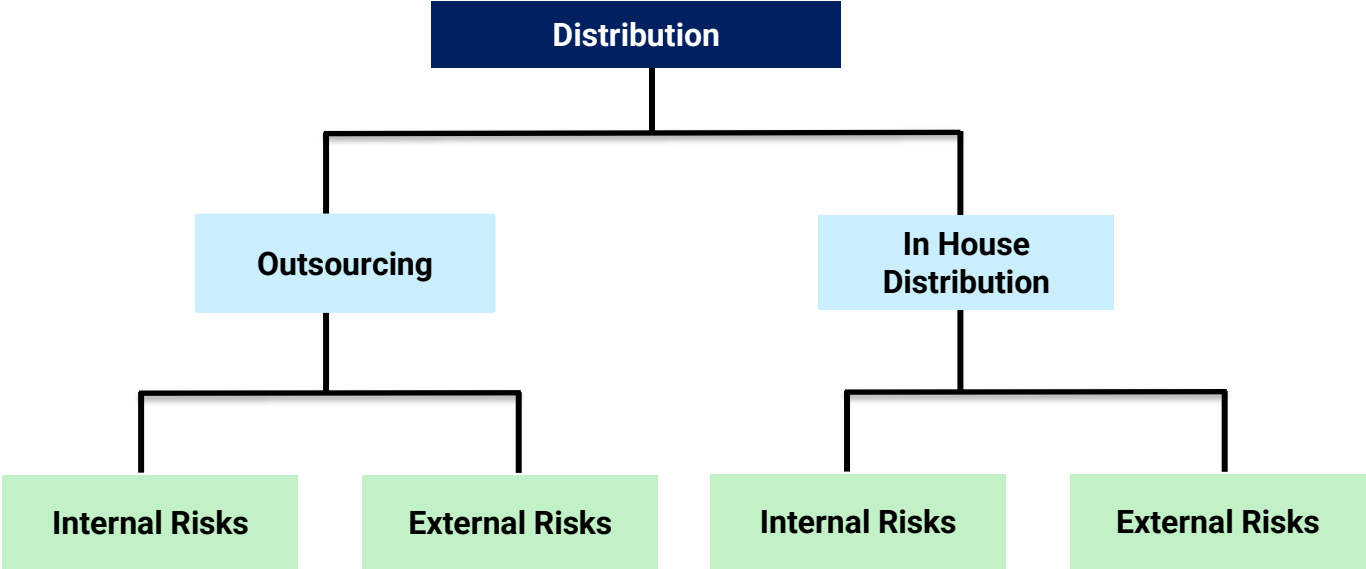
FLEET OR FREIGHT OUT?

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KEY LEARNINGS

- This is a calculation-heavy case, so always structure before solving.
- Numbers alone are insufficient. Always include risks & qualitative aspects.

APPROACH



Financials:

In- House Cost Calculation	
Total Drivers	100
Driver Salary	5000
No. of Months	12
Total Driver Cost	6 Crore

Total deliveries in a Year	400
Per Delivery Cost	50000
Total Cost	2 Crore
Fleet Upgrade Cost	6 Crore

Total In-House Cost	14 Crore
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Outsourcing Cost Calculation	
Per Delivery Cost	3 Lakh
Total Deliveries in a Year	400
Total Outsourcing Cost	12 Crore

BROWNIE POINTS

- Suggest a hybrid solution, such as owning the fleet for critical, time-sensitive deliveries for standard routes.
- Go beyond cost and risk to discuss the strategic importance of maintaining control over the supply chain.
- Run a pilot program, outsourcing one region for 6 months to gather real-world data on costs and risks.

BREWING EFFICIENCY



Your client is a beer manufacturer. They want to reduce their cost of operations and minimize wastage across production and supply. How would you approach this?

CLARIFYING QUESTIONS

Thanks. Let me clarify a few points before I start framing an approach.

First, could you tell me which part of the value chain is most problematic? Is wastage happening mainly in brewing, packaging, or distribution?

It's spread across all three, but packaging and distribution are heavier contributors.

Got it. And when we talk about operational costs, do we mean primarily raw materials and utilities, or does it also include labor and logistics?

All of them, but raw material and energy are the biggest components.

Understood. Lastly, is the client's priority quick wins in cost reduction, or do they also want long-term sustainability measures?

Both. Quick wins first, but with a roadmap for long-term savings.

BREWING EFFICIENCY



Your client is a beer manufacturer. They want to reduce their cost of operations and minimize wastage across production and supply. How would you approach this?

SOLUTION

Great. In that case, I'll structure my analysis by walking through the beer supply chain end-to-end: starting with raw material procurement and brewing, then packaging, and finally distribution. At each stage, I'll look at both cost levers and wastage levers.

Sounds good. Let's start with brewing.

In brewing, the main inputs are water, yeast, malt, and energy:

- **Water:** Usage is typically very high. Recycling or reusing process water could reduce costs and wastage.
- **Yeast:** Many breweries reuse yeast across multiple batches. Improving re-use rates could lower input costs.
- **Energy:** Brewing needs heating and cooling. Options like energy-efficient boilers or capturing waste heat could reduce energy bills.

If you had to prioritize here, what's the most attractive lever?

I'd say water recycling is the lowest-hanging fruit, cheaper to

implement than new boilers and has direct cost and ESG benefits.

Good. Now let's move to packaging.

Packaging is usually one of the biggest cost drivers.

- **Material:** Lightweighting bottles and cans could cut costs, while returnable bottles could further reduce material expense.
- **Wastage:** Breakage and spillage during bottling can be minimized with better automation and handling processes.
- **Vendors:** Stricter quality controls with carton/label suppliers could reduce defects.

Great. What about distribution?

Distribution challenges usually show up in three areas:

- **Fuel costs:** Optimizing truck routes with tech tools can deliver quick savings.
- **Cold chain:** Beer spoilage from temperature swings is costly; energy-efficient refrigeration could help.

BREWING EFFICIENCY



Your client is a beer manufacturer. They want to reduce their cost of operations and minimize wastage across production and supply. How would you approach this?

SOLUTION

- **Double handling:** If too many intermediaries are involved, losses and costs rise. Consolidating distributors could reduce this.

And what quick wins would you recommend here?

Route optimization would be fastest, since it's software-driven and doesn't require major capex.

Great. Could you summarize your recommendations?

Sure.

- In brewing, focus on water recycling, yeast re-use, and energy efficiency.
- In packaging, reduce breakage, trial returnable bottles, and explore lightweight cans.
- In distribution, optimize truck routes, strengthen cold chain, and simplify distributor networks.

For quick wins, I'd prioritize packaging line efficiency and distribution route optimization. For the long term, energy investments and packaging innovations will drive sustainability.

We can close the case here. Thank you!

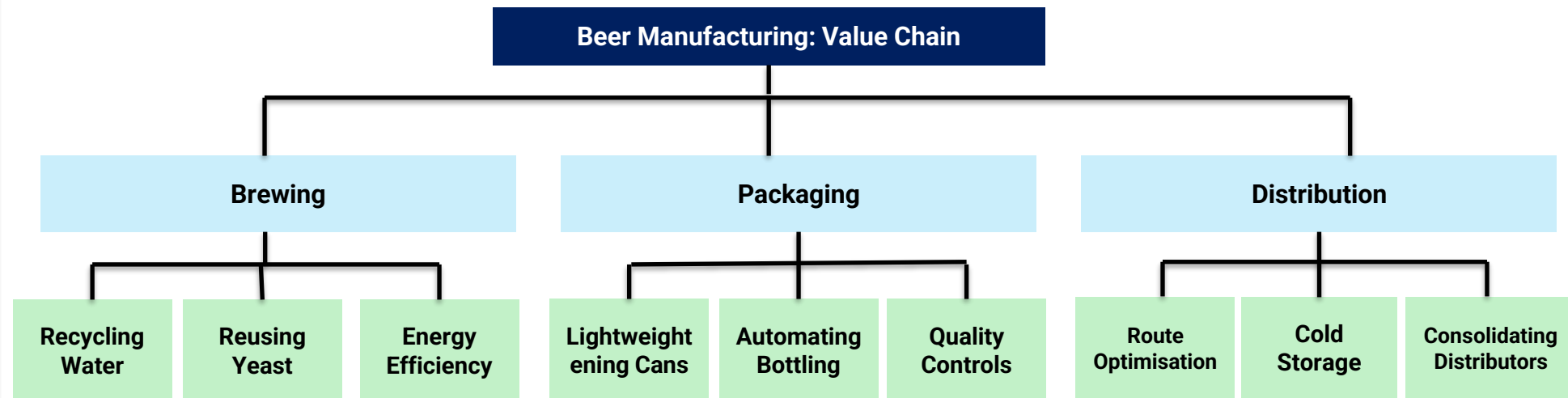
BREWING EFFICIENCY

Your client is a beer manufacturer. They want to reduce their cost of operations and minimize wastage across production and supply. How would you approach this?

KEY LEARNINGS

- Structuring an operations case works well by walking through the supply chain end-to-end.
- Balance quick wins (route optimization, packaging line fixes) with long-term investments (energy efficiency, returnable packaging).
- Keep quality and regulatory compliance non-negotiable when recommending cost cuts.

APPROACH



BROWNIE POINTS

- Water reuse, renewable energy, and waste reduction also improve brand image and regulatory compliance.
- Strategic sourcing of glass, cans, and malt to lower costs.
- Eco-friendly packaging and sustainable brewing can justify premium pricing.

FIVE-YEAR GRID FIX

Your client is a state-owned Electricity Distribution Board in India. For the past few years, they have been facing a significant demand-supply mismatch, especially during peak summer months. This has led to frequent power cuts and widespread public dissatisfaction. The board has hired you to help them draft a high-level 5-year strategic plan to address this challenge.

CLARIFYING QUESTIONS

Thanks. Before I begin, may I clarify a few things?

1. what is the board's main objective here?
2. Is it only about ensuring 24/7 reliability, or are financial health and sustainability also priorities?

The primary, non-negotiable goal is 24/7 reliable power. Secondary goals are improving efficiency and financial sustainability.

Got it. Second, can you quantify the mismatch? How large is the shortfall in peak summer hours?

Peak demand is ~10,000 MW, supply is ~8,500 MW, leaving a 1,500 MW shortfall.

That's ~15%. Third, what's driving the demand surge? Residential, commercial, or industrial?

Broad-based, but mainly residential air-conditioners and agricultural pumps.

Understood. And on the supply side are the constraints mainly generation capacity, or transmission and distribution?

Both. Limited generation, plus an old grid with ~20% technical and commercial losses.

FIVE-YEAR GRID FIX

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SOLUTION

Thank you, that's clear. I'd propose a three-pillar plan, with initiatives phased across 5 years:

1. Demand-Side Management : control consumption at peak.
2. Supply Augmentation : bring more MW to the grid.
3. Grid Modernization & Efficiency : cut 20% losses.

Would you like me to expand each pillar by timeline (short, medium, long term)?

Yes, let's start with the demand side management.

For the short term (Years 1–2):

- **Introduce Time-of-Day tariffs:** higher during 1–5 pm peak, cheaper off-peak.
- **Run a public awareness campaign:** simple conservation tips, "switch off AC at peak," etc.

These are low-cost, high-visibility measures.

Building big plants takes time. What's realistic in the medium term?

For Years 3–4:

- **Sign Power Purchase Agreements (PPAs)** with surplus states for quick MW addition.
- **Promote decentralized solar – rooftop** for homes, solar feeders for agriculture.

Both diversify supply and reduce stress on the central grid.

And how would you modernize the grid?

Grid upgrades are critical. Two levers:

- **Technical loss reduction:** replace old transformers, conductors, and meters.
- **Commercial loss reduction:** roll out smart meters to curb theft and improve billing.

Reducing losses from 20% to 15% ; frees hundreds of MW without new plants.

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SOLUTION

Excellent. Could you summarize the roadmap?

Certainly.

- **Years 1–2 (Quick Wins):** Launch ToD tariffs, awareness campaigns, begin loss-reduction, initiate PPAs. Close ~300–400 MW gap.
- **Years 3–4 (Implementation):** PPAs deliver, rooftop solar scales up, smart meters + grid upgrades roll out. Close ~800–1000 MW gap.
- **Year 5 (Consolidation):** Grid efficient, solar robust, PPAs stable → remaining gap closed plus buffer.

This plan balances short-term relief with long-term investments, ensuring 24/7 reliability within 5 years.

Good. That's comprehensive. Let's close the case here.

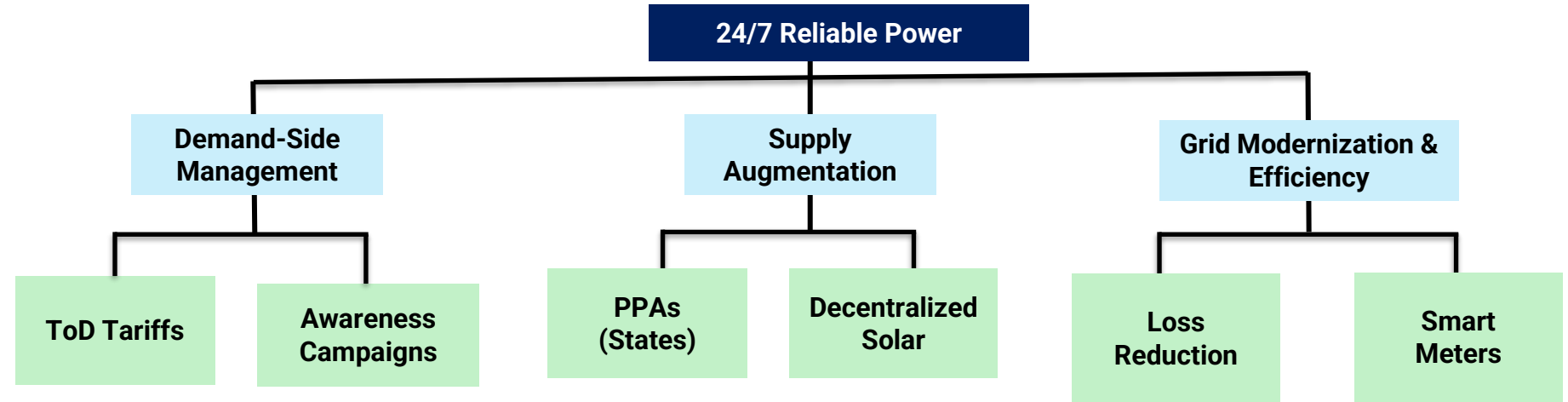
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KEY LEARNINGS

- Structuring an operations case works well by walking through the supply chain end-to-end.
- Balance quick wins (route optimization, packaging line fixes) with long-term investments (energy efficiency, returnable packaging).
- Keep quality and regulatory compliance non-negotiable when recommending cost cuts.

APPROACH



BROWNIE POINTS

- Include a plan for managing key stakeholders, such as regulators (for tariff approvals), political leaders (for support), and farmer unions (for agricultural initiatives).
- Go beyond current tech. Mention exploring emerging technologies like utility-scale battery storage or smart grids powered by AI and IoT for more efficient, long-term load management.

MERCHANT CONNECT



Google wants to onboard more MSMEs onto the new Google Pay platform. Figure out specifics and make recommendations.

CLARIFYING QUESTIONS

Thanks. Before I jump in, I'd like to clarify a few things, so I understand this correctly. Do we know how many merchants Google is targeting here?

Yes, roughly one-third of the market, which is about 20 million enterprises.

Got it, that's quite large. And in terms of approach, are we leaning more towards organic methods like direct onboarding and feature marketing, or inorganic ones like partnerships and acquisitions?

The client doesn't have a fixed preference. They just want to move fast.

Understood. So speed is critical. Just to check, is the main focus bulk acquisition in the short term, or also ensuring these MSMEs stay engaged long-term through features?

Both matter, but speed is definitely the immediate priority.

Makes sense. Last question: does Google want to prioritize any particular merchant categories like retail, services, or manufacturing, or should we explore all options?

No restrictions. You can suggest the right categories.

MERCHANT CONNECT

Google wants to onboard more MSMEs onto the new Google Pay platform. Figure out specifics and make recommendations.

SOLUTION

Sure, to start with, there are two main approaches for onboarding:

1. **Organic:** involves direct merchant acquisition, marketing, and feature enhancements
2. **Inorganic:** means bulk acquisition through partnerships or acquisitions.

If the client wants speed, my recommendation would be a hybrid approach. They can leverage partnerships to onboard at scale, while in parallel using marketing and features to drive engagement and retention.

Okay, let's talk about partnerships. How should Google choose potential partners?

We can look at a few criteria:

- Current merchant base and growth trajectory.
- Financial and operational health of the partner.
- Fit with Google Pay's business model.
- Strength of the partner's value proposition to MSMEs.

Makes sense. And what value proposition should GPay offer these partners and MSMEs?

I'd break it into three layers:

- **Monetary:** Discounts on transactions, cashbacks for merchants using GPay via partners.
- **Non-monetary:** Mini-apps, notifications, analytics dashboards.
- **Partner-linked features:** Special integrations depending on category. E.g., inventory management for small retailers, invoicing for service businesses.

Okay, now let's shift to the feature enhancement part. How should Google decide what to build?

MERCHANT CONNECT



Google wants to onboard more MSMEs onto the new Google Pay platform. Figure out specifics and make recommendations.

SOLUTION

Since MSMEs are so diverse, we need a framework to prioritize features. I'd filter based on:

- Size of the merchant base in that category.
- Ease of implementation of the feature.
- Potential impact on MSME operations.

For example, in small retail, inventory management could be critical. For services, digital invoicing and payments might be more relevant.

Great! Anything else you'd like to add?

Yes, we could also take a category-wise approach to filter down potential partners i.e., based on the distribution of merchants across categories on their platform. This will ensure that there is synergy between the organic and inorganic efforts.

That would be all. Thanks!

MERCHANT CONNECT

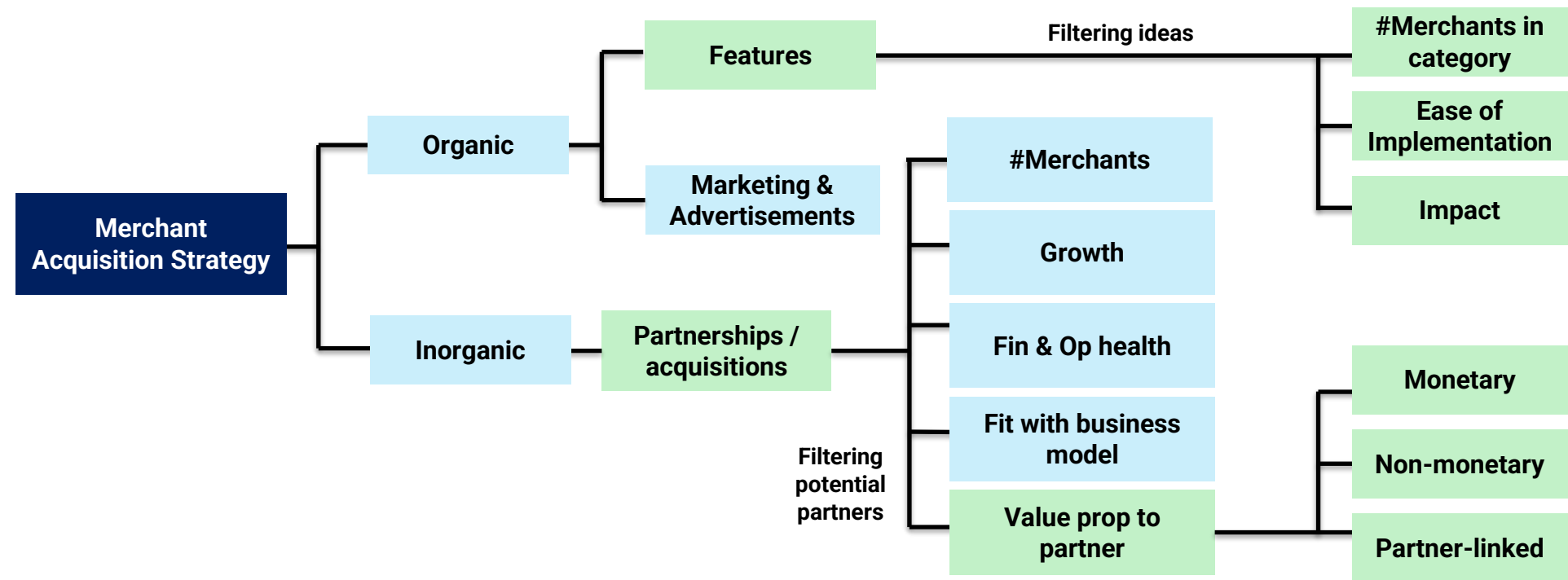


Google wants to onboard more MSMEs onto the new Google Pay platform. Figure out specifics and make recommendations.

KEY LEARNINGS

- A hybrid acquisition strategy (mix of partnerships and direct onboarding) balances speed with long-term sustainability.
- Follow MECE when listing the different criteria for filtering potential partners
- Check for direction to proceed when there are multiple potential paths

APPROACH



BROWNIE POINTS

- **Regulatory considerations:** KYC, compliance, and trust-building with small enterprises.
- **Regional strategy:** MSMEs in Tier 2/3 towns may need vernacular features and offline onboarding support.
- **Competitive landscape:** Benchmark against PhonePe, Paytm, UPI ecosystem players.

RETAIL CREDIT REVIVAL

Your client is a public sector bank that hired BCG to increase the home loan portfolio. BCG suggested two solutions:

1. Hire 2-3 people to pitch loans in the local market.
2. Shift the credit underwriting process from branch to centralized, to save time.

Both were implemented, but didn't work much. We need to analyze why.

CLARIFYING QUESTIONS

Thank you. Before I dive deeper, I'd like to clarify a few things.
How long ago were these solutions implemented?

Both solutions were implemented 6 months ago. No significant increase was observed. The problem is limited to one branch.

Were there any metrics used to track success?

The metric tracked was that there was no significant increase in the number of home loans.

Got it. Have both solutions been implemented? And is the problem limited to a location or the whole country?

Yes, both solutions have been implemented. The problem is limited to a specific branch.

Understood. May I ask where this branch is located?

It's located in a market area in Delhi.

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SOLUTION

That helps. So the client base is mostly local. I'd like to structure my analysis into two areas:

1. Sales Executives
2. Centralized Underwriting

May I start by analyzing the first solution with sales executives pitching loans?

Sure, go ahead.

I would like to evaluate performance of **sales executives** on three factors:

- Number of people pitched to: Are enough people being reached?
- Conversion ratio: How many pitches are turning into loans?
- Loan size / value: What's the average ticket size?

Do we have clarity on these aspects?

Let's assume number of people pitched to is on the lower end.

So, that could be due to either:

- **Agent (Demand side) issue:** Low number of agents, limited skills, or weak communication.
- **Client (Supply side) issue:** Clients not interested or lacking awareness.

Explain what factors would you consider in an Agent?

I would take into consideration:

- The skills
- No of visits to convert a customer
- No. of agents

What do you mean by the conversion?

By conversion, I mean the how many people to whom the pitch was made actually become clients. This might low because of:

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SOLUTION

1. The skills of the agent, which include:

- Communication
- Sales Approach
- Understanding of the loan structure

2. The demand from the clients, which include:

- **Awareness:** Here I would want to check the awareness of our loan product but since we are facing the problem in only one branch, I would not take that into consideration.
- **Need:** Here, I think about our location. The main people we would pitch to would be shoppers and shopkeepers. The branch is in the marketplace where the number of people who visit on a regular basis would be low. Since loans are a big decision, they would not happen in one visit.

Correct, the wrong demographic was targeted. Let's now discuss the centralizing credit underwriting.

I believe that the number of sanctions may have reduced. Is this correct?

Yes

In that case, I'd like to confirm:

- Did the loan requirements change?
- Or only the internal approval process?

No, the application process hasn't changed. The requirements are still the same only the internal process has changed.

Okay, in this case I would think that the people would be the major variable. Incentive based salary of the bank managers vs. fixed salaries could be a problem. Managers have a personal connect and a person standing in front of him when sanctioning a loan which might add a human element.

That's exactly the case. How would you recommend fixing this?

RETAIL CREDIT REVIVAL

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SOLUTION

I would like to recommend:

1. **Revive trust element:** Allow partial discretion at branch level or hybrid model.
2. **Motivate sales staff:** Incentive-linked pay for executives to boost outreach.
3. **Targeting & awareness:** Focus on salaried families, tie up with brokers/builders, use local exhibitions for awareness.

Good. Let's close the case here.

RETAIL CREDIT REVIVAL

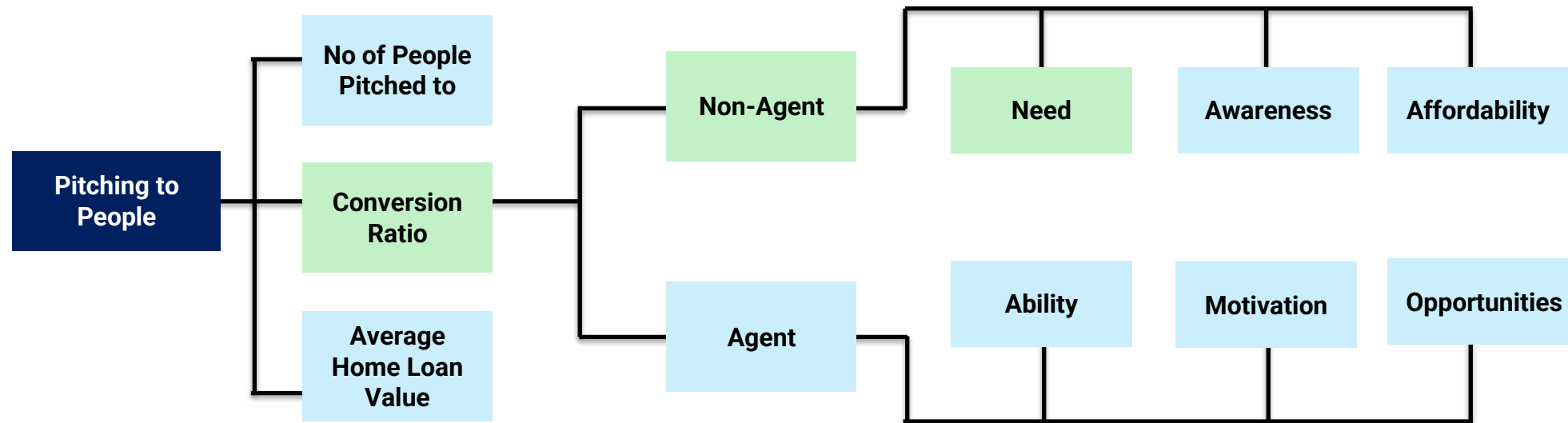
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KEY LEARNINGS

- The core skill demonstrated in this case is the ability to deeply analyze the reasons for a past failure before jumping to propose new solutions.
- While centralization can offer efficiency, it risks creating a disconnect from local market realities and can introduce new bottlenecks if not managed carefully.

APPROACH



BROWNIE POINTS

- Alternate approach for the underwriting issue would be to map the end-to-end loan application journey to pinpoint the exact bottlenecks in the new centralized process.
- Can ask why the initial strategy was flawed, asking if it was based on incorrect assumptions about the marketplace demographic.

THE ACQUISITION GAMBIT



Your client is Blade-O-Blade, a small lawn mower manufacturer in Kolkata. They procure engines from a supplier who has filed for bankruptcy. The only alternative engine available is 40% more expensive, which would force them to push their product to a higher price bracket, risking competitiveness. Your objective is to help the client navigate this crisis and suggest recommendations to maintain sales.

CLARIFYING QUESTIONS

Before diving into recommendations, I'd like to clarify a few points: Could you tell me more about the company's core product and its competitors? Also, could you share some details about the supplier's bankruptcy?

Sure, Blade-O-Blade makes low-end lawn mowers, holding ~1% of the national market.
The market is highly fragmented with 30 competitors; 28 of them together capture 98%.
The main competitor is Glade-O-Glade, also in low-end segment. Both Blade-O-Blade and Glade-O-Glade share the bottom 2% of the market.
Importantly, both depend on the same bankrupt supplier for engines.

Thank you. Could I also know about the cost structure of a lawn mower? Specifically, how much of it is driven by the engine cost?

The end-to-end cost of making a mower is ₹10,000. It's sold to distributors for ₹12,500. The engine cost is ₹6,000, labour about 25%, and other parts 15%.

If the engine price jumps 40%, it would be around ₹8,400 (6000×1.4), making the overall cost ₹12,400. The margin would shrink to just ₹100, which is clearly unsustainable.

Correct. Also, it seems that there are no ways to cut other costs.

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SOLUTION

From my perspective, the client can consider **three options**:

- 1. Buy from alternative suppliers** and raise prices. It would be risky since costs get close to premium products.
- 2. Sell off inventory and go dormant** until a stable supplier is found. This would force them to fire workers leave the factory to gather dust and risk allowing a competitor to gobble up their market share.
- 3. Acquire the bankrupt supplier.** To evaluate this option, I would need a few details about why the supplier went bankrupt in the first place.

I feel the last option makes more sense. Let us dive deeper into this. The cause for bankruptcy was bad financial management and Rs. 200 crore in debt. The owner took out the remaining liquid assets in the company and invested them in other industries. Now it cannot pay back the loan and the bank refuses to extend it.

Do we have the Rs. 200 crore in cash reserves? If not, can we ourselves take up a loan?

The client has ₹100 crore in cash. The bank values the supplier at ₹80 crore. Our credit rating is strong, so we can borrow if needed.

In that case, we could acquire the supplier using ₹50 crore cash and the rest financed via debt. I don't think it is a good idea to finance the entire acquisition on cash. It can expose us to sudden downturns since we ourselves are in a place of uncertainty.

That's a good idea. The acquisition would include a factory with 12 years of its useful life remaining, along with equipment to manufacture new products.

Yes, this would enable us to employ the workforce of the supplier by cross-training them in manufacturing our lawn-mowers as well. The new factory would enable us to gain market share as we can go on to create an economy of scope with more formalized processes and superior cost-cutting methods.

THE ACQUISITION GAMBIT



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SOLUTION

That seems feasible, but do you think we should buy a whole company just because we can? Is there any other advantage to this acquisition?

Acquiring the supplier would allow:

- Continued production at the same cost base.
- Expansion of output and entry into adjacent products (leaf blowers, weed-whackers).
- An edge over Glade-O-Glade, since they too relied on the same supplier. Now, they'll be forced to pay 40% premium and they cannot sustain themselves on a 1% margin.

That convinces me! Can you suggest a few things after the acquisition that would enable a smooth transition for us? We are switching from our core competency to something entirely new while having a huge loan amount to manage side by side.

I agree that we should tread carefully after the purchase. There are a few things that we should keep in mind as we move our business forward:

- The loan needs to be paid off as soon as possible. This will be financed by our new margins.
- The new labour force needs to be trained in the ways of our product while maintaining synergy with our existing employees.
- Lastly, we should carefully handle the stakeholders of the newly-acquired company; their own suppliers, shareholders and customers.

Great, that will be all!

THE ACQUISITION GAMBIT

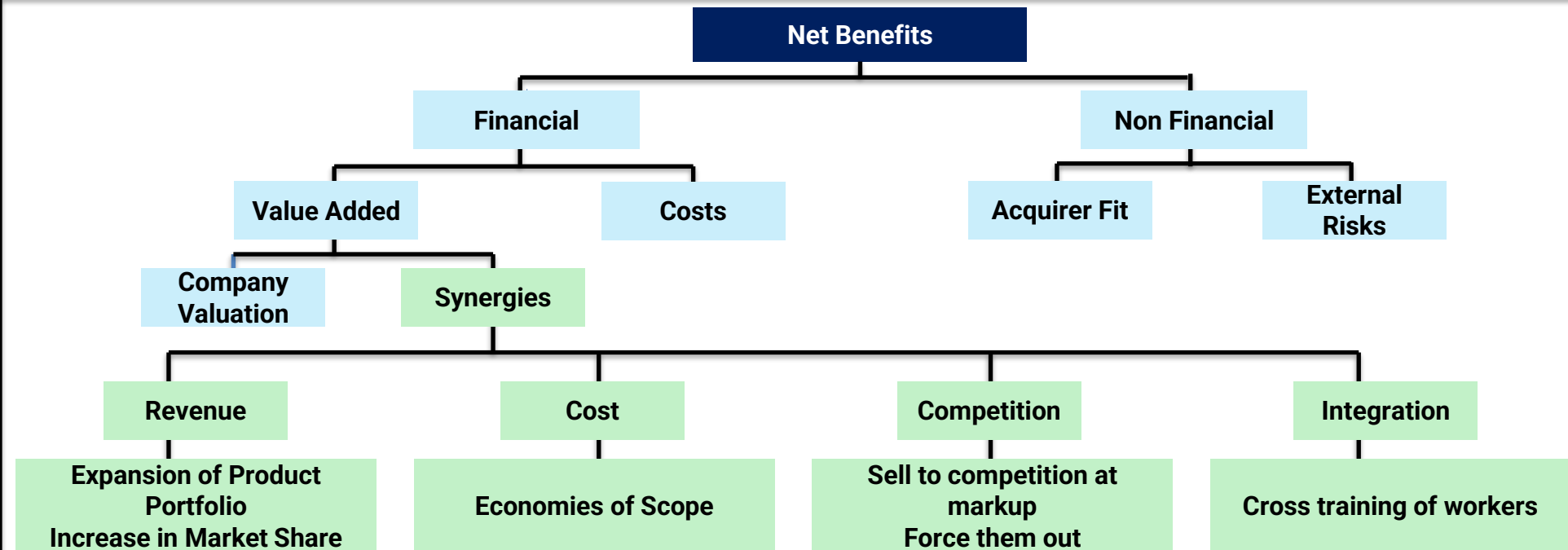


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KEY LEARNINGS

- This case is a classic example of how a major supply chain crisis can be turned into a strategic opportunity for vertical integration and competitive advantage.
- The best solution didn't just solve the immediate engine supply issue; it created new revenue streams and put a major competitor at a significant disadvantage.

APPROACH



BROWNIE POINTS

- Include a thorough risk assessment of the acquisition (integration challenges, market risks, potential op hurdles)
- A more comprehensive recommendation would include a detailed integration plan, outlining key steps for merging the workforce, supply chains, and company cultures.

OFF TO WAR



Lord Jaju, the dictator of Jokaland is troubled by the regular border skirmishes between his country and its neighbour, Dhokaland. He has sought your advice before he declares war to put an end to the matter.

CLARIFYING QUESTIONS

Thank you. Before I jump in, I'd like to clarify a few points: What is Jokaland's ultimate objective? Is it territorial expansion, national security, or internal political stability?

The main objective is long-term peace and stability and not expansion.

Understood. What is the scale of these border skirmishes? Are these small tactical incidents or larger organized attacks?

They are frequent, small-scale attacks. Dhokaland sends squads without warning, killing border patrols and disrupting trade.

Okay. Beyond military losses, how is Jokaland's economy and civilian population being affected?

The economy has been deeply impacted. Trade routes are disrupted, civilians are suffering, and it has become a national crisis.

I see. How does Jokaland's military capability compare to Dhokaland's? Could we realistically sustain a full-scale war?

Jokaland is militarily stronger, but a war would be costly and prolonged.

Got it! Lastly, are there geopolitical considerations like alliances, international pressure, sanctions?

Geopolitically, both nations are being watched by larger powers; sanctions are possible.

OFF TO WAR

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SOLUTION

Understood. To evaluate whether war is the right path, I'd like to structure my analysis across four areas:

1. Military Feasibility
2. Human & Social Cost
3. Economic Impact
4. Political & Geopolitical Consequences

That seems comprehensive. Please walk me through each area.

1. Military Feasibility

- Jokaland has the upper hand but modern warfare would drag on.
- Guerrilla-style retaliation from Dhokaland could stretch resources.
- Resource drain: Heavy defense spending diverts funds from development.
- Low probability of quick resolution; high chance of prolonged war.

That makes sense. What about the Economic Impact?

2. Economic Impact

- Infrastructure destruction: Roads, bridges and border towns severely damaged.
- Trade disruption: Unsafe borders would halt both domestic and international trade.
- Decline in productivity: Loss of workforce as civilians are drafted; supply chains disrupted.
- Recovery time: Even with aid, rebuilding economy and property would take decades.

So, the economic cost would be devastating. How do you assess the Human and Social Cost?

3. Human & Social Cost

- Casualties & displacement: Large-scale civilian/military deaths, refugee crisis inevitable.
- Governance stress: War emergency diverts attention from welfare, healthcare, and education.
- Public sentiment: Short-term nationalism may rise, but prolonged suffering will erode faith in leadership.

OFF TO WAR

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SOLUTION

A very important consideration. Finally, what are the Political and Geopolitical Consequences we need to be wary of?

4. Political & Geopolitical Consequences

- Jokaland Short-term boost for Lord Jaju's authority; long-term erosion if war drags on.
- Risk of sanctions from global powers, loss of trade partners.
- Diplomatic isolation: Jokaland could be branded the aggressor, reducing international credibility.
- Regional stability: Spillover effects may destabilize neighbors, making Jokaland's security weaker in the long run.

It seems you are strongly against the initial decision of going to war. What would you suggest in its place then? The border skirmishes must stop, one way or the other.

I'd recommend avoiding full-scale war and instead adopt alternative strategies:

- **Diplomatic Track:** Initiate talks with Dhokaland, possibly mediated by neutral nations
- **Economic & Strategic Pressure:** Push for sanctions on Dhokaland and use international platforms to gain support.
- **Defense Preparedness:** Strengthen border defenses and conduct limited, targeted responses to deter further aggression.

This seems like a better option and seems to be easier than managing an all out war. Let's wrap up the case now. Thank you!

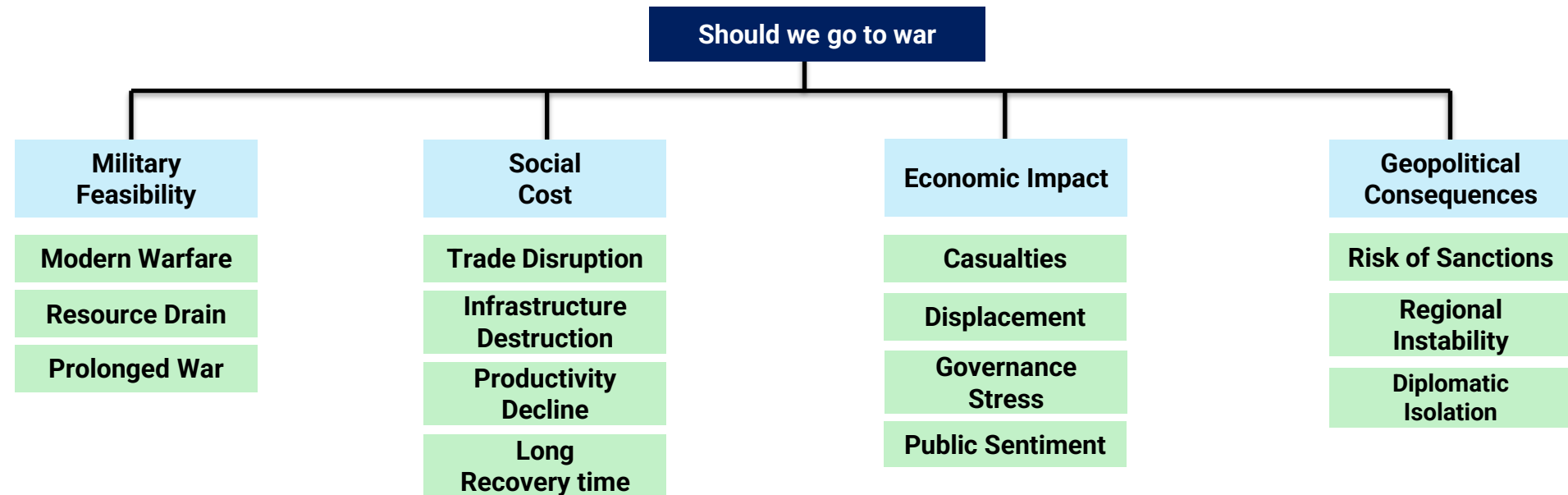
OFF TO WAR

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KEY LEARNINGS

- Clarify the end objective of the client (peace vs. expansion) before diving into analysis.
- Recommend balanced alternatives instead of extreme war/peace binaries.
- Frame advice in a way that balances short-term political gains with long-term national stability.
- Applying frameworks like PESTEL in vague situation

APPROACH



BROWNIE POINTS

- Highlighting that war rarely delivers quick peace and often escalates into a long stalemate.
- Show what Jokaland could achieve by investing war resources into development or instead.
- Explore the role of UN, neighboring powers, or regional alliances in preventing escalation.

REVIVING THE RUINS



Your client is the Archaeological Survey of India, or ASI. They have seen a significant decline in footfall at their smaller, less-famous historical sites. This is leading to neglect and a lack of funds for preservation. They want a strategy to increase visitor engagement and create a self-sustaining model for these monuments.

CLARIFYING QUESTIONS

Before I structure my approach, I'd like to ask a few clarifying questions to understand the scope of the problem. What is the primary objective? Is it purely to increase footfall, or is it more about generating revenue for preservation?

The primary objective is to create a self-sustaining financial model for these sites. Increased footfall is seen as the primary driver for this, but we are open to other ideas.

And could you give me an example of the types of sites we are discussing? Are they geographically concentrated?

Think of sites like ancient stepwells in Gujarat, lesser-known temples here in West Bengal, or old forts in Madhya Pradesh. They are spread across the country.

Finally, who is the current visitor to these sites, if any?

The current visitors are mostly a handful of locals or occasional history buffs. There is very little mainstream tourism.

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SOLUTION

Thank you, that provides a lot of clarity. To tackle this problem, I will structure my approach in three parts:

1. **Diagnosis:** I'll analyze the root causes of the declining footfall by looking at both the site experience and visitor accessibility.
2. **Strategy Formulation:** Based on the diagnosis, I'll develop a strategy focusing on enhancing the on-site experience and driving targeted traffic.
3. **Sustainable Model:** Finally, I'll outline how these strategies can be leveraged to create a diversified and self-sustaining revenue model.

Does this sound like a reasonable approach?

Yes, that's a very logical structure. Please begin with your diagnosis.

Let's start by looking at the sites themselves. What is the typical visitor experience like at one of these smaller monuments?

It's quite basic. There's usually a single plaque with historical information, a security guard, and not much else. The sites are often in remote locations with poor road access and minimal amenities like restrooms or cafes.

What about awareness? How are these sites currently marketed?

They aren't, really. They might be listed on the ASI website, but there's no proactive marketing or promotion to draw visitors in.

So, to summarize the diagnosis, the low footfall is due to a combination of:

- A low-**awareness** problem, as there's no marketing.
- An **access** problem, due to remote locations.
- An **experience** problem, as the sites are unengaging and lack basic amenities.

That's a fair summary. How would you go about solving these problems?

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SOLUTION

I'll address this with the two-pronged strategy:

- A) Enhancing the On-Site Experience
- B) Driving Targeted Traffic

So, how are you planning to improve the on-site experience?

We need to transform these sites from passive monuments into active experiences. My ideas include:

- **Digital Interventions:** Implement QR-code-based audio guides that tell engaging stories about the site. For larger sites, we could develop Augmented Reality (AR) apps that show how the monument looked in its prime.
- **Dynamic Programs:** Introduce themed events like heritage walks, photography workshops, local craft fairs on weekends. This creates reasons for people to visit and re-visit.
- **Improved Amenities:** Partner with private players to set up clean restrooms, cafes, and high-quality souvenir shops. This makes the visit more comfortable and also creates new revenue streams.

And how should we drive traffic?

We need to bring the right audience to these newly revitalized sites through:

- **Digital Marketing:** Target history and travel enthusiasts on social media. Collaborate with travel bloggers & influencers to create compelling content about these hidden gems.
- **Create Tourist Circuits:** Bundle 2-3 of these smaller sites with a major, famous monument in the region. A ticket for the main monument could offer a discount for the smaller ones, encouraging tourists to extend their visit.
- **Partnerships:** Develop partnerships with schools and universities for educational trips, and with tour operators to include these sites in their itineraries.

These are excellent ideas. How do you tie this all together to create the self-sustaining model we need?

The self-sustaining model is built by diversifying revenue streams beyond just the entry ticket.

REVIVING THE RUINS



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SOLUTION

Based on the strategies above, the new revenue model would have four pillars:

- 1) **Tiered Ticketing:** A basic entry fee, but also premium tickets for special experiences like a guided tour, a photography workshop, or exclusive access to certain areas.
- 2) **On-Site Commerce:** A revenue-sharing agreement with the private partners running the cafes and souvenir shops. A significant portion of revenue at major global sites comes from this.
- 3) **Venue Rentals:** Rent out the premises of suitable sites for cultural events, corporate offsites, or even small-scale weddings, creating a high-margin revenue stream.
- 4) **Memberships & Donations:** Create a "Friends of ASI" membership program that offers benefits like free entry and special event invites, creating a recurring revenue base and a community of supporters.

Great. What would be your final recommendation to the ASI board?

My final recommendation would be to launch a pilot program. Instead of a nationwide rollout, they should select a cluster of 5-10 sites in a single tourist circuit to test this new model. The recommendation is built on three pillars:

- A. **Experience Revamp:** Transform the sites using a mix of digital tools and live programming.
- B. **Targeted Marketing:** Actively promote these sites by creating tourist circuits and leveraging digital channels.
- C. **Diversified Revenue:** Implement a multi-pillar revenue model to ensure financial sustainability.

The pilot program would allow the ASI to test these initiatives, measure the ROI, and create a scalable blueprint for revitalizing all of its smaller historical sites across the country.

Great. These are good recommendations. Let's close the case here.

REVIVING THE RUINS

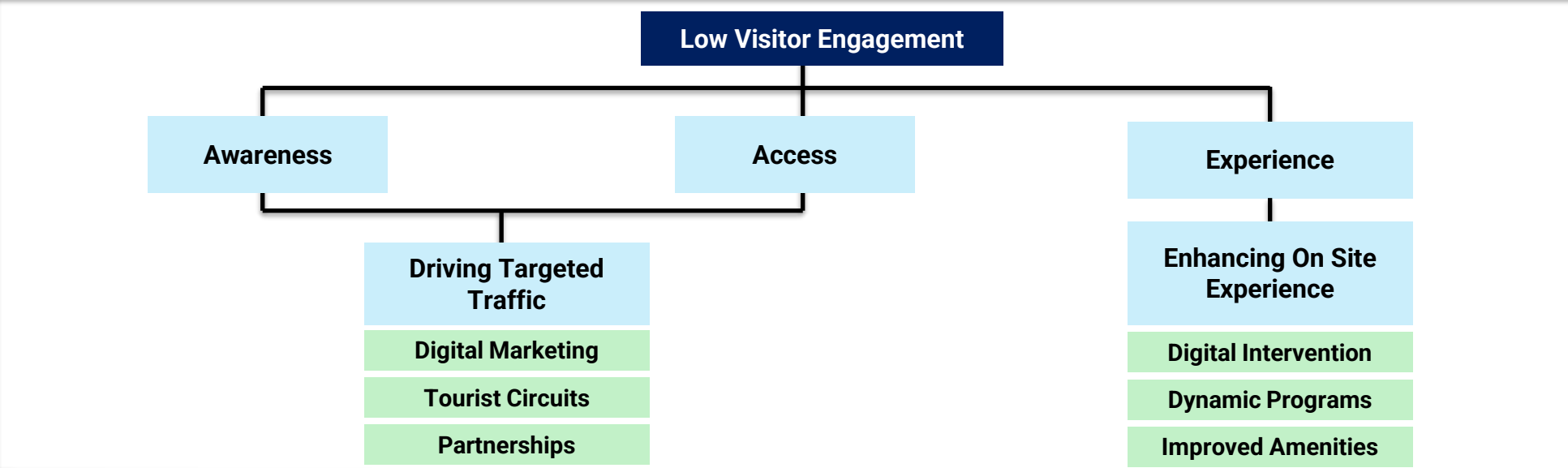


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KEY LEARNINGS

- The core objective for a non-profit is often sustainability, not profit maximization. Customize structure to solve this goal.
- For any tourist attraction, the key to increasing value is to transform a static site into a dynamic and engaging visitor experience.
- A sustainable financial model for cultural institutions cannot rely on a single income source; it requires multiple streams like commerce, rentals, and memberships.

APPROACH



BROWNIE POINTS

- Analyze the interests of key stakeholders (local communities, state tourism boards, private partners) and create a plan to get their buy-in.
- Define the specific success metrics for the pilot program, such as target footfall increase, revenue per visitor, and visitor satisfaction scores.

AFTER THE STORM



Your client is a State Government's Disaster Response Force. Following a recent cyclone, their response time for delivering aid to remote villages was 72 hours, far exceeding their 24-hour target. They need you to analyze their supply chain to identify bottlenecks and create a more resilient and rapid response system.

CLARIFYING QUESTIONS

Sure. Before I structure my approach, I'd like to ask a few clarifying questions. What specific type of aid is covered by the 24-hour target?

The target is for the "First Wave" of critical aid: drinking water, dry food rations, and basic medical kits.

Understood. And could you briefly describe the current supply chain? Where is the aid stored and how does it typically move?

Aid is stored at a central state warehouse, then moved to district warehouses, and from there, dispatched to villages by truck.

Finally, what were the specific bottlenecks in the recent cyclone?

The primary issues were that communication with remote areas was completely cut off for the first 24 hours, and major roads connecting the district warehouses to the villages were flooded and impassable.

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SOLUTION

Thank you. That provides a clear picture of the key challenges. To diagnose the bottlenecks and build a more resilient system, I would structure my analysis around the three key phases of the disaster response timeline, supported by a foundational layer of enablers.

- **Phase 1: Preparedness (Pre-Disaster).** What happens before the cyclone hits? This covers inventory and positioning.
- **Phase 2: Mobilization (Hours 0-12 Post-Disaster).** How quickly can we assess the situation and dispatch the first wave of aid?
- **Phase 3: Last-Mile Delivery (Hours 12-24 Post-Disaster).** How do we physically get the aid to the people in need?
- **Foundational Layer:** Cross-Cutting Enablers. This covers the technology and coordination that underpins the entire process.

Does this approach seem logical?

Please start with Preparedness. How would you analyze this?

To analyze Preparedness, I'd look at two key levers: Inventory and Infrastructure.

- **Inventory:** My hypothesis is we may be wasting time assembling aid packages after the disaster hits.
- **Infrastructure:** The current centralized model creates a single point of failure and long travel times.

That's a good breakdown. So what would you recommend?

Based on that, my recommendation is a decentralized, pre-positioning strategy. We should create standardized "First Wave" aid kits and store them in smaller, pre-stocked warehouses in every cyclone-prone district. This solves both the "what" and the "where" problem, ensuring the right aid is already close to where it will be needed.

That makes sense. Now, let's move to Mobilization. How do we speed this up, especially with communication down?

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SOLUTION

For Mobilization, the key is to accelerate Assessment and Dispatch.

- **Assessment:** The bottleneck is a lack of information. Instead of waiting for on-the-ground reports, we should use technology like drones and satellite imagery for rapid damage assessment. This tells us where to send aid immediately.
- **Dispatch:** The bottleneck here is likely bureaucratic delay. We should create a pre-approved, digitized Standard Operating Procedure (SOP). This empowers district officials to dispatch the pre-positioned aid as soon as a cyclone hits, without waiting for state-level approval.

Excellent. Now for the biggest challenge: Last-Mile Delivery, when roads are impassable.

For Last-Mile, we need to build resilience in Transport and Distribution.

- **Transport:** The bottleneck is our over-reliance on trucks. We need to build a multi-modal transport strategy by pre-contracting a fleet of boats for flooded areas and having a clear protocol for requesting helicopter support for the most isolated regions.
- **Distribution:** Even if we get aid to a village's vicinity, we need to ensure it reaches every household. The solution is to create a pre-trained network of local community volunteers to act as our final distribution champions.

Finally, how do your Cross-Cutting Enablers tie this all together?

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SOLUTION

The enablers are the glue that holds the system together. The most critical enabler is a **Unified Command & Control Platform**. This would be a single digital dashboard that provides real-time information, from satellite damage assessments to inventory levels at each district warehouse and the GPS location of delivery trucks, to all agencies (the State Force, NDRF, local administration, etc.). This ensures everyone is working with the same data and can coordinate their efforts effectively.

This is a very comprehensive plan. Could you summarize your final recommendation?

My final recommendation is to shift from a reactive, centralized model to a proactive, decentralized, and tech-enabled disaster response system.

This involves four key shifts:

1. From Centralized to Decentralized Warehousing: Pre-positioning aid in high-risk districts.
2. From Manual to Tech-Enabled Assessment: Using drones and satellite imagery for rapid needs analysis.
3. From Single-Mode to Multi-Mode Transport: Building a resilient last-mile delivery system with boats and helicopters.
4. From Siloed to Coordinated Operations: Implementing a unified digital platform for real-time information sharing.

This new system will create the resilience and speed needed to consistently meet the critical 24-hour response target.

That's a very clear and actionable recommendation. Thank you. We can end the case here.

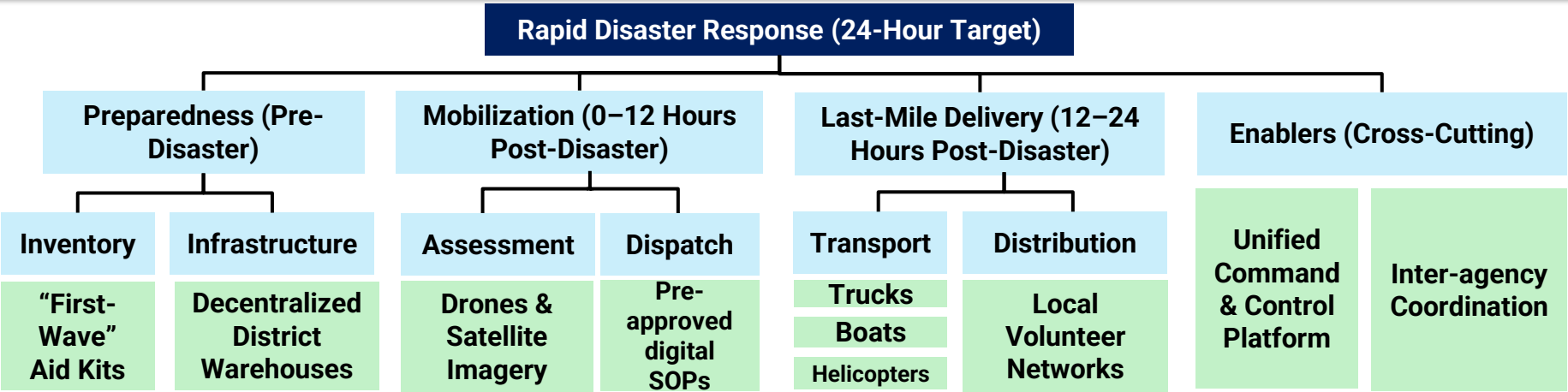
AFTER THE STORM

Your client is a State Government's Disaster Response Force. Following a recent cyclone, their response time for delivering aid to remote villages was 72 hours, far exceeding their 24-hour target. They need you to analyze their supply chain to identify bottlenecks and create a more resilient and rapid response system.

KEY LEARNINGS

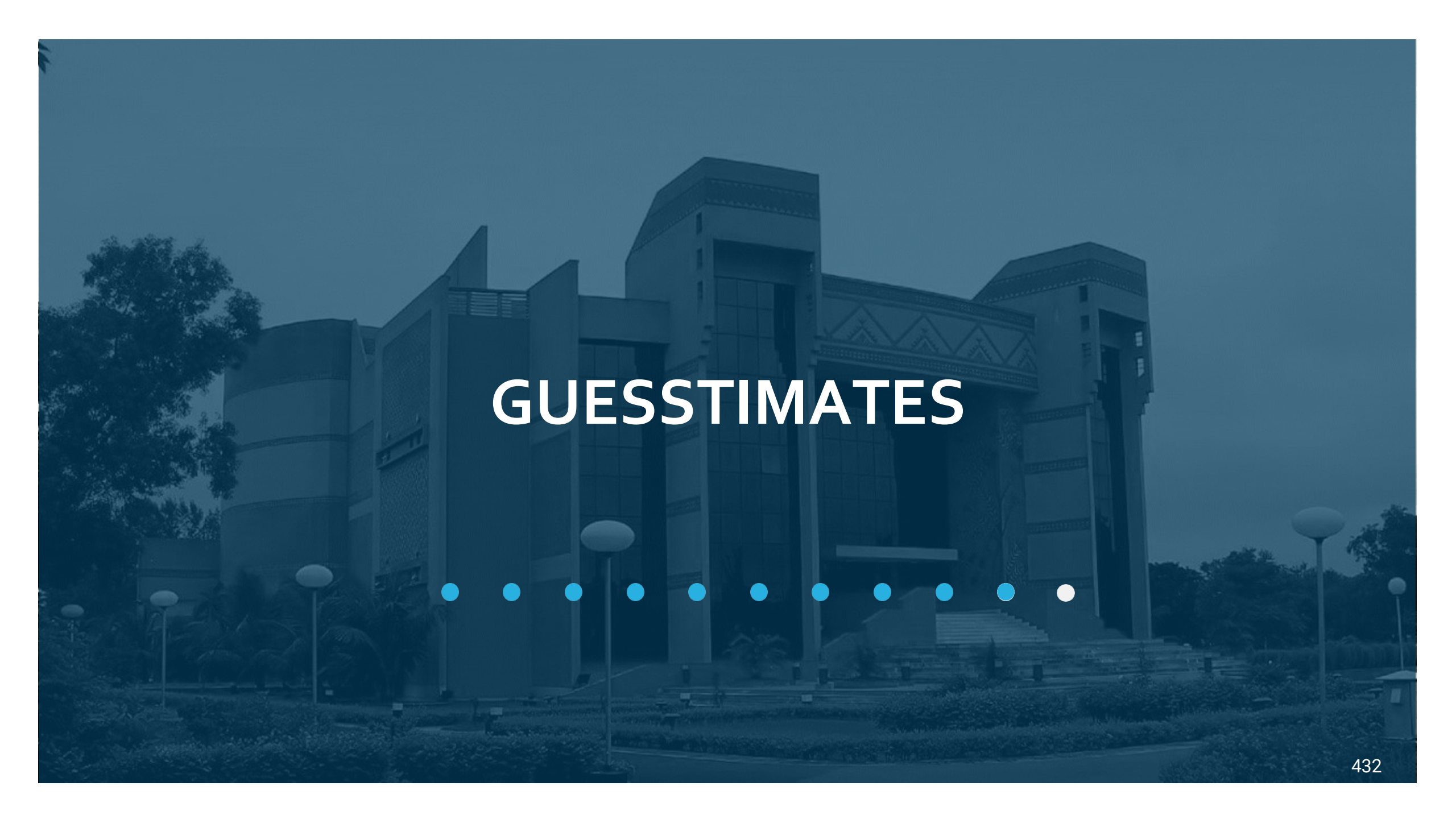
- In humanitarian logistics, the primary success metric isn't profit, but time. The entire analysis must be optimized for speed and resilience.
- This case demonstrates how technology like drones, satellites, and digital platforms can be a game-changer in solving traditional logistical problems, especially in information-scarce environments.
- For any process-oriented problem, breaking down the timeline into distinct phases is a powerful way to identify and solve for specific bottlenecks.

APPROACH



BROWNIE POINTS

- Suggest creating a formal PPP framework, partnering with logistics and tech companies to leverage private sector efficiency and resources.
- Include a detailed module for training the local volunteer networks and conducting regular disaster simulation drills.
- Briefly discuss how this rapid response system connects with the subsequent, longer-term recovery and rebuilding efforts.



GUESSTIMATES

Guesstimates are estimates based on a mixture of guesswork and calculation. They can be given independently or as a part of a case. The interviewer is generally looking to assess:

- Structure of your approach
- Comfort level with numbers and quick calculations
- Ability to make back of the mind checks to validate the numbers

As a part of the guesstimate you will be required to make reasonable and logical assumptions, it is important to state them clearly and seek confirmation from the interviewer. You will not be expected to calculate the exact value, but a rough number.

Approaches to solving guesstimates:

Top-Down approach

Involves starting with an entire population (in other words, the “top” level) and then breaking it down until you arrive at an answer.

The major elements of a top-down approach are:

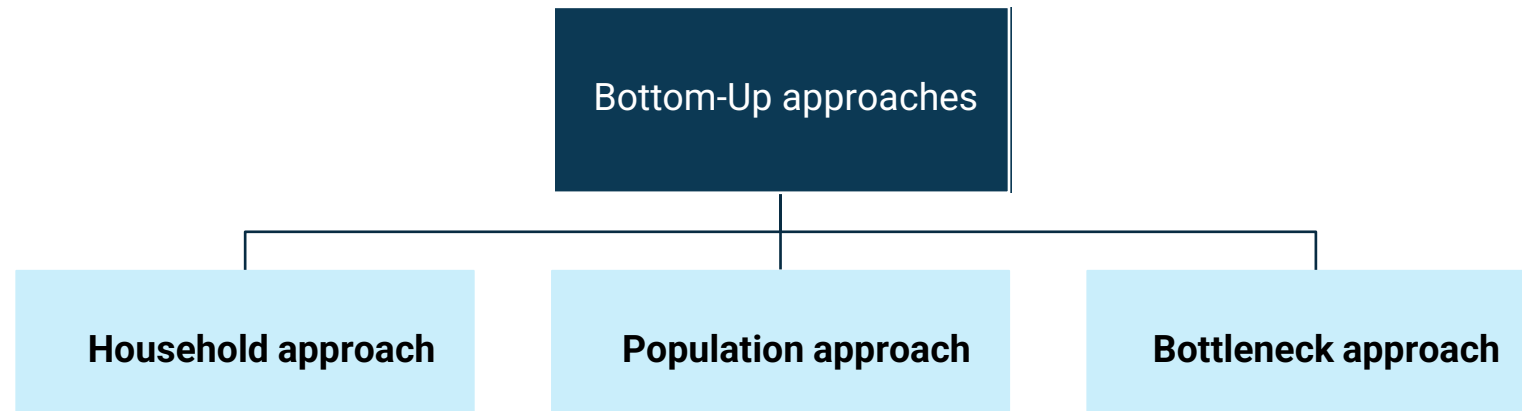
- Identifying the correct starting universe
- Applying the right set of filters and relevant conditions. Segmentation can be carried out as follows:
 - Demographics (age, sex, income, ethnicity, etc.)
 - Psychographics (attitudes, behaviour, values, e.g. smoker vs non-smoker, dog vs cat person, etc.)
 - Geography (urban vs rural, Tier I/II/III cities, country, continent, etc.)
 - Channels (offline vs online, mobile app vs website, etc.)

Bottom-Up approach

For this approach, rather than starting from the “top” with a high-level figure such as population, the best approach is to start from the “bottom”—some low-level statistic, such as Revenue per customer, and build your way up to the answer.

Some common bottom-up approaches:

- Household approach
 - Example: For a guesstimate involving the number of cars, washing machines etc driving calculation using a household approach is easier
- Population approach
 - Example: For estimating the number of mobile phones, chocolates consumed, apparel bought a population approach can be used
- Bottle-neck approach
 - Example: For estimating the number of flights per day in a busy airport the number of available runways would serve as a handy bottleneck to base your calculations. There could also be a limitation on the production capacity of the manufacturer in certain cases



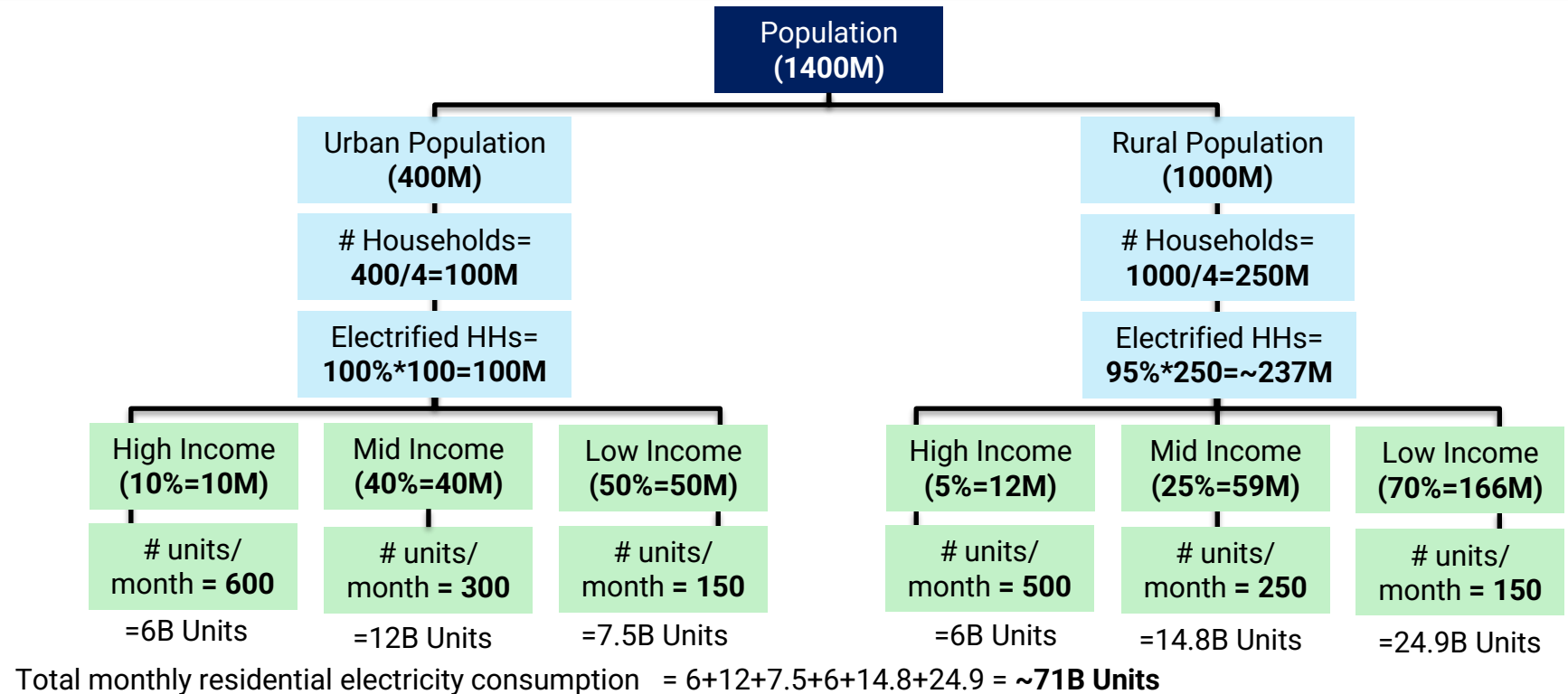
WATT A HOUSEHOLD!

Guesstimate the **Monthly Residential Electricity Consumption** in India.

FACTS/ASSUMPTIONS

APPROACH

1. Calculation to be done in terms of units of consumption
2. Average family size for both Rural and Urban
3. The # units per month for each of the income group assumed some such as monthly can be basis calculation the electricity consumption of your home



BROWNIE POINTS

- **Electrification:** Explicitly adjust for electrification
- **Segmentation:** Present segment-wise calculations in a clear, tabular format
- **Discuss potential errors:** Household size, electricity access, urban/rural definition
- **Suggest improvements:** Consider seasonality, appliance penetration, grid losses

KEY LEARNINGS

- Structured segmentation yields a logical, explainable estimate
- Electrification rate has major impact; always clarify and include it
- Urban homes consume more per household despite being fewer
- Approach is adaptable for other markets/utilities

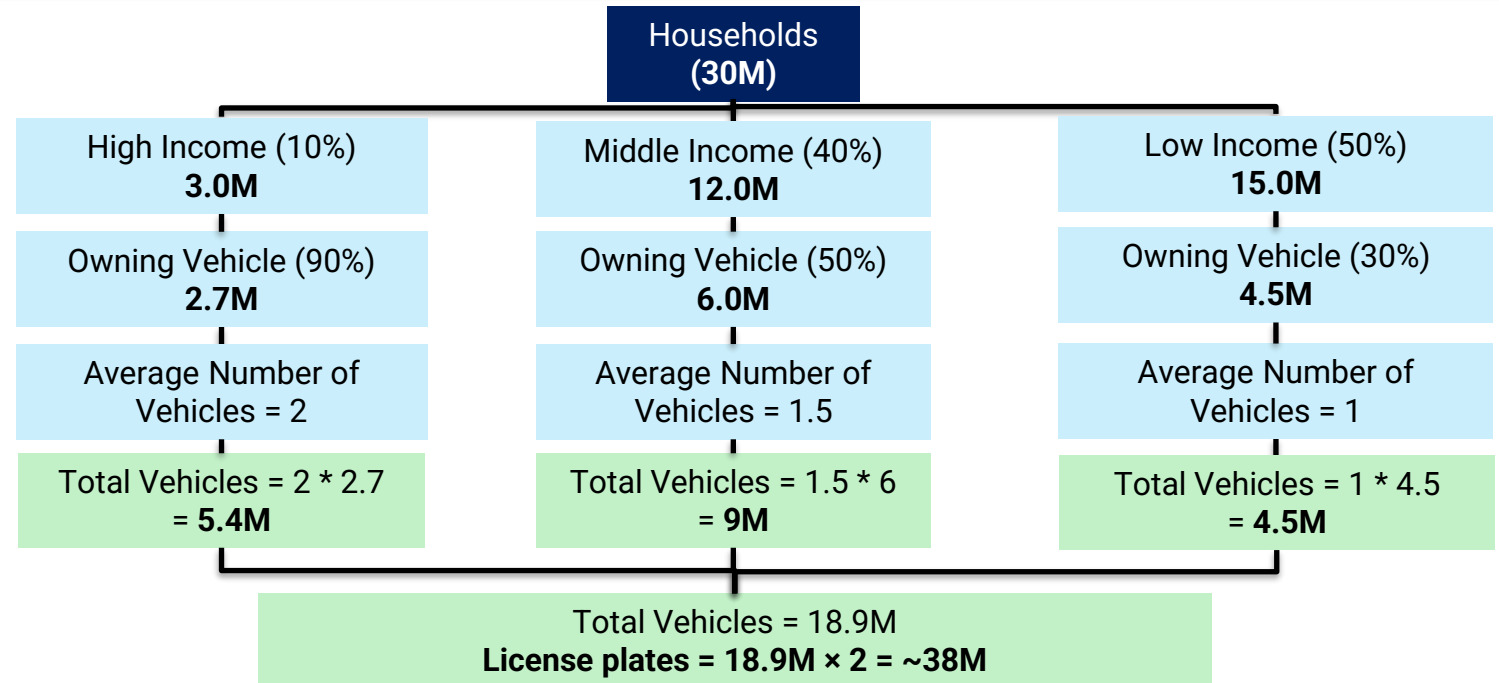
DRIVEN BY NUMBERS

Estimate the **Number of License Plates** in Maharashtra (personal vehicles only).

FACTS/ASSUMPTIONS

1. Focus on personal motor vehicles only.
2. Count active vehicles in use.
3. Two-wheelers and four-wheelers are both included.
4. Each vehicle has 2 plates (front + rear).
5. Total population = 120M
6. Avg. household size = 4 $\rightarrow$ 30M households
7. Income split: High 10%, Mid 40%, Low 50%
8. Ownership rate: High 90%, Mid 50%, Low 30%
9. Avg. vehicles per owning HH: High 2, Mid 1.5, Low 1

APPROACH



BROWNIE POINTS

- Both cars and two-wheelers require front & rear identifiers
- **Commercial vehicles:** Excluded per problem statement
- **Second-hand vehicles:** Do not increase count (plates typically stay with the vehicle); included within the 18.9M vehicle stock. (Be mindful of similar edge cases)

KEY LEARNINGS

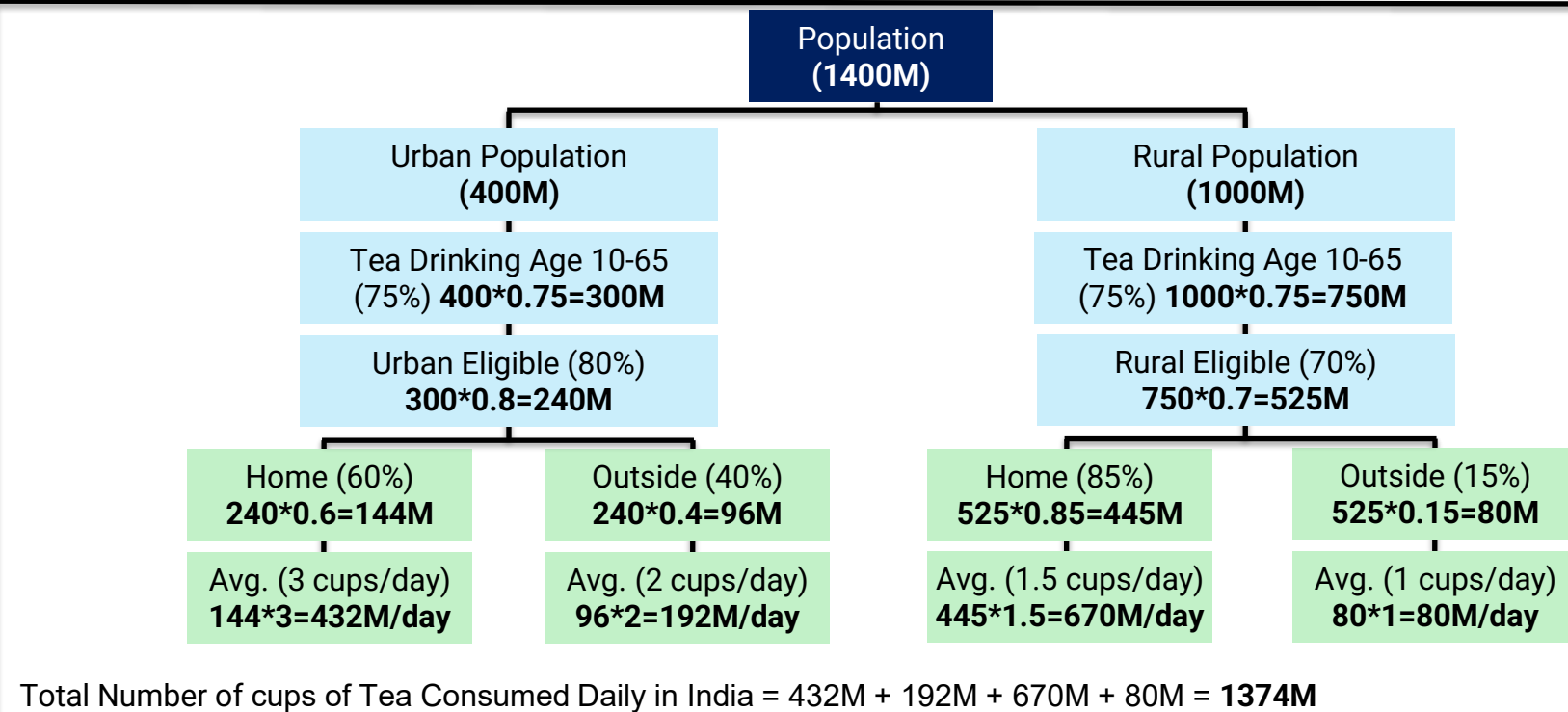
- Classic top-down estimate with income-based segmentation.
- Early scope clarifications (personal vs commercial; active vs historical etc.) matter.
- Small assumption tweaks (e.g., 1.5 vs 1.3 vehicles/HH) move results by millions. Clear segmentation $\times$ simple multiplication = transparent, defensible answer.

Estimate the **Number of Cups of Tea** Consumed Daily in India

FACTS/ASSUMPTIONS

1. Filter out by age group (10-65 years population)
2. Assume the daily drinking population factor (0.8 for urban and 0.7 for rural)
3. Break down Home drinkers and Outside sdrinkers
4. 60% and 85% Home drinkers for Urban and Rural Population respectively
5. 40% and 15% Outsiders drinkers for Urban and Rural Population respectively
6. Assume the daily average cups of tea drinking by all these groups
7. 3 cups, 2 cups, 1.5 cups, 1 cups per day respectively

APPROACH



BROWNIE POINTS

- **Lifestyle Breakdown:** Clarify tea drinking frequency by lifestyle.
- **Venue Split:** Recognize tea is both a home and out-of-home product.
- **Optional:** Could consider seasonal increase in winter or drop in summer.

KEY LEARNINGS

- Adding layers like age, geography, and usage venue gives more realistic numbers
 - Behavioral segmentation (e.g., where tea is consumed) adds depth
- In habit-based products, think in terms of occasions per day, not just users

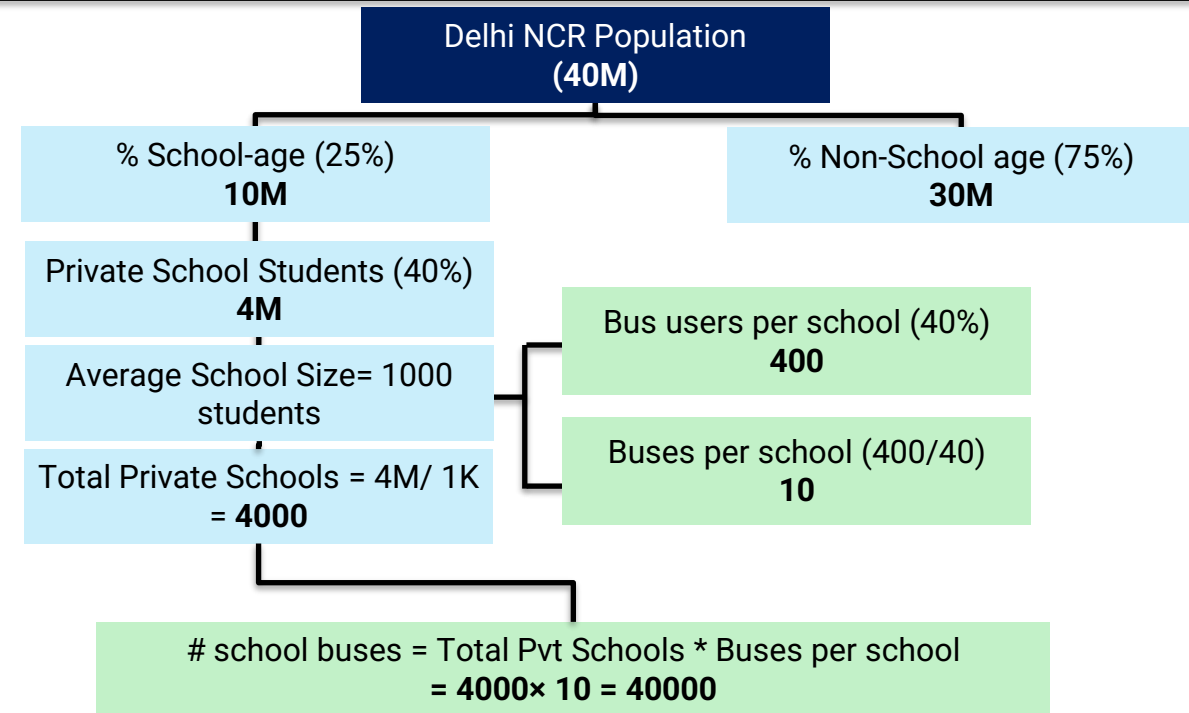
RIDE TO SCHOOL

Estimate the **Number of School Buses** in Delhi NCR

FACTS/ASSUMPTIONS

1. Focus on private school students
2. Consider Delhi NCR broadly (Delhi + Noida + Ghaziabad + Gurgaon + Faridabad)
3. Account for only current fleet
4. Capacity per bus = 40 Students
5. Buses required per school = Bus users per school / Capacity per bus

APPROACH



BROWNIE POINTS

- **Type of usage:** Clarifying public vs private school usage
- **Bus Utilization:** Mentioning bus occupancy vs number of trips per bus
- **Student Behaviour:** Segmenting by school type and student behaviour
- **Demand Check:** Cross-validating using # schools × students per school

KEY LEARNINGS

- City infrastructure guesstimates benefit from population-based segmentation
- Target user behaviour (who uses the bus?) is as critical as capacity
- Always break into logical units (people → schools → buses)

TRIMMED TO SIZE

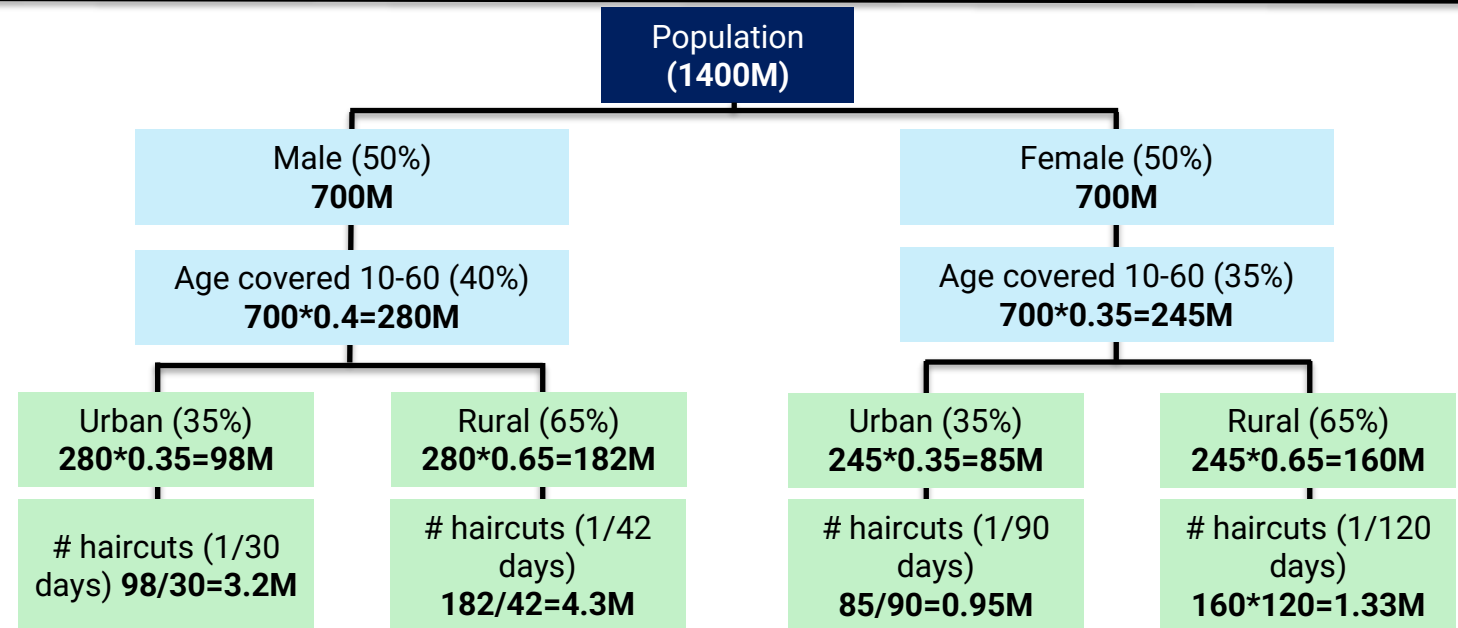


Estimate the **Number of Haircuts** Given Per Day in India

FACTS/ASSUMPTIONS

1. Filter out by age group (10-60 years population)
2. Focus on both urban as well as rural areas
3. Segment the population into men and women
4. Take different estimate of frequency of haircuts for urban/rural and men/women

APPROACH



Total Number Haircuts given per day in India = 3.2M + 4.3M + 0.95M + 1.33M = **9.78M**

BROWNIE POINTS

- **Breakdown:** Segment population by age, gender, location
- **Frequency:** Different assumption of haircut for different groups
- **Optional:** Could mention in-home or informal sector coverage

KEY LEARNINGS

- Personal services guesstimates are best approached using behaviour × population
- Frequency of usage is more important than just user count
- Avoid lumping all users into one assumption

FLIGHT CLUB (RULE 1: WE COUNT EVERYONE)

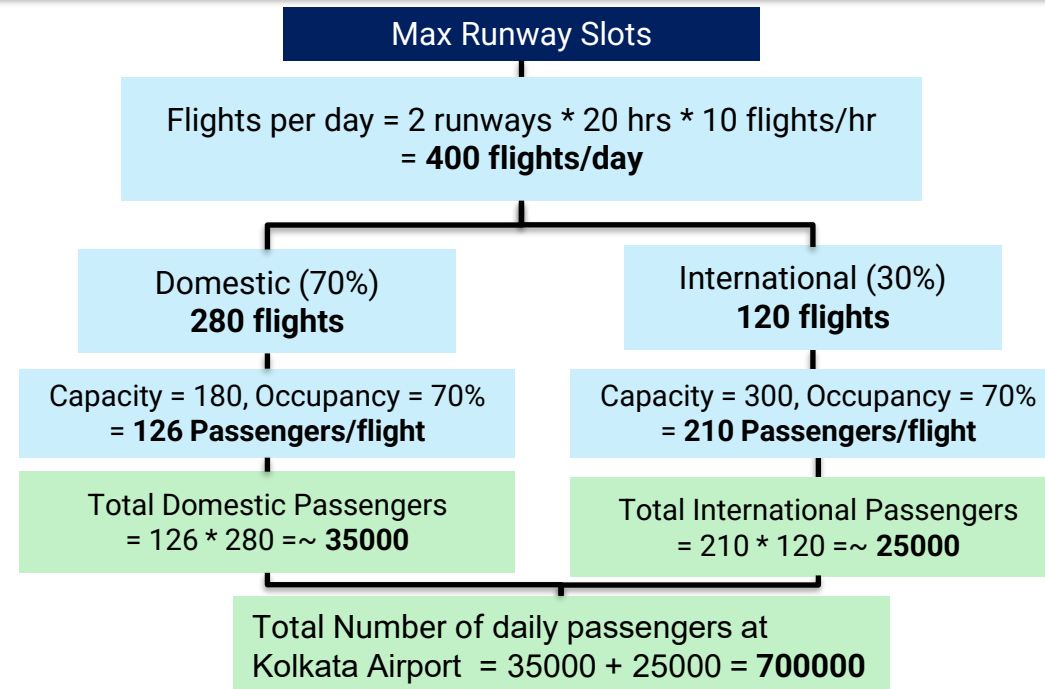


Estimate **daily Passengers at Kolkata Airport** (arrivals + departures counted as passengers handled by the airport)

FACTS/ASSUMPTIONS

1. Focus on scheduled passenger flights (not cargo)
2. Runway slots are the limiting factor
3. All flights run at average occupancy and capacity
4. Domestic/international split: 70%/30%
5. Average aircraft capacity: 180 (domestic), 300 (international)
6. Average occupancy: 70%
7. Runways operational for 20 hours/day
8. Interval between flights: 6 minutes per runway (i.e., 10 flights/hour/runway)

APPROACH



BROWNIE POINTS

- **Bottleneck check:** Runway slots are the capacity ceiling; increasing gates or planes won't matter if runways are capped.
- **Real-world delays:** Flights may not achieve full runway utilization due to ATC delays and turnaround times.

KEY LEARNINGS

- Airport passenger capacity is runway bottleneck-driven, not just terminal size.
- This guesstimate follows a clean Capacity × Utilization × Time logic.
- Introducing assumptions on load factor and delays makes estimation more realistic.
- Rule of thumb: For busy airports, flights/day × avg. seats × occupancy is a sound framework.

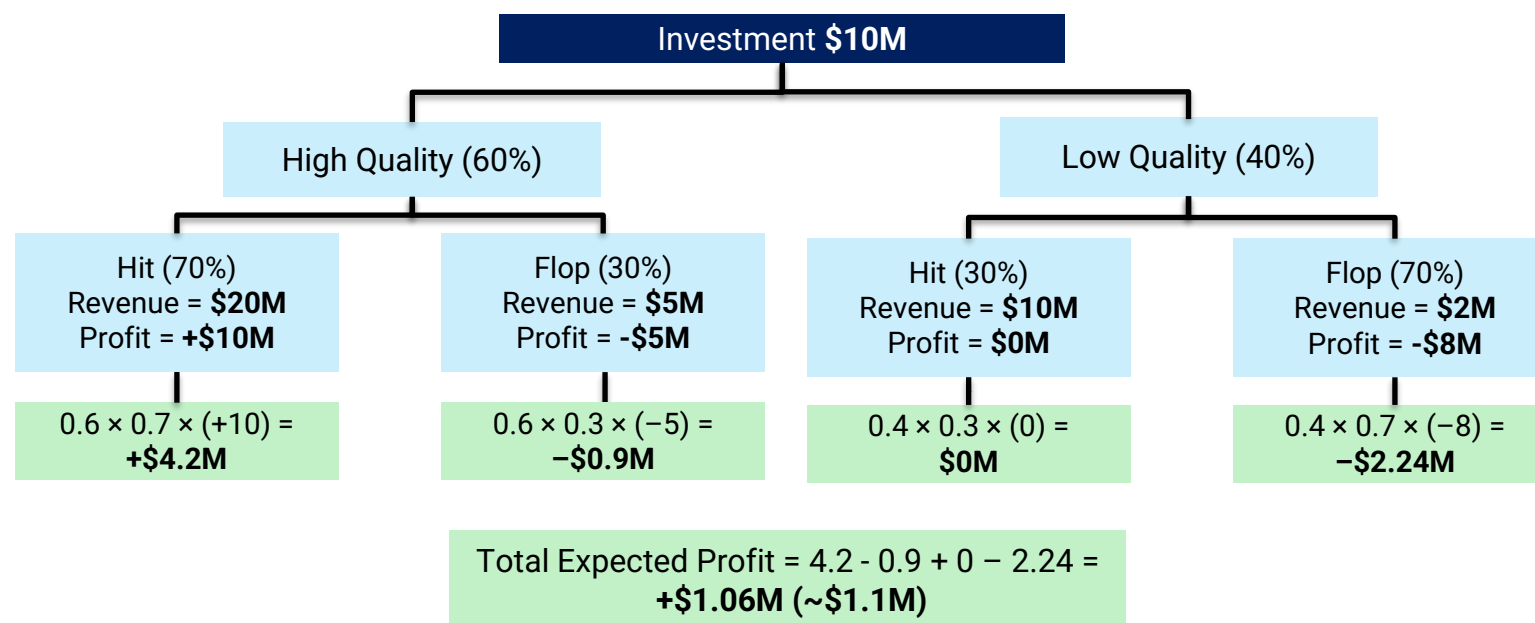
CINE-MATH-ICS

Estimate **Expected Profit** from producing a **\$10M movie** (hit/flop outcomes).

FACTS/ASSUMPTIONS

1. Production Cost: Fixed at \$10M per movie.
2. Outcome Possibilities: Each movie can either be a Hit or a Flop.
3. Revenue Potential: Box office returns differ for a Hit vs a Flop (probabilities & payoffs are specified in the case tree).
4. Single Project Lens: Each decision is evaluated per movie (not across a portfolio of films).
5. Decision Rule: Use Expected Monetary Value (EMV) to decide whether to produce the movie.

APPROACH



BROWNIE POINTS

- **Risk highlighted**: Almost half the scenarios lose money despite positive EV.
- **Layer 1 flexibility**: Can model as external risk (e.g., funding, market shocks).
- **Strategic add-ons**: Successful movies enable sequels, reputational credibility, streaming rights → real EV could be higher.
- **Sensitivity check**: If production cost rises to \$12M, expected profit turns negative.

KEY LEARNINGS

- Decision tree gives a probability-weighted risk/reward view, not just averages.
- Positive expected profit doesn't mean low risk.
- Clear structuring + math transparency builds interviewer confidence.
- Adapt the first "layer" depending on case context (funding, market, competitor releases).

SLICE OF LIFE



Estimate the **Number of Pizza Deliveries** Made Daily in India

FACTS/ASSUMPTIONS	APPROACH
1. Consumption frequency: 1 pizza order per person per month. 2. Order aggregation: Average daily orders $\approx 25\text{M} \div 30 = 830\text{K}$. 3. Adjustment: +20% added for occasional eaters & group orders $\rightarrow \sim 1\text{M}$ daily orders. 4. Mode of consumption: Focus on deliveries only (takeaway/dine-in excluded). 5. Urban behavioral factor: Pizza is primarily an urban discretionary food, boosted by food delivery apps (Swiggy, Zomato).	India Population = 1.4B Urban Population (35%) = ~500M Target Age Group (15–45) 50% = 250M Pizza Affordability & Preference (10%) = 25M Avg. pizza order frequency = 1 pizza per person /month Daily Orders = $25\text{M} \div 30 \approx \sim 830\text{K deliveries/day}$ +20% Occasional Eaters & Group Orders $\approx 1\text{M Pizza Deliveries/Day}$
BROWNIE POINTS Group adjustment: Delivery-first assumption: Practical mindset: Awareness of weekend bias:	KEY LEARNINGS Layered segmentation Frequency $\times$ population Adjustment for behaviour Delivery apps

PLUGGED IN AND COUNTED

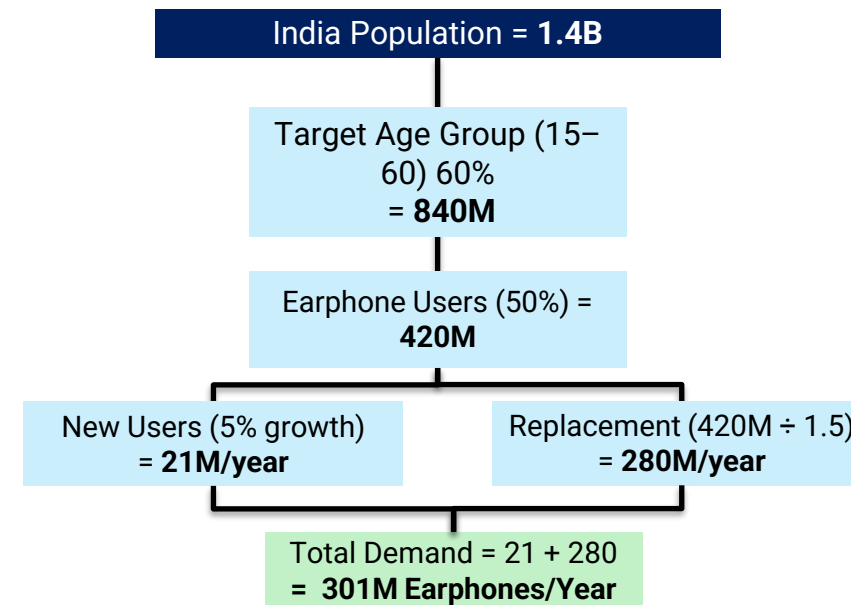


Estimate the **Number of Earphones** Sold Annually in India

FACTS/ASSUMPTIONS

APPROACH

1. India population $\approx 1.4\text{B}$.
2. Target base: Age 15–60
3. New demand: Annual growth $\sim 5\%$ of base $\rightarrow \sim 21\text{M}$ new users/year.
4. Replacement cycle: Avg. life = 1.5 years earphones/year.
5. Scope: Personal buyers, excluding bulk/institutional.
6. Device bundling: A fraction of demand met via phones bundled with earphones, but captured within replacement logic.



BROWNIE POINTS

- Separating first-time buyers from replacements gives structure
- **Lifecycle view**: Tech product durability drives repeat demand.
- **Bundling factor**: Earphones bundled with smartphones can impact replacement.
- **Segment diversity**: Recognizing low-end vs premium segments can refine revenue-side estimates.

KEY LEARNINGS

- Consumer electronics guesstimates work best with **User Base × Replacement Cycle** logic.
- Splitting first-time vs repeat demand adds credibility.
- Secondary demand drivers like bundling and segment splits should be acknowledged.
- Durability lifecycle is a crucial driver for tech categories.

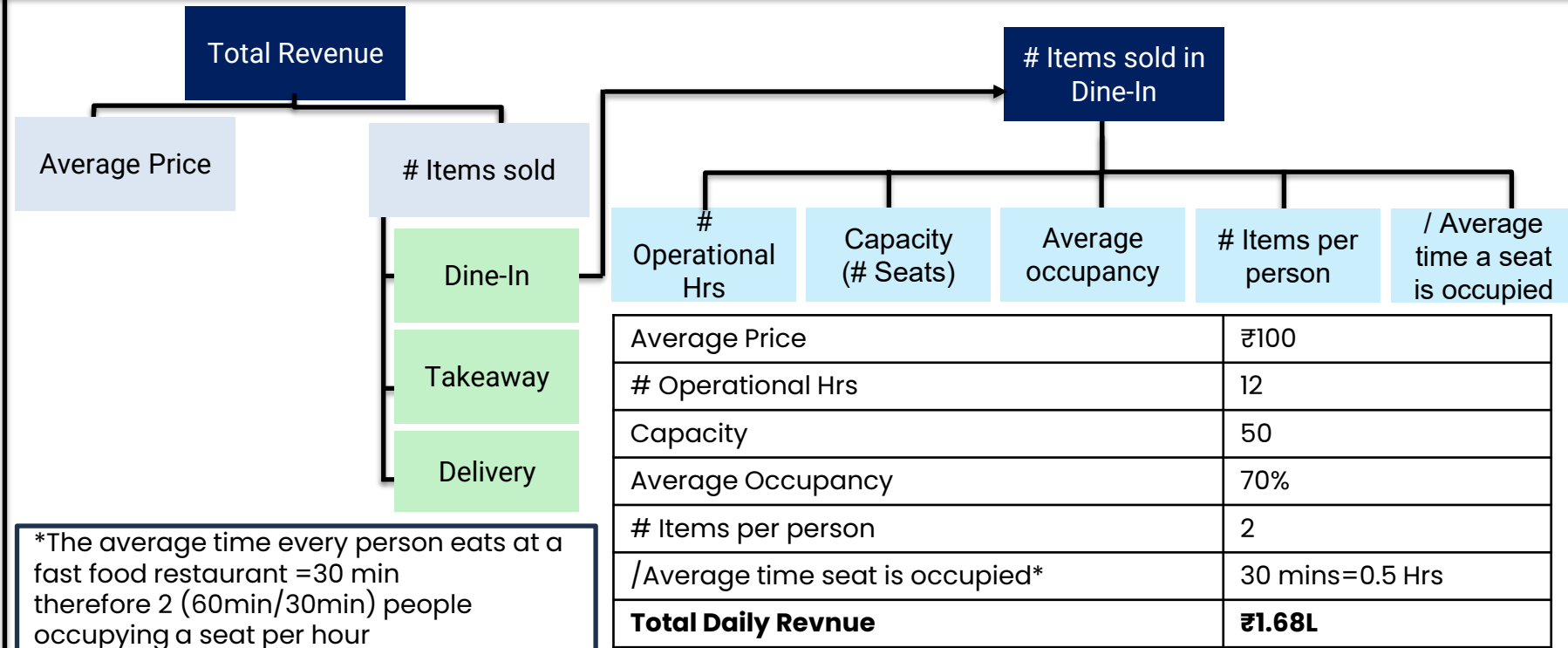
ECONOMICS OF A HAPPY MEAL

Guesstimate the **Daily Revenue of a typical Fast-Food Chain** in Kolkata

FACTS/ASSUMPTIONS

1. Focus on Dine-In orders only
2. Outlet: 50 seats, 12-hour day.
3. Avg customer stays: 30 min; average: 2 items/order at ₹100/item.
4. Occupancy by time: Varies (e.g., lunch/dinner peaks ~80–85%, others lower)

APPROACH



BROWNIE POINTS

- **Occupancy rates:** Model occupancy rates by time slot (for realism)
- **Structured approach:** Structure logic as "seat-hours × utilization × turnover."
- **Highlight factors affecting real life:** location, weekend/weekday, event days
- **Other considerations:** Add labor/operational cost note if asked to discuss profits

KEY LEARNINGS

- Restaurant revenue is driven by utilization, turnover, and order size
- Detailed, time-based modeling is much more accurate
- Turnover (speed) makes as much difference as number of seats
- Small changes in occupancy or ticket size non-linearly affect profits

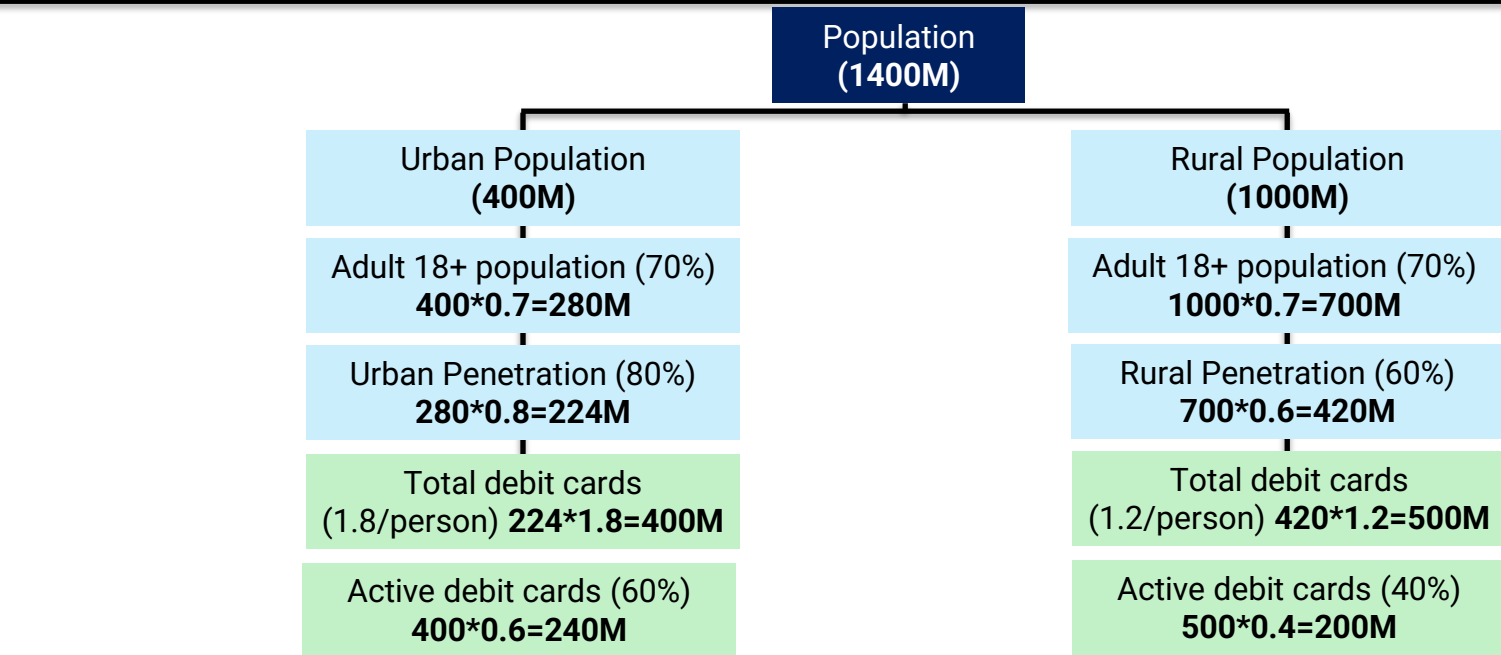
SWIPE TO ESTIMATE

Estimate the **Number of Debit Cards** Actively Used in India

FACTS/ASSUMPTIONS

1. Only 18+ (70%) persons will have bank accounts
2. Bank account penetration in urban (80%) and rural India (60%)
3. Assuming active means at least one transaction in last 30 days (ATM/POS/Online)
4. Include only individuals, not corporate/business accounts
5. Adjust for people holding >1 card to avoid overcounting

APPROACH



Total Number of Debit Cards Actively Used in India = 240M + 200M = **440M**

BROWNIE POINTS

- **Cards active:** Distinguishing between Issued cards and active cards
- **Segmenting:** Segmenting by urban vs rural or digitally literate vs not
- **Usage breakdown:** Clarifying usage behavior (UPI reducing card dependency)
- **Important:** Highlighting duplicate/inactive account

KEY LEARNINGS

- Banking-related guesstimates require layered reasoning: population -> access -> usage
- Behavioral filters (card usage vs UPI/cash) are critical
- Financial sector guesstimates are strong candidates for segmentation by penetration & usage

MILES TO MONEY



Estimate Annual Revenue of Mumbai Local Train Network

FACTS/ASSUMPTIONS	APPROACH
1. Mumbai's Population - 20M 2. Number of trips/day = 2 3. Focusing only on ticket sales, including passes 4. Assume average monthly pass of 250Rs. 5. Assume average daily single ridership cost = 12Rs. 6. Consider 2-way commutes rather than user counts	Mumbai Population = 20M Daily Commuters (15–60) 50% = 10M Local train Commuters (50% = 5M daily Total trips/day (2/day average) = 10M Monthly Passes(70%) = 7M Single tickets (30%) = 3M Annual Revenue = 7M*250*12 = 2100M Annual Revenue = 3M*12*365 = 1314M Total annual Revenue of Mumbai Local Train network in India = 2100M + 1314M = 3414M
BROWNIE POINTS User Split: Pass vs ticket Cost Estimation: Estimating cost per ride from monthly pass usage Days Impact: Mentioning peak load and weekday vs weekend impact	KEY LEARNINGS Revenue-based guesstimates rely on volume × price logic Behavioural segmentation (passes vs tickets) improves accuracy Good practice to convert monthly prices into per-use values 2-step multipliers (people → rides → price) make the model robust

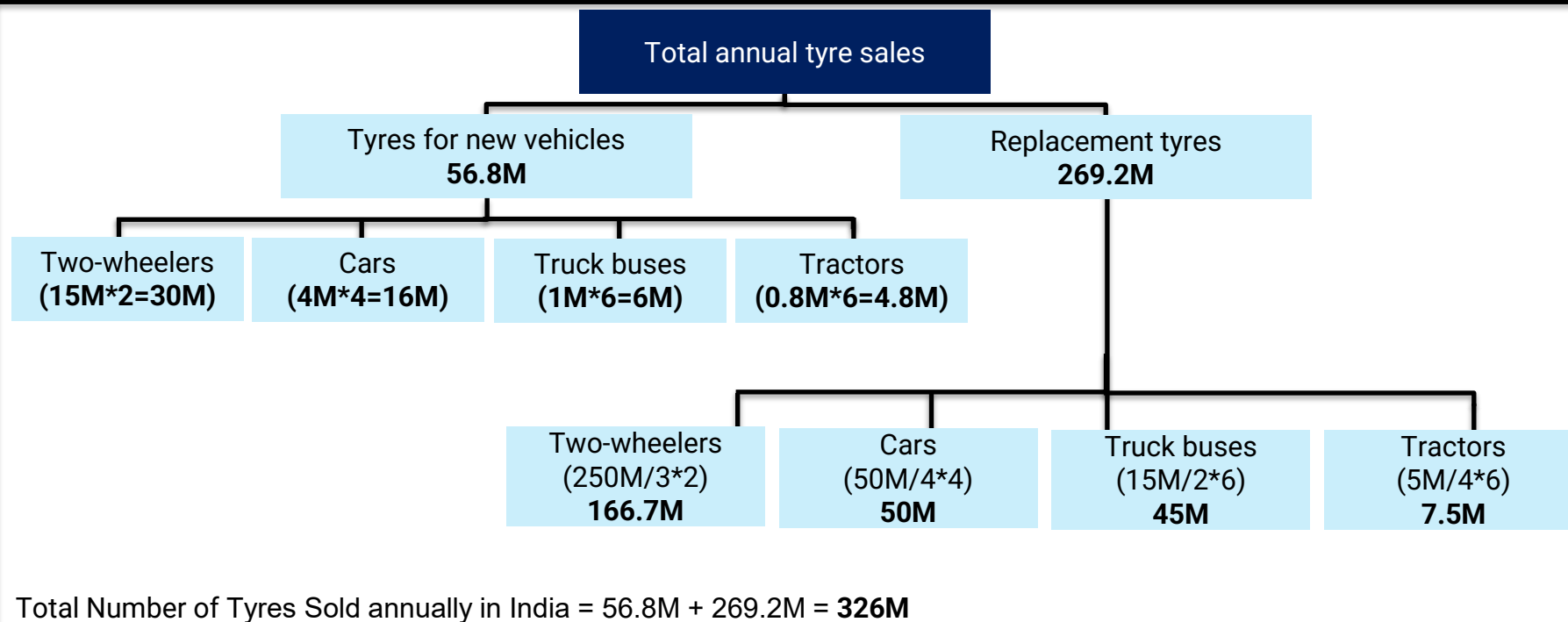
ROLLING NUMBERS

Estimate the **Number of Tyres Sold** Annually in India

FACTS/ASSUMPTIONS

1. Include all types of vehicles (two-wheelers, cars, trucks, tractors, buses)
2. Count OEM sales (new vehicles) plus aftermarket/replacement sales
3. Include only on-road vehicles, and ignore spares, exports, and unregistered use (e.g., carts, trolleys)

APPROACH



BROWNIE POINTS

- **Demand Split:** Breaking demand into OEM vs replacement
- **Replacement cycles:** Different replacement cycles per vehicle type
- **Tyre count:** Factoring in number of tyres per vehicle
- **Wear intensity:** Recognizing commercial vehicles' higher tyre wear

KEY LEARNINGS

- Use vehicle count × tyres × frequency framework
- Segmentation across vehicle categories is essential
- Behavioural and mechanical realities (tyre life, load) matter
- Apply a bottom-up approach for physical product guesstimates

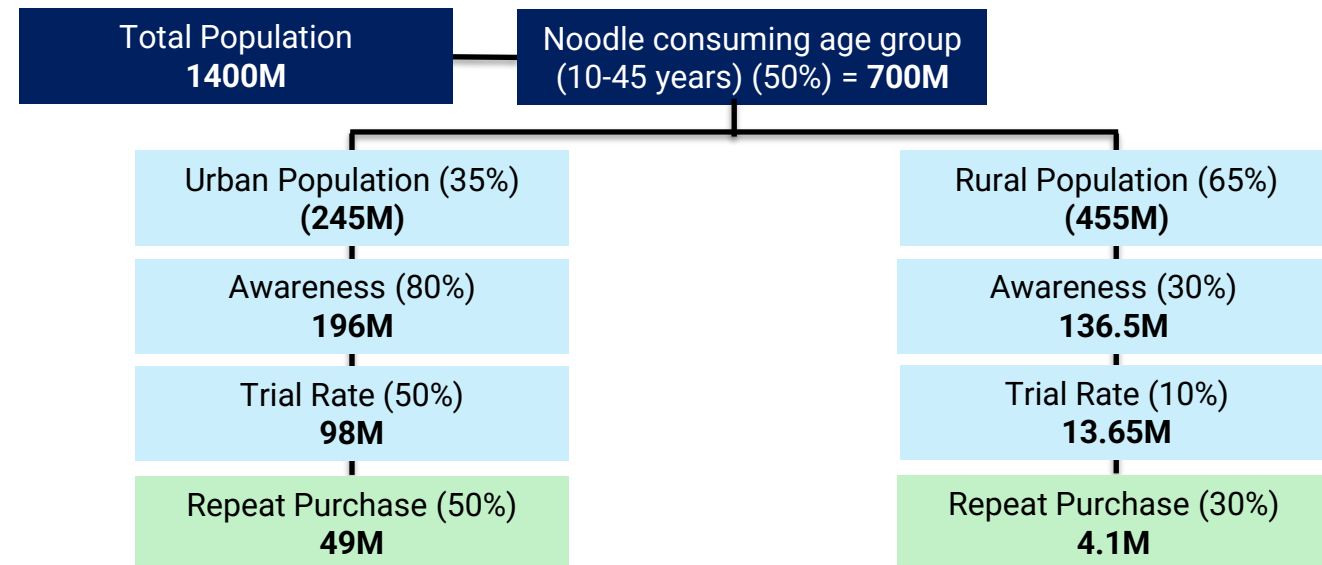
THE INSTANT MATH

Estimate the **Number of Cup Noodles** Sold per Day in India

FACTS/ASSUMPTIONS

1. Estimate for all brands
2. Include both urban and rural areas
3. Estimate using sales volume (packs sold)
4. Assume sales are uniform across the week/month
5. Cups sold per day = Total monthly demand / 30
6. Avg. consumption frequency: Urban – 1 cup/week, Rural – 1 cup/month

APPROACH



Total Number of cup noodles sold per day = $(49M \times 4 \text{ cups/month} + 4.1M \times 1 \text{ cup/month}) / 30 \text{ days} = 6.67M$

BROWNIE POINTS

- **Awareness:** Highlighting awareness and trial rate as key funnel metrics
- **Consumption patterns:** Considering urban-rural consumption pattern
- **Funnel validation:** Validating assumptions using a funnel approach
- **Seasonality:** Mentioning that cup noodles are may have seasonal variation

KEY LEARNINGS

- FMCG guesstimates may require consumer funnel logic & behavioural segmentation
- Multiplying small accurate funnels can give better results than top-down only methods
- Urban-rural differentiation is critical in India-centric guesstimates
- Questions around trial vs repeat usage are powerful for accuracy

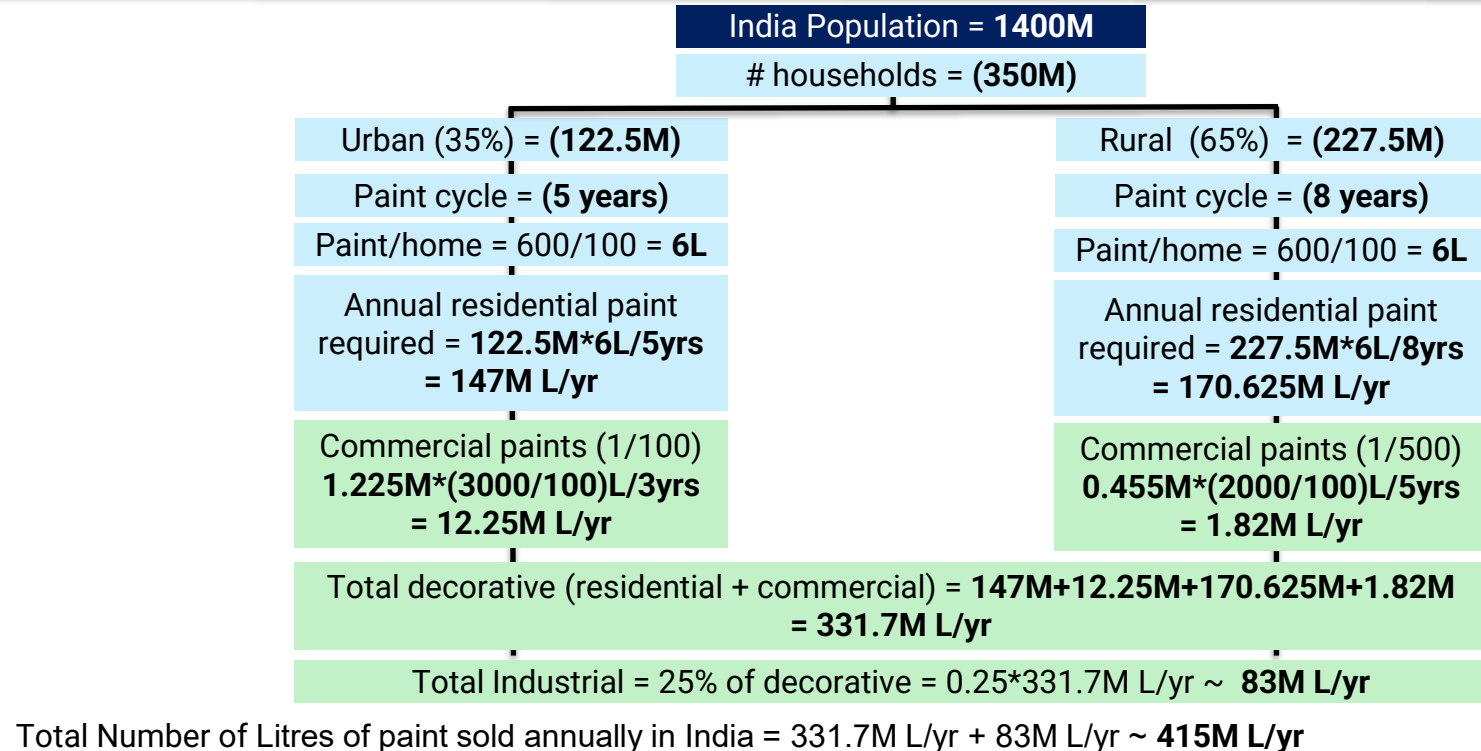
POPPY PAINTS

Estimate the **Number of Litres of Paint Sold Annually** in India

FACTS/ASSUMPTIONS

1. Assume average number of people per household = 4
2. Estimate for both decorative paints (wall paints) as well as industrial paints (vehicles and machinery)
3. Paintable area/home – 600 sqft (2 coats included)
4. Coverage = 1 L per 100 sqft (2 coats)
5. Include the repaints
6. Assume commercial units = 1 per 100 urban homes and 1 per 500 rural homes
7. Urban commercial Coverage = 3000 sqft painted every 3 years
8. Rural commercial Coverage = 2000 sqft painted every 5 years
9. Consider pan-india and for average climatic conditions
10. Don't assume wastage of paints
11. Industrial paints = 25% of decorative paints

APPROACH



BROWNIE POINTS

- Structuring the case into Residential, Commercial, and Industrial buckets
- Clarifying the repaint cycle and not just new construction
- Incorporating wastage, Breaking the problem via sq. ft. coverage, which adds realism
- Mentioning seasonality (monsoon & festive spikes) in paint demand

KEY LEARNINGS

- Difficult guesstimates often need cross-industry frameworks
- Using physical proxies (like sq. ft. or no. of units) helps when dealing with consumables
- Understanding consumer behavior cycles (repaints, festivals) boosts realism
- Always check your answer for sanity: Is the number in line with industry?



APPENDICES

APPENDIX A

GUESSTIMATE STATISTICS

Following are some important statistics to keep in mind for solving guesstimates for market sizing and otherwise.

Population Distribution in India (in Millions)

Total Population 1400		
Gender	(in Million)	%Total
Males	728	52%
Females	672	48%
Sex Ratio (M/F)	1.07	
Geography (in Millions) %Total		
Urban	560	40%
Rural	840	60%
Age Groups (in Millions) %Total		
0-14	350	25%
15-24	350	25%
25-34	210	15%
35-44	210	15%
45-54	140	10%
55+	140	10%
Note: 50% of the population is under 25, 65% under 35		

Income (annual)	(in Mn)	%Total
BPL (< ₹125K)	210	15%
Low (₹125K – 500K)	700	50%
Middle (₹500K – 3Mn)	420	30%
High (> ₹3Mn)	70	5%

Area wise Distribution of India (in '000 sq. kms)

Total Area		3,300
Terrain	(in '000 sq. km)	%Total
Land	2,310	70%
Water	330	10%
Forests	660	20%

Population Distribution by Faith

Faith	(in Mn)	%Total
Hindu	1,040	80%
Muslim	195	15%
Christian	26	2%
Sikh	19.5	1.5%
Others/Unspecified	19.5	1.5%

*Note: These are only rough figures (and not actual) that are meant to help you in solving the guesstimate with simple calculations

Population and Area of Major Cities

Cities	Population (in Mn)	Area (in sq. km)
Mumbai	20	600
New Delhi	33	1500
Kolkata	15	200
Bangalore	15	700
Chennai	12	400
Hyderabad	12	650
Tiers Population (in Mn) % Urban		
Tier 1 (Top 10)	120	20%
Tier 2 (Next 50)	85	15%
Tier 3 (Next 100)	70	12%

*Note: These are only rough figures (and not actual) that are meant to help you in solving the guesstimate with simple calculations

APPENDIX B

GLOSSARY Following are definitions to some key terms often used during case analysis

Term	Definition
Adverse Selection	Situation in which an individual's demand for insurance is aligned to their risk of loss (i.e. people with the highest expected value will buy insurance) and the insurer cannot account for this correlation in the price
Arbitrage	The purchase of securities on one market for immediate resale on another market in order to profit from a price discrepancy
Break-Even	Total amount of revenue needed to offset the sum of a firm's costs. Implies that the firm's profit will be \$0
CAGR	Compound Annual Growth Rate: $[(\text{Ending Value}/\text{Beginning Value})^{(1/n)}]-1$, n=no. of years
Capacity	The maximum level of output of goods and/or services that a given system can potentially produce over a set period of time
Competitive Advantage	When a firm is able to deliver benefits equal to competitors but at a lower cost OR able to deliver greater benefits than competitors
Consumer Surplus	Economic gain achieved when consumers purchase a product for a price less than their willingness to pay Consumer Surplus = Willingness to Pay - Price
Contribution Margin	$C=P-V$, where P is unit price, and V is variable cost per unit
Core Competencies	The activities that a firm does well to create competitive advantage

APPENDIX B

Term	Definition
Customer Segmentation	Subdivision of a market into discrete groups that share similar characteristics
Discount Rate	Also known as cost of capital. There is an opportunity cost associated with every investment, with the cost being the expected return on an alternate investment
Economies of Scale	The average cost per unit for a business entity is reduced by increasing the scale of production
Economies of Scope	The average cost for a business entity is reduced by producing two or more products
Elasticity	If $E > 1$, decrease price to increase revenue If $E < 1$, decreased price leads to lower revenue
Entering New Market	Three main methods: start from scratch, form joint venture, acquire an existing player
Fixed Costs	Costs that do not change with an increase or decrease in the amount of goods or services produced
Gross Margin	A Company's total sales minus its cost of goods sold, divided by the total sales revenue, expressed as a percentage
Horizontal Integration	The acquisition of additional business activities at the same level of the value chain
International Expansion	Main mechanisms: exporting, licensing, franchising, joint venture, foreign direct investment (acquisition or startup)

APPENDIX B

Term	Definition
Inventory Turnover	A ratio showing how many times a company's inventory is sold and replaced over a period. Should be compared to industry averages: low turnover implies poor sales or excess inventory; high ratio implies either strong sales or ineffective buying
Law of Diminishing Returns	At some point in the production process, the addition of one more unit of output, while holding everything else constant, will eventually lead to a decrease in per unit returns
Learning Curve	Visually shows how new skills or knowledge can be quickly acquired initially, but subsequent learning becomes much slower. A steeper curve indicates faster, easier learning and a flatter curve indicates slower, more difficult learning
Marginal Cost	Cost of one more unit of output
Market Share	The percentage of market size controlled by an individual firm
Market Size	Total size of a population (usually measured in number of people or actual dollar value) that would purchase a company's goods or services. Market size is always relevant and is a question that should be asked
Monopoly	Entity is the only supplier of a particular good. • Lack of competition → produce less and charge more • Barriers may include government regulation, networks, patents, scale, etc. • Revenue is the midpoint of the demand curve
Net Present Value	The difference between present value cash inflows and present value cash outflows
Payback Period	The length of time required to recover the cost of an investment

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Perfect Competition	Firms take price $\rightarrow MR = P$ Maximum profit = $MR = MC$ $P < AVC \rightarrow$ shut down
Price Discrimination	Situation in which identical goods are sold at different prices from the same provider. • 1st degree $\rightarrow$ Different price for different willingness to pay • 2nd degree $\rightarrow$ Different price for different quantities • 3rd degree $\rightarrow$ Different price for different segments (attributes)
Product Lifecycle	Four main stages: market introduction, growth, maturity, decline
Product Mix	Total number of product lines that a company offers to its customers. Often an important area to explore in profitability cases to identify loss-making products
Promotion	Coupons, discounts, trials, etc. designed to increase sales of a product or service
Risk Averse	Individuals who prefer certainty over the uncertain for the same expected value (EV)
Risk Neutral	Individuals who are indifferent on risk taking if the EV is the same
Risk Seeking	Individuals who prefer risk even if the EV for a certain event and the risk is the same

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Term	Definition
Sales per Square Foot	The average revenue a business creates for every square foot of sales space. Used in the retail industry as a measure of efficiency
Same Store Sales (SSS)	A statistic used in retail industry to determine what portion of new sales has come from sales growth and what portion from the opening of new stores
SWOT Analysis	Strengths, Weaknesses, Opportunities and Threats. Very basic framework, probably not a good idea to put down as your case framework, but good to have as a mental checklist
Synergies	The idea that the value and performance of two companies combined will be greater than the sum of the separate individual parts. Used mostly in M&A
Value Chain	Another concept from Michael Porter. His Value chain: Inbound Logistics, Operations, Outbound logistics, Marketing and Sales
Variable Costs	Costs that vary depending on a company's production volume; they rise as production increases and fall as production decreases
Vertical Integration	Degree to which a firm owns its backward suppliers or forward buyers

Best of Luck!